Sky Gold & Diamonds (SKYGOLD)

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Call: May 2023

SKY GOLD
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Date: 22/05/2023
To, To,
BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, Plot No. C/1,
25th Floor, Dalai Street, Fort, G Block, Bandra-Kurla Complex,
Mumbai 400001 Bandra (East), Mumbai 400 051
Scrip Code: 541967 Trading Symbol: SKYGOLD
ject: Transcri The Earni nce Call
Dear Sir / Madam,
Pursuant to the provision of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, please find enclosed herewith the transcript of the earnings conference call held on Friday 19" May 2023 on the audited financial results of the Company for the quarter and financial year ended March 31, 2023.
The same is also available on the Company's website i.e., https://sky-gold.in/
Kindly take the same on your record.
Thanking you,
Digitally signed
MANGESH bymancesH
RAMESH
RAMESH cyauHan
CHAUHAN Date: 2023.05.22
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“Sky Gold Limited
Q4 FY2023 Earning Conference Call ”

May 19, 2023

ANALYST : MR. GOPAL CHANDAK – KIRIN ADVISORS

MANAGEMENT : MR. MANGESH CHAUHAN – MANAGING
DIRECTOR & CHIEF FINANCIAL OFFICER
MR. MAHENDRA CHAUHAN – WHOLE TIME
DIRECTO R
MR. JAYESH SANGHVI – SENIOR ACCOUNT
HEAD
MR. SHIVANG GOYAL – SECRETARIAL ADVISOR

 Moderator : Ladies and gentlemen , good day and welcome to the Q4 FY20 23 results conference call of Sky Gold Li mited hosted by Kirin Advisors . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please s ignal an operator by pressing "*" and then "0" on your touchto ne telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Gopal Chandak from Kirin Advisors . Thank you and over to you Mr. Chandak !

Gopal Chandak : Thank you. Good afternoon everyone. Thanks for joining the conf erence call of Sky Gold Limited. I would like to welcome Mr. Mangesh Chauhan , Managing Director and Chief Financial Officer , Mr. Mahendra Chauhan , Whole Time Director, Mr . Jayesh Sangh vi, Senior Account Head , and Mr. Shivang Goyal , Secretarial Ad visor from Sky Gold Limited . Mang esh Sir over to you.

Mangesh Chauhan : Good afternoon everybody . Welcome everybody to Sky Gold Limited. It was good year for us. We ended FY2023. Questions will be asked from your side.

Gopal Chandak : Mangesh you will brief about the company and Q4 results and then we will take question and answers session.

Mangesh Chauhan : Our company is basically a jewellery manufacturer gold jewellery manufactures from the bullion to covert them to jewellery from top to bottom and the finished produ ct is developed totally in our factory and we manufacture for many corporates like Malabar Gold, Joyalukkas, GRT Jewellers, Kalyan Jewellers, multi corporate and distributors also. So we are into manufacturing of casting jewellery pattern which is a combin ation of hand and machinery both. We have 350 to 400 employee on board right now with us with 25,000 square feet manufacturing facility in Mulund, Mumbai. So we are basically modern fancy gold jew ellery, light weight jewellery which is affordable to each a nd every custo mers of inventory between 5 to Rs.5000 Crores running. We are making 90% of our inventory are debt so this is the main core business. Our results for Q4 , the outstanding we have incr eased by 60% of EBITDA from last 2022 Q4 to now 2023 Q4. Our revenue has increased by 22% from last Q4 to this Q4 and our profit has increased by 45% comparative to last Q4 in this Q4 so our results are very outstanding this year. The whole team has worked dedicatedly for this results and going forward also we are hoping the good results. Thank you.

Moderator : Thank you Sir. We will now begin the question and answer session. The first question is from the line of Vaibhav Shah from Kojin Research . Please go ahead.

 Vaibhav Shah: Thanks for the opportunity. Congratulat ions on good set of numbers . Three to four questions related to our business activity and expansion so in the last call you have mentioned you are expanding into a new factory in Navi Mu mbai so fi rst question is what is the status of that and when we will likely to shift business to the new factory?

Mangesh Chauhan : Mostly 50% work is already over in that factory of machineries and all the furniture fixes and all. We will be starting from August 1, 2023 , definitely in that facility and we will do that so fr om August 1, 2023 we will be active there mostly 500 to 600 employee from August 1, 2023.

Vaibhav Shah: How many employees yo

u said?

Mangesh Chauhan : 500 to 600 employees. Right now we h ave 350 to 400 employees so 500 to 600 employees we will start there. There is a capacity of 1200 employees in this factory. It is three times our manufacturing capacity which we expanded so step by step we will add on employees and go ahead.

Vaibhav Shah: Okay so o nce we transfer the facility so our old facility will be the re or we will be totally winding up and all operations will be shift ed to the new facility?

Mangesh Chauhan : We will be winding up all old operations because we have already there 80,000 square fo ot facility. Here we have 25,000 square foot so we will not be needing this facility here so it will be building itself with land for us so we may not be needing space here.

Vaibhav Shah: Okay so in the new capacity we have bought the area or we have taken on a long term lease or how is it?

Mangesh Chauhan : We have lease d the factory. In the future the plan is to buy it but the facility we were not getting outright this time so we took it rented.
Vaibhav Shah: Okay so when we are going to the new facility l ikely what will be the capex amount? How much will go for to wards new machinery and all?
Mangesh Chauhan : We have done the capex for Rs.10 Crores to Rs.12 Crores with machinery and furniture fixtures .
Vaibhav Shah: Okay Rs.25 Crores including mac hinery and fixtures?
Mangesh Chauhan : Sorry Rs.10 Crores to Rs.12 Cror es.
 Vaibhav Shah: Rs.10 Crores to Rs.12 Crores okay so I think you have mentioned the capacity but I just forgot what will be the new capacity?
Mangesh Chauhan : It is three times more from this fa ctory so now we have 250 square foot capacity so that 750 triple so we have capacity of Rs.1500 Crores so there we can go to Rs.4500 Crores in the years going ahead.
Vaibhav Shah: Rs.4500 Crores yearly capacity?
Mangesh Chauhan : Yes we have.
Vaib hav Shah: Correct?
Mangesh Chauhan : Yes.
Vaibhav Shah: So when we see currently we are at around Rs.1100 Crores correct? Let us say around 80% to 90% of capacity utilization as per your last call so in the current quarter the utilization also are at the sa me levels?
Mangesh Chauhan : Yes it is at the maximum. This quarter it is at maximum level of utilization . That is why we have taken the factory so utilization capacity has filled up now in this quarter so from this shift will help us to grow more and add o n the prod uctions as we are going as we are going to add ma ny more cor porates in this year.
Vaibhav Shah: Okay let us say if at 4700 so what will be the peak turnover that we can achieve?
Mangesh Chauhan : I cannot disclose the numbers but we are very posit ive becaus e from August we will get almost eight months to work in tha t new facility so we will be having a good business we are hoping.
Vaibhav Shah: Okay I was just seeing your margin s there was a bit pressure on the margin in this quarter so what was th e reason b ehind that?
Mangesh Chauhan : Quarter -to-quarter margins are good I think because our margins have increased you can see quarter -to-quarter by 45% something.
Vaibhav Shah: No I am not saying the percentage growth in the EBITDA I am saying the EBIT DA margin and PAT margin?
Mangesh Chauhan : Okay absolute you are telli ng.
 Vaibhav Shah: Yes there was some pressure on the margin not very large but there was some minor pressure so what was the reason behind that in the full year numbers?
Mangesh Chauhan : Last time there was Rs.16 Crores income so Rs.10 Crores was the other income in that. Rs.6 Crores was our business so by comparing that this year our income is Rs.18 Crores. It is totally of our business income. In gross profit terms we are higher in this year, but comparing net profit it is also higher but last year Rs.10 Crores was other income. Rs

.6
Crores to Rs.7 Crores was the income so now this net income is close so it is also improved very much.
Vaibhav Shah: Okay so that is fine. What I was asking like last year we have done Rs.31 Crores of EBITDA on Rs.800 Crores s o which comes to around 4% margin okay and this year we have done around Rs.37 Crores EBITDA on Rs.1150 Crores? This comes around 3.2% margins , so margin was decreased by 60 basis points okay so t he margins that was 4% has come down to 3.2% so what is the major reason for that?
Mangesh Chauhan : In this EBITDA our other income has also improved, so last year the income improved. There was some capital gain last year so last year EBITDA was showing a s high, that other income is not there and the total is busi ness profit.
Vaibhav Shah: So going forward EBITDA margin how much will you maintain?
Mangesh Chauhan : We will grow the EBITDA because we are acquiri ng more and more new corporates. The government policy last year on gold bullion , so for manufactures there is 1% less duty, we will be adding corporates. So EBITDA will 100% improve but we cannot disclose the percentage right . The Modi government has introduced for our manufacture and only manufacture s can get the benefit of that so that benefit also will add in this year.
Vaibhav Shah: Got it . When we say new customers are adding like in the last call you had mentioned that you are in discussion with Tanishq and Reliance so what is the statu s? Have we onboard

them during this quarter or it will take some more time?
Mangesh Chauhan : We are close to Tanishq we have done all the six rounds of their steps. We have closed that six rounds of steps. We have to enter in that so in the new factory fac ility Tani shq will be on the board because they have started agreement procedure with us. Let us see how much time it takes but Tanishq takes each and every step by step and each and every norms is being followed by and our new facility is as her per Tanis hq norms i n which we are giving recreation centre, health centre, and gyms to all the employees so we have made and each

 factory norms as per Tanishq so we are hoping that Tanishq in onboard in August or September yes.
Vaibhav Shah: Great Sir so just one m ore thing on the new facility so like we were saying that currently you are making losses happening while producing the jewellery so we are going to take some initiatives in the new facility that will reduce our gold losses so what will be that and have we installed that machineries in that new facility or are we still going to install it?
Mangesh Chauhan : We have already ordered the machine German and Italian machines which will reduce our gold loss so it will be delivered in July and some are being delive red in Aug ust first week or August 15 so from August 15 w e will be enj oying that benefit. I am hoping that so it will reduce our gold loss because we have already ordered all machineries have been ordered. It takes 90 days to deliver so as per our plan we will be ac tive in August and all machineries will be installed in Augu st only.
Vaibhav Shah: Sir now coming from highlight related to business so what will be contribution for the year from the top 10 customers?
Mangesh Chauhan : All customers are growing b y 20%. Las t year also we have grown our customer sales by 20% so this year the multi corporates are opening stores very drastically. Malabar Gold is opening 40 stores this year. Joyalukkas is opening 60 stores this year so we have verbal taking with them that we wil l be growing us with 30% so we are hoping that this 30% grow th will come from the old customers and many other customers will be added.
Vaibhav Shah: That is fine. What I am asking so like your top 10 customers have contributed how much to your r evenue lik e you have done Rs.1100 Crores turnover so how much was the contribution from

your top 10 customers?
Mangesh Chauhan : Mostly 70% Rs.700 Crores you can take it.
Vaibhav Shah: 70% to 80% will be coming from your top 10 customers?
Mangesh Chauhan : 70% yes 1% or 2% here and there.
Vaibhav Shah: Okay and on the customer front only so how will the billing happen so once they place the orders and then we buy the bullion ? How will the process once they place, then we buy the bullion and how it works ?
Mang esh Chauha n: It is a process daily process going on 365 days. They daily give order of 1kg or 500 gram and Malabar gold daily gives order on the mail of 500 grams today and 1kg today,

 tomorrow 2kg so daily we buy the bullion whichever payment is due and pa yment come s in the bank we daily buy the bullion as per our routine pr actice and whichever order is in the first line we start that order whichever second number, third number and that order is placed and we start making the delivery and the same way dispa tching is going. Daily dispatching is going on to every corporates as per their priority so it is daily basis and daily bullion is bought. We place the order in the factory. It takes four to five days to complete the order and that items are delivered . We make our i nventory also for exhibition to show, new inventory to the c orporates. From that we also sell up front also so it is mix and match of order and our inventory also.
Vaibhav Shah: Okay so just to understand the order process so your client gives yo u order on monthly basis or they will give you order like yearly or qu arterly basis how does it works?
Mangesh Chauhan : They give us order monthly basis and 15 days basis. Their customer orders are given daily also so they have many divisions to give the o rders. Plu s for the showroom they give 15 days. Custom er order they da ily give the orders for the customer orders. In exhibition they give orders for one or two months together so different, different style of the corporate to give the orders, every year a nd every m onth and every day we are getting orders.
Vaibhav Shah: Okay so when it comes to their sourcing, sourcing is done at central level by the customer or you have to deliver it at each showroom? How is it done?
Mangesh Chauhan : We have the centres fo r each and every stores and they take it central level.
Vaibhav Shah: On the results part it is possible?
Mangesh Chauhan : Yes.
Vaibhav Shah: So on the results front I have very little questions , so I will just come back in queue?

Moderator : Thank you. The next ques tion is from the line of Aman Vishwakarma from Robo Capital ?
Aman Vishwakarma : Topline guidance for the next year?
Mangesh Chauhan : It is very difficult. We cannot disclose the numbers as you aware?
Aman Vishwakarma : And what about margins? Do yo u expect to keep the margins same or do you see any increase going on?

 Mangesh Chauhan : It may be growing very good margins. We are adding new customers but let us see and numbers cannot be disclosed . Only percentage wise we have to.
Aman Vishwakarma : Okay fair enou gh and with your planned portfolio right you said 70% to 80% comes from top 10.
Mangesh Chauhan : 70%.
Aman Vishwakarma : 70% right so is that like a bit too concentr ated and do you like have plans to reduce that number?
Mangesh Chauhan : We will no t reduce t hat number but we will increase our revenue by adding new small, small customers also so we will be going with that also, our revenue is growing so we will grow with that new customers and new operational customers are small retailers also we are planning. We have planned now to enter the North market in Jammu mark et and Punjab market. Already our sales persons are activated there so we will be adding new and fresh customers. That will balance our sales yes. This sale from corporates so these corp

orates are a long time player with us. We are doing business with them for the last eight to 10 years so we do not want to reduce the numbers but overall increase more customers.
Aman Vishwakarma : Fair and also one last one is how hard would it to for Mala bar to rep lace you if they ever wanted to? I am just trying to underst and the replacement costs here like? If they wanted to not go forward with your cont ract what would happen then?
Mangesh Chauhan : We have many options. We have not considered export mark et because we have higher sales in domestic. Right now demand is very high in domestic. We are trying to acquire them but if Malabar is working with us for the last eight to 10 years but if he is not willing to work with us we have export market and gulf m arket. We have Singapore market here. We can explore that also. Other corporates are also active in this market. Reliance is there , Tanishq is there . Each and every day we are developing new customers and new places of business so if there is any customer who is not willing , will not have an impact.
Aman Vishwakarma : Fare an d our manufacturing facilities up to the standards of the international export market?
Mangesh Chauhan : Yes 100% we have exported right now also. Malabar is our prime customer. He will n ever want to stop business with us because we are serving him for the last eight to 10 years and we are growing with him.
Aman Vishwakarma : Fare that is good. Thank you.

 Moderator : Thank you. The next question is from the line of Raaj from Arjav Partners . Please go ahead.
Raaj: So looking at FY2024 so can you give a qualitat ive outlook like how the business is going to grow? Can we expect FY2024 to be a good year compared to FY2023?
Mangesh Chauhan : 100% we will grow much better than this year so we are goi ng to new facilit y. The new facilit y will give us space to develop new products and new monopoly products. We have purchased new machinery, so this facility we can make new products for export market also. Right now we are doing 5 % to 7% of our turnover wi th export market so we are targeting DSL to expand in exports also and domestic also we have target to make new monopoly products which are not available with anybody in this market.
Raaj: Alright also if we talk about exports, so there EBITDA is comparati vely highe r we can expect ?
Mangesh Chauhan : It depends on the clients what is the client size, what is his requirements or size of requirement. It is different, different margins are there in gulf countr ies Singapore and it depends on product requirement .
Raaj: Okay so the overall operation FY2024 is expected to have better margins also right compared to 2023?
Mangesh Chauhan : We are expecting good growth and margins .
Raaj: Alright understood. Alright thanks. All the best.
Moderator : Thank you. The next que stion is f rom the line of Yeshvanthi from Kojin Research . Please go ah ead.
Yeshvanthi: Good afternoon sir and congratulations for the good set of numbers. I just have a query like we are seeing low margin like under 5% so what is the scope for going forwar d to impro ve on it?
Mangesh Chauhan : In B2B manufacturing generally volumes are very high, but margins cannot be increased by

above 5% in India each and every company you can see so volumes can be good because metal prices are very high, so margins is low because of our inventive prices are very high otherwise into rupees you can see it is very good so we will be trying to grow more but it is not possible in B2B go above 5% and in B2B it can grow by revenue and by volume.
Yeshvanthi: Okay and Sir do we have any onlin e presence in the market ?
 Mangesh Chauhan : We have in USA , Australia . We have just launched before three months . We are doing the marketing f

or that. In India we are not in the B2C.
Yeshvanthi: How much this might be contributing to our total sal es very nice?
Mangesh Chauhan : We have started marketing this quarter only aggressively so let us see we will inform you as will be getting revenue from that.
Yeshvanthi: Sir how is t he US markets shaping up? Is the demand good ?
Mangesh Chauhan : It is very good. If your brand is good and your products are good and the margin s are very good in US market but we have started the marketing of our products. We have made products especially for US woman in this quarter also.
Yeshvanthi: Okay so any other countrie s we are e xporting our products or just focusing on US market?
Mangesh Chauhan : Singapore right now, gulf countries and some others.
Yeshvanthi: US markets and Singapore?
Mangesh Chauhan : Gulf markets.
Yeshvanthi: And just one more question more question I wanted to ask i s about how is the working capital cycle here? How is the B2B inventory and how your debtors play out?
Mangesh Chauhan : The cycle is 30 to 35 days. It takes three to four days to make the ornaments from bullion. Then three to four days it t akes to di spatch and delivery and also so it mix and match . The total is 30 to 35 days cycle.
Yeshvanthi: That is on net working capital ?
Mangesh Chauhan : Yes.
Yeshvanthi: Okay Sir that is it from my side. I will just come back in the queue.
Moderator : Thank you. Th e next question is from the line of Aaryan Saluja an Individ ual Investor . Please go ahead.
Aaryan Saluja: Can you tell me what is the production quantity in the last quarter?
 Mangesh Chauhan : I have to see the number, but you have the numbers of the turnov er right now.
Aaryan Saluja: But actually on last call you h ave told us that the capacity is 300kg and you are operating on 200kg how it makes sense to move to the bigger factory?
Mangesh Chauhan : Because we have to install new machineries. We want to intr oduce new products in this line only. So it is need s space f or the new products and we have verbal contracts from corporates that they are expanding showroom in 2024-2025 . Two years they are expanding by 100 showrooms so they have told us to incr ease our production capacity because we will be giving orders aggressi vely to you in 2023 -2024 and 2024 -2025 from all the cooperates we have the information from , so we have expanded . We are trying to expand. It will take time. We will go in office there. We will in stall our new machinery. It will help our new products, new product lines and new inventions so we want to grow margins on sales also so we are nearly about 80 % to 90% production capacity. So there is no risk to go in there and we have the commit ment from the existing customer to grow by 30% .
Aaryan Saluja: Also in the last call you had told us about the US and in the sales will pick up by March but now you are telling us you have started aggressively marketing only this month ?
Mangesh Chauhan : Yes because some time took for opening the account and all paper works a lso so that is why we delayed our marketing but this quarter we are marketing aggressively let us see.
Aaryan Saluja: Can you tell me what is the number in March quarter of the sales in US?
Manges h Chauhan : Till March, it is zero. We have not sold anything .
Aaryan Saluja: Has it started picking up ?
Mangesh Chauhan : Yes our marketing partner is doing all efforts in the US markets. We will be getting result s. We are very positive. We will inform you as and when required.
Aaryan Saluja: Okay and on the last you have also told us that there are 30 to 40 designers hired by you for designing of jewellery ? And also by the introduction Chat GPT that is much easier and less costl ier to design new p roducts. Have you started looking upon on that alternative for reducin g the employee cost ?
Mang

esh Chauhan : Employee cost is not going to decrease I do not think so because salaries are going up in our market. Demand is very good for designers in th at one, but we ca n increase our margins by taking from the customer only . In the new facility we are trying to produce new line of

 products , monopoly products . That is plan to increas e margin , but I do not think employe e salaries will go down.
Aaryan Saluja: Not with the C hat GPT ? I am saying that the Chat GPT can make 100 of desig ns in one minute with much loss cost? Have you looked upon that technology?
Mangesh Chauhan : Which technology are you talking about.
Aaryan Saluja: Chat GPT ?
Mangesh Chauhan : Chat GPT we are alrea dy using. It is not like that. It is 100 of designs will be made in one month or something that is like that but we are using Chat now in the new factory we are going for direct casting which will reduce our employee , our wax department and dye department because we going for direct c asting technology in that facil ity so in their Chat , yes 100% work will be fast we can do more production fast. That we are already doing in the Chat so it is not like that it will be 100 design in one minute or somet hing, but the process will be very fast .
Aaryan Saluja: And what is the international competition to you? Is there any international competition?
Mangesh Chauhan : Competition is everywhere in the market, in the domestic also and in international also but it depends how much you are making, how designing you are making as per that market and how is your product working. If you product is working very superb th en you can create market and margins.
Aaryan Saluja: Duty cost will it help to fight international competitio n?
Mangesh Chauhan : 100% in this new facility our cost will reduce and it will help to compete in that market . In third country also competition so we can fight this.
Aaryan Saluja: Okay thank you.
Moderator : Thank you. The next question from th e line of Himani Ubham from Suraj Enterprise . Please go ahead.
Himani Ubham : Good afternoon, Sir. Sir my question is do you have online presence? If yes, what is the contribution from it?

 Mangesh Chauhan : We do not have an online presence in India. We are basically B2B manufacture for the corporates and other distributors, but we have presence in US . We have made our presence in USA in last quarter only so we are trying there to make are presence in USA .
Himani Ubham : Okay and how ti e up with Varanium bene fiting us ?
Mangesh Chauhan : That is only I am saying US we have t ie up with Varanium and they are our marketing partners so results will come in this quarter maybe in this quarter we are hoping for the US . Varanium is very good company and helping us in the US marke t is advertising our products. He is marketing and logistic, support and all the things. We are hopeful we will have a good business wit h Varanium .
Himani Ubham : How many retail shops are in pipeline?
Mangesh Chauhan : No retail shops are right no w in pipel ine, but we have in our mind that B2C is a good market in In dia of retail channel store s so as and when required we will inform you of we are going to B2C.
Himani Ubham : Thank you Sir. That is it from my side.
Moderator : Thank you. The next quest ion is fro m the line of Vaibhav Shah from Kojin Research . Please go ah ead.
Vaibhav Shah: Sir a few followup questions on result in operations so what is the best margin that we can maintain on EBITDA level ?
Mangesh Chauhan : So EBITDA we can go to 5% .
Vaib hav Shah: Okay 5% that we can achieve ?
Mangesh Chauhan : Yes, we can ac hieve. In this new facility if we are able to make the right production and right monopoly products we are targeting off so can go to that, but right now

last quarter we have given our b est.
Vaibh av Shah: Yes that is why I asked this because last quarter you achieve d almost 4 .5% of margin so that is why what is the margin that we can maintain ?
Mangesh Chauhan : If we step into B2C then we can increase our EBITDA margin to much more than th at. In B2B, we can achieve. I t depends also on the metal price. If met al prices are high, the

 margins appear low. If market prices go to 70,000 now it is 60,000 so EBITDA margin will

appear low to you, but in rupees wise it will be very good.
Vaibhav Shah: Okay so another question is like we have partnership with Varanium for our online marketing in US so how is the commercial between us so if any sales is happening, we have to share any revenue with them or it is?
Mangesh Chauhan : Revenue sharing is there in the US form because we will be shipping product here. F rom US cost price , the US lending price to the sale price of the customer we will be sharing the amount between us, but we cannot disclose the percentage due to the confidentiality here.
Vaibhav Sha h: Okay bu t the majority will be by you only held by you if you can ju st provide th at detail s?
Mangesh Chauhan : I cannot give percentage but good amount.
Vaibhav Shah: Okay and I think you have also mentioned in your previous call that your target with new facilitie s you will be targeting smaller jewelers also that w ho are having 15 to 20 shops so have we started reaching out to this small players ?
Mangesh Chauhan : We started marketing with them and also reaching out to them as well and we have got good res ponse from them and we have told them that we will be giving products from August. From August you can order to us so let us see we will be getting the response . We have already started marketing for that.
Vaibhav Shah: Okay a nd the re we can command a bett er margin than these big players in terms of EBITDA?
Mangesh Chauhan : I said in my calls that we have taken the new machinery new type of machine.
Vaibhav Shah: No operating side it is fine but when you are selling to Joyalukkas or Kalyan , they will be having the pr icing power so when you are shifting to the small players wi th 10 to 15 shops or five to 10 shops at there the quantity will be a bit less than the big players, so can you command the pricing power over there so you can charge?
Mangesh Chauhan : To a certa in extent we can command but these markets are open competit ors so we will try to create good ma rgins , but of course five showrooms and 10 showrooms w e have the command a little bit .
Vaibhav Shah: Okay and when we are seeing our cash flow for thi s year so our turnover that everything has grown but our operating cas h flow is in negative ? It is around Rs.6.5 Crores has been

 negative so what was the reason any pressure on the working capital or the raw material? What was the major reason behind that?
Mangesh Chauhan : About I did not catch.
Vaibhav Shah: Cash flow s from operations, operating cash flow?
Mangesh Chauhan : All the cash flows are invested in working capital to fund the growth.
Vaibhav Shah: Okay s o have we faced any challenge because our turnover has grown almost 45% year-on-year, but our cash flow doe s not generate it in that sense so our money stuck in any kind of inventory or working capital or due to any debtors?
Mangesh Chauhan : No working capital pressure is there because we done turn over from Rs780. Crores to Rs.1150 Crores.
Vaibhav Shah: No issues an d we have increased our debt this year so this is for I think we have taken for the expansion if I am not wrong ?
Mangesh Chauhan : Yes, we are going to do facility. We have the capacity o f triple there so we have already made the provisions and as and when we use that CC limits and requirement

for that.
Vaibhav Shah: Okay Sir thank you so much. That is from my side.
Moderator : Thank you. The next question is from the line of Pran Gadge an Individual Investor . Please go ahead.
Pran Gadge: I just wanted to che ck last time in the invest or meeting you mentioned that you will have a very much better Q4 as comp ared to Q3 and Q4 we also started the B2C business in USA so we might have got some rev enue from there as well but if you compare the Q 4 against the Q3 resul ts it is pretty much flat so any reason why the growth is muted from Q4 to Q3?
Mangesh Chauhan : Because of price increase you can see the price was Rs. 50,000 in last quarter and this quarter price s have gone up by 25% so there was a little bit impact on th at, but not much more because of that.
Pran Gadge: Okay but still the topline should have grown right even if the prices have increase d will the volume remains the same the top line shou ld have gr own, right versus t he number of sales number was pretty much flat?

 Mangesh Chauhan : I am not getting your questions properly?
Pran Gadge: I am telling the sales number the topline number it was Rs. 270 Crores this quarter versus Rs.267 Crores prev ious quart er and this quarter we have started the B2C business in Amer ica so why have we not seen the growth quarter over quarter?

Mangesh Chauhan : The B2C business only we have started the marketing. I told already on the call that we have not got right r evenue fro m B2C revenue. We will be getting this quarter. We ar e hopef ul for that but B2C we are not counting it because we have only done the marketing for that so B2C it is not in the turnover right now.
Pran Gadge: And in B2B is there any volume growth compared t o previous quarter?
Mangesh Chauhan : In coming quarter.
Pran Gadge: When compared to Q3 is there any volume growth in B2 B business?
Mangesh Chauhan : Yes B2B growth is there and because price is h igh the turnover is looking the same quarter to qua rter.
Pran Gadge: Thank you so much.
Moderator : Thank you. We have a f ollowup question from the line of Yeshvanthi from Kojin Research . Please go ahead.
Yeshvanthi: I just wanted to understand what is the capex incurred for the new facility ?
Mangesh Chauha n: New fac ility madam Rs.10 Crores to Rs.12 Crores I already mentioned it.
Yeshvanthi: 10 to 12 Crores ?
Mangesh Chauhan : We have provision for Rs.10 Crores to Rs.12 Crores but it is under process. Capex is under process. Nothing is in March.
Yeshvanthi: Thank you.
Moderator : Thank you. We have one question from the line of Shruti Shah an Individual Investor . Please go ahead.
 Shruti Shah: Are you incorporating any innovative techniques or technol ogies to enhance the quality to aid the production?
Mangesh Cha uhan : Yes 100% I have already mentioned. In the new facility we have t aken new machinery and new technologies and new software ’s to improve our designing , to improve the quality of the existing product much more so we are on to it.
Shruti Shah: Okay so you are using 3D printing also to do the designing?
Mangesh Chauhan : Already w e have 3D printers here.
Shruti Shah: Okay thank you.
Moderator : Thank you. The next question is from the line of Aman Vishwakarma from Robo Capital . Please go ahead.
Aman Vishwakar ma: Excuse my ignorance, but if you could tell me a bit more about thi s new facility right so you guys are now moving into this new facility if I am getting it right ?
Mangesh Chauhan : Yes in August.
Aman Vishwakarma: In August you will be moving and what i s the opti mum capacity utilization for this new facility?
Mangesh Cha uhan : It is about 750kg to 800kg. In rupees you can go to 4500 to 5000 Crores .
Aman Vishwakarma: So that is the maximum you can make from that fa

cility ?
Mangesh Chauhan : Yes.
Aman Vishwa karma: Okay and when do you expect to reach that sort of level like si nce you will be moving in August, so that is like half the year gone by right?
Mangesh Chauhan : Yes.
Aman Vishwakarma: So when do you expect you will reach maximum ?
Mangesh Chauhan : It will take two to three years but it depends how fast we work and we ac quire the customer so by 20 24-2025 we can go to that.
 Aman Vishwakarma: Okay fa ir enough so all the best for your new venture and thanks for it.
Moderator : Thank you. The next question i s from the line of Anmol Soni an Individual Investor . Please go ahead.
Anmol Soni l: Sir can you please throw some light on your pipelines for FY2024 and FY2025 and if you are planning to acquire some new clients in new geographies or something like that? A lso what i s the current plant capacity on which you are working and wh at it will be after the new facility ?
Mangesh Chauhan : Yes the new plant I have already told that we have the capacity of 250 kg and new facility we have seven 750 to 800kg capacity so t here are many products development is in the pipeline for 2023-2024 an d 2024-2025 with acquiring new customers we are developing new product s for export also export market. We are targeting new product s for Gulf market and Singapore, so many c ities are the re in the pipeline. As and when required we will be informing you or s o also and right now the main part is to shift to the new facility with new machinery and new technologies and launch the new products ye s.
Anmol Sonil : What will be the capacity utiliza tion which is expected ?

Mangesh Chauhan : In new facility I have alread y mentioned that we have the capacity to go to 4500 and 5000 Crore business but this facility is taken in the consideration of future growth only so let us hope how fast we achieve the t arget, ye s.
Anmol Sonil : And is there any write offs or some things say in relation to the designs something like that ?
Mangesh Chauhan : We are doing design in house so we have safet y of our design. We cannot share the design outside so our designers they have many years of experience and we have the facility the security fo r designers is tightened at the new facility so we have monopoly there .
Anmol Sonil : Okay thanks.
Moderator : Thank you. As there are no further questions, I now hand the conference over to Gopal Chandak for closing comments.
Gopal Chandak : Thanks everyone for joining the conference call of Sky Gold Limited. If you have any queries, you can write us at research @kirinadvisor.com and once more thank you everyone for joining the conference call. Thanks everybody .
 Mangesh Chauhan : I hope I have given the answer to all your questions and you can mail us if you have any more questions and we will take it when we have con calls with the investors and give you answers.
Moderator : Thank you very much . On beh alf of Kirin Advisors that concludes this confe rence. Thank you for joining us and y ou may now disconnect your lines.

Call: Nov 2023

"Sky Gold Limited Q2 FY2024
Earnings Conference Call"

November 10, 2023

ANALYST: M R. GOPAL CHANDAK – KIRIN ADVISORS PRIVATE
LIMITED

MANAGEMENT : MR. MANGESH CHAUHAN - MD AND CFO – SKY GOLD
LIMITED
MR. DARSHAN CHAUHAN - WHOLE TIME DIRECTOR -
SKY GOLD LIMITED
MR. MAHINDRA CHAUHAN - WHOLE TIME DIRECTOR -
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MR. SHIVANG GOYAL - SECRETARIAL ADVISOR - SKY
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MR. JAYESH SANGHAVI - FINANCE TEAM - SKY GOLD
LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to the Q2 FY2024 Results Conference Call of Sky Gold Limited hosted by Kirin Advisors. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*"then "0" on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Gopal Chandak from Kirin Advisors. Thank you and over to you Sir!

Gopal Chandak : Thank you. On behalf of Kirin Advisors I welcome you all to Sky Gold Limited's Q2 FY2024 con call. From management side we have Mr. Mangesh Chauhan, Managing Director and Chief Financial Officer; Darshan Chauhan, Whole Time Director; Mr. Mahindra Chauhan, Whole Time Director; Mr. Shivang Goyal, Secretarial Advisor; Mr. Jayesh Sanghavi from Finance team. Now I hand over the call to Mr. Mangesh Chauhan. Over to you, sir.

Mangesh Chauhan : Good afternoon. I am Mangesh Chauhan, Managing Director and CFO of Sky Gold Limited. Happy Dhanteras to all of my investors and shareholders and well wishers. A warm welcome to each of you as we convey our investor conference call for Sky Gold Limited, leading you to the financial performance of Q2 FY2024.

Allow me to provide a brief overview of Sky Gold Limited. We established it in 2008. We emerged as a leading Mumbai based jewellery manufacturers specializing in designing, manufacturing, marketing of executive gold jewellery.

We specialize in lightweight 22 carat Jewellery and 18 carat jewellery featuring in extensive portfolio comprising plin gold jewellery, studded jewellery and Turkish jewellery, with a collection of 9 lakh designs we have, we strive to cater to the diverse based of our esteem customers. We are operating on the B2B model, we are B2B manufacturer, we collaborate with esteem jewelry retailers such as Malabar Gold, Joyalukkas, Kalyan Jewellers, GRT Jewellers, Senco gold, along with other large wholesale partners also. This collaboration ensures our products are showcased in more than 2000 showrooms across India, notably 65% of our revenue comes from these customers and 35% of from distributors.

Let me reply to the highlight and financials: Let me talk about that we are a jewelllery solution provider in this jewellery industry. We are owned the designs, in simple terms, we are an outsource design manufacturer. We need to keep in reinventing ourselves to scale up our business as witnessed there is a shift from unorganized jewellery retailers to organized players, this benefits players like Sky Gold also. The market opportunity is large both in the
 domestic and export markets, India is gaining share from traditional jewellery manufacture hubs like Turkey and China.

Let us now take you to the highlight and financial of Q2 performance. Sky Gold Limited successfully transmitted to our expanded 81000 square feet manufacturing facility in Navi Mumbai from 18000 square feet. The strategy moves as empired us to process 750 to 800 kgs per month We can produce 750 to 800 kgs per month in this facility. Our Q2 performance strength is a testament for commitment reflect the domestic financial results. We take pride in the growth of witness in this r

evenue property building. It is a historic good Q2 quarter for our Sky Gold Limited revenue wise. So we have had this positive outcomes are the direct result of heightened professional efficiency. The new facility gives us opportunity to improve margins, constituency of state of features including cutting edge, filtration equipment that minimizes gold loss also during the production process.

I will now hand over to Mr. Darshan Chauhan, our Marketing and Sales Director. He will explain about those facility and all.

Darshan Chauhan : Hello, good afternoon to all of you. I am Darshan Chauhan, Whole Time Director of Sky Gold Limited. I am mainly looking after the sales of the company's domestic and international markets. So going ahead Q2 was really good for us as per the sales view domestically and internationally also. So slowly, slowly we are looking to explore that the export market also because there is a huge lot of demand of Indian jewellery all over the world. So recently I have been visiting to Malaysia market, Singapore market and the Dubai market. So everywhere the Indian jewellery demand is going good and as it is Indian market is really very strong as there are the festive seasons coming on ahead in this Q3 and Q4 quarter. So festival seasons and wedding seasons will add on to our sales and revenue and we are ready with all kinds of products. We are exploring different, different products also from lightweight to the wedding collection also. So there is a mixed range of our products and diversified products as per the state and region, each and every state and every region in the country. So we are mainly focusing on the traditional based, the regional base and the taste of the customer to give them the best output and with the best production facility available with us and good labor and machinery we can thoroughly, take this opportunity to expand our sales domestically and internationally. International market also there is a very good demand for lightweight jewelry, what we are producing right now. So we had explored that market also. So slowly, slowly going ahead in 2-3 years we will focus more on the export segment also. So that will help us build up the revenue of the company more, and we are dealing with all the good corporates, big corporate office for bulk manufacturing. So we are giving them good services and good products so we are getting good response from that. Overall the sales strategy is to focus mainly on the domestic
 market and slowly, slowly explore the export market also and we are adding whatever good clients are there in the market, south market, north market we are adding good clients also. So there are very new clients to explore in domestically also and in export market also. So going ahead with this new manufacturing facility we will do good product mix also, we have a large design bank with us. So we can explore lot a number of clients there. So looking ahead good Q3 and Q4 quarters. Thanks a lot. I will hand over to Mr. Mahendra Chauhan, the Whole Time Director regarding the further brief.

Mahendra Chauhan : Hello everyone and good afternoon to all. I am Mahendra Chauhan, the Whole Time Director of Sky Gold Limited. This is the first time I am interacting with investor and shareholders. Let me mention that we are god fearing people with complete transparencies and welcome you with any constructive feedback. I am taking care of all designs at this point of time we are catering to fine jewellery and even within fine jewellery we are presented in plain gold jewellery, studded jewellery, perl jewellery, kids jewellery and different type of segments and there is a lot of opportunity to expand beyond fine jewellery as well as also. We would be getting categories like wedding jewellery, rose gold jewellery, watches collection, teenage collection more in this facility. We have shifted our facilit

y
during Navratri and we have totally 300 people in our old facility. Now the number of count 450 workers, and the total capacity would be more 900 to 1000 people. Our focus here is to reduce the gold loss and improve the quality of manufacturing with the new machines, we are confident about the target. Thank you all.

Mangesh Chauhan : So this was our directors, whom one of directors are looking all the sales and manufacturing one of our Mahendra Chauhan is looking over to designing and development of the products and machineries and all. So I will summarize all this thing. I would like to speak in Hindi also maybe much better.

Basically we are a design solution provider. Though corporate skill solution provide, (hindi) designing (hindi). The hand mate and machine made combination (hindi). Finishing, polishing or filing (hindi). The global concept in India (hindi) so 81000 square feet facility in Maharashtra (hindi) number one. So the best quality manufacturing with lower cost is our target now. We are targeting focusing on B2B space return on capital opportunity, see as far as the 22%-25% return (hindi) improvement with quality and higher share of corporates. We can import (hindi) inventory turnaround (hindi). So we target our receivables from 30 days to 15 days (hindi) inventory days (hindi). (hindi) our high tech machineries will also help the employees. It will help us to grow and take this to our target of achieving 5000 Crores revenue with a good profit and PAT margins. This is our summary, we all promoters up together we brothers are together to take this journey ahead and to achieve the targets of

 our company so let us take the questions of the shareholders whatever they have and we can answer them.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Harsh Shah from Dimensional Securities. Please go ahead.

Harsh Shah : Good afternoon and congratulations for great set of number. My first question is on the debt and the investment on our book. So our debt has increased to around 180 Crores, but if I see we also have investments in certain shares we are holding HDFC and TCS shares on our balance sheet. So just wanted to ask why is the management not selling off the shares because these are not core activity of our business. So why do not we sell off these shares of 75 Crores and pay off the debt that we have.

Mangesh Chauhan: So we had the shares before 3-4 years, five years back and we gave them as a collateral to the bank to take the facility at the time we have the demand of cash in our company. So we take took the debt from the company. So it is the valuation is of 30 Crores is got up to 70 Crores. So now we have taken the round of preferential round of 100 Crores. We will be receiving the funds by 20th November and we will be start planning to take care of some debt and sell off this security also. So it was the need of 4-5 years back of need of the company. So we pledge the shares to the bank and take the limit and got our work done. So we had made of the capital. So now we have to completed our preferential round of 108 Crores company will have the huge fund in our accounts and we will do as and when required. This is a good suggestion, it was a need of 24 so the years back now it is not needed to take much debt from the bank, so we are planning to spreads out some debts also and send the security also.

Harsh Shah : That is great to hear and on inventory part. So currently we have inventory of 100 Crores on our book. I think the nature of our business is such that we should not be needing much of the inventory. Just wanted to understand why we have this inventory of 100 Crores.

Mangesh Chauhan: I will tell you the major inventories is in work in progress. So we have 500 employees out of that 250 to 300 employees are working in making the gold

. So day in, day out every worker in hand they have 200 to 500 of gold close to them. So we need to hold, this is a manufacturing process, we process that daily process it takes 7 to 8 days to release the jewellery and dispatch to the customers. So work in progress inventories any time of 20-25 Crores inventory ready inventory is there with us to show the new products to the customer, new clients, new corporates which are going to be added to us. We are targeting India's largest one or two leading retail channel stores. So we need to make some new inventory, new items and all. So other than that 75% of work in progress which is needed to produce the jewellery, so it is in day in, day out process new gold comes and gets into the production

 unit, some are ready and it get delivered. So this inventory is for just work in progress they daily get dispatched, daily new good comes and it gets into the manufacturing. I hope you understand.

Harsh Shah : Understood, yes, I certainly got it and as you spoke about leading retailers so just wanted to get an update on where we are in terms of our potential tie up with Tanishq if you can give some update on that.

Mangesh Chauhan: I will not name any jeweller, but we are in talks with top most two jewelers, retail jewelry seller stores and we are hoping that we will acquire them in these two quarters. So let us hope we have the facility as per the measures all that norms it is good for that facility should be there. We have facility for our employees of saloon facility, gymnasium recreations, all the facility we have created here for our employees. So this type of facility which the promoter has created for the employee environment is good for the employees to work. Everything is provided to them from food to safety, security, medical, we have kept doctor, permanent doctor for the medical checkup and all for the employees for first aid. So this type of facility is very unique in Maharashtra which we own. So this is a winning point for us that corporates will attract to this and let us see we are in talks with major two retail channel stores and we are targeting them.

Harsh Shah : And last question is on the margin side. So Q1 we were at around almost 5%, which is come down to 3.85%. Just wanted to understand is there any impact of seasonality and what would be the sustainable margins for FY2024 and going ahead?

Mangesh Chauhan: Q1, Q2 quarter (hindi).

Jayesh Sanghavi : Yes, let me explain majorly there is an increase in the other expenses and employee cost and depreciation all of this is because of the shift to the new facility, some of these are onetime expenses incurred for the purpose of shifting, some of them are increase in the fixed cost because we have moved to a larger unit. So all other impact has come in the current quarter because for short time the production was not there, for short time there was simultaneous work going on in both the places. As regards the guidance for margins, this looks to be as in the next few quarters look to be good only because as the quantum increases in this facility the fixed cost will get absorbed better and the margins are likely to improve.

Harsh Shah : Great. That is very heartening to listen and congratulations to all of you Shubh Deepavali and Shubh Dhanteras. Thank you.

Moderator : Thank you. The next question is from the line of Pritesh Chheda from Lucky Investment Managers Private Limited. Please go ahead.

Pritesh Chheda : Sir, your balance sheet turn was 4.5x until last year when you did 1100 Crores of revenue and 250 Crores of balance sheet. When I look at the balance sheet your working capital at a 3% margin. Now what you are mentioning in the call is working capital reductions further and margin whatever is the last two quarter is the higher margin. So what will drive this shift fr

om 4x or 4.5x balance sheet. We have 4.5 working capital turn whichever you want to put it.

Mangesh Chauhan: We are asking for the customers for the best and carry business like large corporates, they give their own bullion to us, own goal to us. So we do not need not to fund our inventory from our side to this large corporates give a goal from their side. We have to just manufacture from them and deliver them and we can create a label. So we are into it. Our receivables are going down. We are taking receivables down by improving our extending facility when the production time is 8 days, we are targeting in this new facility to take to five days, our debtors we are trying to give minimum credit maybe single credit. So this will take us to increase our working cycle capital.

Jayesh Sanghavi : These are the methods you are being employed to reduce our working capital investment and bring in more efficiencies whereas on the per kg or a per gram basis the conversion cost or the labor income that is there remains the same whatever lower capital requirement.

Pritesh Chheda : So until last year when you were doing 65% of your business with organized retailer and 35% wholesale. You did not have clients which are doing business from cash and carry by giving gold to you.

Mangesh Chauhan: Already we are doing with the corporates we are doing by our inventory right now we do not have, only one or two big larger corporate only in India gives them the gold to manufacturer, other corporates of 20 corporate, other 16 to 17 corporate which we have in our bucket of, they take by our inventory only, they do not give, they have that policies but we are targeting like those corporate there then they will give us bullion and we can use labor from them. So this will help to take production high also and utilize the maximum facility. So we are targeting to reduce our finance cost also by taking some measures which is helping these two quarters.

Pritesh Chheda : Which means that until last year it was a model which was a fully used or utilized model on this 4.5x inventory turn. If you had the customers which were not using you gold. Then the model is what we see in the last year which is basically some 3.5%, 4% margin and EBITDA with 4.5 inventory turns right.

 Mangesh Chauhan: No. We are not taking in consideration of this large corporate. Whenever they come they are welcome and they will add up to our balance sheet. We are just concentrating on our existing customer, they are on the board. So we like example Joyallukas were giving them credit of 30 days now they are converted to the cash payment we have requested we have given some deals to them and they are converted into cash and carry business. So we are converting our existing customers, so those who are on 20 days we are taking to 10 days closer on 15 days we are taking them to the cash and carry. Now how we will take them is our inventory we are making new monopoly products exclusive products which are not available in the market with other suppliers or manufacturers who cannot make this till one and a half year, two years they cannot copy also then, so this backdrop line of products they are convinced to give us cash fast and the rotation is there. So we are not relying on the huge corporates that will come onboard there will be additional to our balance sheet, but we are looking towards our existing customers changing them to the credit time to lower the credit time increasing our manufacturing facility from eight days to four days to produce the product and all. So these are taking the measures to reduce our finance cost now preferential round also is oversold we have a huge funds and we will not be needed so much huge funds so as and when measures will be taken to improve our quarters.
Pritesh Chheda : Just speaking the new customer which is to come we keep that aside, or with the existin

g
customer this 4.5 balance sheet turn or let us say some 70, 80 days of working capital, 70 days of working capital that we keep in that system. This can be reduced by how much, 15 days, 20 days, let us say the existing customer only and can you scale up this new facility that you have put from 18000 to 80000 which means that we could have earlier done about 100-150 kg now you can do 750 kg can you just tell if you do it with the existing customer. So my first question is how much can you increase the balance sheet turn and with the existing customer only and how much more can you sell to the existing customer, keeping that new customer whenever he comes aside.
Mangesh Chauhan: Yes, right now we are making 200-250 kgs per month. So from existing customer we can go up to 500 kgs anytime because as you give the example last quarter Tanishq announced 83 stores, Malabar Gold our existing client announced 85 store in this quarter, Joyalukkas announced 40 stores, Kalyan Jewellers opened 60 stores in last two months. So this existing client only we are expanding. So these corporates for them the stores are getting expanded internally there is a competition (hindi) this is also our client they are also listed Thangamayil is our client. So they are drastically expanding their stores because they have good funds and they have good revenue response in the stores. So those customers already our corporates for them the store count is increasing and already when we were in the old facility they asked us to expand your facility, be ready that we are expanding drastically in next two years. So (hindi). So they are very fast selling manufacturer so they have the

 software all over in software the software I guess Sky Gold product (hindi) fast selling. So they refill us and back to back all the orders (hindi) they open account of them because they do not want to deal with them because they are not organized compliance wise and not that all. So (hindi) no large corporates they have capacity of 750 to 800 Crores so we can accommodate them also so we had made the provision for both existing customer (hindi) every year we are doing with them 20%, 30% with every corporates so (hindi) overseas maybe Singapore, Malaysia and maybe (hindi) but domestics (hindi) we can target this with 500 kg (hindi).
Pritesh Chheda : And that working capital (hindi) so 60-70 days is what you are operating now 4.5 time balance sheet turn.
Mangesh Chauhan: Yes, we are targeting this to 35 to 40 days taking just to 40 days. (hindi) so this scenario the new facility which has come so this all scenario is good positive vibes to go ahead.
Pritesh Chheda : So you operated 6% GT and 4.5% margin. (hindi).
Mangesh Chauhan: Our operation margin we are in a capital 20%, 25% run rate (hindi) our gross margins will also improve because (hindi) quarter you will see the results and or shoots of that. So rough margin which is also improve and data will also improve basically our concentration on return on capital (hindi). So let us see our facilities would clients are onboard challenge sales wise the challenge (hindi) sales wise is also good. (hindi) gross margin will improve, EBITDA it will be outstanding I feel.
Pritesh Chheda : Thank you very much sir.
Moderator : Thank you. The next question is from the line of Hasmukh Mushara from SU D Life. Please go ahead.
Hasmukh Mushara: Yeah. Thanks for the opportunity. I have one question, how we are located right behind

your sales team or corporate team or to get to let's say 5000 crores sort of a turnover and similar to that? Let's say when. When you say customers like, let's say. Then how do we let's say approach for any new customer or how the whole let's say transaction happens if you can highlight? some throw some light on that.
Mangesh Chauhan: So I will not name anybody but India's largest retail channel, we are having a good

conversation with them we have shown our products. We are doing quarterly exhibitions, every quarter we do exhibitions. Export Commercial Council which is our body for jewellery industry, we interact internally also so when they have exhibitions so every quarter we have exhibitions in which our largest stall will be there. All new products will be
 displayed. There all international buyers all over the world and India all will visit it. So every quarter when there is an exhibition our new products gets displayed, our existing clients they also come in, their managers come, their bosses come and all clients we want to acquire, the largest corporates they also come to the exhibition, they see our products, our pricing, they visit our facility to see what is our capacity what are our norms. So let us see through exhibition we acquire our clients. (hindi) they are small customers for us, we are seeing them as large customer in the future in two to three years they will get added to us. Every year they will add, they are also increasing one or two stores every month, so if they introduce 25-30 stores every month, this is a mix and match between small, medium and big corporates so exhibition is our main target all big corporates come and we can achieve this target from this line of business and adding new clients.
Hasmukh Mushara: Understood, understood. Any thoughts on how you, let's say, build your sales team or corporate team to get to 5000 crores sort of a turnover in next 2 1/2 years?
Mangesh Chauhan: I have already answered this, but my sales teams and main directors, Darshan Chauhan who has the expertise of sales and marketing over last 15 to 18 years so they are into it for exhibition to go and exhibit and our products reach. Marketing we are not making much expenses because the exhibition expenses we are not able to spend much on marketing (hindi) this corporate come to look, (hindi) so their question is from looking this, we have to just improve our products, quality products, designing should be very cautious and the game is ours.
Hasmukh Vishariya : Thanks for that that is it from my side.
Moderator : thank you. The next question is from the line of Raj Sanghvi an individual investor. Please go ahead.
Raj Sanghvi : Hello, good afternoon sir. Congratulations on a very good set of numbers. Sir just wanted to understand one thing from the export side. I think previously in export I think we were exporting to our existing clients overseas store I think Kalyan Jewellers and Joyallukas and Malabar. So this time have we acquire new clients which are altogether different from the existing one.
Mangesh Chauhan: Yes we have acquired one or two new big client also like in to Dubai also we have 130 stores the corporate I do not name the customer but we have 130 store in Dubai so one of the large corporate Damas jewellery so we have acquired that customer last month only we started business with them so now Darshan bhai also visited Singapore, Malaysia that also we will be delivering them products in next month so we have quite some new clients apart from existing customer already we are giving them.
 Raj Sanghvi : Second thing I mean we are focusing mostly on the lightweight jewellery, which is somewhat 50000 jewellery. So wanted to understand one thing maybe a few months or few quarters down the line can we think of scaling up this to a midsize jewellery let us say 2 lakh or 3 lakh jewellery since we already have the existing clients and existing relationship with this clients so it will be easier for us to get those kind of jewellery also onboard along with the lightweight jewellery.
Mangesh Chauhan: Frankly speaking our vision is not that, we can test it but it is not our vision, day by day we are seeing in the market the youngsters' who are coming, they are not liking

heavy, they like jewellery of 5000 to 50000 maybe we go to 60000-75000 but (hindi) every customer can buy seasonal (hindi).
Raj Sanghvi : One last question, I understand that we have taken bank loan in cash. So metal loan is also available with quite a branch and I think interest rate is a bit lower so is that option we can consider in future.
Mangesh Chauhan: Correct. This quarter only we started exploring the metal gold loan (hindi) we have to give

cash component to pay the M2M every day in way out of this loans so now we have
completed the preferential of the heavy cash is there in our company will be coming so we
will shifting our loan to GMN slowly, slowly which will maybe earlier as I told finance cost
reduction is what we are thinking and finance cost will also get reduced in GMN, we are
already doing it, it is time to go for gold loan.
Raj Sanghvi : Thank you sir, I will get back in the line for another question.
Moderator : Thank you. The next question is from the line of Mihika Joshi from Vimana Capital. Please
go ahead.
Mihika Joshi : Hi, I just wanted to understand that you had a B2C setup in the US right so are there any
updates on that.
Jayesh Sanghavi : No we are drastically looking that but we have some planning is going on but there is no,
we have not sold anything to that subsidiary. So we are just many orders domestic market
(hindi), but there are scope at B2B so we are just now concentrating only on B2B
manufacturing because the product (hindi).
Mihika Joshi : Just wanted to understand (hindi).
 Mangesh Chauhan: Subsidiary is there we are planning on the backend what to do, launch a new product in next
two, three quarters will explore that market what is the potential in that right now we are not
looking after that.
Mihika Joshi : And what about B2C plans in India if that also something that we are not considering as of
now.
Mangesh Chauhan: As of now we have something in mind but we are not aggressively going for B2C in these
two, three, four quarter because we have unexpected growth in B2B only in manufacturing
only as they had corporates are going new corporates are coming, new channel stores are
coming so we are seeing a tremendous growth and expansion in this vertical only so we are
right now considering in the B2B on the manufacturing unit. We are not considering B2C
right now.
Mihika Joshi : Okay alright that is it from me.
Moderator : Thank you. The next question is from the line of Varun from EVK Limited. Please go
ahead.
Varun: Hi, thanks for taking my question. First if you can let me know about quarter-on-quarter
volume numbers what was our volume in this quarter versus previous quarter?
Mangesh Chauhan: Yes, I think I have given the numbers, we have flash the numbers already on the exchanges
and you must be have got the balance sheets and all. So let me know if you have any
questions maybe I missed that.
Varun: How many kgs have we processed in this quarter versus last year how many kilo.
Mangesh Chauhan: Okay kgs I have to get back with the figures right now I have not taken that in kg right but
only rupees wise and all you can drop up the mail. So right now I do not have that numbers.
Varun: Other than debt reduction any other plan for utilizing the preferential money which we will
be getting I mean one is the debt reduction any other plans and you already have the
capacity it is more like a debt reduction working capital or anything else what you are
planning for that.
Mangesh Chauhan: No we are just using the capital to, major capital will be used in working capital, some of
the part will be used to reduce it, but major for working capital we can introduce new, new
products, new jewellery we are targeting now Gulf market Singapore, Malaysia market is
open first so they will be giving huge orders we are expecting these two quarters so we have
 to process that order also so we will be leading the inventory the working capital for that
raw material needed to achieve this goal and acquire this customers and go with them. So
right now we do not have any plan to use this capacity we will be using major capital will
be use for working capital only and to new design R&D new designs and launch new
designs and take the orders from the customer.
Varun: In the business call you mentioned that you are using approximately monthly volume it was
around 250 kgs so we are now with this new facility what is the average any incremental
which has come up.
Mangesh Chauhan: In these two quarters we are expecting that it will grow up by 20%, 30% we will be
growing up the 250 kg, let us see as the quarter is going on so we are achieving in these
two, four quarters the quantity will grow gradually.
Varun: So you are saying 25% to 30% increase in volume is expected now. From now onwards
itself in the new facility right.

Mangesh Chauhan: Yes, 100% first two months were too little bit we were changing the facility to new some employees were hiring in this September quarter we were hiring the employees, designers and we were getting set up in the facility but from last October first we were very set up to take this advantage so October, November, December, let us see this quarter we are utilizing properly and we will get the benefit of that.
Varun: And the revenue which is increased on quarter-on-quarter basis is it an element of gold price increase also in this or it is majorly volume driven.
Mangesh Chauhan: Gold price has not increased much you can see this SEBI last quarter's SEBI so (hindi). So I do not have the numbers of that ready but I can provide you. So the gold prices you can see last few quarters say 2%-3% here and there, pricing is not much, quantity we have improved, manufacturing quantity has improved (hindi).
Varun: Last question with regards to margin now this quarter I think for the new facility and the changeover it would have impacted now next couple of quarters we will go back to our old margin of around 5% which is expected right.
Mangesh Chauhan: 100% (hindi).
Varun: (hindi) we have reached through a stabilized number or still we are hiring more people last time also you are saying around 400 to 500 you have hired.
 Mangesh Chauhan: (hindi) we will not be at that 1500 we will gradually (hindi) and gradually we have to hire 50% of them (hindi).
Varun: One last thing. Sir (hindi) because of new technology.
Mangesh Chauhan: (hindi) it will help us to improve our EBITDA, PAT margin (hindi) we should take us to remind a target to turnover. So it is efficiency related margin improved (hindi) I am sure it will take some time estimate (hindi).
Varun: So in nutshell considering all this is it possible we increase our margin and it may go more than 5% also on a net basis.
Mangesh Chauhan: I will not take about the percentage in numbers maybe I am not about to that but (hindi) I think in one or two quarters it will be best in all the things turnover wise and margin wise and all so let us hopeful to this number. Thank you so much.
Moderator : Thank you. The next question is from the line of Harshil Shethia from AUM Fund Advisors LLP. Please go ahead.
Harshil Shethia : Hi, Sir. Sir (hindi) the large corporates are there like Malabar, Kalyan both are in percentage or in (hindi).
Mangesh Chauhan: Maybe 65%, 68% or something.
Harshil Shethia : Okay, (hindi).
Mangesh Chauhan: (hindi) that they are the distributors distributing our products in that retailer stores.
Harshil Shethia : So (hindi).
Mangesh Chauhan: Yes, different, different products, different, different scenario (hindi) they have to sell that inventory again to the retailers so some little bit benefit we have to give to the distributor but products will depend (hindi).
Harshil Shethia

: Okay thank you.
Moderator : Thank you. Next question is from the line of Rahil Shah from Crown Capital. Please go ahead.
 Rahil Shah : Hello, Sir. Good afternoon. (hindi) 5000 Crores (hindi) PAT margin, EBITDA margin target (hindi) you have shared that.
Mangesh Chauhan: I will not talk into the percentage (hindi) so I think it will help to grow our margins at good numbers, but I will not talk about the percentage number but I think it will go good.
Rahil Shah : And just to confirm you said inventory days target is 35-40 days, right.
Mangesh Chauhan: Yes.
Rahil Shah : How much time (hindi).
Mangesh Chauhan: I think in 3-4 quarters (hindi).
Rahil Shah : Okay. Thank you.
Moderator : Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to Mr. Gopal Chandak for closing comments. Over to you Sir.
Gopal Chandak : Thank you. Thank you very much for joining the conference call of Sky Gold Limited. If you have any queries you can write us at kirin@kirinadvisors.com . Once more thank you everyone for joining the conference.
Moderator : Thank you. On behalf of Kirin Advisors that concludes this conference. Thank you for joining us. You may now disconnect your lines.
Mangesh Chauhan: Thank you so much. Thank you all of you my investors, happy Diwali and happy Dhanteras

to all of you. Thank you.

Call: Feb 2024

01st February, 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalai Street, Fort,
Mumbai 400001

Scrip Code: 541967 To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai 400051

Trading Symbol: SKYGOLD

Subject: Transcript of the Earning Conference Call

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Monday, 29th January, 2024 on the Unaudited Standalone and Consolidated financial results of the Company for the quarter and nine months ended December 31, 2023, is enclosed.

The said transcript is also available on the Company's website at https://skygold.co.in/wp-content/uploads/2024/02/Transcript.pdf

This is for your information and records.

Thanking you

For Sky Gold Limited,

Mangesh Chauhan
Managing Director & CFO
DIN: 02138048
Place: Navi Mumbai

Encl.: As above.

Sky Gold Limited
"Q3 and 9-Month FY24 Earnings Conference Call"
January 29, 2024

MANAGEMENT : MR. MANGESH CHAUHAN -- MANAGING DIRECTOR AND CHIEF FINANCIAL OFFICER – SKY GOLD LIMITED
M R. DARSHAN CHAUHAN -- WHOLE-TIME DIRECTOR – SKY GOLD LIMITED
M R. MAHENDRA CHAUHAN -- WHOLE-TIME DIRECTOR – SKY GOLD LIMITED
M S. NIKITA JAIN -- COMPANY SECRETARY – SKY

GOLD LIMITED
M R. JAYESH SANGHAVI -- FINANCE TEAM – SKY GOLD
LIMITED

MODERATOR : MR. PARTH PATEL – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Sky Gold Limited Q3 and 9 months FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Parth Patel from Orient Capital. Thank you and over to you Mr. Parth.

Parth Patel: Thank you, Manav. On behalf of Orient Capital, I welcome you all to Sky Gold Limited's Q3 and 9-month FY24 conference call. From management side, we have Mr. Mangesh Chauhan, Managing Director and Chief Financial Officer, Mr. Darshan Chauhan, Whole-Time Director, Mr. Mahendra Chauhan, Whole-Time Director, Ms. Nikita Jain, Company Secretary, Mr. Jayesh Sanghavi from the Finance team. I hope everyone had an opportunity to go through our press release that we have uploaded on the exchanges and the company's website.

A short disclaimer, I would like to say before we begin the call, this call may contain some of the forward-looking statements, which are completely based upon our belief, opinion and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, now I hand over the call to Mr. Mangesh Chauhan. Over to you, sir.

Mangesh Chauhan: Thank you Parth. I am Mangesh Chauhan, MD and CFO of Sky Gold Limited. A very good morning to all of you, ladies and gentlemen, and thank you very much for attending our Q3 earnings call today. We intend on keeping our investors and analysts familiar with an update about development in our business.

We have had the opportunity to meet some of you at our annual general meeting. Otherwise, to my mind, it would be worthwhile to dwell a bit on our company and brief you all about the products we manufacture and business growth. I trust this will be helpful to all participants. I must state that all the discussions here will be within boundaries reasonably enforced by the company's strategic and competitive positions.

As you are aware, Sky Gold Limited. started its journey 18 years back and emerged as a leading Mumbai-based jewellery manufacturer specializing in designing, manufacturing and marketing of executive gold jewellery.

Mainly dealing in lightweight 22k and gold-modified jewellery, we started working with many of Indian large retailers early in this journey. Having spent a good part of the decade working with retailers, we have developed a very good and granular understanding of end consumers.

The jewellery that sells in a town in South India may not be fast-moving in other parts of the state, let alone another part of the country.

We solve an important pain of jewellery retailers, which is inventory management. If our retailers are able to liquidate sales of our designs quickly, we would be in a position to generate more sales or orders. Ours is the quick, sticky relationship with the retailers.

We have a design team of 50-plus jewellery designers. These designers help us to build a design library of 9 lakh designs, in which 2 lakh -- 2.5 lakh designs are live right now. We are constantly refreshing our designers, ensuring that our jewellery moves quickly off our retailer shelves.

Due to the diversity of our clients and the varied regions each of our clients are present in, we have developed an ability to design jewellery products as per latest trends, fashion and demographic presence of the end-user. We aim to achieve revenue of INR1,700 crores in FY24 and INR5,000 crores over next 3 years, led by new client additions, increasing wallet sales from existing clients, showroom

additions by clients leading to new showroom demand, export
demand shifts from unorganised to organised.

On international front, Sky Gold exports to Dubai, GCC, Singapore and Malaysia. The contribution from international business was 3% in FY23. Going ahead, we aim 30% contribution from international business over next 3 years. The current demand for Indian

lightweight jewellery is resilient in international market, which we are targeting to cater going forward.
Furthermore, we are focused on expanding our services to 40/50 good corporates in corporate market over next few years. Given the rich promoter experience, a strong R&D team, extensive design library and strong track record, Sky Gold Limited is increasingly becoming a preferred choice for the lightweight jewellery manufacturer.
We are optimistic about the future and confident in our ability to navigate challenges and achieve our goals. We have been working towards creating an organisation that is more transparent, technology evolved and one that has best of corporate governance practices.
Now I would like to hand over the call to Darshan Chauhan for his remarks. Over to you Darshan Chauhan.
Darshan Chauhan: Hello, good morning to all of you. I am Darshan Chauhan, Whole-Time Director of Sky Gold Limited. Now I will discuss the Q3 FY24 financial performance. The consolidated revenues for the quarter stood at INR460 crores versus INR267 crores in Q3 FY23, thus registering a growth of 72% on year-on-year basis.
We have witnessed strong revenue growth during the quarter in both domestic and international markets, given the festival seasons around the world and especially in the Indian market. During

the quarter we have also successfully added new clientele in our export market to fragment customer base and increase our revenue share from export business. Margins wise, EBITDA stood at INR18 crores, saw a growth of 48.5% year-on-year. Our EBITDA margin for Q3 FY24 was 3.9% as compared to 4.5% in Q3 FY23. PAT stood at INR8.9 crores, saw a growth of 40.8% year-on-year. Our PAT margin for Q3 FY24 was 1.9% as compared to 2.4% in Q3 FY23.
Moving to 9 months performance, the consolidated revenues for 9 months FY24 stood at INR1,232 crores versus INR884 crores in 9 months FY23, thus registering a growth of 39.4% on year-on-year basis. Margins wise, EBITDA for 9 months FY24 stood at INR52 crores, saw a growth of 110.8 % year-on-year, reported an EBITDA margin of 4.2% as compared to 2.8% in 9 months FY23. PAT stood at INR27 crores, saw a growth of 114.5 % year-on-year.
Now I would like to hand over the call to Mr. Mahendra Chauhan, our Whole-Time Director, for his remarks and then he will open the floor for question and answer session. Over to you, Mahendra Chauhan.
Mahendra Chauhan: Hello, everyone. As you are aware, we have received fresh capital from our preferential allotment during the end of the quarter. This capital would help the company to strengthen its liquidity position and this has already resulted in a rating improvement. The number of banking partners have also increased as a result.
Earlier we never used gold metal loans, now we would be utilizing gold metal loans. The shift would start happening from first quarter FY25 and this would reduce our interest costs. The focus during FY25 would be to improve productivity and reduce the working capital cycle.
We target to increase and achieve 3x sales from the existing workforce. On the customer facing side, we have started working on an application to seamlessly interact with the customer. The benefits of all the measures would be visible during Q4, FY25.
With this, I would request to open the floor for question and answer. Thank you so much.
Moderator: We have our first question from the line of Vinamra Hirawat from JM Capital. Please go ahead.
Vinamra Hirawat: Hi, am I audible?
Moderator: Yes, sir, you are. Please g

o ahead.
Vinamra Hirawat: My first question is, could you please go over your annual capex over the next 2-3 years? The capex you're doing every year?
Mangesh Chauhan: We have already done the capex in the current year. In the ongoing years, we will not need any major capex like we have done in the INR15 crores capacity when we shifted to the new facility.
In the ongoing years, we would like to add INR50 lakhs or INR1 crores machineries per year.

This will not be a major capex. We will do it in the next 2-3 years. We have already done the major capex in this year only with the new facility.
Vinamra Hirawat: My second question is, your Q2 investor presentation states that by the end of FY24, your capacity is 750 kgs a month. The presentation says you will be utilizing 700 kgs a month. Is that the capacity utilization we are at now? What is the utilization you see going forward in FY25-26?
Mangesh Chauhan: We have a capacity where we can produce 750-800 kgs per month here. Right now, we are producing 250-275 kgs per month. We can go up to triple capacity in 2.5-3 years in this facility.

Vinamra Hirawat: Do you have guidance on capacity utilization for the end of FY24, FY25 and FY26?
Mangesh Chauhan: We are targeting INR1700 crores this year. In 3 years, we are targeting INR5000 crores. It will go from 250-275 kgs to next year 400/450 kgs. Next year, it will be 250-300 kgs. In the 3rd year, it will be the maximum utilization of 750 kgs.
Vinamra Hirawat: Got it, thank you. I have one more question. What is the channel for export being big part of your revenue, so what is a channel for that? Do we sell direct to end consumer via intermediates? How does that work?
Moderator: There is a lot of disturbance at your end. Can you please mute yourself?
Vinamra Hirawat: There is no disturbance at my end. It is a quiet room.
Mangesh Chauhan: Can you repeat your question please?
Vinamra Hirawat: What is the channel for export? Do we sell direct to end consumer via intermediates?
Mangesh Chauhan: We are exporting to corporates there also who have 200-300 stores and to distributors also who are supplying to small retailers in the Gulf countries and Malaysia and Singapore. So both mix blended business is there. 50% is from the corporates and 50% is from the distributors. As a big manufacturer, we cannot reach to the small retailers. So we give to the distributors and they supply to them.
Vinamra Hirawat: So the mix is 50-50, right?
Mangesh Chauhan: Yes, approximately.
Vinamra Hirawat: Okay, thank you. I will join back in the queue for later questions.
Moderator: Thank you. We have our next question from the line of Jehan Bhadha from Nirmal Bang. Please go ahead.

Jehan Bhadha: Good morning sir.
Mangesh Chauhan: Good morning.
Jehan Bhadha: Sir my question is pertaining to the debt and interest cost. So what will be the debt level by this year end and next year end? And what are the plans regarding gold metal loans, how much of total debt would be replaced by gold metal loan and by when? And interest cost for next what will be in the range of?
Mangesh Chauhan: We are right now using INR160 crores of debt and we will be increasing it INR240 crores, INR250 crores something in the next year – in the next coming year. And we will be utilizing 70% to 80% of the GML facility in that. So our interest cost right now it is 0.90 of the sales and it will help us to reduce 0.40 basis -- the interest cost in the first quarter it will show results will come.
So we will be utilizing GML from the first quarter itself. Banks are renewing our facility and changing our facility to CC to GML. It takes 30-40 days, 50 days. So from the next quarter to first quarter we will be reducing our finance cost by 0.30-0.40 basis. 70%-80% will use GML. So it will help us to increase our PAT margins.
Jehan Bhadha:

So you mean that entire bank loans will be shifted to GML, right?
Mangesh Chauhan: First of all, 80% we will use. The bank gives us 80%. When we utilize it to the maximum, in the second quarter, we will change to 100%. So we have to use first 80% and then the bank gives us to use 100% also. So in the first quarter, we will use 70% to 80%. Inventory will be funded from GML only.
Jehan Bhadha: Right. So approximately, you said in terms of percent of sales. So approximately, our current cost of debt would be in percentage terms, let's say 10%-12%. Can you explain in that terms and what will be cost of -- the interest cost of GML?
Mangesh Chauhan: So currently, our interest cost is 9.5%. And it will come to 4.5% (GML cost is 4% plus other cost which comes to 4.5). So interest cost will come to – now it is 0.9 of the sales and it will come to 0.5 of the sales. So our inventory will be funded by GML, Gold Metal Loan and receivable will be funded to the CC limit balance 20%-30% from the internal funds and CC limits here.
Jehan Bhadha: Okay, fine. Thank you, sir.
Mangesh Chauhan: Yes.
Moderator: Thank you. We have our next question from the line of Bharat Gainani from Moneycontrol Pro. Please go ahead.

Bharat Gainani: Yes, sir. Thank you for the opportunity and very good set of numbers. So, sir, if I see the balance sheet currently, we have debt of about INR150 crores and we also have long term investment of about INR65 crores. INR70 crores. So I just wanted to check why is there a debt and a very big number of investment in the terms of balance sheet and now that you have already stated that

you will shift to gold metal loan.
So we would be required to keep another, I mean, we need to keep deposits in the form of current investment or a long term investment. So will that affect, so the first question is how much will the investment in -- since you are taking the gold metal loan, what effect it will have on return on capital employed? Thank you.
Mangesh Chauhan: So our debt is largely for working capital. Our working capital days would reduce from, already we have reduced from 21 days to 19 days and we are targeting 3-4 quarters, we'll reduce to 15 days. So about the investment you asked, it's about INR60 crores, INR70 crores investment of blue chip shares we had before 5-4 years in our balance sheet and we have pledged as a collateral with the banks.
So we are, we would be replacing it with the FD and we'll, as in this quarter, in first quarter, I think in March, we'll get that investment back and we'll offload it. So we are changing the collateral with the shares with FD and about the GML, it will help us to reduce our cost by 0.40 basis or 50 basis as the GML gold metal loan is 4.5% and CC limits are 9.5%. So it will help us to increase our PAT. Our inventory days would be reduced to 25 days, which is now 30 days and receivable bills we are targeting to bring it to 15 days in 3-4 quarters.
So total working capital days would move to 40 days, which was last quarter was 60 days, now it is 55 days and we are targeting it to take it to 40 days, which will help us to increase our working capital.
Bharat Gianani: Okay, but if we are taking GML, so we would need another INR30 crores-INR40 crores of investment in FD or this much INR70 crores-INR80 crores that is there on the balance sheet?
Mangesh Chauhan: In the shares, banks were taking 50% collateral, now they are diluting to 30%-35% collateral. So we'll need to give only INR30 crores-INR40 crores FD only. Again, INR70 crores shares will be received back and we'll need to give INR30 crores-INR40 crores FD.
Bharat Gianani: Okay, so additional INR30 crores, INR40 crores, another investment will go up by? No, no.
Mangesh Chauhan: We'll take back the INR60 crores, INR70 crores securities back and we'll have to give INR40 crores FD. They are reducing the collateral. As our rating has

improved from minus to triple B
stable. So all the bankers meet we have taken and they agreed to take it to 35%-30% collateral. So we'll receive INR70 crores shares back and we'll have to give INR40 crores, INR45 crores FD. So it will reduce our investment here.

Bharat Gianani: Okay, but then we said that we will also increase the debt by about INR80 crores in the form of -- I mean next year. So for that we are switching to gold metal. So we will require an additional investment in the form of collateral. Any other investment is required when we are moving to gold metal?
Mangesh Chauhan: Right now we have given INR70 crores investment for INR160 crores. So we'll replace it to FD and it will go up to INR250 crores CC. So our investment will only change from shares to FD but it will not increase. It will be up to INR70 crores only because they are reducing the collateral, diluting it.
Bharat Gianani: Okay, so overall investment will be in INR70 crores range.
Mangesh Chauhan: Yes, in the range.
Bharat Gianani: So basically and if our PAT margin increases then overall and the working capital comes down and investment stays where it is. So our return on capital employed or return on equity should improve going forward. Is that what I understood?
Mangesh Chauhan: We are targeting at the present.
Bharat Gianani: Okay, so thanks and all the best from my side.
Mangesh Chauhan: Thank you so much sir.
Moderator: Thank you. We have our next question from the line of Ankur Kumar from Alpha Capital. Please go ahead.
Ankur Kumar: Hello sir. Thank you for taking my question. Sir, in terms of guidance you said INR1,700 crores for this year which would imply about INR460 odd crores, INR465 crores types for Q4 which is like higher than this December quarter. But isn't December quarter like the best quarter for jewellers because there is a better demand?
Mangesh Chauhan: Yes, so December quarter is INR460 crores we already reached and we have to reach 450 crores in this quarter. So December quarter is 100% good but we have added now in January exhibition we did in the first of January first week we have done an exhibition and we have added many new clients of exports also and domestic also. So that will also help us to grow our revenues.
Many clients are added and many clients have given orders in this exhibition for this quarter. So I think new clients and existing clients both will play the role to drive our revenues.
Ankur Kumar: Got it sir. And sir in terms of margin side there is a slight reduction this quarter compared to last year. So any color on that and what should we expect going forward?

Mangesh Chauhan: We are in the scaling mode. So in some new clients we are entering with the regular products and attractive price we are entering with them and after they are on board we in the second, third quarter in the same client we give new products, monogram products and fancy products in that we create margins with them only. So we are in the scale mode we are targeting INR5,000 crores in 3 years and INR10,000 crores in 6 years.
So keeping mind that also we are acquiring new clients, new corporates, export clients also. So while entering them we have to give them attractive price. When we increase our product range in the same client we increase our designing products and all. Then in that only margin increases. So we are gradually increasing in the next quarter and 2-3 quarter we will be seeing that our product margin is also increase and our finance cost will help us to increase our PAT margins.
Ankur Kumar: Given we are adding so much clients and we want to increase fast. So is it like we want lower margins and we want to increase the topline, how should -- as in for coming few quarters because margins should be here only or slight reduce then for coming from FY26 in the next year

, then
we should improve in margins or how should we think about it?
Mangesh Chauhan: No, we will be gradually increasing margins also because from the last quarter if you compare we have slightly improved our margins PAT wise. So we are working on our gold loss also. We were small manufacturer we were working manually now we are implementing ERP system for the gold reduction better utilization of our existing facility which will help ERP system will help us to improve our existing facility.
So that will help us to improve our gross margins. So we are concentrating on the gold loss our better utilization of the facility. We have incurred the fixed cost already. So if the turnover goes up in the same cost it will help to increase our gross margin. ERP will help us to track our gold loss inventory perfectly. Gradually margin will improve every quarter.
So we are looking at 3x revenue from the same employees or rather little bit employee increasement. So I think we will be increasing our gross margin gradually also and scale up also. We will not reduce our margin.
So you can see from the last quarter we entered our new facility. In the next quarter our PAT is increased. Gross margin obviously little bit hampered by 20 point basis or something from the last year on year.
But now we have good clients we have entered new clients. So we will increase new products in that new design in that and we will increase the margin also. So it will be go scaling also and increasing the margin point 20 basis every quarter and we are looking forward to target EBITDA to increase from 3.9 to 4.5, 4.6 which will come from our productivity also from controlling the gold loss also utilizing the facility at the maximum. And our end of the same cost or little bit cost increasing. And we are concentrating on the finance cost for the PAT margins.

So both will help us to increase our PAT margins and obviously we are scaling up with the new clients also. So it will go both together.
Moderator: Thank you. We have our next question from the line of Shubham Upadhyay from The Microcap Minute. Please go ahead.
Shubham Upadhyay: Good morning everyone and first of all congratulations on good set of numbers. So I was going through the press release and you had said that the new capacity has been operational and it has a capacity of 750 to 800 kg per month and there is also a capacity utilization of 60%. So that puts the number to around 450 to 480 kg per month. So are we doing that number currently?
Mangesh Chauhan: No, no. We are doing 250 to 270 kg per month. Employee wise we have utilized 60% for the machinery wise. Machinery we have installed we don't know though. But employees wise we have to keep the designers, employees, the workforce for that we have to utilized 50% to 60% right now. And now in the quarter we will produce with the same employees we will produce it will go to 350 kg, 400 kg in the same strength.
After that we will increase more employees. So in the way of 60% we are utilizing the employees and all the things. But manufacturing wise we are producing 250 to 300 kg. I hope you understand my answers.
Shubham Upadhyay: Okay. Yes, sure. So, my next question is like, is there any guidance on the number what could be the expected number in the coming quarters of the next financial year?
Mangesh Chauhan: So we are targeting INR1,700 crores total revenue. Already we have crossed INR1,250 crores, in the coming years we are targeting INR2,500 crores approximate revenue in the next year. So we will be reaching INR5,000 crores in three years we are targeting.
Shubham Upadhyay: Okay. Is there a number kg wise?
Mangesh Chauhan: Yes, kg wise it will be -- now we are in this year we have produced 250, 270 kg per month. First

quarter I think we will be producing 350 kg per month. In the next year, 350 kg to 400 kg, in the next year 400 to 500 kg, in the

third year we will be going up to 700 kg here approximately.

Shubham Upadhyay: Okay. So, my next question is basically my last question. So you have also mentioned the doubling of the in-house design team from 100 to 200. So what is the timeline of this hiring?

Mangesh Chauhan: Right now, we have a good designing team. One or two designers may be added but no need to enter more. As soon as we touch our revenue of INR3,000 crores or INR2,700 crores and when we are targeting to INR5,000 crores we will be adding some more designers as and when required. So, right now we have a good strength of designers and employees. So, we needed not to increase more fixed cost right now to achieve INR2,500 crores, INR3,000 crores. We have the strength.

We have the machinery. We have the already done the capex. So we have to just keep on maybe producing more, getting more design from the designer, latest design and upload in the market.

Shubham Upadhyay: Okay. Thank you. Thank you for the answers. I will rejoin the queue.

Moderator: Thank you. We have our next question from the line of Nitin Gor an Individual Investor. Please go ahead.

Nitin Gor: Yes. Good morning sir. My question is related with where we stand in terms of B2C business and have you unloaded Tanishq and Reliance also? Thank you.

Mangesh Chauhan: So, right now we are not focusing into B2C business for now and Tanishq and Reliance we are in talks with them. They are not unloaded till now. Currently Tanishq we are in talks with them. We have shown them our factory and all. So let's hope for the best. We are expecting them. Yes.

Moderator: Mr. Nitin, do you have a follow up question?

Nitin Gor: No. Thank you.

Moderator: Thank you. We have our next question from the line of Prateek Chaudhary from Saamarthya Capital. Please go ahead.

Prateek Chaudhary: So, what is the difference in margins between your domestic and international business? Because you are forcing international business to contribute a very significant percentage around 30%. Is there any margin difference here as well?

Mangesh Chauhan: Some margin difference is there. It cannot be disclosed due to competitive reasons. But some difference is there from domestic and export.

Prateek Chaudhary: So, are exports better than domestic?

Mangesh Chauhan: Slightly better than domestic, yes.

Prateek Chaudhary: In margin terms?

Mangesh Chauhan: Yes.

Prateek Chaudhary: Okay. And currently your PAT margins are hovering between 1.5% to 1.9%. I think this last quarter was 1.9%. 1.9. 1.9, right? Yes. Do you see this moving to 2.5% to 3% in the next two to three years?

Mangesh Chauhan: We are targeting first of all to take it to 2.5% in three to four quarters. And then after reaching that, we are targeting it to, after one and a half year or two years, we will be reaching it to 3%

we are targeting to take. So in three to four quarters we are targeting that our PAT margin will increase to 2.5%. Finally growing our scale, our target of production also.

Prateek Chaudhary: Okay. Got it, sir. Thank you. I'll get back in the queue.

Moderator: Thank you. We have our next question from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah: Hello, sir. Good morning. So just please, once again, if you can elaborate on your strategies to inch up the EBITDA margins. And I believe in the previous answer you mentioned taking it to 4.5%. So is that overall annual margins you expect for the next quarter?

Mangesh Chauhan: Yes, in two to three quarters, we are targeting to take it to 4.5% EBITDA, which will come from better utilizing our existing facility. If we are implementing ERB system, which will help us to track our gold loss. Inventory management will be more precise in that. So it will help us to grow our EBITDA margins. Addition of…

Rahil Shah: But immediately in the nex

t quarter, any expectations? Like what range you expect?

Mangesh Chauhan: You will see the impact in all the three quarters, coming three quarters, next quarter also, in the first quarter also of the new financial years, and the second quarter also. So you can see the results in the next quarter also, and the upcoming quarter also.

Rahil Shah: So next quarter will be better as well? There will be some improvement. Okay, and how many

new clients have you added?
Mangesh Chauhan: We have added big clients of 10 to 12 more big clients, we have added.
Rahil Shah: Okay, any target – like ahead? How many -- an ongoing process?
Mangesh Chauhan: Pardon?
Rahil Shah: Is it like -- range like quarterly range you will follow, or you expect more to be added ahead?
Mangesh Chauhan: About the revenue you are asking?
Rahil Shah: No, no, client addition.
Mangesh Chauhan: We are focusing on our focus will be getting the share of the business with the existing client also. So the market is huge. We are getting market share from our organized share. Unorganized share is shifting to the organized corporate. So we are also getting the benefit from them. So the existing client also, we are getting the shares, and every quarter we are doing the exhibition and keep on adding our new clients also.

So we are gaining the share outside India also. We have started exports to UAE, Singapore, Malaysia. So Indian manufacturing is very cost effective and very good for export markets right now. They are seeing very good for Indian manufacturing, where design-wise and cost-wise also we are very effective from other countries. So we are seeing this quarter we are seeing good growth in the export.
Rahil Shah: Okay, okay, got it. Thank you and all the best.
Moderator: Thank you. A reminder to all participants, you may press star and 1 to ask questions. We have our next question from the line of Vinamra Hirawat from JM Capital. Please go ahead.
Vinamra Hirawat : Oh sorry, I must have pressed it by mistake. I don't have any more questions.
Moderator: Okay, thank you sir. We have our next question from the line of Bharat Jainani from Money Control Pro. Please go ahead.
Bharat Jainani: Yes sir, thank you for the follow-up opportunity. Just two questions. So one is that the current debt level is about INR160 crores odd. Hello. Yes, so all of this, the next year the target is to reach about INR250 crores. So from this INR250 crores, the entire will be gold metal loan or gold metal loan will be a portion of that?
Mangesh Chauhan: 80% we will be using gold metal loan because it will reduce our cost. But major banks give 80% limits of the gold metal loan and 20% they give us CC limits. When we utilize properly 2-3 quarters maximum, then they give us 100% also. So we will be keeping it to 80%.
Bharat Jainani: Okay, so out of that INR250 crores target of debt that we have for the next year, 80% of that means roughly about 180-200 crores will be the gold metal loan, right?
Mangesh Chauhan: Yes, yes.
Bharat Jainani: Okay, okay. And another question is that, just one clarification like we saw the preferential allotment happened two months back and there was another fundraising in which the promoter also participated. So I just wanted to know, is there any other fundraising plan or for now we will be done with the fundraising?
Mangesh Chauhan: We are not planning any fundraising right now because already two months back only we did and so right now we are not in a mind to raise the funding to fund ourselves.
Bharat Jainani: Okay, okay. Thanks and all the best, sir Thank you sir.
Moderator: Thank you. A reminder to all participants, you may press star and 1 to ask questions. We have our next question from the line of Ajay Shah from Crisp PMS. Please go ahead.

Ajay Shah: Thank you sir for the opportunity. I would li

ke to ask what is the market share of unorganized players and organized players in your industry and what is the other competitors, big competitors for you?
Mangesh Chauhan: I would not like to name any, in south, also one competitor is there. I would not like to name anybody. Yes, this is about the competitor. What was the other question?
Ajay Shah: Market share of organized players and unorganized players in your industry.
Mangesh Chauhan: Okay, okay, okay. So organized player is about 60-65% market share is there. 35% is the unorganized market which is shifting to the organized market. So, which is our client, we are doing major business with the corporates, tenant stores. We are gaining the share of unorganized to organized, because of this government. I hope this government continues. In this government organized market is gaining the shares.
Ajay Shah: And sir, we are targeting for INR5000 crores revenue in next three years. So it is implying 40% to 42% CAGR revenue growth. So what gives you so much confidence? Can you share in detail to achieve that target?
Mangesh Chauhan: You can see before 10 years we betted on the corporate, we started business with the corporates

who had like Malabar Gold, Joyalukkas who had 20 stores, 30 stores that time . Right now they are having 250 stores, 300 stores, 400 stores. So we are in the boat with the corporates. We have the clients of major large corporates like 50 stores to 400 stores, those who have large corporates. We have clients who have 10 stores, 15 stores, 20 stores also. They are mid-corporates.
And we have clients who have 2 stores to 5 stores which are small corporates. They are going to be a large corporate in three, four years or five years. They are also growing to 50 stores, 100 stores. They have been target of that. So we are confident that this unorganized market share will also shift to the organized one which are the corporates, which are our clients. And every year Indian jewellery market is growing by 10% to12%.
In that share also, corporates will gain the major share of that. Unorganized will not gain the share. So indirectly we will have an upper hand as a manufacturer. We have their clients. Their stores are increasing drastically. You see Kalyan Jewellers has signed 80 stores this year. Senco Gold has signed 40 stores this year. So drastically they are growing their stores and acquiring the market. And we are in the same boat.
Ajay Shah: Okay, thank you so much sir.
Moderator: Thank you. We have a next question from the line of Sumit Bharadwaj from Global Web Flavors. Please go ahead.

Sumit Bharadwaj: Hello. My question is regarding, I want to get the update on your business in the US. I believe that last quarter you started a website in the US.
Mangesh Chauhan: The voice is not coming proper. I am not hearing it. Can you keep it a little bit louder?
Moderator: Sumit, I would request you to use the handset while asking some questions.
Sumit Bharadwaj: Am I audible to you now?
Mangesh Chauhan: Yes, right now it's very clear.
Sumit Bharadwaj: I want to get an update on your US business. Last quarter you started a business in the US. You opened a website there. May I get the update on this?
Mangesh Chauhan: No, no. We have not done any business in the US. And we have just opened a subsidiary. We were to do the online B2C business. We have a plan. But we are not concentrating on that because in the B2B only the potential is very good. We have on-boarded new clients and our existing clients are giving us good orders and contracts. So right now we are scoping on B2B only. We have not entered any expenses for the US market or done any R&D expenses. Nothing expenses has been done for that. So we are not concentrating on that.
Sumit Bharadwaj: Okay, fine. Thank you.
Moderator: Thank you, sir. As there are no further questions, I would now like to hand the co

nference over to Mr. Mangesh Chauhan for closing comments.
Mangesh Chauhan: Thank you so much everybody, everyone for joining us. I hope I have been able to answer all the questions. In case you have any query, further details, you may please contact Orient Capital or our investment regulation partners. Thank you so much for being a part of Sky Gold Limited. And we hope we have a good journey together inform us.
Moderator: On behalf of Sky Gold Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Jun 2024

28th June, 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalai Street, Fort,
Mumbai 400001

Scrip Code: 541967 To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai 400051

Trading Symbol: SKYGOLD

Subject: Transcript of the Earning Conference Call

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of transcript of the earnings conference call held on Monday, 24th June, 2024 on the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended March 31, 2024, is enclosed.

The said transcript is also available on the Company's website at https://skygold.co.in/wp-content/uploads/2024/06/Transcript-Sky-Gold-Limited.pdf

This is for your information and records.

Thanking you

For Sky Gold Limited,

Mangesh Chauhan
Managing Director & CFO
DIN: 02138048
Place: Navi Mumbai

Encl.: As above.

"Sky Gold Limited
Q4 FY '24 Earnings Conference Call"
June 24, 2024

MANAGEMENT : MR. MANGESH CHAUHAN – MANAGING DIRECTOR
AND CHIEF FINANCIAL OFFICER – SKY GOLD LIMITED
M R. DARSHAN CHAUHAN – WHOLE-TIME DIRECTOR –
SKY GOLD LIMITED
M R. MAHENDRA CHAUHAN – WHOLE-TIME
DIRECTOR – SKY GOLD LIMITED
M R. JAYESH SANGHAVI – FINANCE TEAM – SKY GOLD

LIMITED
M S. NIKITA JAIN – COMPANY SECRETARY – SKY
GOLD LIMITED

MODERATOR : MR. PARTH PATEL – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Sky Gold Limited Q4 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Parth Patel from Orient Capital. Thank you and over to you, sir.
Parth Patel: Thank you, Dorwin. On behalf of Orient Capital, I welcome you all to Sky Gold Limited's Q4 and FY24 Earnings Con Call. From management side, we have Mr. Mangesh Chauhan, Managing Director and Chief Financial Officer, Mr. Darshan Chauhan, Whole-Time Director, Mr. Mahendra Chauhan, Whole-Time Director, Mr. Jayesh Sanghavi from the Finance team and Ms. Nikita Jain, Company Secretary.
I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on Exchanges and the company's website. A short disclaimer I would like to mention before we begin the call. This call may contain some of the forward-looking statements, which are completely based upon our belief, opinion and expectations as of today.
These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties. With this, now I hand over the call to Mr. Mangesh Chauhan. Over to you, sir.
Mangesh Chauhan: Thank you, Parth. Good evening, everybody. It's great to have everyone here for our Q4 and FY24 Earnings Call. Let's dive into the details and provide you with a comprehensive update on our business developments during the quarter. As we approach Sky Gold's 20th anniversary, we would like to share our vision for the next 20 years and beyond. We plan on becoming India's leading jewellery manufacturer that serves customers in both India and the world.
Let us spend a few minutes at the outset of our presentation to share with you some of the actions we have been taking to lay the foundation for our success. We understand that this journey will not be easy, but we are working hard to achieve this objective. This is a continuing process, and we will keep you updated as new developments occur.
We believe there is an opportunity to create a globally leading India-based design-led jewellery manufacturer. We make lots of beautiful designs that delight the customer, and we manufacture this product efficiently, ensuring the best quality and cost. We plan to continue our partnership with leading Indian jewellery retailers that we have nurtured over the last two decades.
India's large retail jewellery chains are expanding at a breakneck speed, with estimates suggesting 500 new stores coming up from just five top chains in the next three to five years, which augurs well with our ambition of becoming a top jewellery manufacturer. Understanding the current market dynamics of our newer generation and conceptualizing the same with appreciation into products that live up to the expectations of our customers remains our topmost priority. We have achieved very high growth rates in large part because we understand our jewellery retail customers and customers.

A large number of designers can create designs that help our jewellery retailers quickly sell the products in their respective stores. Jewellery that sells in the stores in South India, say in Ernakulam in Kochi, will be very different than what sells in Karol Bagh in Delhi or Andheri West in Mumbai. Our jewellery chain retail customers value the speed at which our jewellery inventories turn over at their stores.
We not only benefit from the traditional karigiri skills of our jewellery designers, many of whom are trained in Kolkata, but also use t

he latest computer-aided design technologies to ensure we make delightful jewellery that is lightweight. As corporate jewellers grow in India and the industry becomes more organised, there is a need for jewellery manufacturer suppliers to become equally efficient and organised. We believe Sky Gold has moved early to become organised, professionally managed, as well as process and quality focused, will be one of our winners.
We plan to grow fast and become India's leading jewellery manufacturer. However, we are committed to growing in a profitable and capital efficient manner with high returns on capital.
We have made and are continuing to make required investment in factory space, the latest manufacturing equipment, computer-aided design capability, regional and global salespeople,

marketing as well as finance, corporate governance and process controls.
We firmly believe that the hard work we have put into building a strong foundation will enable us to become one of the leading global jewellery manufacturers. Let us walk through each of these topics. Many of you have visited our new factory in Navi Mumbai.
If you have not, I encourage you to either view our videos that showcase our facility to contact our investor relationship team to arrange a visit. Our existing factory alone with minimal investment in capital expenditure can let us grow more than INR5,000 crores in revenues. In our factory, you will see a combination of the use of the latest computer-aided designs and manufacturing combined with the traditional skill of our craftsmanship and karigars.
We have hired manufacturing experts to help us to optimize the production of gold jewellery, minimizing gold loss in our manufacturing process. We are implementing the latest supply chain management software. Sales and marketing are a very important focus.
Increasing scale gives us the advantage of further reducing costs as our overhead is spread over a large base. We have hired sales and marketing experts who can not only help us sell the leading jewellery in India but also reach out of the large jewellers globally. We are creating a B2B marketing campaign that targets the leading customer in the field.
You will not see us advertising in the manner of retailers that target the end customers at locations such as airports or highway billboards. We focus on targeting large retailers as a jewellery event in India and globally. The jewellery business is built on trust.
Corporate governance is very important to us. We would be strengthening our board and team as well as in the next few months my focus will be on strengthening our governance standard. Our long term aspiration can be achieved only if we have a strong foundation in governance. In line with our vision we have acquired two entities, Starmangalsutra Private Limited and Sparkling Chains Private Limited are promoter owned and private. Even though both these

entities are into jewellery manufacturing, product portfolio is completely different from Sky Gold.
These entities were kept separate since the design and manufacturing capabilities were different. However, considering our long term strategy, we have acquired the private entities. The promoter do not own any private entities.
Cumulative, Sky Gold has issued 4,17,542 shares at an issue price of INR1,197 having a face value of INR10. The approximate value would be of INR49.98 crores. The average price per share was arrived through SEBI standards. Apart from the stock, there is a cash portion in the transaction as well. Darshan Chauhan and I have lent INR37.5 crores to both entities. These are interest-free loans.
The money would be paid back as well. However, the repayment will happen only based on Sky Gold's liquidity scenario. The cash payout for a loan will not happen in a hurry. Only based on Sky Gold, gold prospect, cash payout will be made. To simplify the transac

tion further, the total
acquisition cost is INR87.5 crores that is INR49.98 crores of shares and INR37.5 crores of repayable loans through cash and equity components. The acquired entities cumulatively generate INR370 crores turnover and a PAT of INR7.5 crores during '24.
During 2025, we expect both entities to generate INR600 crores to INR650 crores of revenue and a PAT of INR15 crores to INR17 crores. This translates to an acquisition valuation of 7 PE on FY '25 and 12x PE on the trailing basis. To summarize the Sky Gold aspiration to make-in Bharat for the world, we are evaluating the strategic acquisition to become a global vendor.
We would make announcements at the appropriate time. The reason for acquisition to have excess customer and global design quantitatively. We are looking to achieve INR6,000 crores revenue, 3% to 4% PAT margin and of 25% ROCE.
Now, I would like to hand over to Darshan Chauhan, our Whole-Time Director for his remarks. Hand over to you Darshan.
Darshan Chauhan: Good evening to all of you. Coming to the export vertical. India's exports in plain jewellery has witnessed a significant jump over the last one year of 62% to USD 6.7 billion in FY '24 as compared to USD4.2 billion in FY '23. These developments could be attributed to expertise in jewellery manufacturing, cheap labour costs and incentives provided by the government.
Capitalizing on these benefits, we are looking to open sales office outside India and acquisitions we are targeting would be in this direction.
Embracing our motto of make-in Bharat for the world, we expect revenues from export business to increase quite significantly as a percentage of total revenues over the years from the current contribution of low double-digits to 30% by FY '27. Furthermore, the company has strategically decided to enter a diamond-studded jewellery segment driven by the high demand for such products, particularly in the lightweight category where we are market leaders and possess significant expertise. This demand has observed from our current customers as well as across the market participants, encouraging us to venture in this margin accretive and growing segment.

Increasing our export revenue share is of strategic importance to us. Our gross margins and return on capital would improve with a higher share of exports. Now, I would like to hand over the call to Mr. Mahendra Chauhan, our Whole-Time Director. Over to you, Mahendra.

Mahendra Chauhan: Hello everyone. Good evening to all. To seize the multiple opportunities as mentioned by Mr. Mangesh and Mr. Darshan across different business verticals, I would also like to mention about the key hiring's done by the company in the recent quarter to help the company achieve its strategic goals and facilitate future growth. These key hiring's include HR Head, Production Head, Product Development Manager, Sales General Manager. Along with the strengthening of senior management company is also actively evaluating candidates for Chief Financial Officer.

We are also creating an Advisory Board that will advise us on globally leading techniques in manufacturing, supply chain management, sales, marketing and finance. We will update you on this addition as they occur. I head the manufacturing practice of our company.

Looking ahead to financial year '25, our roadmap would be to increase capacity utilization at our new facility to 50% on an annualized basis. Increase our investment in IT and automation. Our ERP system will become operational in the next few months. Implementing an ERP system is a complex task in a jewellery manufacturing company since the supplier quality system requirements – automotive quality management standards SKUs are thousands. A strong ERP system will help us to keep a strong check on multiple operational parameters. Specifically, inventory and receivable management, gold loss and Karigar productivity wi

ll be closely monitored. We are also speaking to image processing companies to automate our quality check and security standards.

We would be rolling out an app shortly to seamlessly interact with our customers. The thought process is to provide a B2C purchase experience to our B2B customers. This would be the first in the industry. My personal focus will be to digitize the entire manufacturing operation of Sky Gold.

Now, I would like to call Mr. Mangesh Chauhan to take you through our Q4 and financial year '24 financial performance. Mangesh Chauhan?

Mangesh Chauhan: Thank you, Mahendra Chauhan. Now, I will discuss the Q4 financial performance. The consolidated revenues for the quarter stood up to INR513.4 crores versus INR269 crores in Q4 '23. Thus, we are registering growth of 90.2% on a year-on-year basis. The gross margin was at 7.2%. The quarterly volatility in gross margins is due to product mix change. Structurally, we would like to reach 7% to 8% gross margins through product mix and exports. EBITDA margin would be maintained at 5-5.5 over the long term. Reduction in net interest costs would be a big driver for our PAT margin expansion. Currently, the inventory is funded through a working capital loan at 9% to 10% rate. Over the next couple of quarters, we would be moving to 80-90% gold metal loan at 3%. With a gold metal loan, there would be no hedging costs as well. On the interest income side, we have collateral of INR70 crores in the form of HDFC Bank's shares, etcetera. We would be liquidating the shares and converting the same to the fixed deposit. As a result, we would be receiving interest income. As a result of conversation from working

capital loan to GML and liquidation of shares, our interest costs would more than drop by half to less than 0.5% of the sales. The above measures would help us to cross 3% PAT margins.

On the balance sheet side, our inventory days increased due to the corporate orders which were received close to the end of the quarter. On a normalized basis, our inventory days would remain lower than 35 days. Implementing ERP system would be a great help. Over the next two years, we would like to lower the capital cycle to 45 days. Even the receivable days would reduce with more cash and carry business.

With this, I would request to open the floor for questions and answers. Thank you so much.

Moderator: The first question is from the line of Palash Kawale from Nuvama. Please go ahead.

Palash Kawale: Thank you sir for the opportunity and congratulations on a very good set of results and very good acquisition. Sir, my first question is related to acquisition. I would request you to spend some more time on product portfolio. How is it different from our own product portfolio? And how are the margins there?

Mangesh Chauhan: Sure. Skygold we are making casting jewellery products, which is the 40% consumption of a store. So, in Starmangalsutra it is a manufacturing company which is making Mangalsutra which is a 15% requirement of the store. In sparkling chains we make machine chains which are made in the machines lesser karigar are required machineries are there but 80% is made in machinery and linking and all are done by the karigar. So chains is also a product which is consuming in the jewellery store. It has a consumption of 25% of the store sales. So right now with this acquisition, we are in all the three products which are very running in the stores. So casting we

are doing in Skygold.
Mangalsutra manufacturers in the Starmangalsutra. And chains which ladies and gents both teenage and all our chains are wear by all the age person also teenage also and mid-age also. So the chains are made in sparkling chains. So with this acquisition, we will be there with all the three top running products in the store with every corporates and other clients. So this will help us to drive our revenues and pr

ofits. Coming back to the profits, last year it was at 1.75% PAT or 2% PAT approximate PAT. So we can move by 2-3 quarters, we can move them also to 2.5%-3% PAT by reducing the interest cost and applying the ERP systems and all.
So both the company has the potential to travel with Sky and grow up to both have the capacity to make 200 kgs in the daytime and night shift we can make 300 kg per month. So product wise, I hope you understand that we are in a, these are in the chains, these are in the Mangalsutra. We are in the casting jewelry, necklaces, pendants, earrings all this we have in the Skygold.
Palash Kawale: Sir, could you repeat the contribution from Mangalsutra and chains that you mentioned, sorry I missed the number.
Mangesh Chauhan: Last year we have done both the had done INR370 crores. So this year we are expecting to do INR600 crores-INR700 crores and next year we are expecting INR1000 crores from both the entities.

Palash Kawale: Sir, you mentioned that Mangalsutra contributes around 16% to the retailers, right?
Mangesh Chauhan: Yes, 15%-16%.
Palash Kawale: And what is the contribution from chains?
Mangesh Chauhan: Chains is 25% contribution of the stock.
Palash Kawale: Okay, yes. Thank you, sir. Thank you for your detailed answer. Sir, my next question is what is the capacity utilization right now and what are we looking by the end of FY '25 for Skygold as well as our acquired entities?
Mangesh Chauhan: Yes, Skygold we have a capacity of 750 kg per month. Last year we used 270 kg per month. This year we have started using it 350 kg to 400 kg per month. So Skygold we have 750 kg per month and in that both entities together, we last year were 50 kg per month. So they are at utilization of 30%-35%. We can go up to 200 kg per month in that day shift and night shift we do 300. So Skygold is at about approximately 350 kg to 375 kg per month right now. And we have a capacity to go up to 750 kg. So both together we can go up to 950 kg per month.
Palash Kawale: Thank you so much for your answers.
Mangesh Chauhan: Thank you so much. Hope I have answered your questions here.
Palash Kawale: Yes. Thank you, sir.
Moderator: Thank you. The next question is from the line of Vikrant Kashyap from Asian Market Securities. Please go ahead.
Vikrant Kashyap: Good evening, sir. Thank you for your detailed clarification on acquisitions. Sir, you very clearly mentioned that there is a strong tailwinds coming from the domestic retail players while expanding very rapidly in next 3-4-5 years. In the context of increasing competition and gold price volatility they have seen a sharp decrease in their margins.
We are guiding that we will improve our margin going forward with the scale and increase in our capacity utilization in domestic markets. So do you see that going ahead if these companies are opening up more and more retail stores and there is competition increasing, will it impact more margin to your clients?
Mangesh Chauhan: Mostly as you see large corporates we are dealing with, they need quality and different products actually the products which are not available with normal general stores. So they are not concentrating to lower our margin or bargain to us. Other than that, they are interested to take the monopoly products or different types of products in which they can also make the margin and we can also make the margins.
So we are trying to increase the margin by last quarter. We also sold different exclusive products, monopoly products which is a variety we have made which we can cope up with the margins. So they are also introduced. We are increasing margin with that. We have also started diamond studded jewellery also in that margin will be created. So of course competition is there.

But if your products are different, quality is good and branded corporates need this t

ype of manufacturer who make different products, different variety which standalone from other normal local jewellers. So there will be a win-win situation for both margin for our customers and manufacturers. So we are into that we produce more and more different and monopoly products and supply them and create a margin. So competition is everywhere there, but it's all

about the product you make.
Vikrant Kashyap: So could you name a couple of products which are unique and where you see monopoly? Any of the designs that you can quantify?
Mangesh Chauhan: We have Kuwaiti jewellery which is named as Kuwaiti Make in India, different 18 carat Rose Gold Jewellery we are putting a margin in that. In 22 carat also we have made Turkish jewellery, jewellery which are different from the market. Couple of brands which are not available in the market. Diamond jewellery also we introduced last quarter. So all this blended, we are making the margins from there.
So in this -- this is the name of the jewellery. In this different, different patterns are there. Different work is there, very difficult work, very difficult craftsmanship. Designers we have a very old and experienced designer. So this all blended creates the product.
Vikrant Kashyap: Are these products manufactured in your Navi Mumbai facility?
Mangesh Chauhan: Yes 100%.
Vikrant Kashyap: And on the second question is on exports. So you mentioned that you are willing to expand in the global market. We have seen success of Indian retailers who have tried their luck in the overseas market. With Indian diaspora they have been successful. So are you targeting the same or are you targeting that open market? So you will go into US as well?
Mangesh Chauhan: No. We are right now supplying to Dubai, Singapore, Malaysia these all countries which have similar taste of India, but some countries are different. So we are targeting corporates of there like Dubai, Jawhara Jewellery and many other corporates in Singapore, Malaysia and Dubai. Like India we are supplying to them also and following our Indian customer also there. Malabar Gold, Kalyan Jewellers, Joyalukkas these are all our clients. They have taken for their Dubai, Singapore, Malaysia and their corporates also taking. We are targeting US and Europe over a medium term. Near term will be in the Indian diaspora. We have started doing R&D for Europe and US market where the corporates are there Cosco, Walmart we have a source also, but we are right now for two quarters we are planning to develop a product for US and Europe market. So for two quarters we are planning to develop and then we will enter into this market. So their gross margins will be high, Europe and US, but it will take two quarters to develop that type of product. But Dubai, Singapore, Malaysia already we are in the market and we are targeting the corporate there also who have 50 to 200 stores. We are basically in the mindset to be with corporates.

Vikrant Kashyap: Correct sir. Can I have follow up on that? So you clearly mentioned that you are targeting Europe and US market, but what we understand from market players that their taste and preferences are different from what we Indians or maybe in the Middle East have. So we will like go for 18, carat 22 carat gold with lesser studded jewellery, but these people will go for lower carat like 14 carat, 16 carat and higher studded jewellery and you have recently entered into the studded business. So how you are going to cope up? Do you have their manufacturing strength bandwidth with you to manage that demand and go ahead of the market?
Mangesh Chauhan: So about that I was telling that for two quarters we are developing the team. We have hired an operations head which has experience of 25 years of US and Europe market. Recently we have hired him for this project and we are building a team. So we will work for two quarters on

the
product. So 22 carat is never -- it will be saleable in US and Europe market as you are correct. So we are working on 14 carat and 18 carat. 18 carat is like selling very good in India.
So this operations head we have hired, we have hired a team which knows the taste of the US for 25 years. They are in the market who knows the taste of the US and Europe market. So we have hired the team, operations head from the below team. They will work for two quarters on that product and then we will launch with the products of 18 carat and 14 carat. So we are not in a hurry to capture the US and Europe market with a fast run.
But for two quarters we will read the market, we are building the team. We will see the products, observe the market, develop the product and then we will launch the product. So we are in the phase of acquiring the team and building the product.
Vikrant Kashyap: Sure sir. I have couple of more questions regarding your business model, but I would like to take it offline. I have just one question so all of the jewellers have given a good guidance of sub 20% odd growth for next 2 years, 3 years. Do you see that translating into our businesses or maybe we are at a small base we can grow higher and multiply from there.
Mangesh Chauhan: Yes we are a manufacturer B2B. Any corporate is growing by 20% or 30%. We are with everybody. We are with Malabar Gold also, Kalyan, Thangamayil Jewellery all corporates. Out of the top 20 corporates, 15 corporates are with us. Definitely that's why we are guiding INR6500 crores revenue in 3 years. So we are with everybody, small corporates, mid corporates and large corporate whichever who had 5 to 10 stores is a mid corporate whichever who has 2 to 5 stores is a small corporate. So we are with everybody.
So if out of 15 corporates, 1 or 2 corporates does not perform. So I will come to the point. So

definitely we will grow by 30% and more because we are with every corporate in India. We are
with majorly 1 or 2 corporates in Dubai, Singapore and Malaysia. So in India, the unorganized
market is shifting to the organized.
So 100% this market will grow and this retailer will grow. As you are seeing last 1 or 2 years,
they are growing very good. So we have a conversation with each and every corporate and they
are telling that in this 5 years, much of the unorganized market which is lying 65% now also, we
turn to organized market, it will be down to 35% unorganized market. So this will help us to
grow, both of us, the retailer and us also.

Vikrant Kashyap: Okay, great sir. Thank you very much. I have couple of questions, I will connect with you.
Mangesh Chauhan: You can connect anytime sir.
Vikrant Kashyap: Yes sir, thank you very much.
Moderator: Thank you. The next question is from the line of Bharat Gianani from Money Control Pro. Please
go ahead.
Bharat Gianani: Yes sir, thank you for the opportunity.
Moderator: Sorry to interrupt but the line for you is not very clear. It sounds like you are in the distance.
Bharat Gianani: Okay, I will rejoin the queue.
Moderator: Okay sir, alright. Thank you. The next question comes from the line of Harshit Sancheti from
Renaissance Investment Managers. Please go ahead.
Harshit Sancheti: Sir, who are our top 5 customers and can you break the revenue contribution made by each of
them?
Mangesh Chauhan: Yes, our 65% business come from corporates. Our top customers are Malabar Gold, Kalyan
Jewellers, Joyalukkas, Senco Gold, Thangamayil Jewellery, GRT Jewellery, Bhima Jewellery.
These are our customers. 65% comes from the top 15 corporates.
Harshit Sancheti: Okay, and for Malabar specifically?
Mangesh Chauhan: Yes, pardon?
Harshit Sancheti: How much percentage Malabar contributes?
Mangesh Chauhan: Percentage we cannot reveal just for the secrecy. You are also from the jewellery industry, I
hope. So you understand.
Harshit Sancheti: Okay, follow up

on that. What are the steps being taken to reduce the dependency of these top
customers?
Mangesh Chauhan: Dependency on? Can you repeat the question?
Harshit Sancheti: What are the steps being taken to reduce the dependency of these top customers?
Mangesh Chauhan: We are not reducing this customer. We are expanding with the corporate and we are with large
corporate. So for reducing the dependency, we are with mid-corporate also which are at 5 to 10
stores and are,are planning to become like Malabar and Kalyan in five years. So, we have
onboarded that also and the 2 to 5 stores, which have 2 to 5 stores in chain stores in south or
somebody, which are at lower level, but they have a plan to become mid-corporate in two years.
So we are, we have diversified our sales in mid, small and large corporates. So we are with
everybody and we are right now available in 2000 to 3,000 stores in India and out of that. So our
volume is increasing with each customer.

Harshit Sancheti: Okay, all my questions are answered. Thank you.
Moderator: Thank you. The next question is from the line of Piyush Jain, an individual investor. Please go
ahead.
Piyush Jain: Yes. This transaction, which we acquired at two companies, are these a related party
transaction?
Mangesh Chauhan: Pardon, can you question once again?
Piyush Jain: The two entities we acquired, this star and Mangalsutra.
Mangesh Chauhan: Yes.
Piyush Jain: Are these a related party transaction?
Mangesh Chauhan: Yes. This is a related party transaction.
Piyush Jain: Okay. So we haven't given this margin detail of this entity. We have given some turnover detail,
like INR200 crores, INR170 crores, but we haven't given how much is the margin, how much...
Moderator: Piyush, sorry to interrupt. The line for you is not very clear. You're sounding muffled. May I
request you to please use the handset mode?
Piyush Jain: Yes. So I want to know, what is the EBITDA margin these two entities are making? Because we
are giving some guidance that the margin will improve going forward?
Mangesh Chauhan: EBITDA is around 4-4.4% in the last year. So we will improve that. And PAT is about 2%
approx.
Piyush Jain: Yes. Okay. And previously we've discussed that we are working, we are trying to work with

Tanishq also. Any update on that?
Mangesh Chauhan: Already we have done many rounds of meetings. Our product meetings is done. But we are waiting a confirmation call from them. So it's already, we have last con call already, we told that we will be acquiring it soon. But it's getting delayed by two, three months. But we are hoping that we will onboard them in a shorter time.
But it's internal, when the window is open, then they will tell us. But we have done all the meetings and product meeting with them. So that's how we are tracking them. So yet now we are not onboarding them.
Piyush Jain: Okay. And earlier we have given some guidance that we will move most of our borrowings to gold metal loan. So right now, what is progress has been achieved on this front? And how much is our borrowing in gold metal loan right now? And when we will be able to come at a 100% level of gold metal loan?

Mangesh Chauhan: Already from our debt, , 6% to 7% we have transferred to gold metal loan, which the KVB Bank has given us. In two quarters, I think we will be 100% on GML. Because banks are taking the time to change the limits. We are already pushing up them for GML. Already one bank with major limit has already told us that in this week, we will get about INR70, INR80 crores GML loan.
So I think this quarter we will be at, already we are using 7%. So 25% will be converted into GML this quarter. And I think 75%-80% in second quarter. So we have applied to all the banks. This will help us to drop our interest costs in two quarters. So already we are using, 7% we have started u

sing GML.
Piyush Jain: Okay. And earlier we have given guidance of, I think INR5000 crores revenue by FY '26. Now I think we have upped the guidance on a higher side around 6300 we are saying. Correct?
Mangesh Chauhan: No. With this acquisition.
Piyush Jain: With this acquisition, correct. So the growth which we are forecasting is largely based on what? Based on the new product category, new customers or what? Because we would be catering most of the customers varying few times for something. Otherwise we are catering all the customers in the jewellery business. So whatever the growth number target we are thinking, it is purely based on the product change or new product introduction or something on what we are seeing of this.
Mangesh Chauhan: It's all blended. It's about market growth is happening, market share gains and export we are working on it. All the blended it will come products. We are making new products that will help us to drive our market share. Already we have data that all the retailer's data most told that unorganized market is shifting drastically to the organized market.
This is helping us to give this projections because unorganized market is drastically shifting to organized market to our corporates. It's all about blended. Our products is also work. Market growth is also working in it. Indian jewellery market is huge. We are just at INR2,000 crores of revenue. So it's a huge market. Tanishq is already 8% of the revenue of the Indian organized market. So it's a huge opportunity. We are just at INR2,000 crores. So our product is also working. Market share is shifting from unorganized to organized. Market is growing. So all will help us to drive. Government policies are good.
Piyush Jain: And two more questions. First, to achieve this INR6,300 crores revenue do we need to raise further money going forward also with respect to dilution? Or we will be able to manage our working capital with internal accruals and all?
And second, you said something let's say 750 kg per month capacity you have and then you are acquiring units which is also having around 200 kg. So right now we are doing a capacity utilization of 40%-50%. So want to know what is stopping us right now to come to the optimum utilization level of let's say 75% or 80%? Why we cannot do that in one year? Let's say one year or something.

Mangesh Chauhan: One year, at present there is no need for external capital. We would take capital at the appropriate time that whenever board is comfortable and agree the plan and we will plan that out. About that to achieve the target we have taken the capacity because it's a manufacturing capacity you cannot plan for one year. That one year we have taken this facility next year we can do. So we have to plan for three to four years. The capacity is done for three years keeping in mind.
So we have decent capital results, customers are good. So we are gradually going by working capital loans is good for next two years. So we have products but we cannot achieve this three year target. We cannot fully utilize in one year this facility. It's a step by step process and making the new products slowly adding the karigars, designers we already have. So this is the process of three years. We cannot step so drastically that we can take more capital and achieve that in

one year. So we are in a good space, I think.
Piyush Jain: Is there any other entity related party which is still there?
Mangesh Chauhan: No. Nothing.
Piyush Jain: Thank you from my side. Thank you, all the best.
Moderator: Thank you. The next question is from the line of Bharat Gianani from Moneycontrol Pro. Please go ahead.
Bharat Gianani: Yes, sir. Congratulations for a great set of numbers. so just two questions from my side. One is, you target -- you give a revenue target of about INR6,500 crores. So that is by FY '27-'28, what is the timelines for tha

t?
Mangesh Chauhan: '27. We have revised the target with this acquisition. Earlier our target was INR5,000 crores for 27. But this acquisition, we have revised the target.
Bharat Gianani: And sir, second question is related to this new segment that you pointed out. Like, diamond studded jewellery which we have entered into last year. But sir, wanted to understand because we have been able to build the business with the focus on the lightweight jewellery.
So far products like necklaces, pendants now, mangalsutra and chains. So, that typically is outsourced by the jewellery manufacturers which are there for manufacturers like us. But diamond jewellery, diamond-studded jewellery typically, what do you think, why will they outsource it to us?
Because the other products that we mentioned, that are lightweight and that they are outsourcing and we typically provide designs which they can sell fast. But what the USP of diamond-studded jewellery is there, which we give to them that that manufacturing will come to us rather than they manufacturing. And because I think that's a margin lucrative product. So instead of the jewellery manufacturer outsourcing him make it denounce and then sell it. So probably, I mean, what I was trying to ask is, where do you think is our USP in that segment?
Mangesh Chauhan: Yes. So I will answer this. Mostly this large corporate prefer to outsource diamond jewellery. 80% they are outsourcing because they get the creation from different 50 to 100 factories,

different 50 mines come into a counter. So they largely believe that outsourcing is very good for us. We get a creation, we get a numerous creation of future plans. We future what jewellery will work. This manufacturer work day in day out for this. For 20, 25 years every manufacturer working for this, what will work after six months, what will work after two years.
So this large corporates, every time are positive or look for outsourcing this diamond jewellery. Whatever margins there is running in the market, they give to us also. But I will come to the point why our jewellery, we will sell this diamond jewellery, because we have developed the same taste as for gold jewellery.
We have diamond, created a lightweight carat diamond jewellery. So we have launched 0.2 carat to 0.5 carat rings and that too pendants and all. Our necklaces are range about 1 carat to 1.5 carat. So diamond jewellery range is about INR1-INR2.5 lakhs range we are making. We are not making INR5 lakhs, INR10 lakhs jewellery or INR15 lakhs jewellery. Before also, we were not in that mindset.
In diamond jewellery also, we are in the same line. We are making a budgeted lightweight jewellery. We also know that taste and buying trends. This is that we global market trends are bringing it to India. So in global market trend also, we are bringing it to India. So we are into lower inventory budget. We will keep in that pace only. Large corporate every time sees new design, new creation, whichever will sell fast in the counter, they outsource from the manufacturers. So it's all about the designing creation you make and the budget inventory you make.
So we are into a very initial stage of diamond jewellery, not much aggressive, very last quarterly, we got some good sales. So we are slowly, slowly driving up that. That's the project.
Bharat Gianani: So just one clarity, you mentioned like what price range you are making INR1-INR2 lakhs?
Mangesh Chauhan: All our diamond jewellery are ranging from approximately rings and earrings are about from INR20,000-INR50,000, INR50,000-INR60,000 range. Necklaces are about INR50,000-INR1.5 lakhs. So maximum INR2.5 lakhs.
Bharat Gianani: And so this last question from my side, the margins for the console entity, you said, what will be the PAT margin guidance for the next three years? And what will be the drivers for that?
Mangesh Chauhan: For Sky Gold?

Bharat Gianani: Yes, Sky Gold consolidated site, including both the entities that we have.
Mangesh Chauhan: Yes, we are targeting 3% PAT margin to achieve. First target is to 3% PAT margins. And then we will go ahead with more than 3% also. 3%-4% we are targeting. First to achieve 3% is our first target, which will help us by reducing the finance cost also. We are developing, we will be implementing ERP system, which will help us to track the inventory and help us to lower the gold loss. So on the field, we are working on it to achieve. First target is to achieve 3% PAT

margins. In three years, we will be ranging about 3%-4%.

Bharat Gianani: Okay. Thanks and all the best.
Mangesh Chauhan: Thank you.
Moderator: The next question is from the line of Amit Agicha from H G Hawa & Co. Please go ahead.
Amit Agicha: Good evening, sir. Congratulations for a very good set of numbers. My question was with respect to like, is the company also dealing in B2C segment?
Mangesh Chauhan: No, we are never into B2C.
Amit Agicha: Is the company planning to come out with B2C online?
Mangesh Chauhan: Right now, we are not planning because we are seeing a very good scope in B2B only. We have acquired two entities. The ROCE of B2B is better than B2C for now. So we are considering, we have acquired two entities. So we want to, our target is to become the largest jewellery manufacturer of India. That's our mission. So for two years, we are not planning at least for anything.
Amit Agicha: Okay, the company is not thinking of retailing?
Mangesh Chauhan: No. So B2B, we are considering that is our core and we want to be the largest manufacturer of India.
Amit Agicha: Okay. Thank you, sir.
Moderator: The next question is from the line of Raj Sanghvi, an Individual Investor. Please go ahead.
Raj Sanghvi: Good evening, sir. Congratulations on a very good set of numbers. So my question was regarding to the sudden rise in the prices of gold in the month of April. And also there has been general election as well. So have you experienced any slowdown in the, in the first few months of this quarter because of that?
Mangesh Chauhan: There were expectations. Slowdown was expected, but there was a good business because April, May, Akshaya Tritiya is lined up in the South and North. So Akshaya Tritiya is a very big opportunity. So it was a good quarter for us. I would say.
Raj Sanghvi: And my second question is with respect to our turnover. So we have guided for around 6,300 by FY '27. So my question is like how price increase in the month of April. Suppose it increases further in the coming few years. So can our turnover even increase further because of that?
Mangesh Chauhan: We have given a blended target already…
Raj Sanghvi: Okay, considering that. So, the target is considering that?
Mangesh Chauhan: Yes, yearly 8% to 9% gold prices increases on average. The data says that. So, we have calculated both.
Raj Sanghvi: Perfect. Thank you. That's it.

Moderator: Thank you. The next question is from the line of Piyush Jain, an individual investor. Please go ahead.
Piyush Jain: Sir, couple of questions from my side. Sir, we have some investments in our books also, correct? Some 90-odd crores which was our listed shares, correct?
Mangesh Chauhan: Yes.
Piyush Jain: So, what is the planning for this? Do you want to cut this and reduce our borrowing on something or we want to continue with the borrowing as well as the investments?
Mangesh Chauhan: No. We are planning to replace this equities with FD with the banks. We have already applied to the banks that we want to replace this collateral with FD and we'll lay off the shares, we'll offload the shares. So, we will replace this with FD. Then FD will give us good returns, 8% to 7% fixed returns to us. So, these are the collateral with the banks against which we

have taken
the limits of borrowings. So in, I think, one quarter, in 3 months from here, we will be exchanging it with FD and we'll sell out the shares.
Piyush Jain: So, for GML also we need to give FD?
Mangesh Chauhan: Yes, we have to give 30%, 40% collateral to the banks for the secured loans. Against that we get three times loan.
Piyush Jain: And then with respect to our capex, let's say whatever capex we need to do. So, our work is more like a skill work where the karigar is important and not about the plant and machinery something. That's all because our capex in comparison, size is lower as compared to our turnover. That the understanding correct?
Mangesh Chauhan: Yes. Can I go ahead?
Piyush Jain: Yes.
Mangesh Chauhan: So it's a mix of machine and handmade. It's a mix of machine and handmade. So in machine, the hand carving is done, polishing, finishing. So it's a 50%,50% combination of hand and machines. So in gold, it's not like the steel industry or something, copper industry, that a capex is needed of INR50 crores, INR100 crores or INR150 crores. So, nominal capex is needed and it's a

blended of handmade and machine.
Piyush Jain: And I just want to understand, whatever the way our pricing, it is largely being the making charges (inaudible 49:41) that we make. That is our revenue because on a gold-wise, price-wise, whatever fluctuation happens in gold, that will be taken care by a new hedge in the way, the date at which we buy and the date at which we sell. So more or less, that has been understood. So, whatever is your making charges, whatever is your gross margin that should be our income. Is that understanding correct?
Mahendra Chauhan: 100%. That's gross margin is our income.
Piyush Jain: That's why we are able to make a high ROCE.

Mahendra Chauhan: Yes.
Piyush Jain: Thank you.
Moderator: Thank you. The next question is from the line of Amit Kumar. Please go ahead.
Amit Kumar: Yes, congrats over a good set of numbers and a great vision. So, just wanted to question that initially we guided about INR10,000 crores of revenue by 2030. So, can we say we will be able to achieve maybe one year before maybe 2029?
Mangesh Chauhan: Yes, 100%. With this acquisition, we are revising, but we have revised the target to 2027. We have given the outlook. So, it will be revised 100% with the acquisition.
Amit Kumar: No, sir. I'm talking about a INR10,000 crores target. INR10,000 crores revenue. In which year we will be able to achieve INR10,000 crores of revenue?
Mangesh Chauhan: We have given the outlook of 2027. We'll definitely achieve 1 years or 2 years before only. But we'll send you the outlook till 2030 also. We can send you the outlook. We can send you the PPT. So, 100% with this acquisition, it will be achieved prior.
Amit Kumar: Thank you very much, sir.
Moderator: Thank you. We have the next question from the line of Bharat Gianani from Moneycontrol Pro. Please go ahead. Yes, sorry, sir. The line for the current participant seems to have dropped. Ladies and gentlemen, in the interest of time, that would be the last question. I would now like to hand the conference over to Mr. Mangesh Chauhan for closing remarks. Over to you, sir.
Mangesh Chauhan: Thank you so much. Thank you, everyone, for joining us. I hope we have been able to answer all the queries. In case you require any further details, you may please contact us or Orient Capital, our Investment Relations Partners. Thank you so much. Thank you, all of you, for supporting us. Thank you.
Moderator: Thank you. On behalf of Sky Gold Limited, that concludes this conference.

Call: Aug 2024

16th August 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dala l Street, Fort,
Mumbai 400001

Scrip Code: 541967 To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai 400051

Trading Symbol: SKYGOLD

Subject: Transcript of the Earning Conference Call

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a copy of the transcript of the earnings conference call held on Monday, 12th August 2024 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 30th June 2024, is enclosed.

The said transcript is also available on the Company's website at
https://skygold.co.in/wp -content/uploads/2024/08/LinkIn -SkyGold -Aug12 -2024 -Final -.pdf

This is for your information and records.

Thanking you

For Sky Gold Limited,

Mangesh Chauhan
Managing Director & CFO
DIN: 02138048
Place: Navi Mumbai

Encl.: As above.

"Sky Gold Limited
Q1 FY '25 Earnings Conference Call "
August 12, 202 4

MANAGEMENT : MR. MANGESH CHAUHAN – MANAGING DIRECTOR
AND CHIEF FINANCIAL OFFICER – SKY GOLD LIMITED
MR. JAYESH SANGH AVI – FINANCE TEAM – SKY GOLD
LIMITED
MS. NIKITA JAIN – COMPANY SECRETARY – SKY
GOLD LIMITED

MODERATOR : MR. PARTH PATEL – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earning Conference Call of Sky Gold Limited . As a reminder, all the participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Parth Patel from Orient Capital. Thank you and over to you.
Parth Patel: Thank you, Do rwin. On behalf of Orient Capital, I welcome you all to Sky Gold Limited Q1 FY25 earnings con-call. From the management side, we have Mr. Mangesh Chauhan, Managing Director and Chief Financial Officer, Mr. J ayesh Sanghvi from the Finance T eam, and Ms. Nikita Jain, Company Secretary. I hope everyone had an opportunity to go through our Investor deck and press release that we have uploaded on exchanges and the company's website.
A short disclaimer I would like to mention before we begin the call. This call may contain some of the forward -looking statements, which are completely based upon our beliefs, opinions, and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties. With this, I now hand over the call to Mr. Mangesh Chauhan. Over to you, sir.
Mangesh Chauhan: Thank you, Parth. Good morning everyone. Thank you for joining us today. As we discuss our Q1 '25 quarter's performance as we look into our quarterly performance for Q1 '25 we are pleased to start the new financial year on a positive note. T he company reported yet another quarter of robust operation performance marked by improvement across multiple levels. This includes higher capacity utilization and turnover level, increased export exposure, use of technology in inventory management, and automation resulting in operational leverage.
We feel we have just started to get materialized with a lot more potential leverage yet to contribute as we g row and achieve our goal of INR 6,300 crores by 2027. Coming to our robust Q1 numbers, revenue for the quarter stood at INR723 crores, registering a growth of 92% year -on-year, 40% quarter -by-quarter. P AT stood at INR21 crores, registering a remarkable growth of almost 100% for the second consecutive quarter in a row. Speaking about the industry, we operate i.e. jewellery market is expanding at a robust rate of 15 %-16% and expected to reach 145 billion by ' 28.
The overall jewellery sector has seen an approximate 8% revenue CAGR during FY '19- '24, with the organized segment growing at a much faster rate of 18 %-19%. The organized market is expected to continue with robust pace and target of achieving 40 %-43% of total market.
This is driven as a result of multiple drivers in the industry leading to such rapid growth, driven by rising disposable income and improving mix for regular jewellery wear, enhanced product offerings (such as design and diamond), trust building through hallmarking and better buying experience at organized retail outlets.

This along with recent announcement by government to reduce import duty will have a long -lasting positive impact on the jewellery market in India. Reduction in import duties has lowered the overall cost of raw materials, making it more affordable for the manufacturer to procure gold. The duty cuts have also had a positive impact on the market by making gold jewellery more accessible to a broader range of customers.
With lower prices, demand has surged, promoting manufacturers to meet this growth demand by ramping up their production capacities. Additionally, the duty cut has elevated some of the financial pressures faced by th

e industry, allowing companies to invest more in innovation
design and advanced manufacturing techniques. This has not only enhanced the quality of jewellery but also improved efficiency in production processes.
Overall, the duty cut has acted as a catalyst for growth in the gold jewellery manufacturing sector, driving higher production volumes and fostering a more dynamic and competitive market environment. This shift is gradually capturing a larger share from the unregistered sector, providing us with significant opportunities to drive volume growth. At Sky Gold, we are uniquely positioned to capitalize on this trend, especially as consumers increasingly prefer branded jewellery of high quality.
Over the past few years, Sky G old has strategically positioned itself as a leader in the jewellery manufacturing sector. With a strong focus on corporate partnerships, currently 65% of businesses drive from corporate clients while the remaining 35% come from distributors. Our goal is to elevate our corporate business share to 100% over the next three years, aligning with our mission to become a leading jewellery manufacturer serving large retail chains in India.

Our inventory primarily consists of products within 5,000 to 1,00,000 range and with a smaller portion from 1,00,000 to 2,00,000 segment. We specialize in casting jewellery , offering a wide range of necklaces, bracelets, earrings, rings. Currently, casting jewellery accounts for about 35% of retail sales, presenting a substantial addressable market to us.
In line with our vision, we had mentioned in our previous earnings call that we have acquired two entities, Star Mangalsutra Pvt Ltd. and Sparkling Chains Pvt. Ltd. are promoter own ed private. Even though both these entities are into jewellery manufacturing, the product portfolio is completely different from Sky Gold. With our recent acquisition, the total addressable market has now risen to 65%. This means we can target more than two -thirds of offerings in the retail stores. It also creates a lot more value for Sky Gold in front of its customers.
We can now consider Sky Gold as their preferred partner for jewellery across diversified product offerings. Exports, which contribute 6% to our overall revenues in FY24, have done phenomenally well four us . In Q1 ' 25, exports contributed 11% of the total revenue for the quarter on a much wider basis because of the robust increase in overall revenues as well, showcasing the robust demand for Sky Gold products in the export market as well.
With our strategic initiative, we anticipate maintaining this figure in FY25. Our production capabilities are unmatched, with 2,000 new designs being introduced monthly, ensuring

exclusivity for our corporate clients. The ability to consistently deliver fresh, trendy designs has become a strong competitive advantage for Sky Gold .
In Q1 ' 25, our volume turnover stood at 349 kgs per month, as compared to roughly 270 kgs per month in the previous quarter, and 200 kgs per month a year ago for the same quarter. Our capacity utilization now stands at 45% of the -- excluding our acquisitions. So o ur consistent increase in turnover and export number highlights our capability to scale operations and strengthen our position in the gold jewellery market, both in India and globally.
The recent integration of Star Mangalsutra and Sparkling Chains into Sky Gold is perfectly aligned with our growth strategy. These acquisitions are expected to boost our margins through the synergies that bring to the enterprise. By consolidating our operations, as mentioned, we are broadening our total addressable market and expanding our product presence in numerous retail outlets, which itself are expanding at a very high rate.
Our design and R&D team comprises of more than 80 talent ed designers, focuses on identifying

and setting trends on a monthly, quarterly, yearly basis. Th is relentless pursuit of innovation has enabled us to establish a solid foothold in the market. As we look to the future, we aim to expand our corporate client base.
These shifts in consumer preference towards branded jewellery and the government's favourable policies supporting organized retail have played a significant role in our growth. Over the past five years, we have concentrated on building our customer base. Now our focus is on enhancing margins through value -added products, which have significantly worked on margins as we grow.
In a competitive landscape, we differentiate ourselves through our expertise in casting jewellery . Rapid inventory turnover and robust corporate relations with some of them are now more than a decade old. To support our growth ambitions, we have planned a fundraiser of INR270 crores, which will be utilized across the multiple parameters, and will help the company to achieve the goal of INR6,300 crores by FY27 .
In conclusion, Sky Gold Jewellery Manufacturing and Design Committee is well on its way to becoming a leader in jewellery manufacturing in India with a growing global presence. Our strategy is clear. We are committed to capturing market share, delivering value to our corporate clients, and ensuring sustainable, profitable growth for our stakeholders.
Now I will quickly discuss the Q1 '25 financial performance before we open the floor for questions and answers. The consolidated revenues for the current quarter stood at INR723 crores versus INR375.7 crores in Q 1 FY24, thus registering a growth of 92%. The gross margin stood at 6. 4%. The quarterly volatility in gross margins is due to product mix changes. Structurally, we would like to reach 7 -8% gross margin through product mix and exports.
EBITDA for the quarter was INR37.3 crores compared to INR18.6 crores, showing a growth of 100% in ma rgins by a 19 -point basis, taking EBITDA margin to 5.2% for the quarterly basis. PA T for the quarter stood at INR21 crores as compared to INR10.7 crores in Q1 FY '24,

thus registering a year -on-year growth of 98.9%. With this, I would like t he moderato r to open
the floor for questions and answers.
Moderator: Thank you very much. We will now begin the question and answer session. The first question
is from the line of Palash Kawale from N uvama Wealth. Please go ahead.
Palash Kawale: Thank you for the opportunity and congratulations for the very good set of results. Sir, my first
question is on volumes. So if I look at our volume’s year-on-year, the volumes have grown by
75%. And since last four quarter, there has been an average sequential growth of 15% every
quarter. So, do you expect this 15% quarter -on-quarter growth to continue for the rest of the
year? And how do you see the average volumes for the full year?
Mangesh Chauhan: I believe w e have done 270 kgs per month last full year and this quarter we have done 345 kgs.
So, it's a growth of approximately 25 %-27%. This year, we are targeting to keep up to 350 -360
kgs per month we will produce in this year.
Palash Kawale: Okay, sir. Thank you for that. And sir, given this high growth, how do you see your operating
cash flow spanning out? When do you expect to be cash flow positive?
Mangesh Chauhan: Cash flow positive, we are expecting after INR5,000 crores , when we will reach INR5,000
crores revenue in 2026 end. Then we will star t generating cash flow positive?
Palash Kawale: Okay, sir. And sir, what was the inventory level after the Q1?
Mangesh Chauhan: It is INR250 crores inventory. Last March, inventories were high because we had taken the
debt in March only. Now, this year, inventory is lower from the last quarter and our sales have
also increased.
Palash Kawale: And sir, our exports have shown a tremendous growth, contributing

11%. So, do you see this
11% number sustaining for the whole year?
Mangesh Chauhan: Sir, we have already given the guidance in the last quarter that in this year we will go up to
9%-10% from the exports. So, we will sustain this growth up to 9 %-10%. This quarter is 11%,
but 10% is sustainable for this year.
Palash Kawale: Okay, sir. And sir, my last question is, what are your plans with utilizing the funders? If you
could giv e a detailed answer around that?
Mangesh Chauhan: Yes. We will be utilizing some of the funds in the two subsidiaries. We have hired some 18 -
carat operations heads. Last year, we produced 97% of 22 -carat and 3% of 18 -carat. Now, the
market is expanding for 18 -carat also. In India, 22 -carat market was 99%. Now, it is 95%. 5%
18-carat market also has grown. So, we will be using some of the funds in 18 -carat inventory.
We will be using some funds in diamond jewellery , which we have started last year.
In this quarter, we have done INR5 crores sales of diamond jewellery , which was very low.
But it started at a very low level. So, we will be investing in three -four segments to increase
the margin also and create the volumes also.

Palash Kawale: Okay, sir. Thank you. Thank you for your detailed answer. That's it from my side.
Moderator: Thank you. The next question is from the line of Yash Bajaj from Lucky Investments. Please
go ahead.
Yash Bajaj : Thank you for the opportunity and good morning to you and congratulations on a great set of
numbers. Sir m y first question is, we have grown on a year -on-year basis, almost doubled. And
our clients, which are the top four-five clients, have grown on a relatively lower clip. So, what
has led to this kind of growth? I mean, what are we doing in terms of growing faster than the
industry?
Mangesh Chauhan: Last August only, we were in the older facility. We were at 20,000 -25,000 square feet facility.
We came in August with a new facility of 80,000 square feet, which is the largest of
Maharashtra. So, we have encased this facility. From the last two quarters, we were scaling
this facility. In the older facility, we were not taking orders much from the corporates because
we were at 110% utilization.
From August -September, we told them, they visited our facility and we told them, we can
produce more for you. So, we have improved our stake in the corporates. Already, we were
like Malabar Gold we were giving 7%, now we are at 9% of their purchase. So, sales are
coming from the existing corporates also. We have again acquired mid -corporates also, which
are at 5 -10 stores and are going to be at 50 stores, three -five stores, which are going to be at 10 -
20 stores in future .
So, our sales are coming from all the mid -small and large corporates. Existing corporates have
grown by 15 %-20%. We have grown by 30% because we have increased our sales in these
corporates. So, our stakes have increased in these corporates.
Yash Bajaj : Sir, like you said that in Malabar, we would be 9% of their purchase. Any similar number if
you can give for the remaining three , like a ballpark number also? Just to understand…
Mangesh Chauhan: In the parent company, we are making casting jewellery . So, if in Kalyan Jewel lers, we were at

5%, now we are at 7% of their casting jewellery . I can't give you more details because of some competitive reasons.
Yash Bajaj : Sir, my second question is, you have in the presentation given the capacity utilization numbers. So, Q4 which is four months so Q4 was 300 kilos and Q1 is 349 kilos. So, that increase 300 to 349 is a 15 %-20% increase in capacity. But when it comes to sequential numbers like a top line for Q4 and Q1 that has grown by 40%. INR500 crores has gone to INR720 crores. So, how should we look at this, sir? Or you can just give us the volume number for th ese respective quarters, Q1, Q4?
Man

gesh Chauhan: I will give you the last year average. Last year average was 270 kg per month -- last year, for the whole year. And this year quarter, we have made 345 kgs. So, 270 kgs is 25% or 26% from the volume growth .

Yash Bajaj : Sir, my next question is, on the GML loan, did we see any benefit of GML loan this quarter? And if not, then when do we see that coming?
Mangesh Chauhan: Already this quarter, we have shifted that we were using 10% of GML. This quarter, we will be using approximately 30% of GML. And December quarter, 100% we will be using GML.
So, till December quarter, we will be at 100% GML. And this quarter, we will be utilizing about 30 %-40% of the rest in GML.
Yash Bajaj : Got it. And my last question, sir, is that our recent acquisitions which we have made, when do we see that getting consolidated in our numbers? Because I think this quarter, we haven't seen any of those numbers coming in, right?
Mangesh Chauhan: Pardon, can you ask the question once again?
Yash Bajaj : The recent acquisitions which we have made?
Mangesh Chauhan: Already, we are in the acquisition process. So, it will take s ome 10 days more. It will be a S ky Gold entity, it is a process of 1.5 months. In September, you can see that some consolidations of one or two months is there . But the better clarity you can see in December quarter, the full results will be added in that.
Yash Bajaj : Got it, sir. Thank you so much, Man gesh sir, and all the best.
Mangesh Chauhan: Thank you, sir.
Moderator: Thank you very much. The next question is from the line of Vikrant Kashyap from Asian Market Securities. Please go ahead.
Vikrant Kashyap : Sir, good morning and congratulations on a very good set of numbers. Sir, just on the client concentration, could you please highlight which are your top five clients and how much will you get from them?
Mangesh Chauhan: We have… Malabar Gold is our largest client, which is one of the topmost of the world , fourth – seventh Tanishq is on seven number and . Malabar Gold, Kalyan Jewe llers, Senko Gold, Joyalukkas , these are our major clients. Kalyan Jewe llers, then GRT Jewellery , Bhima Jewellery , other than that, our clients are also there. So, this blended business comes from all these five major clients.
Vikrant Kashyap : So, you are saying Tanishq is our client?
Mangesh Chauhan: No, Tanishq is not our client, sir. So, any -- Yes, pardon, pardon.
Vikrant Kashyap : So, I am just trying to understand, since we have almost all of the big players, big domestic jewel lers in our bucket, why we don't have -- able to crack Tanishq as our client?
Mangesh Chauhan: Befo re August, you can see, we were at -- our facility was very small of 20 to 20,000 square feet, which was not eligible for Tanishq criteria. From August, we came into the new facility.

Already, we have many talks with Tanishq. They have visited our facility. And our facility is up to mark to their requirements.
Our products are up to mark to their requirements. It's all about the waiting process, because it is a lengthy process with such a big company to onboard the clients. They have conveyed us that we have done all the process, but whenever the board decides and whenever the vendors are open for the casting, you are in the nearest number to be onboarded.
So, just we are waiting for that confirmation. Already, all processes are already done.
Vikrant Kashyap : Okay, great. Wish you b est of luck for that. Second question, on the mix of gold and studded diamond. So, we have been growing in both segments. Do you see the mix changing towards studded diamonds or it is likely to remain same? How do you see the trend going ahead?
Mangesh Chauhan: No, gold studded -- about real diamond, you are telling?

Vikrant Kashyap : Gold studded, yes.
Mangesh C

hauhan: Yes, gold studded about -- you are talking about real diamond or studded with cubic zirconia?
Vikrant Kashyap : No, no. I am talking about real diamond.
Mangesh Chauhan: Okay, okay. No, gold has a major upper hand in the market always gold will be the major upper hand. We are working on increasing share of diamond jewellery also, because we have started diamond jewellery in last two quarters only, which will result in gross margin, gross margin. But gold share is always upper hand. Diamond jewellery share is strangled in the market.
Vikrant Kashyap : But in the mix of the industry, I understand almost 20% demand is for diamond studded average. We have just started this business and we can improve our margin based on the improvement in the mix. Here I am trying to understand, since you have given a target of INR6,300 crores win in '27 , do we see improvement in the mix which will result in the improvement in margin? Though we have a strong margin, no, I don't doubt on that. But I am just trying to understand, do we have further leverage to improve that?
Mangesh Chauhan: Yes, 100%. Because we have just started the diamond jewellery, we are into gold jewellery 100%. So we have a gap of – taking this turnover to 10% to 20% of our whole turnover. So we understand the industry is moving towards studded products also. We are also working in that direction. Our mix will change -- but we don't want to have categorised growth. So, yes. So 100% advantage of diamond jewellery.
We are seeing latent demand and it will take some time for us to shift the mix. Yes, it will take four quarters. I think we are on the right, we have already started. But in four quarters, diamond jewellery sales will come to 10 % to 15% of our turnover. That will help us to improve our margin, yes.
Vikrant Kashyap : Great, great. I understand you have leverage for the margin from operating mix also and from the operating leverage also. Since we have to scale up our utilisation levels. My next question

pertaining to the duty cut on budget. You have already highlighted the benefits of that. How much impact you are seeing on your inventory that you are carrying on the date of announcement?
Moderator: I request the participant to wait for a moment. The management phone has got disconnected. Just give me a moment, I will connect them again. The management is now online. Sir, please go ahead.
Mangesh Chauhan: Sorry, can you repeat the question, sir?
Vikrant Kashyap : Yes, I was asking you on the date of the announcement of budget on the duty cut. You must have some inventory where you are taking gold loan, metal loan etc etera . So, do you have any impact on your inventory that is going to come in the next quarters?
Mangesh Chauhan: Nothing, because our inventory is totally hedged in the MCX . So, we don't have any impact of any rise or fall also on the inventory.
Vikrant Kashyap : Okay, so budget duty does not impact on your inventory. You have structural gains.
Mangesh Chauhan: Yes, tot ally limits are hedged in the MCX .
Vikrant Kashyap : Okay, great. Thank you for answering my question and wish you best of luck, sir.
Moderator: Thank you very much. The next question is from the line of Prerana Amanna from Amanna Capital . Please go ahead.
Prerana Amanna: Congratulations on a very great set of numbers. I have two questions. The first one is, I understand we have a revenue guidance of INR6,300 crores by FY27 and we are on track to achieve it. But what is the revenue guidance for this year? That is the end of this year. And we are also on track to achieve the PAT margin of 3.5% by the end of this year, I believe. So, do you want to increase the guidance, this 3.5% of PAT margin to anything else further?
Mangesh Chauhan: About the revenue guidance, already we have given INR2,700 crores from a parent company and I

NR500 crores to INR600 crore s from the subsidiaries, both the subsidiaries. So, subsidiaries, the sales will come from, I think, mid -August in this company. So, INR3,300 crores , INR3,400 crores revenue growth we have targeted this year.
About the PAT margins, I think it will be approximately 3 % to 3.5% till March because we are going to gold metal loan. So, we don't want to, we'll not like to increase the PAT margin. We'll sustain that margin till March. We'll reach 3.5%.
Prerana Amanna: Okay, sir. The next question is regarding the gold metal loan. I believe you already answered it. But how much percentage did we use of GML in this quarter that is Q1 FY25?
Mangesh Chauhan: In the September quarter, we'll be using 30 % to 35% limit, about INR100 crores GML in September quarter. And December quarter, 100% utilization will be there of GML.

Prerana Amanna: Okay, sir. Thank you so much. Thank you so much.

Moderator: Thank you very much. The next question is from the line of Bharat Gianani from Money Control. Please go ahead.
Bharat Gianani : Yes, sir good morning and congratulations for a great set of numbers and good guidance. So, just my question was like, so this, again only because of the custom duty impact, many of the jewellery retailers have indicated that margins will be under pressure because of the Indian tree. So, I just wanted to know, you earlier said that we would not have any impact.
So, is it that you have kind of a fixed price of the gold, which you are going to manufacture and supply to your client, that is why you will not have any impact? Because jewellery retailers are having an impact. So, can you explain why you will not have any impact because of the duty cut which is resulted in GML loss?
Mangesh Chauhan: 100%. Because it's a process that we follow. We have our hedging team, our pricing team. Whenever, in our industry, I will explain you properly that whenever the orders come to our industry, if Malabar Gold has given 20 kg orders to us, at the time of order, the rates are not fixed with the consumers. We buy bullion from the bank or licensed importer. We sell it in the MCX to produce the order.
And then when the order is ready for dispatch, we fix the price with the consumer and we hedge it again in the MCX . So, reverse the impact. So, everything is hedged in the MCX . So, there is no impact of the industry. Most of our clients who are large corporates are following the same process. About the small retailers or unorganized, I don't know.
They have impact or no impact, I don't know. But whichever clients are there, large corporates, they will follow all the same process which we are following.
Bharat Gianani : Okay, sir. Okay, fine. And, sir, the second question is on this INR270 crore s kind of fund raise that you have announced. So, sir, what will be the utilization of that if you can break it up? Like, how much will be for inventory? How much will be for you spending on R&D? Or how much you would -- So, if you can highlight that. I mean , if any capacity utilization -- I mean, obviously, we have shifted to a very new facility.
So, I just wanted to understand what exactly is the INR270 crore s utilization if you can split by a function like -- a broad assumption ?
Mangesh Chauhan: Yes, I will not give you the perfect figure. But we will invest some of the part in the -- When we raise, we will invest some of the part in the two subsi diaries to grow them more like S ky Gold. And some of the part will be used for 18 carat . We have hired some new operations head for 18 carat . I already told in some of one question that 18 carat , we are growing very much. So, we are investing in 18 carat also. And in diamond jewellery also, we will invest some of the part. And some part will be keeping for the R&D. We are doing for the USA product, which we are makin

g -- We are planning for in two quarters to export to the US also. Some corporates are there in the US.

This is in the R&D phase. And we will be investing that also. So, new segment, we are investing in that.
Bharat Gianani : Okay. So, new segment when we say 18 c arat and diamond jewellery that is the new product introduction, right?
Mangesh Chauhan: Yes, yes. Okay.
Bharat Gianani : Got it, sir. Thanks and all the best.
Moderator: Thank you very much. The next question is from the line of Vivek Kumar from Luna Capital. Please go ahead.
Vivek Kumar: Yes, hi, sir. First, thanks for the opportunity and congratulations on a super -duper number this quarter. It's very heartening to see that you are on the track to reach where you have guided to reach. Just one query I had around that. So, we are talking about roughly anywhere from 2.5 to 3 times more utilization over ne xt one and a half to two years.
So, just wanted to understand your strategy about is it more towards increasing the wallet share or is it more towards adding more customers and how are you going about it? And if I can just follow that up with another question is , what are different constraints you may see or foresee in achieving these large volume utilization numbers? Thank you.
Mangesh Chauhan: Yes, we are already increasing our export market also. We are increasing our customers in Dubai, Singapore, Malaysia. We are working with Jwala Jewellery in Dubai, Singapore,

Mustafa Jewellery . So, many corporates from Malaysia are also joining hands with us which have 5 to 10 stores which are equivalent to 50 stores which are larger stores. So, industry is also growing. Our unorganized market is shifting to organized.
So, unorganized market is shifting. Organized market share is increasing very high. So, we will gain share from that also. We are increasing our new customers. As I said that mid - corporate customers we are increasing which have 5 to 10 stores which are not in limelight in this market right now. But we are seeing that this will be in two years.
You will see that names which are g oing to 50 to 100 stores. Some three to five stores which have very small corporates we are planning to go to 10 to 15 stores. So, this will be like Malabar, Kalyan, Jenco. Many more 5 to 10 companies are coming ahead in the market. So, we are increasing the market share of small and mid -corporate also. Large corporates are already there in our pocket.
In them we are supplying. Our percentage is increasing of supply. So, all from these three our sales is coming. And we are increasing exports also in Dubai, Singapore and Malaysia.
Vivek Kumar: That's fantastic. If you can just answer the other part of it. What are the different constraints you may foresee in achieving such a high growth? Will it be in terms of resources, manpower, working capital? What are the different challenges you may foresee?

Mangesh Chauhan: Already we are in a convenient position with the working capital and we have good funds in our company. So, there will be no constraint. Manpower is every time available in Mumbai because it is very favourable for the city, for the workers. There is no constraint in reaching . I think if your products are up to mark you are very much on the product which we are launching every month. We are launching every month 2 ,000 designs.
This August also we had an exhibition in Goregaon and there was so much tremendous response overall in the jewellery market because of the duty cut and all. So, if you are up to mark to your designs or the design you are working on what we are launching in every quarter after 12 months, what will be changing in the generation and what will be the trends shifting and we are reading it and properly launching the product. There is no constrain

t for the
manufacturer, I think.
Vivek Kumar: Sure, sir. Thank you. Thank you so much for your answer and wishing you all the best for the future. Thank you.
Moderator: Thank you very much. The next question is from the line of the Digesh Mehta from Dinero Wealth . Please go ahead.
Digesh Mehta : Yes, sir. Good morning, sir.
Mangesh Chauhan: Good morning, sir.
Digesh Mehta : Just wanted to understand there is a slide number 23 in your presentation which shows your sub-brands like Veena, Kimora, Sky9 Diamonds and all. So, how do we deal with such kind of brands, sir? So, where do we deal it, sir?
Mangesh Chauhan: We exhibit every quarter in India with GJEPC and we display our brands. This helps the corporates to identify how m any segments we have in casting jewellery . So, how many product lines we have. So, this brand is for our corporate clients not for retail. So, this brings us differently for the corporate they can identify which brand we have which we deal in and which i s the line of products we have.
Digesh Mehta : So, this is not also on the distributor side also, right?
Mangesh Chauhan: For distribution also, yes.
Digesh Mehta : No, no. I am saying we don't deal with such kind of brands even with the distributors also, I am saying. It's only for purely corporates?
Mangesh Chauhan: Yes, corporates.
Digesh Mehta : And second thing, sir, just wanted to understand the two acquisitions which we have done right now. So, I understand that we are taking a fund infusion for the same and we are going to deploy either through working capital or either for the growth plan for the same. But, sir, can you just help us to understand the numbers? Because what I understand is around INR350 crores of the top line both of the brands are generating right now.

Mangesh Chauhan: Yes, yes.
Digesh Mehta : Yes. So, what is the scalability we can expect from both of these brands going forward in the next two years, sir?

Mangesh Chauhan: So, we have both have capacity to go up to INR1,200 crores and INR1,300 crores in two years. Already last year we did INR370 crores sorry, last year. And this year we can make it INR600 crores to INR700 crores from both the entities.
Digesh Mehta : And, sir, what kind of margins?
Mangesh Chauhan: We have given guidance put together for INR6,300 crores , INR5,000 crores from the parent company and 1,300 crores from the both companies. (subsidiary companies)
Digesh Mehta : And margins more or less will be the same, right?
Mangesh Chauhan: Yes, margins are basic like Sky Gold in both the entities but we have much scope in both the entities to work on. We'll start working from 15 th August on that we'll trade more fancy products from different , different type of chains different visible products which where we can create more margins.
Digesh Mehta : Okay, okay. Thanks a lot, sir.
Moderator: Thank you. Next question is from the line of the Dipanshu Suman from Sattva Ventures . Please go ahead.
Dipanshu Suman: Hi, sir. Congratulations for super performance. Sir, just wanted to check with you of the volume growth. We are looking on a quarter -on-quarter basis from here. So, 345 kg we have already done. So, in our stand -alone business should we look at 5 %-6% kind of quarter -on-quarter volume growth from here for coming three quarters?
Mangesh Chauhan: We will sustain -- approximately whole year will be 350 kg annually. I can give you annually guidance will be up to 350 kg, 360 kg but here and the re 10-15 kg for each quarter. So, annually we will come up to 350 -360 kg.
Dipanshu Suman: So, but with the u pcoming say marriage season etcetera , it's a strong marriage season this year. So, are the orders already in place or you are going to receive further higher order which is for October. I just wanted to understand the ordering cycle. So, is it three months

before, one month before? What kind of ordering cycle is there?
Mangesh Chauhan: Already we have ordering cycle of 30 -45 days. Basically, these are very confidential. We can't give much on this. But we have a cycle of 30 -45 days.
Dipanshu Suman: Okay. Second thing sir, on this per kg realization price of gold because of this tax cut etc etera . So, is your realization per kg, is there chance that if the gold price comes down what has happened? So, is there chance that the realization price can come down? And if so, can it impact the gross margin?

Mangesh Chauhan: Not much because already they have reduced the 10% margin duty. So, and the prices are about 7 %-8% down. So, there is much more difference on our labo ur cycle.
Dipanshu Suman: Understood sir. Sir, also in your press series we saw that you are going ahead with new regional head hiring and also hiring people on the export side. Any colo ur you want to say that how these guys are joining and how much contribution, from when these contributions will start to come in?
Mangesh Chauhan: Yes, already we have hired 18 -carat operations head. We have hired 22 -carat operations head last month before. We have development head hired. So, we are now ahead international sales head also. He will be joining from September. So, he will also add in our margin revenue. As and when he will join. So, we will give guidance in next quarter when he will join . But he is joining from next month. Yes.
Dipanshu Suman: Okay, thank you and all the best.
Mangesh Chauhan: Thank you so much.
Moderator: Thank you. The next question will be from the line of Manan Vandur from Wallfort PMS . Please go ahead.
Manan Vandur : Thank you so much for your opportunity and congratulati ons on the numbers. Sir, I had two - three questions. I wanted to understand that are we planning to have a new market or are we planning to get into other new geographies or are we planning to, which existing geographies we have, are we going to like penetrate more or like both we are going to do?
Mangesh Chauhan: So, we are basically concentrating in corporates only. We will be with large, mid and small corporates. We are n ot going to much single -single r etail stores. So, we are much concentrated into corporates. We will be planning to grow more in export corporates also whichever have 50, 100 or 150 stores in exports. So, we will be joining hand with them also but our main focus is on corporates only.
Manan Vandur : Yes, so like geographies like let's say like other countries. So, we are already in a few countries. So, more countries, I am asking?
Mangesh Chauhan: Yes, we are into R&D. Already we are in to Singapore and Dubai. We are into R&D phase, we are developing a product for USA. It will take some two quarters and we are planning to enter the US market.

Manan Vandur : Okay, sir. And have we added any clients in this quarter like any export client or Indian clients?
Mangesh Chauhan: Yes, three or four new clients we have added in this quarter. Yes.
Manan Vandur : Okay. And another one last question that do we have like a particular criteria that they should have so many stores only then we can go and approach them to -- so that we can be there, distributed something like that. Do we have like a certain criteria?

Mangesh Chauhan: See e very customer is important to us but we like to join hand with which have at least three to five stores or which have which we can give sales up to yearly at least INR30 crores to INR50 crore s or something. We can't serve the small retailers who will take yearly INR1 crores or INR2 crore s products because we have small capacity. So we are into it that some corporate minimum criteria is try to three to five stores they should have and they should take INR20 crores t

o INR30 crores or INR50 crores sales yearly.
Manan Vandur : Okay. Understood. Thank you so much. That's it from my side.
Moderator: Thank you. The next question is from the line of Bharat Gianani from Moneycontrol Pro . Please go ahead.
Bharat Gianani : Yes, sir. Thanks for the opportunity once again. You have just one clarification, sir. FY27 you have given a revenue guidance of INR6,300 crores . So just wanted to check what would be the revenue target for Sky Gold standalone and the two subsidies. So can you provide a breakup of that?
Mangesh Chauhan: Yes. For Sky Gold we have already given INR5,000 crores revenue to 2027 March and for the subsidiary is INR 1,300 crores . So consolidated will be INR6,300 crores .
Bharat Gianani : Okay. And s ir the subsidiary margin -- PAT margin is currently I mean, what's -- what PAT margin the subsidiary is making and what is the target?
Mangesh Chauhan: Already the last year the subsidiary w e were at 2 % PAT margin. Now this year we are expecting that margin from them also to 2.5 % to 3% in this year. So we will be placing them like Sky Gold . They have a capacity to grow like Sky Gold and we'll be putting effort and putting some funds also in this inventory and we can bring them also to the Sky Gold level.
Bharat Gianani : Okay. S ir thanks and all the best .
Moderator: Thank you. The next question is from the line of Ash, who's an Individual Investor . Please go ahead.
Ash: Hi. First of all t hank you for the opportunity. I have some questions around the GML. You said that GML will be 100 % by December. So will it have an impact on the finance cost? Because right now, if I look at the finance cost from March to June, it is almost double. So will it have impact on the finance cost as well?
Mangesh Chauhan: 100%. We had a risen the debt in the last quarter, the March quarter. That's why the finance cost has risen. But GML will help us to reduce 0. 5% of the sales, which 0.5% PAT will improve because of the GML. So that will help us to improve 0.5 %.
Ash: All right. And in terms of, say, top 10 customers, I think last year it was like top 10 customers contributed 75 % of the revenue. What does that number look today, like top 10 customers contribute how much percent approximately as revenue?
Mangesh Chauhan: Yes. Total mid -large and small corporate contributed 65 % to 70 %. The top 10 contributed approximately 40 % or something.

Ash: All right. Okay . Thank you, sir.
Moderator: Thank you very much. The next question is from the line of Varun from EVK. Please go ahead.
Varun : Hi. Thanks for taking my question. I'm sorry I joined the call late. It's already been answered. Maybe, sorry for repetition. So there are two questions. One is, on a quarter -on-quarter basis, the employee cost and the other expenses have gone down. Any reason behind that? About gone down -- on a quarter -on-quarter basis, other expenses and employee expenses have gone down. It has reduced. So …
Mangesh Chauhan: Just to see on that. I'll skip that question because I don't have the data of that. So I'll mail you that. Sorry for that. Not answering that.
Varun : Okay. And sir till last quarter, I remember in the -- for fundraising your plan was that no more fundraising is required. And we are self -sufficient right now. But suddenly now this has come up. What is the plan for the utilization of this?

Mangesh Chauhan: Yes. Before that, we have not acquired more entities when we said that no funding is required. But we acquired two more entities so we can fuel them. And we have started two more divisions. 18 karat we are scaling up. 18 karat were very low. So we are putting funds in 18 karat also. And we have started diamond jewellery also from last quarter. So we are putting -- so we are , we have four segments to invest in.
Already we have funds for 22 karat.

We don't need funds for 22 karat which is our core. So we are expanding our arms in 18 karat diamond jewellery and two more subsidiaries of Mangalsutra and chains. That's why we are into fundraising.
Varun : Okay. And what is the preferential route? I mean, what way are we thinking of? Is it like QIP or preferential allotment or I mean, any or we have a right issue? What we are planning for?
Mangesh Chauhan: Maybe a combination of both. As and when required we will inform the exchange -- everybody.
Varun : And tentatively by when you expect it to happen?
Mangesh Chauhan: So these are we will inform as and when required to the exchange and all of you .
Varun: And, when we see -- this is because we were reading for other retailers, jewellery retailer, there is a significant increase of gold jewellery demand because of reducing prices. Have you also starting feeling or getting some trend whereby there is a significant increase or it is just like the way you expected it to be a normal growth or it is a certain spark that has happened?
Mangesh Chauhan: No, no, it's extraordinary growth we are seeing because right where we were in the exhibition from 9th August, I just skipped today. Today also exhibition is going on. So I think historic buying is there in the total historic booking is there. Their clients, retail clients are saying that we have seen so much demand it's like 2008, when in 2008 some this type of demand has come, domestic demand has come.

So that type of demand we are seeing in the exhibition. We -- in the exhibition, we don't have a space to so and so for the consumer fully packed. So I think it's a great response. Nirmala Sitharaman has taken a very historic decision and never any government has reduced the import duty. But this is a master stroke for unorganized market.
Varun : Got it, got it. One last thing, we were targeting one of the largest retail chain in the country. And also is there any further progress on that?
Mangesh Chauhan: Already I have answered the question that we have already done all the process. They have visited twice our facility. Products also are shown in this exhibition also. We showed the products. But it's a matter of time when they open the doors for the vendors and they have a process when to onboard a vendor for the casting value. But we are very much on the high numbers to be onboarded.
Varun : And as a general industry trend or someone like them, is that they are primarily outsourcing or they have their in -house facilities also to produce?
Mangesh Chauhan: Major companies are outsourcing because outsourcing is a good choice for them. So Titan also outsourcing 70 %-80% from outside. Malabar Gold, Kalyan Jewellery , everybody is outsourcing. Malabar Gold is producing 10 %-15% inside. But major all are outsourcing 100% from the manufacturers.
Varun : And barring us, if you, I mean, if you say that from this industry size of outsourcing in top 10 manufacturers or contract manufacturers, where do you think we will stand in an overall country perspective?
Mangesh Chauhan: There are many segments in the jewellery. In the gold jewellery also, we are -- I'll give an example of a Sky Gold parent company is that I think second number our competitor Emerald Jewellery is at first number here doing INR6,000 crores per year. Per year we are we are in the track to achieve INR2,700 crores.
So we are about second number in the casting jewellery. So there are many segments different in the Mangalsutra and chains we have acquired. We are at I think eight or nine number. But at the parent company we are at second number for the casting jewellery.
Varun : Okay, so why I'm asking is someone like Titan is not part of us and they are the market leaders and we being on the second is it like they don't procure that

kind of this jewellery or 18 carat
too much? Is it like because of that because how they will op erate if majority is outsourced… ?
Mangesh Chauhan: Someone is supplying to them so they don’t require -- it's not about that but it's about the timing and Titan takes every vendor one and a half year to onboard already we have from last two years we are in talks with them. So Titan is not about that your product is good and we are creating 10% margin on that and we'll onboard that .
And what you are doing for them right what is about your facility and all. So already they have

done the R&D for our company as we are getting the information. But earlier we were -- our

facility was very small to reach them now we are free but eligible for them -- it's a matter of time sir.

Varun : Okay. Thank you so much sir. Thank you.

Moderator: Thank you very much. The next question will be from the line of Amit Agicha from H.G. Hawa and Co. Please go ahead.

Amit Agicha: Good morning sir. Thank you for giving me the opportunity and congratulations for a good set of numbers. My question was with respect to capacity, total capacity that we have and how much can we increase after the cons olidation of these subsidiaries?

Mangesh Chauhan: Already in parent company I told we have put in the PPT also that we have 750 kg per month capacity and subsidiaries both together we have 300 kg per month capacity. So both together can go up to 1050 kg per month and yearly 12 ton we can produce. We have produced 3 ton only in the last year. So we have a higher road to go ahead.

Amit Agicha: So at present like we are working on 350 per kg per month , right?

Mangesh Chauhan: Yes, in the parent company.

Amit Agicha: So that comes to roughly 40% utilization.

Mangesh Chauhan: Yes, 40-45%.

Amit Agicha: Any plans of the strategies of the companies to come to 80 %-90% capacity utilization? Any guidance?

Mangesh Chauhan: Yes, 2027 we have already told we will be at 100% utilization.

Amit Agicha: Thank you for answering. Thank you.

Moderator: Thank you very much.

Mangesh Chauhan: Thank you so much ma'am. So can we conclude this call?

Moderator: Yes, sir. Ladies and gentlemen that was the last question for today. In the interest of time. I would now like to hand the conference over to the management for closing comments.

Mangesh Chauhan: Thank you, everyone for joining us. I hope we have been able to answer all the queries. In case you have -- require any further details you may please contact us or Orient Capital, our Investment Relations Partner s. Thank you so much. Thank you for being a part of our Sky Gold journey . Thank you so much.

Moderator: Thank you very much . On behalf of Sky Gold Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2024

“Sky Gold Limited
Q1 FY '25 Earnings Conference Call ”
August 12, 202 4

MANAGEMENT : MR. MANGESH CHAUHAN – MANAGING DIRECTOR
AND CHIEF FINANCIAL OFFICER – SKY GOLD LIMITED
MR. JAYESH SANGH AVI – FINANCE TEAM – SKY GOLD
LIMITED
MS. NIKITA JAIN – COMPANY SECRETARY – SKY
GOLD LIMITED

MODERATOR : MR. PARTH PATEL – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earning Conference Call of Sky Gold Limited . As a reminder, all the participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Parth Patel from Orient Capital. Thank you and over to you.
Parth Patel: Thank you, Do rwin. On behalf of Orient Capital, I welcome you all to Sky Gold Limited Q1 FY25 earnings con-call. From the management side, we have Mr. Mangesh Chauhan, Managing Director and Chief Financial Officer, Mr. J ayesh Sanghvi from the Finance T eam, and Ms. Nikita Jain, Company Secretary. I hope everyone had an opportunity to go through our Investor deck and press release that we have uploaded on exchanges and the company's website.
A short disclaimer I would like to mention before we begin the call. This call may contain some of the forward -looking statements, which are completely based upon our beliefs, opinions, and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties. With this, I now hand over the call to Mr. Mangesh Chauhan. Over to you, sir.
Mangesh Chauhan: Thank you, Parth. Good morning everyone. Thank you for joining us today. As we discuss our Q1 ’25 quarter’s performance as we look into our quarterly performance for Q1 ’25 we are pleased to start the new financial year on a positive note. T he company reported yet another quarter of robust operation performance marked by improvement across multiple levels. This includes higher capacity utilization and turnover level, increased export exposure, use of technology in inventory management, and automation resulting in operational leverage.
We feel we have just started to get materialized with a lot more potential leverage yet to contribute as we g row and achieve our goal of INR 6,300 crores by 2027. Coming to our robust Q1 numbers, revenue for the quarter stood at INR723 crores, registering a growth of 92% year -on-year, 40% quarter -by-quarter. P AT stood at INR21 crores, registering a remarkable growth of almost 100% for the second consecutive quarter in a row. Speaking about the industry, we operate i.e. jewellery market is expanding at a robust rate of 15 %-16% and expected to reach 145 billion by ‘ 28.
The overall jewellery sector has seen an approximate 8% revenue CAGR during FY ‘19- ‘24, with the organized segment growing at a much faster rate of 18 %-19%. The organized market is expected to continue with robust pace and target of achieving 40 %-43% of total market. This is driven as a result of multiple drivers in the industry leading to such rapid growth, driven by rising disposable income and improving mix for regular jewellery wear, enhanced product offerings (such as design and diamond), trust building through hallmarking and better buying experience at organized retail outlets.

This along with recent announcement by government to reduce import duty will have a long - lasting positive impact on the jewellery market in India. Reduction in import duties has lowered the overall cost of raw materials, making it more affordable for the manufacturer to procure gold. The duty cuts have also had a positive impact on the market by making gold jewellery more accessible to a broader range of customers.
With lower prices, demand has surged, promoting manufacturers to meet this growth demand by ramping up their production capacities. Additionally, the duty cut has elevated some of the financial pressures faced by th

e industry, allowing companies to invest more in innovation
design and advanced manufacturing techniques. This has not only enhanced the quality of jewellery but also improved efficiency in production processes.
Overall, the duty cut has acted as a catalyst for growth in the gold jewellery manufacturing sector, driving higher production volumes and fostering a more dynamic and competitive market environment. This shift is gradually capturing a larger share from the unregistered sector, providing us with significant opportunities to drive volume growth. At Sky Gold, we are uniquely positioned to capitalize on this trend, especially as consumers increasingly prefer branded jewellery of high quality.
Over the past few years, Sky G old has strategically positioned itself as a leader in the jewellery manufacturing sector. With a strong focus on corporate partnerships, currently 65% of businesses drive from corporate clients while the remaining 35% come from distributors. Our goal is to elevate our corporate business share to 100% over the next three years, aligning with our mission to become a leading jewellery manufacturer serving large retail chains in India.
Our inventory primarily consists of products within 5,000 to 1,00,000 range and with a smaller portion from 1,00,000 to 2,00,000 segment. We specialize in casting jewellery , offering a wide range of necklaces, bracelets, earrings, rings. Currently, casting jewellery accounts for about 35% of retail sales, presenting a substantial addressable market to us.
In line with our vision, we had mentioned in our previous earnings call that we have acquired two entities, Star Mangalsutra Pvt Ltd. and Sparkling Chains Pvt. Ltd. are promoter own ed private. Even though both these entities are into jewellery manufacturing, the product portfolio is completely different from Sky Gold. With our recent acquisition, the total addressable market has now risen to 65%. This means we can target more than two -thirds of offerings in the retail stores. It also creates a lot more value for Sky Gold in front of its customers.
We can now consider Sky Gold as their preferred partner for jewellery across diversified product offerings. Exports, which contribute 6% to our overall revenues in FY24, have done phenomenally well four us . In Q1 ‘ 25, exports contributed 11% of the total revenue for the quarter on a much wider basis because of the robust increase in overall revenues as well, showcasing the robust demand for Sky Gold products in the export market as well.
With our strategic initiative, we anticipate maintaining this figure in FY25. Our production capabilities are unmatched, with 2,000 new designs being introduced monthly, ensuring

exclusivity for our corporate clients. The ability to consistently deliver fresh, trendy designs has become a strong competitive advantage for Sky Gold .
In Q1 ‘ 25, our volume turnover stood at 349 kgs per month, as compared to roughly 270 kgs per month in the previous quarter, and 200 kgs per month a year ago for the same quarter. Our capacity utilization now stands at 45% of the -- excluding our acquisitions. So o ur consistent increase in turnover and export number highlights our capability to scale operations and strengthen our position in the gold jewellery market, both in India and globally.
The recent integration of Star Mangalsutra and Sparkling Chains into Sky Gold is perfectly aligned with our growth strategy. These acquisitions are expected to boost our margins through the synergies that bring to the enterprise. By consolidating our operations, as mentioned, we are broadening our total addressable market and expanding our product presence in numerous retail outlets, which itself are expanding at a very high rate.
Our design and R&D team comprises of more than 80 talent ed designers, focuses on identifying

and setting trends on a monthly, quarterly, yearly basis. Th is relentless pursuit of innovation has enabled us to establish a solid foothold in the market. As we look to the future, we aim to expand our corporate client base.
These shifts in consumer preference towards branded jewellery and the government's favourable policies supporting organized retail have played a significant role in our growth.

Over the past five years, we have concentrated on building our customer base. Now our focus is on enhancing margins through value -added products, which have significantly worked on margins as we grow.
In a competitive landscape, we differentiate ourselves through our expertise in casting jewellery . Rapid inventory turnover and robust corporate relations with some of them are now more than a decade old. To support our growth ambitions, we have planned a fundraiser of INR270 crores, which will be utilized across the multiple parameters, and will help the company to achieve the goal of INR6,300 crores by FY27 .
In conclusion, Sky Gold Jewellery Manufacturing and Design Committee is well on its way to becoming a leader in jewellery manufacturing in India with a growing global presence. Our strategy is clear. We are committed to capturing market share, delivering value to our corporate clients, and ensuring sustainable, profitable growth for our stakeholders.
Now I will quickly discuss the Q1 '25 financial performance before we open the floor for questions and answers. The consolidated revenues for the current quarter stood at INR723 crores versus INR375.7 crores in Q 1 FY24, thus registering a growth of 92%. The gross margin stood at 6. 4%. The quarterly volatility in gross margins is due to product mix changes. Structurally, we would like to reach 7 -8% gross margin through product mix and exports. EBITDA for the quarter was INR37.3 crores compared to INR18.6 crores, showing a growth of 100% in ma rgins by a 19 -point basis, taking EBITDA margin to 5.2% for the quarterly basis. PA T for the quarter stood at INR21 crores as compared to INR10.7 crores in Q1 FY '24,

thus registering a year -on-year growth of 98.9%. With this, I would like t he moderato r to open the floor for questions and answers.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Palash Kawale from N uvama Wealth. Please go ahead.
Palash Kawale: Thank you for the opportunity and congratulations for the very good set of results. Sir, my first question is on volumes. So if I look at our volume's year-on-year, the volumes have grown by 75%. And since last four quarter, there has been an average sequential growth of 15% every quarter. So, do you expect this 15% quarter -on-quarter growth to continue for the rest of the year? And how do you see the average volumes for the full year?
Mangesh Chauhan: I believe w e have done 270 kgs per month last full year and this quarter we have done 345 kgs. So, it's a growth of approximately 25 %-27%. This year, we are targeting to keep up to 350 -360 kgs per month we will produce in this year.
Palash Kawale: Okay, sir. Thank you for that. And sir, given this high growth, how do you see your operating cash flow spanning out? When do you expect to be cash flow positive?
Mangesh Chauhan: Cash flow positive, we are expecting after INR5,000 crores , when we will reach INR5,000 crores revenue in 2026 end. Then we will star t generating cash flow positive?
Palash Kawale: Okay, sir. And sir, what was the inventory level after the Q1?
Mangesh Chauhan: It is INR250 crores inventory. Last March, inventories were high because we had taken the debt in March only. Now, this year, inventory is lower from the last quarter and our sales have also increased.
Palash Kawale: And sir, our exports have shown a tremendous growth, contributing

11%. So, do you see this
11% number sustaining for the whole year?
Mangesh Chauhan: Sir, we have already given the guidance in the last quarter that in this year we will go up to 9%-10% from the exports. So, we will sustain this growth up to 9 %-10%. This quarter is 11%, but 10% is sustainable for this year.
Palash Kawale: Okay, sir. And sir, my last question is, what are your plans with utilizing the funders? If you could giv e a detailed answer around that?
Mangesh Chauhan: Yes. We will be utilizing some of the funds in the two subsidiaries. We have hired some 18 -carat operations heads. Last year, we produced 97% of 22 -carat and 3% of 18 -carat. Now, the market is expanding for 18 -carat also. In India, 22 -carat market was 99%. Now, it is 95%. 5% 18-carat market also has grown. So, we will be using some of the funds in 18 -carat inventory. We will be using some funds in diamond jewellery , which we have started last year.
In this quarter, we have done INR5 crores sales of diamond jewellery , which was very low. But it started at a very low level. So, we will be investing in three -four segments to increase the margin also and create the volumes also.

Palash Kawale: Okay, sir. Thank you. Thank you for your detailed answer. That's it from my side.
Moderator: Thank you. The next question is from the line of Yash Bajaj from Lucky Investments. Please go ahead.
Yash Bajaj : Thank you for the opportunity and good morning to you and congratulations on a great set of numbers. Sir m y first question is, we have grown on a year -on-year basis, almost doubled. And our clients, which are the top four-five clients, have grown on a relatively lower clip. So, what has led to this kind of growth? I mean, what are we doing in terms of growing faster than the industry?
Mangesh Chauhan: Last August only, we were in the older facility. We were at 20,000 -25,000 square feet facility. We came in August with a new facility of 80,000 square feet, which is the largest of Maharashtra. So, we have encased this facility. From the last two quarters, we were scaling this facility. In the older facility, we were not taking orders much from the corporates because we were at 110% utilization.
From August -September, we told them, they visited our facility and we told them, we can produce more for you. So, we have improved our stake in the corporates. Already, we were like Malabar Gold we were giving 7%, now we are at 9% of their purchase. So, sales are coming from the existing corporates also. We have again acquired mid -corporates also, which are at 5 -10 stores and are going to be at 50 stores, three -five stores, which are going to be at 10 - 20 stores in future .
So, our sales are coming from all the mid -small and large corporates. Existing corporates have grown by 15 %-20%. We have grown by 30% because we have increased our sales in these corporates. So, our stakes have increased in these corporates.
Yash Bajaj : Sir, like you said that in Malabar, we would be 9% of their purchase. Any similar number if you can give for the remaining three , like a ballpark number also? Just to understand…
Mangesh Chauhan: In the parent company, we are making casting jewellery . So, if in Kalyan Jewel lers, we were at 5%, now we are at 7% of their casting jewellery . I can't give you more details because of some competitive reasons.
Yash Bajaj : Sir, my second question is, you have in the presentation given the capacity utilization numbers. So, Q4 which is four months so Q4 was 300 kilos and Q1 is 349 kilos. So, that increase 300 to 349 is a 15 %-20% increase in capacity. But when it comes to sequential numbers like a top line for Q4 and Q1 that has grown by 40%. INR500 crores has gone to INR720 crores. So, how should we look at this, sir? Or you can just give us the volume number for th ese respective quarters, Q1, Q4?
Man

gesh Chauhan: I will give you the last year average. Last year average was 270 kg per month -- last year, for the whole year. And this year quarter, we have made 345 kgs. So, 270 kgs is 25% or 26% from the volume growth .

Yash Bajaj : Sir, my next question is, on the GML loan, did we see any benefit of GML loan this quarter? And if not, then when do we see that coming?
Mangesh Chauhan: Already this quarter, we have shifted that we were using 10% of GML. This quarter, we will be using approximately 30% of GML. And December quarter, 100% we will be using GML.
So, till December quarter, we will be at 100% GML. And this quarter, we will be utilizing about 30 %-40% of the rest in GML.
Yash Bajaj : Got it. And my last question, sir, is that our recent acquisitions which we have made, when do we see that getting consolidated in our numbers? Because I think this quarter, we haven't seen any of those numbers coming in, right?
Mangesh Chauhan: Pardon, can you ask the question once again?
Yash Bajaj : The recent acquisitions which we have made?
Mangesh Chauhan: Already, we are in the acquisition process. So, it will take s ome 10 days more. It will be a S ky Gold entity, it is a process of 1.5 months. In September, you can see that some consolidations of one or two months is there . But the better clarity you can see in December quarter, the full results will be added in that.
Yash Bajaj : Got it, sir. Thank you so much, Man gesh sir, and all the best.
Mangesh Chauhan: Thank you, sir.
Moderator: Thank you very much. The next question is from the line of Vikrant Kashyap from Asian Market Securities. Please go ahead.
Vikrant Kashyap : Sir, good morning and congratulations on a very good set of numbers. Sir, just on the client concentration, could you please highlight which are your top five clients and how much will you get from them?
Mangesh Chauhan: We have… Malabar Gold is our largest client, which is one of the topmost of the world , fourth – seventh Tanishq is on seven number and . Malabar Gold, Kalyan Jewe llers, Senko Gold,

Joyalukkas , these are our major clients. Kalyan Jewe llers, then GRT Jewellery , Bhima
Jewellery , other than that, our clients are also there. So, this blended business comes from all
these five major clients.
Vikrant Kashyap : So, you are saying Tanishq is our client?
Mangesh Chauhan: No, Tanishq is not our client, sir. So, any -- Yes, pardon, pardon.
Vikrant Kashyap : So, I am just trying to understand, since we have almost all of the big players, big domestic
jewel lers in our bucket, why we don't have -- able to crack Tanishq as our client?
Mangesh Chauhan: Befo re August, you can see, we were at -- our facility was very small of 20 to 20,000 square
feet, which was not eligible for Tanishq criteria. From August, we came into the new facility.

Already, we have many talks with Tanishq. They have visited our facility. And our facility is
up to mark to their requirements.
Our products are up to mark to their requirements. It's all about the waiting process, because it
is a lengthy process with such a big company to onboard the clients. They have conveyed us
that we have done all the process, but whenever the board decides and whenever the vendors
are open for the casting, you are in the nearest number to be onboarded.
So, just we are waiting for that confirmation. Already, all processes are already done.
Vikrant Kashyap : Okay, great. Wish you b est of luck for that. Second question, on the mix of gold and studded
diamond. So, we have been growing in both segments. Do you see the mix changing towards
studded diamonds or it is likely to remain same? How do you see the trend going ahead?
Mangesh Chauhan: No, gold studded -- about real diamond, you are telling?
Vikrant Kashyap : Gold studded, yes.
Mangesh C

hauhan: Yes, gold studded about -- you are talking about real diamond or studded with cubic zirconia?
Vikrant Kashyap : No, no. I am talking about real diamond.
Mangesh Chauhan: Okay, okay. No, gold has a major upper hand in the market always gold will be the major
upper hand. We are working on increasing share of diamond jewellery also, because we have
started diamond jewellery in last two quarters only, which will result in gross margin, gross
margin. But gold share is always upper hand. Diamond jewellery share is strangled in the
market.
Vikrant Kashyap : But in the mix of the industry, I understand almost 20% demand is for diamond studded
average. We have just started this business and we can improve our margin based on the
improvement in the mix. Here I am trying to understand, since you have given a target of
INR6,300 crores win in '27 , do we see improvement in the mix which will result in the
improvement in margin? Though we have a strong margin, no, I don't doubt on that. But I am
just trying to understand, do we have further leverage to improve that?
Mangesh Chauhan: Yes, 100%. Because we have just started the diamond jewellery, we are into gold jewellery
100%. So we have a gap of – taking this turnover to 10% to 20% of our whole turnover. So we
understand the industry is moving towards studded products also. We are also working in that
direction. Our mix will change -- but we don't want to have categorised growth. So, yes. So
100% advantage of diamond jewellery.
We are seeing latent demand and it will take some time for us to shift the mix. Yes, it will take
four quarters. I think we are on the right, we have already started. But in four quarters,
diamond jewellery sales will come to 10 % to 15% of our turnover. That will help us to
improve our margin, yes.
Vikrant Kashyap : Great, great. I understand you have leverage for the margin from operating mix also and from
the operating leverage also. Since we have to scale up our utilisation levels. My next question

pertaining to the duty cut on budget. You have already highlighted the benefits of that. How
much impact you are seeing on your inventory that you are carrying on the date of
announcement?
Moderator: I request the participant to wait for a moment. The management phone has got disconnected.
Just give me a moment, I will connect them again. The management is now online. Sir, please
go ahead.
Mangesh Chauhan: Sorry, can you repeat the question, sir?
Vikrant Kashyap : Yes, I was asking you on the date of the announcement of budget on the duty cut. You must
have some inventory where you are taking gold loan, metal loan etc etera . So, do you have any
impact on your inventory that is going to come in the next quarters?

Mangesh Chauhan: Nothing, because our inventory is totally hedged in the MCX . So, we don't have any impact of any rise or fall also on the inventory.
Vikrant Kashyap : Okay, so budget duty does not impact on your inventory. You have structural gains.
Mangesh Chauhan: Yes, tot ally limits are hedged in the MCX .
Vikrant Kashyap : Okay, great. Thank you for answering my question and wish you best of luck, sir.
Moderator: Thank you very much. The next question is from the line of Prerana Amanna from Amanna Capital . Please go ahead.
Prerana Amanna: Congratulations on a very great set of numbers. I have two questions. The first one is, I understand we have a revenue guidance of INR6,300 crores by FY27 and we are on track to achieve it. But what is the revenue guidance for this year? That is the end of this year. And we are also on track to achieve the PAT margin of 3.5% by the end of this year, I believe. So, do you want to increase the guidance, this 3.5% of PAT margin to anything else further?
Mangesh Chauhan: About the revenue guidance, already we have given INR2,700 crores from a parent company and I

NR500 crores to INR600 crore s from the subsidiaries, both the subsidiaries. So, subsidiaries, the sales will come from, I think, mid -August in this company. So, INR3,300 crores , INR3,400 crores revenue growth we have targeted this year.
About the PAT margins, I think it will be approximately 3 % to 3.5% till March because we are going to gold metal loan. So, we don't want to, we'll not like to increase the PAT margin. We'll sustain that margin till March. We'll reach 3.5%.
Prerana Amanna: Okay, sir. The next question is regarding the gold metal loan. I believe you already answered it. But how much percentage did we use of GML in this quarter that is Q1 FY25?
Mangesh Chauhan: In the September quarter, we'll be using 30 % to 35% limit, about INR100 crores GML in September quarter. And December quarter, 100% utilization will be there of GML.
Prerana Amanna: Okay, sir. Thank you so much. Thank you so much.

Moderator: Thank you very much. The next question is from the line of Bharat Gianani from Money Control. Please go ahead.
Bharat Gianani : Yes, sir good morning and congratulations for a great set of numbers and good guidance. So, just my question was like, so this, again only because of the custom duty impact, many of the jewellery retailers have indicated that margins will be under pressure because of the Indian tree. So, I just wanted to know, you earlier said that we would not have any impact.
So, is it that you have kind of a fixed price of the gold, which you are going to manufacture and supply to your client, that is why you will not have any impact? Because jewellery retailers are having an impact. So, can you explain why you will not have any impact because of the duty cut which is resulted in GML loss?
Mangesh Chauhan: 100%. Because it's a process that we follow. We have our hedging team, our pricing team. Whenever, in our industry, I will explain you properly that whenever the orders come to our industry, if Malabar Gold has given 20 kg orders to us, at the time of order, the rates are not fixed with the consumers. We buy bullion from the bank or licensed importer. We sell it in the MCX to produce the order.
And then when the order is ready for dispatch, we fix the price with the consumer and we hedge it again in the MCX . So, reverse the impact. So, everything is hedged in the MCX . So, there is no impact of the industry. Most of our clients who are large corporates are following the same process. About the small retailers or unorganized, I don't know.
They have impact or no impact, I don't know. But whichever clients are there, large corporates, they will follow all the same process which we are following.
Bharat Gianani : Okay, sir. Okay, fine. And, sir, the second question is on this INR270 crore s kind of fund raise that you have announced. So, sir, what will be the utilization of that if you can break it up? Like, how much will be for inventory? How much will be for you spending on R&D? Or how much you would -- So, if you can highlight that. I mean , if any capacity utilization -- I mean, obviously, we have shifted to a very new facility.
So, I just wanted to understand what exactly is the INR270 crore s utilization if you can split by a function like -- a broad assumption ?
Mangesh Chauhan: Yes, I will not give you the perfect figure. But we will invest some of the part in the -- When we raise, we will invest some of the part in the two subsi diaries to grow them more like S ky Gold. And some of the part will be used for 18 carat . We have hired some new operations head for 18 carat . I already told in some of one question that 18 carat , we are growing very much. So, we are investing in 18 carat also. And in diamond jewellery also, we will invest some of the part. And some part will be keeping for the R&D. We are doing for the USA product, which we are makin

g -- We are planning for in two quarters to export to the US also. Some
corporates are there in the US.

This is in the R&D phase. And we will be investing that also. So, new segment, we are
investing in that.
Bharat Gianani : Okay. So, new segment when we say 18 c arat and diamond jewellery that is the new product introduction, right?
Mangesh Chauhan: Yes, yes. Okay.
Bharat Gianani : Got it, sir. Thanks and all the best.
Moderator: Thank you very much. The next question is from the line of Vivek Kumar from Luna Capital. Please go ahead.
Vivek Kumar: Yes, hi, sir. First, thanks for the opportunity and congratulations on a super -duper number this quarter. It's very heartening to see that you are on the track to reach where you have guided to reach. Just one query I had around that. So, we are talking about roughly anywhere from 2.5 to 3 times more utilization over ne xt one and a half to two years.
So, just wanted to understand your strategy about is it more towards increasing the wallet share or is it more towards adding more customers and how are you going about it? And if I can just follow that up with another question is , what are different constraints you may see or foresee in achieving these large volume utilization numbers? Thank you.
Mangesh Chauhan: Yes, we are already increasing our export market also. We are increasing our customers in Dubai, Singapore, Malaysia. We are working with Jwala Jewellery in Dubai, Singapore, Mustafa Jewellery . So, many corporates from Malaysia are also joining hands with us which have 5 to 10 stores which are equivalent to 50 stores which are larger stores. So, industry is also growing. Our unorganized market is shifting to organized.
So, unorganized market is shifting. Organized market share is increasing very high. So, we will gain share from that also. We are increasing our new customers. As I said that mid - corporate customers we are increasing which have 5 to 10 stores which are not in limelight in this market right now. But we are seeing that this will be in two years.
You will see that names which are g oing to 50 to 100 stores. Some three to five stores which have very small corporates we are planning to go to 10 to 15 stores. So, this will be like Malabar, Kalyan, Jenco. Many more 5 to 10 companies are coming ahead in the market. So, we are increasing the market share of small and mid -corporate also. Large corporates are already there in our pocket.
In them we are supplying. Our percentage is increasing of supply. So, all from these three our sales is coming. And we are increasing exports also in Dubai, Singapore and Malaysia.
Vivek Kumar: That's fantastic. If you can just answer the other part of it. What are the different constraints you may foresee in achieving such a high growth? Will it be in terms of resources, manpower, working capital? What are the different challenges you may foresee?

Mangesh Chauhan: Already we are in a convenient position with the working capital and we have good funds in our company. So, there will be no constraint. Manpower is every time available in Mumbai because it is very favourable for the city, for the workers. There is no constraint in reaching . I think if your products are up to mark you are very much on the product which we are launching every month. We are launching every month 2 ,000 designs.
This August also we had an exhibition in Goregaon and there was so much tremendous response overall in the jewellery market because of the duty cut and all. So, if you are up to mark to your designs or the design you are working on what we are launching in every quarter after 12 months, what will be changing in the generation and what will be the trends shifting and we are reading it and properly launching the product. There is no constrain

t for the
manufacturer, I think.
Vivek Kumar: Sure, sir. Thank you. Thank you so much for your answer and wishing you all the best for the future. Thank you.
Moderator: Thank you very much. The next question is from the line of the Digesh Mehta from Dinero Wealth . Please go ahead.
Digesh Mehta : Yes, sir. Good morning, sir.
Mangesh Chauhan: Good morning, sir.
Digesh Mehta : Just wanted to understand there is a slide number 23 in your presentation which shows your sub-brands like Veena, Kimora, Sky9 Diamonds and all. So, how do we deal with such kind of

brands, sir? So, where do we deal it, sir?
Mangesh Chauhan: We exhibit every quarter in India with GJEPC and we display our brands. This helps the corporates to identify how m any segments we have in casting jewellery . So, how many product lines we have. So, this brand is for our corporate clients not for retail. So, this brings us differently for the corporate they can identify which brand we have which we deal in and which i s the line of products we have.
Digesh Mehta : So, this is not also on the distributor side also, right?
Mangesh Chauhan: For distribution also, yes.
Digesh Mehta : No, no. I am saying we don't deal with such kind of brands even with the distributors also, I am saying. It's only for purely corporates?
Mangesh Chauhan: Yes, corporates.
Digesh Mehta : And second thing, sir, just wanted to understand the two acquisitions which we have done right now. So, I understand that we are taking a fund infusion for the same and we are going to deploy either through working capital or either for the growth plan for the same. But, sir, can you just help us to understand the numbers? Because what I understand is around INR350 crores of the top line both of the brands are generating right now.

Mangesh Chauhan: Yes, yes.
Digesh Mehta : Yes. So, what is the scalability we can expect from both of these brands going forward in the next two years, sir?
Mangesh Chauhan: So, we have both have capacity to go up to INR1,200 crores and INR1,300 crores in two years. Already last year we did INR370 crores sorry, last year. And this year we can make it INR600 crores to INR700 crores from both the entities.
Digesh Mehta : And, sir, what kind of margins?
Mangesh Chauhan: We have given guidance put together for INR6,300 crores , INR5,000 crores from the parent company and 1,300 crores from the both companies. (subsidiary companies)
Digesh Mehta : And margins more or less will be the same, right?
Mangesh Chauhan: Yes, margins are basic like Sky Gold in both the entities but we have much scope in both the entities to work on. We'll start working from 15 th August on that we’ll trade more fancy products from different , different type of chains different visible products which where we can create more margins.
Digesh Mehta : Okay, okay. Thanks a lot, sir.
Moderator: Thank you. Next question is from the line of the Dipanshu Suman from Sattva Ventures . Please go ahead.
Dipanshu Suman: Hi, sir. Congratulations for super performance. Sir, just wanted to check with you of the volume growth. We are looking on a quarter -on-quarter basis from here. So, 345 kg we have already done. So, in our stand -alone business should we look at 5 %-6% kind of quarter -on-quarter volume growth from here for coming three quarters?
Mangesh Chauhan: We will sustain -- approximately whole year will be 350 kg annually. I can give you annually guidance will be up to 350 kg, 360 kg but here and the re 10-15 kg for each quarter. So, annually we will come up to 350 -360 kg.
Dipanshu Suman: So, but with the u pcoming say marriage season etcetera , it's a strong marriage season this year. So, are the orders already in place or you are going to receive further higher order which is for October. I just wanted to understand the ordering cycle. So, is it three months

before, one
month before? What kind of ordering cycle is there?
Mangesh Chauhan: Already we have ordering cycle of 30 -45 days. Basically, these are very confidential. We can't give much on this. But we have a cycle of 30 -45 days.
Dipanshu Suman: Okay. Second thing sir, on this per kg realization price of gold because of this tax cut etc etera . So, is your realization per kg, is there chance that if the gold price comes down what has happened? So, is there chance that the realization price can come down? And if so, can it impact the gross margin?

Mangesh Chauhan: Not much because already they have reduced the 10% margin duty. So, and the prices are about 7 %-8% down. So, there is much more difference on our labo ur cycle.
Dipanshu Suman: Understood sir. Sir, also in your press series we saw that you are going ahead with new regional head hiring and also hiring people on the export side. Any colo ur you want to say that how these guys are joining and how much contribution, from when these contributions will

start to come in?
Mangesh Chauhan: Yes, already we have hired 18 -carat operations head. We have hired 22 -carat operations head last month before. We have development head hired. So, we are now ahead international sales head also. He will be joining from September. So, he will also add in our margin revenue. As and when he will join. So, we will give guidance in next quarter when he will join . But he is joining from next month. Yes.
Dipanshu Suman: Okay, thank you and all the best.
Mangesh Chauhan: Thank you so much.
Moderator: Thank you. The next question will be from the line of Manan Vandur from Wallfort PMS . Please go ahead.
Manan Vandur : Thank you so much for your opportunity and congratulati ons on the numbers. Sir, I had two -three questions. I wanted to understand that are we planning to have a new market or are we planning to get into other new geographies or are we planning to, which existing geographies we have, are we going to like penetrate more or like both we are going to do?
Mangesh Chauhan: So, we are basically concentrating in corporates only. We will be with large, mid and small corporates. We are n ot going to much single -single r etail stores. So, we are much concentrated into corporates. We will be planning to grow more in export corporates also whichever have 50, 100 or 150 stores in exports. So, we will be joining hand with them also but our main focus is on corporates only.
Manan Vandur : Yes, so like geographies like let's say like other countries. So, we are already in a few countries. So, more countries, I am asking?
Mangesh Chauhan: Yes, we are into R&D. Already we are in to Singapore and Dubai. We are into R&D phase, we are developing a product for USA. It will take some two quarters and we are planning to enter the US market.
Manan Vandur : Okay, sir. And have we added any clients in this quarter like any export client or Indian clients?
Mangesh Chauhan: Yes, three or four new clients we have added in this quarter. Yes.
Manan Vandur : Okay. And another one last question that do we have like a particular criteria that they should have so many stores only then we can go and approach them to -- so that we can be there, distributed something like that. Do we have like a certain criteria?

Mangesh Chauhan: See e very customer is important to us but we like to join hand with which have at least three to five stores or which have which we can give sales up to yearly at least INR30 crores to INR50 crore s or something. We can't serve the small retailers who will take yearly INR1 crores or INR2 crore s products because we have small capacity. So we are into it that some corporate minimum criteria is try to three to five stores they should have and they should take INR20 crores t

o INR30 crores or INR50 crores sales yearly.
Manan Vandur : Okay. Understood. Thank you so much. That's it from my side.
Moderator: Thank you. The next question is from the line of Bharat Gianani from Moneycontrol Pro . Please go ahead.
Bharat Gianani : Yes, sir. Thanks for the opportunity once again. You have just one clarification, sir. FY27 you have given a revenue guidance of INR6,300 crores . So just wanted to check what would be the revenue target for Sky Gold standalone and the two subsidies. So can you provide a breakup of that?
Mangesh Chauhan: Yes. For Sky Gold we have already given INR5,000 crores revenue to 2027 March and for the subsidiary is INR 1,300 crores . So consolidated will be INR6,300 crores .
Bharat Gianani : Okay. And s ir the subsidiary margin -- PAT margin is currently I mean, what's -- what PAT margin the subsidiary is making and what is the target?
Mangesh Chauhan: Already the last year the subsidiary w e were at 2 % PAT margin. Now this year we are expecting that margin from them also to 2.5 % to 3% in this year. So we will be placing them like Sky Gold . They have a capacity to grow like Sky Gold and we'll be putting effort and putting some funds also in this inventory and we can bring them also to the Sky Gold level.
Bharat Gianani : Okay. S ir thanks and all the best .
Moderator: Thank you. The next question is from the line of Ash, who's an Individual Investor . Please go ahead.
Ash: Hi. First of all t hank you for the opportunity. I have some questions around the GML. You said that GML will be 100 % by December. So will it have an impact on the finance cost? Because right now, if I look at the finance cost from March to June, it is almost double. So will it have impact on the finance cost as well?
Mangesh Chauhan: 100%. We had a risen the debt in the last quarter, the March quarter. That's why the finance cost has risen. But GML will help us to reduce 0. 5% of the sales, which 0.5% PAT will

improve because of the GML. So that will help us to improve 0.5 %.
Ash: All right. And in terms of, say, top 10 customers, I think last year it was like top 10 customers contributed 75 % of the revenue. What does that number look today, like top 10 customers contribute how much percent approximately as revenue?
Mangesh Chauhan: Yes. Total mid -large and small corporate contributed 65 % to 70 %. The top 10 contributed approximately 40 % or something.

Ash: All right. Okay . Thank you, sir.
Moderator: Thank you very much. The next question is from the line of Varun from EVK. Please go ahead.
Varun : Hi. Thanks for taking my question. I'm sorry I joined the call late. It's already been answered. Maybe, sorry for repetition. So there are two questions. One is, on a quarter -on-quarter basis, the employee cost and the other expenses have gone down. Any reason behind that? About gone down -- on a quarter -on-quarter basis, other expenses and employee expenses have gone down. It has reduced. So …
Mangesh Chauhan: Just to see on that. I'll skip that question because I don't have the data of that. So I'll mail you that. Sorry for that. Not answering that.
Varun : Okay. And sir till last quarter, I remember in the -- for fundraising your plan was that no more fundraising is required. And we are self -sufficient right now. But suddenly now this has come up. What is the plan for the utilization of this?
Mangesh Chauhan: Yes. Before that, we have not acquired more entities when we said that no funding is required. But we acquired two more entities so we can fuel them. And we have started two more divisions. 18 karat we are scaling up. 18 karat were very low. So we are putting funds in 18 karat also. And we have started diamond jewellery also from last quarter. So we are putting -- so we are , we have four segments to invest in.
Already we have funds for 22 karat.

We don't need funds for 22 karat which is our core. So we are expanding our arms in 18 karat diamond jewellery and two more subsidiaries of Mangalsutra and chains. That's why we are into fundraising.
Varun : Okay. And what is the preferential route? I mean, what way are we thinking of? Is it like QIP or preferential allotment or I mean, any or we have a right issue? What we are planning for?
Mangesh Chauhan: Maybe a combination of both. As and when required we will inform the exchange -- everybody.
Varun : And tentatively by when you expect it to happen?
Mangesh Chauhan: So these are we will inform as and when required to the exchange and all of you .
Varun: And, when we see -- this is because we were reading for other retailers, jewellery retailer, there is a significant increase of gold jewellery demand because of reducing prices. Have you also starting feeling or getting some trend whereby there is a significant increase or it is just like the way you expected it to be a normal growth or it is a certain spark that has happened?
Mangesh Chauhan: No, no, it's extraordinary growth we are seeing because right where we were in the exhibition from 9th August, I just skipped today. Today also exhibition is going on. So I think historic buying is there in the total historic booking is there. Their clients, retail clients are saying that we have seen so much demand it's like 2008, when in 2008 some this type of demand has come, domestic demand has come.

So that type of demand we are seeing in the exhibition. We -- in the exhibition, we don't have a space to so and so for the consumer fully packed. So I think it's a great response. Nirmala Sitharaman has taken a very historic decision and never any government has reduced the import duty. But this is a master stroke for unorganized market.
Varun : Got it, got it. One last thing, we were targeting one of the largest retail chain in the country. And also is there any further progress on that?
Mangesh Chauhan: Already I have answered the question that we have already done all the process. They have visited twice our facility. Products also are shown in this exhibition also. We showed the products. But it's a matter of time when they open the doors for the vendors and they have a process when to onboard a vendor for the casting value. But we are very much on the high numbers to be onboarded.
Varun : And as a general industry trend or someone like them, is that they are primarily outsourcing or they have their in -house facilities also to produce?

Mangesh Chauhan: Major companies are outsourcing because outsourcing is a good choice for them. So Titan also outsourcing 70 %-80% from outside. Malabar Gold, Kalyan Jewellery , everybody is outsourcing. Malabar Gold is producing 10 %-15% inside. But major all are outsourcing 100% from the manufacturers.
Varun : And barring us, if you, I mean, if you say that from this industry size of outsourcing in top 10 manufacturers or contract manufacturers, where do you think we will stand in an overall country perspective?
Mangesh Chauhan: There are many segments in the jewellery. In the gold jewellery also, we are -- I'll give an example of a Sky Gold parent company is that I think second number our competitor Emerald Jewellery is at first number here doing INR6,000 crores per year. Per year we are we are in the track to achieve INR2,700 crores.
So we are about second number in the casting jewellery. So there are many segments different in the Mangalsutra and chains we have acquired. We are at I think eight or nine number. But at the parent company we are at second number for the casting jewellery.
Varun : Okay, so why I'm asking is someone like Titan is not part of us and they are the market leaders and we being on the second is it like they don't procure that

kind of this jewellery or 18 carat
too much? Is it like because of that because how they will op erate if majority is outsourced… ?
Mangesh Chauhan: Someone is supplying to them so they don’t require -- it's not about that but it's about the timing and Titan takes every vendor one and a half year to onboard already we have from last two years we are in talks with them. So Titan is not about that your product is good and we are creating 10% margin on that and we'll onboard that .
And what you are doing for them right what is about your facility and all. So already they have done the R&D for our company as we are getting the information. But earlier we were -- our

facility was very small to reach them now we are free but eligible for them -- it's a matter of time sir.
Varun : Okay. Thank you so much sir. Thank you.
Moderator: Thank you very much. The next question will be from the line of Amit Agicha from H.G. Hawa and Co. Please go ahead.
Amit Agicha: Good morning sir. Thank you for giving me the opportunity and congratulations for a good set of numbers. My question was with respect to capacity, total capacity that we have and how much can we increase after the cons olidation of these subsidiaries?
Mangesh Chauhan: Already in parent company I told we have put in the PPT also that we have 750 kg per month capacity and subsidiaries both together we have 300 kg per month capacity. So both together can go up to 1050 kg per month and yearly 12 ton we can produce. We have produced 3 ton only in the last year. So we have a higher road to go ahead.
Amit Agicha: So at present like we are working on 350 per kg per month , right?
Mangesh Chauhan: Yes, in the parent company.
Amit Agicha: So that comes to roughly 40% utilization.
Mangesh Chauhan: Yes, 40-45%.
Amit Agicha: Any plans of the strategies of the companies to come to 80 %-90% capacity utilization? Any guidance?
Mangesh Chauhan: Yes, 2027 we have already told we will be at 100% utilization.
Amit Agicha: Thank you for answering. Thank you.
Moderator: Thank you very much.
Mangesh Chauhan: Thank you so much ma'am. So can we conclude this call?
Moderator: Yes, sir. Ladies and gentlemen that was the last question for today. In the interest of time. I would now like to hand the conference over to the management for closing comments.
Mangesh Chauhan: Thank you, everyone for joining us. I hope we have been able to answer all the queries. In case you have -- require any further details you may please contact us or Orient Capital, our Investment Relations Partner s. Thank you so much. Thank you for being a part of our Sky Gold journey . Thank you so much.
Moderator: Thank you very much . On behalf of Sky Gold Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2024

27th November, 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalai Street, Fort,
Mumbai 400001

Scrip Code: 541967 To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block, Bandra-
Kurla Complex, Bandra (East), Mumbai 400051

Trading Symbol: SKYGOLD

Subject: Revised Transcript of Earnings Conference Call (Errata)

Dear Sir/ Madam,

This has a reference to our intimation letter dated November 26, 2024, wherein the Company has submitted Transcript of Earnings Conference Call, inter-alia, to the Stock Exchanges, pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

In this connection, please find enclosed herewith revised transcript of the earnings concall, for the purpose of revision carried out in the following page:

Page No. Particulars Old Disclosure (Typo) New Disclosure
7 Q2 FY25 Earnings
Conference Call –
Transcript Already we have given
a blended of INR3,300
crores this year and
FY26 is INR6,300
crores. Already we have given
a blended of INR3,300
crores this year and
FY27 is INR6,300
crores.

The said transcript is also available on the Company's website at
http://skygold.co.in/wp-content/uploads/2024/11/Revised-Transcript.pdf

This is for your information and records.

Thanking you

For Sky Gold Limited,

Mangesh Chauhan
Managing Director & CFO
DIN: 02138048
Place: Navi Mumbai

Encl.: As above.

"Sky Gold Limited
Q2 FY25 Earnings Conference Call"
November 19, 2024

MANAGEMENT : MR. MANGESH CHAUHAN – MANAGING DIRECTOR
AND CHIEF FINANCIAL OFFICER – SKY GOLD LIMITED
M R. JAYESH SANGHAVI – FINANCE TEAM – SKY GOLD
LIMITED
M S. NIKITA JAIN – COMPANY SECRETARY – SKY
GOLD LIMITED

MODERATOR : MR. PARTH PATEL – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Sky Gold Limited Q2 FY25 Earnings Conference Call. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Parth Patel from Orient Capital. Thank you and over to you, sir.
Parth Patel: Thank you, Neha. On behalf of Orient Capital, I welcome you all to Sky Gold Limited Q2 FY25 and H1 FY25 Earnings Con call. From the management side, we have Mr. Mangesh Chauhan, Managing Director and Chief Financial Officer, Mr. Jayesh Sanghavi from the finance team and Ms. Nikita Jain, Company Secretary. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and the company's website.
I would like to mention a short disclaimer before we begin the call.
This call may contain some of the forward-looking statements, which are completely based upon our beliefs, opinions, and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties. With this, now I hand over the call to Mr. Mangesh Chauhan. Over to you, sir.
Mangesh Chauhan: Thank you, Parth. Good morning, everyone. Thank you for joining us today as we discuss our Q2 FY25 quarterly performance. Q2 company recorded its highest-ever quarterly revenues and PAT showing resilience and strength. Revenue for the quarter stood at INR768.8 crores, registering a growth of 94% year-on-year. PAT stood at INR36.7 crores, registering a remarkable growth of 405% year-on-year. The Indian jewellery market valued at approximately$90 billion.
The growth outlook for the coming years is encouraging with gold jewellery expected to expand by 12% to 15% annually. Organized jewellers are increasingly adopting a franchise model expansion model, especially to capture the untapped potential in Tier 3, Tier 4 cities. The franchise model involving FOFO model franchisee-owned franchisee operated and FOCO model franchisee-owned company-operated structures allowed them to scale faster and open double the stores compared to the traditionally company-owned model, all while minimizing the debt exposure.
Key factors such as stock market volatility, a strong wedding season and economy stability are driving demands. Demand drivers within the jewellery categories are segmented further by occasions such as weddings, festivals and casuals. Notability, the casual jewellery is witnessing faster growth due to its lightweight appeal and design variety, resonating well with the younger generation.
Discussing our performance this quarter, we are delighted to report positive demand from the ongoing festival season and the upcoming wedding season also shows promising strength.

Additionally, I am excited to announce a significant milestone in our company's journey as we have successfully raised INR270 crores. This investment will be strategically allocated across broadening our product portfolio with expanded offerings in 18 carat gold and diamond jewellery to align with evolving customer preferences.
Increased capital infusion into our subsidiary, Star Mangalsutra Private Limited and Sparkling Chains Private Limited which positions us to tap into increased TAM of 65%. To meet

increasing demand, we are enhancing organization capacity by aligning skilled designers, artisans and experts across sales and merchandising and design. On a global front foot, we are targeting key international markets including the Middle East, UAE, Singapore and Malaysia to establish a stro

ng presence.
Additionally, we are actively pursuing acquisition opportunities to further strengthen our market position and accelerate growth. Our FY25 revenue guidance stands at INR3,300 crores which includes INR2,700 crores from our core operations and an additional INR600 crores from our subsidiaries which we acquired recently. For the current quarter, the contribution from subsidiaries was very limited and Q3 you can expect inflows on a full quarter basis.
This quarter, our monthly production volume averaged 345 kgs, significantly from 250 kgs per month last year, making a robust 38% year-on-year growth. Exports also made a healthy contribution with sales increasing to INR63.9 crores, accounting for 9% of our total quarterly sales. As mentioned earlier, we are continuously building and strengthening our core team. I am pleased to welcome Mr. Akash Talesara as our new President of Sales and Business Development with over two decades of expertise in the gems and jewellery sector.
Akash brings a wealth of industry knowledge to our team. We are confident that his leadership will help us to achieve new milestones and unlock fresh opportunities. Akash will be instrumental in onboarding new clients domestically as well as internationally.
Now I will discuss the Q2 FY25 financial performance. The consolidated revenue for the quarter stood at INR768.8 crores versus INR396 crores in Q2 25.
Thus, resisting a growth of 94.2% on year-on-year basis. The gross margin was 6.5%. EBITDA for the quarter was INR38.8 crores compared to INR15.3 crores, showing a growth of 154.3%. EBITDA margins for the quarter stood at 5% as compared to 3.9% in Q2 FY24, improved by 119 basis on year-on-year basis. PAT for the quarter stood at INR36.7 crores as compared to INR7.3 crores in Q2 24. PAT margins for the quarter stood at 4.8% as compared to 1.8% in Q2 FY24, hence improved by 294 basis on year-on-year basis.
Moving to the H1FY 25 financial performance, the consolidated revenue for H1FY 25 stood at INR1,491.9 crores versus INR771.7 crores in H1FY 24, registering a growth of 93.3% on year-on-year basis. The gross margin was 6.4%. EBITDA for H1FY 25 was INR76 crores compared to INR33.9 crores, showing a growth of 124.4%. EBITDA margins for H1FY 25 stood at 5.1%

as compared to 4.4% in H1FY 24 improving by 70bps on a year-on-year basis. PAT for H1FY 25 stood at INR57.9 crores as compared to INR17.9 crores in H1FY 24.
PAT margins for H1 FY25 stood at 3.9% as compared to 2.3% in H1FY24, hence improving by 156 basis on year-on-year basis. We have achieved a strong first half, laying a solid foundation for continued growth in H2. We aim to achieve 7% to 8% gross margin through an optimized product mix and export, while maintaining a long-term EBITDA margin of 5% to 5.5%. A key driver for PAT margin expansion will be reduced interest cost and we initiated utilization of gold-metal loans, which will have meaningfully impact on our interest costs moving forward. I now open the floor for questions.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead.
Palash Kawale: Sir, congratulations on recent fundraising a very good set of performance in the quarter.
Mangesh Chauhan: Thank you so much.
Palash Kawale: Sir, my first question is what kind of run rate are you expecting from your acquired entities in upcoming quarters in terms of volumes?
Mangesh Chauhan: So, we are expecting a totally blended INR1,000 crores revenue in the next quarter, from the parent company INR700-INR750 crores what we are going by the run rate and from the subsidiary INR150 crores-INR350 crores. So, next quarter we are expecting a blend of both main company and subsidiary company ofINR1,000 crores.
Palash Kawale: And sir, how is the demand? Is there a pickup in

upcoming quarter like Q3? Is there a pickup on
account of strong wedding season that is expected?
Mangesh Chauhan: 100% as all our client has given the outlook is very good for the wedding season as rates are also down by 5% of gold. Rates from 81,000, has come down to 76,000. So, it is helping to boost the season already. I told in my interview also that India is having 4.8 million weddings in this year. And 25% more weddings are happening in this quarter which will generate 6 billion revenue.
So, jewellery is contributing 25% of this and 75% of garments and other events and all. So, there is a huge wedding season ahead in January-February. So, we are getting order in this quarter for

the wedding season and December also wedding season is going on. So, there is a good demand
as per the feedback from our client and retail corporates. They are very much positive on this
and growth is good.
Palash Kawale: Okay, sir. Thank you for that. And sir, what is your outlook for gold prices in next 1 year?

Mangesh Chauhan: So, already gold prices are spiked by 20%- 25%. So, industry is hoping that it will go stable for
next two to three quarters, I think. Because in two quarters it has jumped to 20%. So, industry is
hoping that two to three quarters will go to stable and then again it will start rising.
Palash Kawale: Okay. And sir, how many employees are there now in Sky Gold like could you give the employee
count by the end of FY24 and by the end of Q2?
Mangesh Chauhan: So, by the end of 24, we were at 500 employees-550 employees now we are at 650 employees
at Sky Gold parent company and subsidiary, we are at 150 employees to 180 employees in both
the subsidiaries. So, together we are at 800 employees. So, 150 employees has increased.
Palash Kawale: And sir, any plan to add more employees in this year?
Mangesh Chauhan: So, as and when required we will keep on adding some because as our turnovers are growing
and volumes are growing, as orders are coming, we have added CaratLane also and PN Gadgil
also. So, as clients are also adding. As and when required, we will add. For now, we are okay
with 650 employees here.
Palash Kawale: And sir, was there a contribution from these two clients in the Q2 volume?
Mangesh Chauhan: Yes, CaratLane contributed some, some part came in this quarter, December quarter and some
part came in that quarter. So, we initially started with them with some products. So, now we are
supplying 1% or 1.5% of the revenue, but in these two, three quarters, we will grow with them.
Palash Kawale: And sir, these two clients, how much volume can they get - can they add just a number, if you
could throw it?
Mangesh Chauhan: So, CaratLane is about we generate making charges bill. We do labor jobs on them. We don't
want to invest our capital and we don't want to invest in inventory and debtors for them because
they give their bullion raw material to produce. So, it will add up to our gross margins very
much. And P N Gadgil this is from our inventory. So, I think P N Gadgil can add up to INR50-
100 crores sales to our sales. And CaratLane also can give us a monthly volume of 58 kg or
something. So, we are at 350 kg. So, we can add 50 kg volume by CaratLane, I think in two
quarters.
Palash Kawale: Thank you for that. And sir, my last question is what constitute of debt is GML now?
Mangesh Chauhan: So,. we were last quarter at 10%. We have moved approximately to 20%-22%. So, this quarter,
we are hardly trying because some banks have other policies. So, I think by December quarter,
we will be at 50%-60%. So, already we have come to 20%. Last quarter, we were at 10%. Now,
we are running at 25% GML this quarter. So, by December quarter, 60%, 65% will be at GML.
Palash Kawale: And sir, this can go up to 80%- 85%?

Mangesh Chauhan: 80% is allowed, 80%-85%. We cannot go 100

%. So, major bankers are in proposal. So, we are
expecting by December 60%-65% we will use.
Palash Kawale: And sir, what is the cost of debt for the gold metal loan for us?
Mangesh Chauhan: So, it is ranging from 2.75% to 3% blended 3% with other costs and all.
Palash Kawale: So, blended 3%?
Mangesh Chauhan: Okay.
Palash Kawale: Sir that’s it from my side. Thank you for the detailed answer and all the best for the upcoming
wedding season. Thank you very much.
Moderator: Thank you. The next question is from the line of Bhavik Shah from Arihant Capital. Please go
ahead.
Bhavik Shah: Yes. One question from my line is on the working capital cycle. Can you explain about the
inventory days that you have currently for the September quarter?
Mangesh Chauhan: So, we are at a total of working capital cycle of 75 days approximately.
Bhavik Shah: All right. So, like if I look at the cash conversion cycle of March 24, it was roughly around 78
to 80 days and currently it is 75 days, right?
Mangesh Chauhan: Yes.
Bhavik Shah: All right. And one more question on the standalone Sky Gold. Do you expect to open any retail
chain in the coming years?
Mangesh Chauhan: No, right now, we are focusing totally on B2B manufacturing. So, we have already added two

subsidiaries. So, we are into 65% which is sold in the retail. So, we have good scope in the clients addition, new clients are adding. We are expecting to add new clients in this quarter also. So, there is a huge scope here. Right now we are not in a mindset of retail.
Bhavik Shah: And two questions on the subsidiary part. Can you please explain about the EBITDA margin that the subsidiaries are currently earning?
Mangesh Chauhan: Your voice is breaking can you repeat about the subsidiary question.
Bhavik Shah: Can you explain on the EBITDA margin of the subsidiary companies that you recently acquired? How much they are earning?
Mangesh Chauhan: EBITDA for the subsidiary was 4.5%. So, in next quarter, December quarter total flow will happen. This quarter it was about I think 50 days or something has added to our company because we acquired in September 5th or 6th only. So, now December quarter the revenue will

also be there as well as profits also. So, they were at 4.5% EBITDA. So, we are also expecting them to take into quarter to 5.5% EBITDA because we have infused already the fund base amount, some amount in both the subsidiaries and we have started launching some new verticals and new designings in that. We can create margins.
Bhavik Shah: All right. And if you can give some sales estimates for next 2 years, 3 years on the subsidiaries part if you can?
Mangesh Chauhan: Yes. Already we have given a blended of INR3,300 crores this year and FY27 is INR6,300 crores. So, INR1,300 crores from subsidiaries and INR5,000 from the parent companies.
Bhavik Shah: And on the capacity front of the subsidiary, what is the current capacity utilization of the subsidiary companies?
Mangesh Chauhan: Subsidiary companies is about 30%-33% utilization both the subsidiaries.
Bhavik Shah: Yes. And you plan to ramp it up to 70%, 80% odd?
Mangesh Chauhan: Yes 100%. That's why we have infused capital also in that. And we are ramping up because we already have designers, production heads and all. So, we have to add to the verticals where it is. So, clients are already onboarded same as Sky Gold. So, whatever client is added in Sky Gold, they are adding in the subsidiary also. So, just we have to accelerate. So, we are on that path only.
Bhavik Shah: Okay. Thanks. And last question on the Standalone company. What is the current capacity utilization of Sky Gold standalone?
Mangesh Chauhan: So, we are at 46%
Bhavik Shah: All right. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Raj Saraf from Finvestors. Please go ahead.
Raj Saraf: Good morning, sir. I c

ongratulate you on this very good set of numbers. Sir just wanted to know how this wedding season is planning out?
Mangesh Chauhan: So, weddings earlier question I answer the same probably that wedding season is very good in India. I think 25% more weddings are there. The highest of the history as per our clients and corporates they are telling. So, 25% more weddings are happening in India. And a very good season and rates are also helping us because gold rates are down by 5%.
So, the atmosphere is good for buying. And in the retail footfall, it's very good for the inventories, for gifting in the wedding and for bride and grooms and all. So, it's very good orders we are receiving for the wedding season.
Raj Saraf: So, this year guidance I missed that INR3300 including subsidiaries am I correct sir?

Mangesh Chauhan: So, INR2,700 from the parent company and INR300 from both subsidiaries individually.
Raj Saraf: Okay, sir. And sir, export is now 9%, sir. So, how we are planning to raise the export volumes or export revenues, what are your plans?
Mangesh Chauhan: So, we were at 1%-2% last year. Now we are at 9%-10%. So, we will be majorly in India only for 80%-85%. We will take export to 15% to 20% or 17%, 18% not more than that. So, we are concentrating in Malaysia, Singapore and Middle East country like UAE, Dubai, Qatar because our jewellery design and our vertical suits for that Middle East and Asian countries, our products are not for Europe and US countries.
So, we have already appointed an international Sales Head, Akash Talesara, who has joined us, who has 20 years experience of the industry. So, we have appointed him Vice President for the sales. So, now he has joined from 5th November he is looking about exports and domestics also.
So, we are expecting the export to take to 15% right now.

Raj Saraf: So, 15% by when we are targeting, sir, by next year or this year?
Mangesh Chauhan: So, I think this year we will be at 12%-13% and next year we will be at 15%.
Raj Saraf: And what is the margin profile, sir, in exports?
Mangesh Chauhan: So, exports' gross margins are blended at 6%-6.5% or 7% also. So, blended it comes to 6.5% approximately.
Raj Saraf: Gross margin 6.5%?
Mangesh Chauhan: Yes.
Raj Saraf: So, thank you very much for answering my questions, sir. We are going very nicely ahead, sir, and congratulations once again for posting these excellent numbers. And sir, one thing I left, sir, for this other income which is on the higher side, sir. Can you please explain that, sir?
Mangesh Chauhan: So, we had some - 5 years back we had some shares of HDFC Bank, TCS shares. We have placed to the banks against that we have taken the debt. So, we have replaced them with the FD. As a major listed company, now we don't want to keep any shares in the balance sheet. So, as advised by our advisor. So, we sold out that share this quarter. So, that's why other income came. So, it's a one-time income. And next quarter also some shares are pending with SBI Bank. Other shares we have already sold. We have replaced by FD collateral with the bank. So, with SBI we have INR35 crores of shares something. This quarter, these shares will also be sold. So, there will be no shares in our balance sheet. So, that's why other income came here.
Raj Saraf: So, this is like an exceptional gain, I can say?

Mangesh Chauhan: HDFC and TCS shares we bought 5 years to 6 years back. So, we sold all these things. [inaudible] So, that's why the income came for them.
Raj Saraf: Okay. So, going forward, this would not be there, it is like a one off?
Mangesh Chauhan: No, till December quarter we have some shares. This will be offloaded in December quarter also. So, going forward these other income will be not there.
Raj Saraf: Okay. Thank you very much, sir.
Moderator: Thank you. Ladies and gentlemen,

we have lost the management line connection. Please stay connected while we reconnect them. Thank you. Ladies and gentlemen, thank you for patiently holding. We have the management line back on the call. Thank you. The next question is from the line of Mihika Joshi from Vimana Capital. Please go ahead.
Mihika Joshi: Hi. Congrats on great set of numbers. So, I just had one question on your volume guidance. So, what is the overall volume guidance for FY25?
Mangesh Chauhan: We are at [inaudible] so till FY27…
Mihika Joshi: Sir your voice is not clear. Can you just repeat.
Mangesh Chauhan: I will repeat once again. So, we are at 350 kgs per month. Can you hear me?
Mihika Joshi: Yes. Now, I can.
Mangesh Chauhan: So, we are at 350 kgs per month run rate in H1 and we are having [inaudible] 375 kgs, 400 kgs per month till end of the year. And by FY27, we are expecting to go to 750 kgs per month.
Mihika Joshi: Okay. So, for FY26, what is the guidance?
Mangesh Chauhan: Pardon. Can you repeat?
Mihika Joshi: What is the volume guidance for FY26?
Mangesh Chauhan: So, by FY26, it will be 550 kgs to 600 kgs per month.
Mihika Joshi: Okay. All right. And I just have one question on gold metal loans. So, given the potential risk of fluctuating gold prices, what is your strategy around gold metal loans and how are you planning to mitigate the impact of price increases on repayments? What is the strategy and how does it work?
Mangesh Chauhan: Yes. So, already our inventory is totally hedged in the MCX, which is available in India to hedge. So, our inventory is already hedged, and we hedge every sale and purchase on a daily basis in the hedging platform MCX. So, whenever GML comes, our hedging part will be lowered, but

we have to hedge after the sales. So, now we have to hedge total inventory. GML is a part that gives us on the approximate rate basis.
So, whenever we sell to the customer, we have to once again hedge. So, we follow every hedging system now when it is available in the CC also and will be in the GML also, we will hedge everything. So, we have a hedging policy. So, we don't gain also when the gold rate goes up, but we don't lose also when it goes down.
Mihika Joshi: Okay. Got it. That's it from me. Thank you.

Moderator: Thank you. The next question is from the line of Abhinav Sharma from Tara Capital. Please go ahead.
Abhinav Sharma: Good morning, sir. Congratulations on the great results. I wanted to ask if you share numbers for the studded ratio.
Mangesh Chauhan: So, I think, I don't have with me, and I will mail you, sure. So, you can send the team your mail ID.
Abhinav Sharma: Okay, thank you. And do you think the studded ratio is increasing?
Mangesh Chauhan: Yes studded and 18 Carat we are increasing, and we have infused the amount for 18 Carat and Studded only. So, in this December quarter also you will see that our Studded and 18 Carat is increasing. So, little bit they are increasing in the quarter, but I think I missed one page. So, I will send you.
Abhinav Sharma: Okay. Thank you. That's it from my side. All the best.
Mangesh Chauhan: In through the call, I will get in five minutes. I will announce in the call.
Abhinav Sharma: Yes please go ahead. Sure. Get in touch with me. Thank you.
Moderator: Thank you. The next question is from the line of Krishna from Capital Mines. Please go ahead.
Krishna: So, my question is on the new client acquisition trend.
Mangesh Chauhan: Yes. Pardon.
Krishna: My question is on the new acquisition, client acquisition trend.
Mangesh Chauhan: Yes.
Krishna: Now, we had onboarded CaratLane which is a subsidiary of Tanishq. Any progress we see on Tanishq trend?
Mangesh Chauhan: So, we are on it. Already, Akash Talesara, Vice President also joined us. He will also help us to onboard and we are continuously showing them products and approaching them. So, as and

when required we will inform the exchange and shareholder also when we onboard them, but we are very much into it and we are targeting them.
Krishna: Sure. Thank you, sir. Also, any other…
Mangesh Chauhan: Onboarding CaratLane will help us to achieve the target fastly because the performance of CaratLane speaks on our product portfolio.
Krishna: Right, sir. Also, sir, any other major clients you are targeting in Middle East or Singapore, etc.?
Mangesh Chauhan: So, already we are working with Jwala Jewellery who has 300 stores-400 stores other corporates like…
Moderator: Ladies and gentlemen, we have lost the management line connection. Please stay connected while we reconnect them. Thank you. Ladies and gentlemen, thank you for patiently holding. We have the management line back on the call.
Krishna: Yes, sir. So, my question was on any new clients acquisition in Middle East or Singapore areas?
Mangesh Chauhan: Right now, we acquired in last March quarter only. So, we are into it. So, we are targeting companies who has 10 to 15 and 20 stores. So, who are mid and small corporate and going to be large corporate in 2 years, 3 years. So, we are on it. So, already we have hired one President of Sales & Business Development, so I think we will be acquiring some new clients till December quarter.
Krishna: Got it, sir. One last question. Can you please provide any guidance on the margin strength both EBITDA and PAT? I can see that PAT you have mentioned around 3 percentage as growth guidance. I mean, as a guidance, margin guidance. Anything on the EBITDA side, please?
Mangesh Chauhan: So, gross margin we are expecting to be 6.5% conservatively and EBITDA margin is 5% to 5.5%.
Krishna: This is FY27?
Mangesh Chauhan: FY 25.
Moderator: Okay sir. Thank you. That's it from my side. All the very best.
Moderator: Thank you. The next question is from the line of Srinath Krishnan, an Individual Investor. Please, go ahead.
Srinath Krishnan: Yes, good afternoon, sir. Congrats on strong performance. My question is on working capital management. So, in March quarter, your complete total working capital was around 67 days. I am talking of standalone. Now, it has improved to 57 days, but it would have been better if receivables had not increased by 6 days, 7 days you would have gone down to nearly 50 days. close to 30% improvement in working capital.

What really happened in receivables, sir? Because in the past, you have mentioned about moving towards cash and carry. You generally operated at 16 days, 17 days, but now you have increased to 26 days. What did happen in receivables, and can we get back to the old days of 16 because now the inventory is close to 30 days inventory.
It has been managed well. Despite a 40% increase in sales from March to this period, the inventory has remained stable, but receivable has spiked. So, will receivable days also come down going forward?
Mangesh Chauhan: Sure, 100%. This quarter, you can see the gold rates were very high in this quarter by 20% in two quarters. So, we have to give some leverage to the customers because seasons were on and gold rates were [inaudible]-- we have given some leverage to the customer of 5 days, 6 days or 7 days, consideration of gold rate being high, but in coming quarters, we will be back to same days because, as you can see, we have added CaratLane who is giving us their raw materials. We are adding new clients of cash and carry much like P.N. Gadgil as 15 days. So, we are adding a client which have a rate of 10 days, 15 days and cash and carry, we are not adding new clients of 30 days or 40 days or 20 days. Old clients, like Kalyan Jewellers and all, we have 30 days. So, we are continuing them because they are our large clients, but blendedly it will come down. In this quarter, you can see rates were very high. So, we have

given a leverage to the clients of
7 days, 10 days because of the gold prices, [inaudible] but there was a little break in the footfalls and the customers were down for a period of 20 days then customers were to the normal in the last month.
So, that's why we were at a higher receivable days, but in the coming two quarters, you can see we are little better than in the lower receivables.
Srinath Krishnan: So, but also your exports have a lower receivable days because with improving export mix, if my understanding is right the export receivables are also very less?
Mangesh Chauhan: So, exports are already very less, but we are at 91% is from the domestic. That's why our receivable days were bit high because the domestic percentage is very high. So, I think this December quarter rates are also down and now...
Srinath Krishnan: I know sir, over long term, since you've ended that exports will become 20% of sales directionally higher…
Mangesh Chauhan: It will also help us to down our receivable rate. Because exports are cash and carry much business. And it's about take about 7 days 10 days. So, as exports grow up, our receivable days will blendedly come down also.
Srinath Krishnan: Great, sir. And also, you have mentioned in the past that with GML, you would be able to reduce your interest cost by half. I guess what you meant was interest cost was around 1% of sale it will come down to 0.5% of sale. So, with the funding, QIP funding that you have received, logically,

it should come down further. So, with 5%-5.5% margin, you are an asset light business. Depreciation is very less. So, we should move towards 4% PAT margin over the three to four quarters. Is that a possibility?
Mangesh Chauhan: So, we are targeting to 3.5% by reducing our interest cost. We got little bit later for GML because of the bank policies and all, but I think we will be at 50%-60% of GML by December quarter and 80% by March quarter. We were targeting to be at 80% GML by December quarter only because of the policy.
So, we are little bit late, but I think we will reduce the cost by 0.5%. So, we can give a guidance of 3.5%. But going forward for FY '26- '27, we will target 4%, 100% will go up to 4%.
Srinath Krishnan: Yes it is more long-term?
Mangesh Chauhan: Yes long term we are targeting to go because we have already added the vertical of studded jewellery, 18 Carat rose gold and many other, we are planning for FY '25 to add some Moissanite Jewellery which is running in the market and we are exploring the lab grown market also because it is very dense. After March quarter, we are planning for lab grown also. So, blendedly, this all will add up and bring up to 4% PAT. So, in long-term, FY '26, we can go up to 4%.
Srinath Krishnan: Sure. So, in the initial commentary of yours, you spoke about an important hire in the company. Apart from this, what are the future hires and where would you be strengthening your organizational structure in which departments and in a recent TV interview also, you spoke about building an app where the customers can order real-time. If you could speak about that, that would be very helpful?
Mangesh Chauhan: So, coming back to the hiring, we have already last two, three quarters we have hired a production head. A merchandizing head is coming. Akash Talesara already announced that he has joined as a Vice-President of Sales and all. So, back-end, we have hired only two, three major hiring and front-end also, we have hired a major hiring of Akash Talesara. Now, we are targeting a CFO.

We have already hired one CFO, but some of the reason, he was not able to join because of his earlier companies. So, now once again we are hiring a CFO. Soon, we will be announcing a CFO, and we are targeting to take two members of the board. We are already on the finalizing stage of one board member, we will announce in 30 days, I think.
And the sec

ond member will be around the December end. So, our main target is to take one CFO and two board members. They are not board members who are from a general background or some good backgrounds and who have an experience of 25 years, 30 years and this can add up to our company's strategies in the future. So, this is all about the hiring. Other question was, I forgot about the app.
So, app we have already started with the app, but it is on a trial basis. I think by December quarter, it will be live totally. So, it will help the purchase manager of the stores, the sales heads

and all can visualize each and every verticals and products. And they can order online.
Nowadays, corporates are trying to order daily basis. As there is 20-30 inventory, so they want to order from each and every store daily basis.
Nowadays, Kalyan is also trying to come to that basis. They want to order on daily basis. they want to order and they want to take delivery of 365 days from us. After 20 days-25 days, what is our inventory time. So, we have already made the app. Akash is also looking for the app to launch.
So, it will be launching in December I think the app and that will help us to accelerate our sale.
And customers will get a visualization of the product, which are the verticals, what are the weight range, what are the inventory budget for that so, that will help us to reach each and every store which we are targeting.
Srinath Krishnan: Understood. Congratulations, sir. Thank you again.
Mangesh Chauhan: Thank you so much, Srinath.
Moderator: Thank you. The next question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead. Mr. Palash, your line has been unmuted. Please go ahead with your question. As there is no response from the current participant, we will move on to our next participant, which is from the line of Pravin Desai, an Individual Investor. Please go ahead.
Pravin Desai: Good morning sir and congratulation for the result. You have declared a bonus of 1 and 9, but till now you have not disclosed the record date, sir. Is it there or not?
Mangesh Chauhan: 100% bonus is there. As and when required our CS team, Secretarial team and all the team will announce what is the procedure. They will know properly, and they will announce as and when required that the record date and the shares will be coming to your demat account. So, 100% bonus is assured and 100% you will receive the bonus shares.
Pravin Desai: But it will be on the proportion of 1 at 9, isn't it?
Mangesh Chauhan: Yes, you will get 9 shares for 1 share, but about the dates and all, this is not in my scope. The secretarial team and all will do the needful and soon you will receive the record date and the shares also.
Pravin Desai: Sir, can we sustain such a high equity with this type of profit?
Mangesh Chauhan: About what you are asking can you pardon sustain about?
Pravin Desai: Can our company sustain the huge capital with a bonus as 1:9 with the kind of profit we are looking. Yes, in future we are going very good, but will it sustain the capital. I think capital will be near about INR130 crores?

Mangesh Chauhan: So already we are at the reserves of INR500 crores with the subsidiary in the company. So already we are at INR500 crores reserves. I think it is a good decision and sustainable. So, I am not getting the question properly, but you can send me the question also. We can reply on the mail.
Pravin Desai: No, no, my question is simple, sir. With such a huge bonus, our equity will go from INR13 crores to INR130 crores like that, isn't it?
Mangesh Chauhan: Sure. So, we have done this because the retail investors can find it easily to enter the, they can invest in our shares because prices are very high. So it will be sustainable, sir, no problem.
Pravin Desai: So far the profit is concerned. I

am trying to say the liquidity will be very good, but so far our profit is concerned. Will it sustain the equity what I mean to say, sir?

Mangesh Chauhan: Yes, 100% our profits are good. I think this quarter is also good and we have given the guidance of '25, '26, '27. So, we are on it. We have added the clients and profits are going to come. It is on path.
Pravin Desai: Okay. Thank you very much, sir. Best for the future.
Moderator: Thank you. The next follow-up question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead.
Palash Kawale: Sir, what was the contribution from 18-Carat gold segment?
Mangesh Chauhan: It's cool, but early also somebody asked me, but I did not say. I will send you Palash on mail.
Palash Kawale: Thank you.
Mangesh Chauhan: Apologies for that. Yes.
Moderator: Thank you. The next question is from the line of Prakash Shandilya, an Individual Investor. Please go ahead.
Prakash Shandilya: Very good morning, sir. Thank you very much for giving me opportunity and congratulations for outstanding set of numbers. Most of my questions have already been answered, sir. My question is regarding geographic expansion. What is the primary risk in entering new international market and how does the company plan to mitigate it, sir?
Mangesh Chauhan: So, exports is mostly cash-in-carry business. There is no risk. Exports policies are very good in this government. There was very difficulty in the exports and all. Documentations are very high. The last 5 years to 10 years, exports is very easy to do. We can get export metal daily and daily way out. For 365 days we can get export metal.

So, customers like Joyalukkas, Kalyan Jewellers, Malabar Gold, Renewed with AAA rating, AA rating, customers we give credit of 7 to 10 days, but other than that, we do cash-in-carry business with them. So, there is no risk. We don't take any risk or credit for the customers internationally.
Prakash Shandilya: My next question is what is the company's plan to address the competition from organized or unorganized sectors, sir?
Mangesh Chauhan: So, I think we are also manufacturing. Others is shifting to unorganized to organized. We are the second number in the casting jewellery in India. We are largest manufacturer in Maharashtra with 80,000 square feet. So, our business is shifting to organized one. They want good quality with different shades of design. We are making different, different verticals for the customer, particular customers like CaratLane, for example, we came up with aesthetical design, especially monopoly design for them.
So, they rely on us because as a renowned company, they rely on us. The designing secrecy is their concept. Different things for different customers that comes as different from other unorganized manufacturers. Unorganized manufacturers have more types of infrastructure. such infrastructure, skilled architects, skilled designers, skilled workers and, of course, about the technology we have, German, Italian technology we have that differentiates us from them.
Prakash Shandilya: Okay, sir. My last question is that in recent profit growth, is there any plan to revise the dividend distribution policies, sir?
Mangesh Chauhan: So, we are not going for dividend for 1-2 years, whenever we are cash flow positive and lets say by FY26/27 post that. So, right now we are 1 year, or 2 years and we are not thinking about them. We want to retain good profits. So, whenever we will be cash flow positive and debt free, we will distribute dividends.
Prakash Shandilya: Right, sir. Sir, thank you very much for the detailed answer, sir. And that's it from my side. Best of luck for future endeavours for the whole Sky Gold family, sir.
Mangesh Chauhan: Thank you, sir.
Moderator: Thank you, ladies and gentlemen. Due to time constraints, we will take this as the last question. I now hand the conference over

to the management for closing comments.
Mangesh Chauhan: Thank you everyone for joining us. I hope we have been able to answer all the queries. In case you have enquired any further details, you may please contact us or Oriental Capital, our Investment Relationship Partner. Thank you so much. Thank you for being a part of our Sky Gold journey. Thank you so much.
Moderator: Thank you. On behalf of Sky Gold Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2024

26th November 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai 400001

Scrip Code: 541967 To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai 400051

Trading Symbol: SKYGOLD

Subject: Transcript of the Earning Conference Call

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a copy of the transcript of the earnings conference call held on Tuesday, 19th November 2024 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 30th September 2024, is enclosed.

The said transcript is also available on the Company's website at http://skygold.co.in/wp-content/uploads/2024/11/Transcript.pdf

This is for your information and records.

Thanking you

For Sky Gold Limited,

Mangesh Chauhan
Managing Director & CFO
DIN: 02138048
Place: Navi Mumbai

Encl.: As above.

"Sky Gold Limited
Q2 FY25 Earnings Conference Call"
November 19, 2024

MANAGEMENT : MR. MANGESH CHAUHAN – MANAGING DIRECTOR AND CHIEF FINANCIAL OFFICER – SKY GOLD LIMITED
M R. JAYESH SANGHAVI – FINANCE TEAM – SKY GOLD LIMITED
M S. NIKITA JAIN – COMPANY SECRETARY – SKY GOLD LIMITED

MODERATOR : MR. PARTH PATEL – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Sky Gold Limited Q2 FY25 Earnings Conference Call. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Parth Patel from Orient Capital. Thank you and over to you, sir.
Parth Patel: Thank you, Neha. On behalf of Orient Capital, I welcome you all to Sky Gold Limited Q2 FY25 and H1 FY25 Earnings Con call. From the management side, we have Mr. Mangesh Chauhan, Managing Director and Chief Financial Officer, Mr. Jayesh Sanghavi from the finance team and Ms. Nikita Jain, Company Secretary. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and the company's website.
I would like to mention a short disclaimer before we begin the call.
This call may contain some of the forward-looking statements, which are completely based upon our beliefs, opinions, and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties. With this, now I hand over the call to Mr. Mangesh Chauhan. Over to you, sir.
Mangesh Chauhan: Thank you, Parth. Good morning, everyone. Thank you for joining us today as we discuss our Q2 FY25 quarterly performance. Q2 company recorded its highest-ever quarterly revenues and PAT showing resilience and strength. Revenue for the quarter stood at INR768.8 crores, registering a growth of 94% year-on-year. PAT stood at INR36.7 crores, registering a remarkable growth of 405% year-on-year. The Indian jewellery market valued at approximately$90 billion.
The growth outlook for the coming years is encouraging with gold jewellery expected to expand by 12% to 15% annually. Organized jewellers are increasingly adopting a franchise model expansion model, especially to capture the untapped potential in Tier 3, Tier 4 cities. The franchise model involving FOFO model franchisee-owned franchisee operated and FOCO model franchisee-owned company-operated structures allowed them to scale faster and open double the stores compared to the traditionally company-owned model, all while minimizing the debt exposure.
Key factors such as stock market volatility, a strong wedding season and economy stability are driving demands. Demand drivers within the jewellery categories are segmented further by occasions such as weddings, festivals and casuals. Notability, the casual jewellery is witnessing faster growth due to its lightweight appeal and design variety, resonating well with the younger generation.
Discussing our performance this quarter, we are delighted to report positive demand from the ongoing festival season and the upcoming wedding season also shows promising strength.

Additionally, I am excited to announce a significant milestone in our company's journey as we have successfully raised INR270 crores. This investment will be strategically allocated across broadening our product portfolio with expanded offerings in 18 carat gold and diamond jewellery to align with evolving customer preferences.
Increased capital infusion into our subsidiary, Star Mangalsutra Private Limited and Sparkling Chains Private Limited which positions us to tap into increased TAM of 65%. To meet increasing demand, we are enhancing organization capacity by aligning skilled designers, artisans and experts across sales and merchandising and design. On a global front foot, we are targeting key international markets including the Middle East, UAE, Singapore and Malaysia to establish a stro

ng presence.
Additionally, we are actively pursuing acquisition opportunities to further strengthen our market position and accelerate growth. Our FY25 revenue guidance stands at INR3,300 crores which includes INR2,700 crores from our core operations and an additional INR600 crores from our subsidiaries which we acquired recently. For the current quarter, the contribution from subsidiaries was very limited and Q3 you can expect inflows on a full quarter basis.
This quarter, our monthly production volume averaged 345 kgs, significantly from 250 kgs per month last year, making a robust 38% year-on-year growth. Exports also made a healthy contribution with sales increasing to INR63.9 crores, accounting for 9% of our total quarterly sales. As mentioned earlier, we are continuously building and strengthening our core team. I am

pleased to welcome Mr. Akash Talesara as our new President of Sales and Business Development with over two decades of expertise in the gems and jewellery sector.
Akash brings a wealth of industry knowledge to our team. We are confident that his leadership will help us to achieve new milestones and unlock fresh opportunities. Akash will be instrumental in onboarding new clients domestically as well as internationally.
Now I will discuss the Q2 FY25 financial performance. The consolidated revenue for the quarter stood at INR768.8 crores versus INR396 crores in Q2 25.
Thus, resisting a growth of 94.2% on year-on-year basis. The gross margin was 6.5%. EBITDA for the quarter was INR38.8 crores compared to INR15.3 crores, showing a growth of 154.3%. EBITDA margins for the quarter stood at 5% as compared to 3.9% in Q2 FY24, improved by 119 basis on year-on-year basis. PAT for the quarter stood at INR36.7 crores as compared to INR7.3 crores in Q2 24. PAT margins for the quarter stood at 4.8% as compared to 1.8% in Q2 FY24, hence improved by 294 basis on year-on-year basis.
Moving to the H1FY 25 financial performance, the consolidated revenue for H1FY 25 stood at INR1,491.9 crores versus INR771.7 crores in H1FY 24, registering a growth of 93.3% on year-on-year basis. The gross margin was 6.4%. EBITDA for H1FY 25 was INR76 crores compared to INR33.9 crores, showing a growth of 124.4%. EBITDA margins for H1FY 25 stood at 5.1%

as compared to 4.4% in H1FY 24 improving by 70bps on a year-on-year basis. PAT for H1FY 25 stood at INR57.9 crores as compared to INR17.9 crores in H1FY 24.
PAT margins for H1 FY25 stood at 3.9% as compared to 2.3% in H1FY24, hence improving by 156 basis on year-on-year basis. We have achieved a strong first half, laying a solid foundation for continued growth in H2. We aim to achieve 7% to 8% gross margin through an optimized product mix and export, while maintaining a long-term EBITDA margin of 5% to 5.5%. A key driver for PAT margin expansion will be reduced interest cost and we initiated utilization of gold-metal loans, which will have meaningfully impact on our interest costs moving forward. I now open the floor for questions.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead.
Palash Kawale: Sir, congratulations on recent fundraising a very good set of performance in the quarter.
Mangesh Chauhan: Thank you so much.
Palash Kawale: Sir, my first question is what kind of run rate are you expecting from your acquired entities in upcoming quarters in terms of volumes?
Mangesh Chauhan: So, we are expecting a totally blended INR1,000 crores revenue in the next quarter, from the parent company INR700-INR750 crores what we are going by the run rate and from the subsidiary INR150 crores-INR350 crores. So, next quarter we are expecting a blend of both main company and subsidiary company ofINR1,000 crores.
Palash Kawale: And sir, how is the demand? Is there a pickup in

upcoming quarter like Q3? Is there a pickup on account of strong wedding season that is expected?
Mangesh Chauhan: 100% as all our client has given the outlook is very good for the wedding season as rates are also down by 5% of gold. Rates from 81,000, has come down to 76,000. So, it is helping to boost the season already. I told in my interview also that India is having 4.8 million weddings in this year. And 25% more weddings are happening in this quarter which will generate 6 billion revenue.
So, jewellery is contributing 25% of this and 75% of garments and other events and all. So, there is a huge wedding season ahead in January-February. So, we are getting order in this quarter for the wedding season and December also wedding season is going on. So, there is a good demand as per the feedback from our client and retail corporates. They are very much positive on this and growth is good.
Palash Kawale: Okay, sir. Thank you for that. And sir, what is your outlook for gold prices in next 1 year?

Mangesh Chauhan: So, already gold prices are spiked by 20%- 25%. So, industry is hoping that it will go stable for next two to three quarters, I think. Because in two quarters it has jumped to 20%. So, industry is hoping that two to three quarters will go to stable and then again it will start rising.
Palash Kawale: Okay. And sir, how many employees are there now in Sky Gold like could you give the employee count by the end of FY24 and by the end of Q2?
Mangesh Chauhan: So, by the end of 24, we were at 500 employees-550 employees now we are at 650 employees

at Sky Gold parent company and subsidiary, we are at 150 employees to 180 employees in both
the subsidiaries. So, together we are at 800 employees. So, 150 employees has increased.
Palash Kawale: And sir, any plan to add more employees in this year?
Mangesh Chauhan: So, as and when required we will keep on adding some because as our turnovers are growing and volumes are growing, as orders are coming, we have added CaratLane also and PN Gadgil also. So, as clients are also adding. As and when required, we will add. For now, we are okay with 650 employees here.
Palash Kawale: And sir, was there a contribution from these two clients in the Q2 volume?
Mangesh Chauhan: Yes, CaratLane contributed some, some part came in this quarter, December quarter and some part came in that quarter. So, we initially started with them with some products. So, now we are supplying 1% or 1.5% of the revenue, but in these two, three quarters, we will grow with them.
Palash Kawale: And sir, these two clients, how much volume can they get - can they add just a number, if you could throw it?
Mangesh Chauhan: So, CaratLane is about we generate making charges bill. We do labor jobs on them. We don't want to invest our capital and we don't want to invest in inventory and debtors for them because they give their bullion raw material to produce. So, it will add up to our gross margins very much. And P N Gadgil this is from our inventory. So, I think P N Gadgil can add up to INR50-100 crores sales to our sales. And CaratLane also can give us a monthly volume of 58 kg or something. So, we are at 350 kg. So, we can add 50 kg volume by CaratLane, I think in two quarters.
Palash Kawale: Thank you for that. And sir, my last question is what constitute of debt is GML now?
Mangesh Chauhan: So,. we were last quarter at 10%. We have moved approximately to 20%-22%. So, this quarter, we are hardly trying because some banks have other policies. So, I think by December quarter, we will be at 50%-60%. So, already we have come to 20%. Last quarter, we were at 10%. Now, we are running at 25% GML this quarter. So, by December quarter, 60%, 65% will be at GML.
Palash Kawale: And sir, this can go up to 80%- 85%?

Mangesh Chauhan: 80% is allowed, 80%-85%. We cannot go 100

%. So, major bankers are in proposal. So, we are
expecting by December 60%-65% we will use.
Palash Kawale: And sir, what is the cost of debt for the gold metal loan for us?
Mangesh Chauhan: So, it is ranging from 2.75% to 3% blended 3% with other costs and all.
Palash Kawale: So, blended 3%?
Mangesh Chauhan: Okay.
Palash Kawale: Sir that’s it from my side. Thank you for the detailed answer and all the best for the upcoming wedding season. Thank you very much.
Moderator: Thank you. The next question is from the line of Bhavik Shah from Arihant Capital. Please go ahead.
Bhavik Shah: Yes. One question from my line is on the working capital cycle. Can you explain about the inventory days that you have currently for the September quarter?
Mangesh Chauhan: So, we are at a total of working capital cycle of 75 days approximately.
Bhavik Shah: All right. So, like if I look at the cash conversion cycle of March 24, it was roughly around 78 to 80 days and currently it is 75 days, right?
Mangesh Chauhan: Yes.
Bhavik Shah: All right. And one more question on the standalone Sky Gold. Do you expect to open any retail chain in the coming years?
Mangesh Chauhan: No, right now, we are focusing totally on B2B manufacturing. So, we have already added two subsidiaries. So, we are into 65% which is sold in the retail. So, we have good scope in the clients addition, new clients are adding. We are expecting to add new clients in this quarter also. So, there is a huge scope here. Right now we are not in a mindset of retail.
Bhavik Shah: And two questions on the subsidiary part. Can you please explain about the EBITDA margin that the subsidiaries are currently earning?
Mangesh Chauhan: Your voice is breaking can you repeat about the subsidiary question.
Bhavik Shah: Can you explain on the EBITDA margin of the subsidiary companies that you recently acquired? How much they are earning?
Mangesh Chauhan: EBITDA for the subsidiary was 4.5%. So, in next quarter, December quarter total flow will happen. This quarter it was about I think 50 days or something has added to our company because we acquired in September 5th or 6th only. So, now December quarter the revenue will

also be there as well as profits also. So, they were at 4.5% EBITDA. So, we are also expecting
them to take into quarter to 5.5% EBITDA because we have infused already the fund base
amount, some amount in both the subsidiaries and we have started launching some new verticals
and new designings in that. We can create margins.
Bhavik Shah: All right. And if you can give some sales estimates for next 2 years, 3 years on the subsidiaries
part if you can?
Mangesh Chauhan: Yes. Already we have given a blended of INR3,300 crores this year and FY26 is INR6,300
crores. So, INR1,300 crores from subsidiaries and INR5,000 from the parent companies.
Bhavik Shah: And on the capacity front of the subsidiary, what is the current capacity utilization of the
subsidiary companies?
Mangesh Chauhan: Subsidiary companies is about 30%-33% utilization both the subsidiaries.
Bhavik Shah: Yes. And you plan to ramp it up to 70%, 80% odd?
Mangesh Chauhan: Yes 100%. That's why we have infused capital also in that. And we are ramping up because we
already have designers, production heads and all. So, we have to add to the verticals where it is.
So, clients are already onboarded same as Sky Gold. So, whatever client is added in Sky Gold,
they are adding in the subsidiary also. So, just we have to accelerate. So, we are on that path
only.
Bhavik Shah: Okay. Thanks. And last question on the Standalone company. What is the current capacity
utilization of Sky Gold standalone?
Mangesh Chauhan: So, we are at 46%
Bhavik Shah: All right. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Raj Saraf from Finvestors. Please go ahead.
Raj Saraf: Good morning, sir. I c

ongratulate you on this very good set of numbers. Sir just wanted to know
how this wedding season is planning out?
Mangesh Chauhan: So, weddings earlier question I answer the same probably that wedding season is very good in
India. I think 25% more weddings are there. The highest of the history as per our clients and
corporates they are telling. So, 25% more weddings are happening in India. And a very good
season and rates are also helping us because gold rates are down by 5%.
So, the atmosphere is good for buying. And in the retail footfall, it's very good for the inventories,
for gifting in the wedding and for bride and grooms and all. So, it's very good orders we are
receiving for the wedding season.
Raj Saraf: So, this year guidance I missed that INR3300 including subsidiaries am I correct sir?

Mangesh Chauhan: So, INR2,700 from the parent company and INR300 from both subsidiaries individually.
Raj Saraf: Okay, sir. And sir, export is now 9%, sir. So, how we are planning to raise the export volumes
or export revenues, what are your plans?
Mangesh Chauhan: So, we were at 1%-2% last year. Now we are at 9%-10%. So, we will be majorly in India only
for 80%-85%. We will take export to 15% to 20% or 17%, 18% not more than that. So, we are
concentrating in Malaysia, Singapore and Middle East country like UAE, Dubai, Qatar because
our jewellery design and our vertical suits for that Middle East and Asian countries, our products
are not for Europe and US countries.
So, we have already appointed an international Sales Head, Akash Talesara, who has joined us,
who has 20 years experience of the industry. So, we have appointed him Vice President for the
sales. So, now he has joined from 5th November he is looking about exports and domestics also.
So, we are expecting the export to take to 15% right now.
Raj Saraf: So, 15% by when we are targeting, sir, by next year or this year?
Mangesh Chauhan: So, I think this year we will be at 12%-13% and next year we will be at 15%.
Raj Saraf: And what is the margin profile, sir, in exports?
Mangesh Chauhan: So, exports' gross margins are blended at 6%-6.5% or 7% also. So, blended it comes to 6.5%
approximately.
Raj Saraf: Gross margin 6.5%?
Mangesh Chauhan: Yes.
Raj Saraf: So, thank you very much for answering my questions, sir. We are going very nicely ahead, sir,
and congratulations once again for posting these excellent numbers. And sir, one thing I left, sir,
for this other income which is on the higher side, sir. Can you please explain that, sir?
Mangesh Chauhan: So, we had some - 5 years back we had some shares of HDFC Bank, TCS shares. We have
placed to the banks against that we have taken the debt. So, we have replaced them with the FD.
As a major listed company, now we don't want to keep any shares in the balance sheet. So, as
advised by our advisor. So, we sold out that share this quarter. So, that's why other income came.
So, it's a one-time income. And next quarter also some shares are pending with SBI Bank. Other

shares we have already sold. We have replaced by FD collateral with the bank. So, with SBI we
have INR35 crores of shares something. This quarter, these shares will also be sold. So, there
will be no shares in our balance sheet. So, that's why other income came here.
Raj Saraf: So, this is like an exceptional gain, I can say?

Mangesh Chauhan: HDFC and TCS shares we bought 5 years to 6 years back. So, we sold all these things.
[inaudible] So, that's why the income came for them.
Raj Saraf: Okay. So, going forward, this would not be there, it is like a one off?
Mangesh Chauhan: No, till December quarter we have some shares. This will be offloaded in December quarter also.
So, going forward these other income will be not there.
Raj Saraf: Okay. Thank you very much, sir.
Moderator: Thank you. Ladies and gentlemen,

we have lost the management line connection. Please stay
connected while we reconnect them. Thank you. Ladies and gentlemen, thank you for patiently
holding. We have the management line back on the call. Thank you. The next question is from
the line of Mihika Joshi from Vimana Capital. Please go ahead.
Mihika Joshi: Hi. Congrats on great set of numbers. So, I just had one question on your volume guidance. So,
what is the overall volume guidance for FY25?
Mangesh Chauhan: We are at [inaudible] so till FY27…
Mihika Joshi: Sir your voice is not clear. Can you just repeat.
Mangesh Chauhan: I will repeat once again. So, we are at 350 kgs per month. Can you hear me?
Mihika Joshi: Yes. Now, I can.
Mangesh Chauhan: So, we are at 350 kgs per month run rate in H1 and we are having [inaudible] 375 kgs, 400 kgs
per month till end of the year. And by FY27, we are expecting to go to 750 kgs per month.
Mihika Joshi: Okay. So, for FY26, what is the guidance?
Mangesh Chauhan: Pardon. Can you repeat?
Mihika Joshi: What is the volume guidance for FY26?
Mangesh Chauhan: So, by FY26, it will be 550 kgs to 600 kgs per month.
Mihika Joshi: Okay. All right. And I just have one question on gold metal loans. So, given the potential risk of
fluctuating gold prices, what is your strategy around gold metal loans and how are you planning
to mitigate the impact of price increases on repayments? What is the strategy and how does it
work?
Mangesh Chauhan: Yes. So, already our inventory is totally hedged in the MCX, which is available in India to hedge.
So, our inventory is already hedged, and we hedge every sale and purchase on a daily basis in
the hedging platform MCX. So, whenever GML comes, our hedging part will be lowered, but

we have to hedge after the sales. So, now we have to hedge total inventory. GML is a part that
gives us on the approximate rate basis.
So, whenever we sell to the customer, we have to once again hedge. So, we follow every hedging
system now when it is available in the CC also and will be in the GML also, we will hedge
everything. So, we have a hedging policy. So, we don't gain also when the gold rate goes up, but
we don't lose also when it goes down.
Mihika Joshi: Okay. Got it. That’s it from me. Thank you.
Moderator: Thank you. The next question is from the line of Abhinav Sharma from Tara Capital. Please go
ahead.
Abhinav Sharma: Good morning, sir. Congratulations on the great results. I wanted to ask if you share numbers
for the studded ratio.
Mangesh Chauhan: So, I think, I don't have with me, and I will mail you, sure. So, you can send the team your mail
ID.
Abhinav Sharma: Okay, thank you. And do you think the studded ratio is increasing?
Mangesh Chauhan: Yes studded and 18 Carat we are increasing, and we have infused the amount for 18 Carat and
Studded only. So, in this December quarter also you will see that our Studded and 18 Carat is
increasing. So, little bit they are increasing in the quarter, but I think I missed one page. So, I
will send you.
Abhinav Sharma: Okay. Thank you. That’s it from my side. All the best.
Mangesh Chauhan: In through the call, I will get in five minutes. I will announce in the call.
Abhinav Sharma: Yes please go ahead. Sure. Get in touch with me. Thank you.
Moderator: Thank you. The next question is from the line of Krishna from Capital Mines. Please go ahead.

Krishna: So, my question is on the new client acquisition trend.
Mangesh Chauhan: Yes. Pardon.
Krishna: My question is on the new acquisition, client acquisition trend.
Mangesh Chauhan: Yes.
Krishna: Now, we had onboarded CaratLane which is a subsidiary of Tanishq. Any progress we see on Tanishq trend?
Mangesh Chauhan: So, we are on it. Already, Akash Talesara, Vice President also joined us. He will also help us to onboard and we are continuously showing them products and approaching them. So, as and

when required we will inform the exchange and shareholder also when we onboard them, but we are very much into it and we are targeting them.
Krishna: Sure. Thank you, sir. Also, any other…
Mangesh Chauhan: Onboarding CaratLane will help us to achieve the target fastly because the performance of CaratLane speaks on our product portfolio.
Krishna: Right, sir. Also, sir, any other major clients you are targeting in Middle East or Singapore, etc.?
Mangesh Chauhan: So, already we are working with Jwala Jewellery who has 300 stores-400 stores other corporates like…
Moderator: Ladies and gentlemen, we have lost the management line connection. Please stay connected while we reconnect them. Thank you. Ladies and gentlemen, thank you for patiently holding. We have the management line back on the call.
Krishna: Yes, sir. So, my question was on any new clients acquisition in Middle East or Singapore areas?
Mangesh Chauhan: Right now, we acquired in last March quarter only. So, we are into it. So, we are targeting companies who has 10 to 15 and 20 stores. So, who are mid and small corporate and going to be large corporate in 2 years, 3 years. So, we are on it. So, already we have hired one President of Sales & Business Development, so I think we will be acquiring some new clients till December quarter.
Krishna: Got it, sir. One last question. Can you please provide any guidance on the margin strength both EBITDA and PAT? I can see that PAT you have mentioned around 3 percentage as growth guidance. I mean, as a guidance, margin guidance. Anything on the EBITDA side, please?
Mangesh Chauhan: So, gross margin we are expecting to be 6.5% conservatively and EBITDA margin is 5% to 5.5%.
Krishna: This is FY27?
Mangesh Chauhan: FY 25.
Moderator: Okay sir. Thank you. That's it from my side. All the very best.
Moderator: Thank you. The next question is from the line of Srinath Krishnan, an Individual Investor. Please, go ahead.
Srinath Krishnan: Yes, good afternoon, sir. Congrats on strong performance. My question is on working capital management. So, in March quarter, your complete total working capital was around 67 days. I am talking of standalone. Now, it has improved to 57 days, but it would have been better if receivables had not increased by 6 days, 7 days you would have gone down to nearly 50 days. close to 30% improvement in working capital.

What really happened in receivables, sir? Because in the past, you have mentioned about moving towards cash and carry. You generally operated at 16 days, 17 days, but now you have increased to 26 days. What did happen in receivables, and can we get back to the old days of 16 because now the inventory is close to 30 days inventory.
It has been managed well. Despite a 40% increase in sales from March to this period, the inventory has remained stable, but receivable has spiked. So, will receivable days also come down going forward?
Mangesh Chauhan: Sure, 100%. This quarter, you can see the gold rates were very high in this quarter by 20% in two quarters. So, we have to give some leverage to the customers because seasons were on and gold rates were [inaudible]-- we have given some leverage to the customer of 5 days, 6 days or 7 days, consideration of gold rate being high, but in coming quarters, we will be back to same days because, as you can see, we have added CaratLane who is giving us their raw materials. We are adding new clients of cash and carry much like P.N. Gadgil as 15 days. So, we are adding a client which have a rate of 10 days, 15 days and cash and carry, we are not adding new clients of 30 days or 40 days or 20 days. Old clients, like Kalyan Jewellers and all, we have 30 days.

So, we are continuing them because they are our large clients, but blendedly it will come down.
In this quarter, you can see rates were very high. So, we have

given a leverage to the clients of
7 days, 10 days because of the gold prices, [inaudible] but there was a little break in the footfalls and the customers were down for a period of 20 days then customers were to the normal in the last month.
So, that's why we were at a higher receivable days, but in the coming two quarters, you can see we are little better than in the lower receivables.
Srinath Krishnan: So, but also your exports have a lower receivable days because with improving export mix, if my understanding is right the export receivables are also very less?
Mangesh Chauhan: So, exports are already very less, but we are at 91% is from the domestic. That's why our receivable days were bit high because the domestic percentage is very high. So, I think this December quarter rates are also down and now...
Srinath Krishnan: I know sir, over long term, since you've ended that exports will become 20% of sales directionally higher…
Mangesh Chauhan: It will also help us to down our receivable rate. Because exports are cash and carry much business. And it's about take about 7 days 10 days. So, as exports grow up, our receivable days will blendedly come down also.
Srinath Krishnan: Great, sir. And also, you have mentioned in the past that with GML, you would be able to reduce your interest cost by half. I guess what you meant was interest cost was around 1% of sale it will come down to 0.5% of sale. So, with the funding, QIP funding that you have received, logically,

it should come down further. So, with 5%-5.5% margin, you are an asset light business. Depreciation is very less. So, we should move towards 4% PAT margin over the three to four quarters. Is that a possibility?
Mangesh Chauhan: So, we are targeting to 3.5% by reducing our interest cost. We got little bit later for GML because of the bank policies and all, but I think we will be at 50%-60% of GML by December quarter and 80% by March quarter. We were targeting to be at 80% GML by December quarter only because of the policy.
So, we are little bit late, but I think we will reduce the cost by 0.5%. So, we can give a guidance of 3.5%. But going forward for FY '26- '27, we will target 4%, 100% will go up to 4%.
Srinath Krishnan: Yes it is more long-term?
Mangesh Chauhan: Yes long term we are targeting to go because we have already added the vertical of studded jewellery, 18 Carat rose gold and many other, we are planning for FY '25 to add some Moissanite Jewellery which is running in the market and we are exploring the lab grown market also because it is very dense. After March quarter, we are planning for lab grown also. So, blendedly, this all will add up and bring up to 4% PAT. So, in long-term, FY '26, we can go up to 4%.
Srinath Krishnan: Sure. So, in the initial commentary of yours, you spoke about an important hire in the company. Apart from this, what are the future hires and where would you be strengthening your organizational structure in which departments and in a recent TV interview also, you spoke about building an app where the customers can order real-time. If you could speak about that, that would be very helpful?
Mangesh Chauhan: So, coming back to the hiring, we have already last two, three quarters we have hired a production head. A merchandizing head is coming. Akash Talesara already announced that he has joined as a Vice-President of Sales and all. So, back-end, we have hired only two, three major hiring and front-end also, we have hired a major hiring of Akash Talesara. Now, we are targeting a CFO.
We have already hired one CFO, but some of the reason, he was not able to join because of his earlier companies. So, now once again we are hiring a CFO. Soon, we will be announcing a CFO, and we are targeting to take two members of the board. We are already on the finalizing stage of one board member, we will announce in 30 days, I think.
And the sec

ond member will be around the December end. So, our main target is to take one CFO and two board members. They are not board members who are from a general background or some good backgrounds and who have an experience of 25 years, 30 years and this can add up to our company's strategies in the future. So, this is all about the hiring. Other question was, I forgot about the app.
So, app we have already started with the app, but it is on a trial basis. I think by December quarter, it will be live totally. So, it will help the purchase manager of the stores, the sales heads

and all can visualize each and every verticals and products. And they can order online.
Nowadays, corporates are trying to order daily basis. As there is 20-30 inventory, so they want to order from each and every store daily basis.
Nowadays, Kalyan is also trying to come to that basis. They want to order on daily basis. they want to order and they want to take delivery of 365 days from us. After 20 days-25 days, what is our inventory time. So, we have already made the app. Akash is also looking for the app to launch.
So, it will be launching in December I think the app and that will help us to accelerate our sale.
And customers will get a visualization of the product, which are the verticals, what are the weight range, what are the inventory budget for that so, that will help us to reach each and every store which we are targeting.
Srinath Krishnan: Understood. Congratulations, sir. Thank you again.
Mangesh Chauhan: Thank you so much, Srinath.
Moderator: Thank you. The next question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead. Mr. Palash, your line has been unmuted. Please go ahead with your question. As there is no response from the current participant, we will move on to our next participant, which is from the line of Pravin Desai, an Individual Investor. Please go ahead.
Pravin Desai: Good morning sir and congratulation for the result. You have declared a bonus of 1 and 9, but till now you have not disclosed the record date, sir. Is it there or not?
Mangesh Chauhan: 100% bonus is there. As and when required our CS team, Secretarial team and all the team will announce what is the procedure. They will know properly, and they will announce as and when required that the record date and the shares will be coming to your demat account. So, 100% bonus is assured and 100% you will receive the bonus shares.
Pravin Desai: But it will be on the proportion of 1 at 9, isn't it?
Mangesh Chauhan: Yes, you will get 9 shares for 1 share, but about the dates and all, this is not in my scope. The secretarial team and all will do the needful and soon you will receive the record date and the shares also.
Pravin Desai: Sir, can we sustain such a high equity with this type of profit?
Mangesh Chauhan: About what you are asking can you pardon sustain about?
Pravin Desai: Can our company sustain the huge capital with a bonus as 1:9 with the kind of profit we are looking. Yes, in future we are going very good, but will it sustain the capital. I think capital will be near about INR130 crores?

Mangesh Chauhan: So already we are at the reserves of INR500 crores with the subsidiary in the company. So already we are at INR500 crores reserves. I think it is a good decision and sustainable. So, I am not getting the question properly, but you can send me the question also. We can reply on the mail.
Pravin Desai: No, no, my question is simple, sir. With such a huge bonus, our equity will go from INR13 crores to INR130 crores like that, isn't it?
Mangesh Chauhan: Sure. So, we have done this because the retail investors can find it easily to enter the, they can invest in our shares because prices are very high. So it will be sustainable, sir, no problem.
Pravin Desai: So far the profit is concerned. I

am trying to say the liquidity will be very good, but so far our profit is concerned. Will it sustain the equity what I mean to say, sir?
Mangesh Chauhan: Yes, 100% our profits are good. I think this quarter is also good and we have given the guidance of '25, '26, '27. So, we are on it. We have added the clients and profits are going to come. It is on path.
Pravin Desai: Okay. Thank you very much, sir. Best for the future.
Moderator: Thank you. The next follow-up question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead.
Palash Kawale: Sir, what was the contribution from 18-Carat gold segment?
Mangesh Chauhan: It's cool, but early also somebody asked me, but I did not say. I will send you Palash on mail.
Palash Kawale: Thank you.
Mangesh Chauhan: Apologies for that. Yes.
Moderator: Thank you. The next question is from the line of Prakash Shandilya, an Individual Investor. Please go ahead.
Prakash Shandilya: Very good morning, sir. Thank you very much for giving me opportunity and congratulations for outstanding set of numbers. Most of my questions have already been answered, sir. My question is regarding geographic expansion. What is the primary risk in entering new

international market and how does the company plan to mitigate it, sir?
Mangesh Chauhan: So, exports is mostly cash-in-carry business. There is no risk. Exports policies are very good in this government. There was very difficulty in the exports and all. Documentations are very high.
The last 5 years to 10 years, exports is very easy to do. We can get export metal daily and daily way out. For 365 days we can get export metal.

So, customers like Joyalukkas, Kalyan Jewellers, Malabar Gold, Renewed with AAA rating, AA rating, customers we give credit of 7 to 10 days, but other than that, we do cash-in-carry business with them. So, there is no risk. We don't take any risk or credit for the customers internationally.
Prakash Shandilya: My next question is what is the company's plan to address the competition from organized or unorganized sectors, sir?
Mangesh Chauhan: So, I think we are also manufacturing. Others is shifting to unorganized to organized. We are the second number in the casting jewellery in India. We are largest manufacturer in Maharashtra with 80,000 square feet. So, our business is shifting to organized one. They want good quality with different shades of design. We are making different, different verticals for the customer, particular customers like CaratLane, for example, we came up with aesthetical design, especially monopoly design for them.
So, they rely on us because as a renowned company, they rely on us. The designing secrecy is their concept. Different things for different customers that comes as different from other unorganized manufacturers. Unorganized manufacturers have more types of infrastructure. such infrastructure, skilled architects, skilled designers, skilled workers and, of course, about the technology we have, German, Italian technology we have that differentiates us from them.
Prakash Shandilya: Okay, sir. My last question is that in recent profit growth, is there any plan to revise the dividend distribution policies, sir?
Mangesh Chauhan: So, we are not going for dividend for 1-2 years, whenever we are cash flow positive and lets say by FY26/27 post that. So, right now we are 1 year, or 2 years and we are not thinking about them. We want to retain good profits. So, whenever we will be cash flow positive and debt free, we will distribute dividends.
Prakash Shandilya: Right, sir. Sir, thank you very much for the detailed answer, sir. And that's it from my side. Best of luck for future endeavours for the whole Sky Gold family, sir.
Mangesh Chauhan: Thank you, sir.
Moderator: Thank you, ladies and gentlemen. Due to time constraints, we will take this as the last question. I now hand the conference over

to the management for closing comments.
Mangesh Chauhan: Thank you everyone for joining us. I hope we have been able to answer all the queries. In case you have enquired any further details, you may please contact us or Oriental Capital, our Investment Relationship Partner. Thank you so much. Thank you for being a part of our Sky Gold journey. Thank you so much.
Moderator: Thank you. On behalf of Sky Gold Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2025

Date: 12th February 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dala l Street, Fort,
Mumbai 400001

Scrip Code: 541967 To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai 400051

Trading Symbol: SKYGOLD

Subject: Transcript of the Earning Conference Call .

Dear Sir / Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a copy of the transcript of the earnings conference call held on Monday , 10th February 2025 on the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended 31st December 2024 , is enclosed.

The said transcript is also available on the Company's website at :
http://skygold.co.in/wp -content/uploads/2025/02/Transcript.pdf

This is for your information and records.

Thanking you

For Sky Gold Limited,

Mangesh Chauhan
Managing Director & CFO
DIN: 02138048
Place: Navi Mumbai

Encl.: As above.
Page 1 of 18

"Sky Gold Limited
Q3 FY25 Earnings Conference Call "
February 10, 202 5

MANAGEMENT : MR. MANGESH CHAUHAN – MANAGING DIRECTOR AND CHIEF FINANCIAL OFFICER – SKY GOLD LIMITED
MR. JAYESH SANGHAVI – FINANCE TEAM – SKY GOLD LIMITED
MS. NIKITA JAIN – COMPANY SECRETARY – SKY GOLD LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Sky Gold Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after th e presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Parth Patel from Orient Capital . Thank you, and over to you, sir.
Parth Patel : Thank you, Sagar. On behalf of Orient Capital, I welcome you all to Sky Gold Limited's Q3 FY '25 and 9 -month FY '25 Earnings Conference Call. On the management side, we have Mr. Mangesh Chauhan, Managing Dire ctor and Chief Financial Officer; Mr. Jayesh Sanghavi from the Finance team; and Ms. Nikita Jain, Company Secretary.
I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and the company's website. I would like to mention a short disclaimer before we begin the call. This call may contain some of the forward -looking statements, which are completely based upon our belief, opinion, and expectations as of today. These statements are not a guaran tee of our future performance and involve unforeseen risks and uncertainties.
With this, now I hand over the call to Mr. Mangesh Chauhan. Over to you, sir.
Mangesh Chauhan: Thank you, Parth. Good morning, everyone. Thank you for joining us today as we dis cuss our Q3 FY '25 quarterly performance. In Q3, the company maintained its strong growth momentum, achieving its highest -ever quarterly revenues and operating profits with year -on-year growth of 116.7% and 217 .6%, respectively. We continue to onboard new clients and expand our customer base as part of our vision to become one of the largest B2B gold jewellery manufacturers in our segment.
This quarter, we successfully onboarded Aditya Birla Novel Jewels' Indriya brand, marking a significant milestone that highlights our ability to cater large -scale premium projects.
Additionally, we strengthened our presence among major jewellery retailers by partnering with CaratLane and P.N. Gadgil in the past quarter. The jewellery industry as a whole is witnessing aggressive expansion with leading brands rapidly increasing their retail footprint to capture a larger share of organized market. Our existing clients have also expressed plans for aggressive expansion, further enforcing growth opportunities.
Demand for weddi ng jewellery remains strong despite fluctuation in gold prices with customers adopting to market changes. Sky Gold diversification into new jewellery segment has gained strong transition this quarter, further strengthening our market presence. The expansio n includes 18 carat natural diamond jewellery and lab -grown diamond jewellery .

Both exports and domestic market remain key focus areas, and we enforced our distribution network in Singapore to drive export revenue growth. Additionally, we have announced p lans to rebrand Sky Gold Limited as Sky Gold and Diamonds Limited. This rebranding reflects a strategic shift, highlighting the company's broader focus beyond gold to include diamond lab - grown diamond and other precious stones, offering a more comprehensiv e view of our operations.
We are pleased to announce an update on Sky Gold's credit rating from India Rating, a subsidiary of Fitch globally, which has assigned an ‘IND A -/ Stable’ rating to the company bank loans. The fund-based working capital limit and proposed fund -based working capital limit have been rated ‘IND A - / Stable / IND A2+’. India Rating has based its assessment of Sky Gold significantly operational expansion driven by incre ase

d installed capacity, inorganic growth and along with effective working capital management.
Rating is expected to reduce the company's cost of fund collateral requirements while the impact may not be immediate. This structural improvement will strength en the company's financial position, leading to better negotiation terms and lower borrowing cost in the long term and improving ROC E and ROE.
This quarter, our monthly production volume averaged 447 kg, up significantly from 270 kg per

month last year, marking a robust 66% growth year -on-year growth. Exports continue to make healthy contributions with sales reaching INR71 crores, marking a 12% g rowth as compared to previous quarter.

Now I will discuss our Q3 financial performance. The consolidated revenue for the quarter stood at INR998.0 crores versus INR460.4 crores in Q3 '24, thus registering a growth of 116.7% on a year-on-year basis. The gr oss margin was 7.3% as compared to 5.3% on Q3 '24.

EBITDA for the quarter was INR57.3 crores compared to INR18.0 crores , showing a growth of 217.6%.EBITDA margin for the quarter stood at 5.7% as compared to 3.9% in Q3 '24, improved by 182 bps on a year -on-year basis. PAT for the quarter stood at INR36.5 crores as compared to INR8.9 crores in Q3 '24. PAT margin for the quarter stood at 3.7% as compared to 1. 9% in Q3 '24, hence improving 172 point basis on a year -on basis.

Moving to 9 months FY '25 financial performance. The consolidated revenue for 9 months stood at INR2,489.8 crores versus INR1,232 .1 crores in 9 months FY '25, thus registering a growth of 102.1% year -on-year basis. The gross margin was 6.8% as compared to 5.6% on 9 -month FY '24. EBITDA for 9 month FY '24 was INR133.3 crores compared to INR51.9 crores, showing a growth of 156 .8%. EBITDA margins for 9 months stood at 5.4% as compared to 4.2% i n 9MFY '24, improving 115 basis on a year -on-year basis.

PAT margins for 9 -month FY '25 stood at INR94.5 crores as compared to INR26.9 crores in FY '24. PAT margins for 9 months FY '25 stood at 3.8% as compared to 2.2% in 9 month FY '24, hence improving 161 bps on a year -on-year basis. We have delivered a strong performance in the first 9 months for the financial year and remain on track to achieve our annual revenue target

of INR3,300 crores driven by new client acquisition opera tion efficiencies and enhanced management capabilities.

To support our growth, we have strengthened the leadership team by bringing in industry veterans across key roles, including plant heads, sales heads, designers, to further propel the business forwar d.

I now request the moderator to open the floor for questions.

Mod erator : Thank you very much. First question comes from the line of Palash Kawale from Nuvama Wealth. Please go ahead.

Palash Kawale : Congratulations on a great set of results. Sir, my firs t question is on volumes. So what was the volume out of 447, what was the volume for the Sky Gold standalone entity?

Mangesh Chauhan: Standalone for the 9 months, it was 975 kgs and 181 kgs for Sparkling Chains and 182 kgs for Starmangalsutra. Totally, we stood at 1,339 for the 9 months.

Palash Kawale : And sir, out of this, have you started delivering to Aditya Birla as well in this quarter in Q3?

Mangesh Chauhan: Yes. Already, we have started delivering. CaratLane we are delivering monthly 20 kgs. And so Aditya Birla already got order of last quarter only of 20 kgs and this quarter, already we have started delivering the products. So this quarter, the numbers will come how much we are delivering this quarter to Aditya Birla.

Palash Kawale : So sir, in upcomi ng years, like FY '26 or FY '27, how much do you expect to deliver to these 2 companies, which are CaratLane and Aditya Birla?

Mangesh Chauhan: So now we are making monthly 450 kg per month with the subs

idiaries. We are expecting 10%
of revenue more growth from CaratLane and Aditya Birla. So we are expecting monthly 50 -50 kg from both CaratLane and Aditya. This will add 100 kg extra production from our regular guidance. So in I think CaratLane we are on track. Every month, we are getting orders. Aditya Birla, first order has already dispatched. So this quarter will be a trial basis and then we'll get a regular order. So we are expecting to add from April quarter, 50 kg from both the companies.

Palash Kawale : So just to be clear, you said that 10%, 10% from b oth the companies you can deliver by FY '26, '27?

Mangesh Chauhan: Yes, yes.

Palash Kawale : And sir, you don't have to take gold on your balance sheet, right? So it will be very capital efficient business?

Mangesh Chauhan: Yes. So we don't have to fund the debtors and inventory also because they provide us their bullion gold material to produce, we make them and we charge the making charge. So making

charge w ill add on to the gross margins and sales. So we just make a bill of making charges, which w ill add directly to our gross margin.

Palash Kawale : So it will be like adding to your cash flow as w ell and yes, that's great to do?

Mangesh Chauhan: And we don’t have to fund inventory also, so that is a good sign if these large corporates are

giving us more production.
Palash Kawale : And sir, any change in guidance after adding this customer for FY '26 or FY '27? Are you planning to -- like you have guided for INR6,300 crores. Would you be changing that guidance?
Mangesh Chauhan: Yes, already we were at INR6,300 crores. Now we are guiding at INR7,300 crores as we are already reaching out of INR3,300 crores, we have already done INR2,500 crores. So we have changed our guidance to INR7,200 crores because these are clients we have not counted in our guidance of INR6,300 crores. So this new 2 clients already we added, and P.N. Gadgil also was not there. So we have revised our target to INR7,200 crores by FY '27.
Palash Kawale : That's great to know. And sir, what would be your PAT margins on this INR7,300 crores business?
Mangesh Chauhan: So we are expecting from 3.5% to 4%, 3.5% to 4% in between that.
Palash Kawale : And sir, how is Q4 shaping up since 2 months are already done? If you could just give a directional update that would you be crossing this 447 kg mar k? Would you be reaching 500 kg per month for Q4?
Mangesh Chauhan: 100% we are on track. We will not talk about the number of the ongoing quarters, but this quarter is much better than the December quarter.
Mod erator : The next question comes from the line of Chintan Sheth from Girik Capital. Please go ahead.
Chintan Sheth: I missed your number on the standalone volume for 3Q and subsidiary volume for the third quarter?
Mangesh Chauhan: So by number, INR730 crores we've done from Sky Gold and subsidiary INR135 crores and INR134 crores. Together, we are…
Chintan Sheth: INR998 crores. But no, I'm saying from 447 kg per month in third quarter, how much came from standalone and how much from the subsidiary?
Mangesh Chauhan: Okay. Volume -wise, 447 kgs. I can -- you can send me the mail, I will send you the details. Right now, I am not having the specific kgs in the note.
Chintan Sheth: Sure. Okay. No worries. And second is on the gold loan GML side, where are we now? Last time we were at 20%, 25% of our loan conve rted to GML. Any progress and what should we expect by the year -end?

Mangesh Chauhan: So yes, we are expecting by March end 60%, 70%. We were expecting by December, we are a little bit slower by one quarter because of some -- Karur Vysya Bank has closed th eir model, so we have to ship to ICICI Bank. SBI is also on the process. So we are like at 20%, 25% right now also.
But we are -- I think we are sure th

at we'll move by March quarter to at least 55%, 60%. So we are on track. Bankers have the system to cha nge this or they have to go to committees and change but a little bit we are slow on this. We were expecting by December quarter but let's see, we will be at 55%, 60% by March quarter.
Chintan Sheth: And if you can provide a split in terms of volumes, if y ou can provide -- or revenue, whichever is available, the split between 22 carat, 18 carat and studded ones, if you can provide?
Mangesh Chauhan: Yes. So 18 carat, we were at 3% last quarter and now we have done 5% of this revenue in 18 carat. So last quar ter, we sold diamond of around 400 carat, and this quarter we have done 800 carat. Sorry, I'll do it like this. So last quarter, we approximately sold 400 carats. This quarter, we sold 883 carats of diamonds. Last quarter, we were at 37 kg of 18 carat. Thi s quarter, we are at 49 kgs of 18 carats, which is we were at 3% of the production. Now we are at 4%, 5% of the production.
So 18 carat as we told earlier we are concentrating on 18 -carat rose gold and white gold jewelry , which is bringing us again margin to us. So we are more concentrating on 18 carat also. Natural diamond also, we doubled the carats in this quarter. So this both segment we are concentrating.
And one good news is that we already started lab -grown diamond and our first build also ship to Limelight jewellery , which has 25 stores. So lab -grown diamond also we shipped the first of our production.
Chintan Sheth: And lastly, on the guidance, you mentioned INR7,200 crores by FY '27 that implies that you will be almost utilizing your existing capa cities, right? Any broad plans for further expansion in capacity and how you will be funding it? Because so far right now, given that our working capital, our operating cash generation is still negative, and we were targeting somewhere turning positive in the upcoming year. If you can highlight how are you going to expand your capacities for future growth beyond FY '27 and how you will be funding them?
Mangesh Chauhan: So we have in mind that after FY '27 March, we'll build a new facility as new clients are onboarded, big clients are onboarded. But as and when we will plan and we'll inform the Exchange. So right now, we are in the community , as and when required so we will be cash flow positive in '27.
As you can see, the client onboarded are giving us the raw material by their own. So we don't

have to fund that inventory . So we are adding those clients only. We are targeting Reliance also for that and already Tanishq is in pipeline. So we are targeting the m also. So we are concentrating those clients who are providing us raw material.

So immediately we will be not requiring much capital to fund them, and we'll be cash flow positive by 2027. For 2027 March, we'll need a new facility we have in mind. So we a re referring for that but as and when Board approves, we will inform the Exchange.

Moderator: The next question comes from the line of Srinath Krishnan, an individual investor.

Srinath Krishnan : The first question is on capacity expansion. This is a very l arge expansion that you're undertaking. What gives you the confidence that we would be able to utilize this capacity, maybe even in 4, 5 years? Is it like a 4 x to 5x increase in capacity, right?

Mangesh Chauhan: Sure. So you can see that this CaratLane now is planning for, I think, 300 more stores as he has moved his subsidiary from Tanishq to Tata. So earlier, they here were Tanishq subsidiary, we were not able to keep all the inventory because Tanishq was keeping. So CaratLane now itself -- the CEO from T anishq has came to CaratLane and they are planning to open 300 stores, more stores in 2 years.

So like that, Kalyan, Senco, Malabar Gold, Khazana, Gadgil, all are planning aggressively in 2 years, 24 months, they are aggress

ively opening 100 stores, somet imes 150 stores, which they have opened, they have taken 7 to 8 years to open 50 stores. Now they are opening in 1 year. So they are into an aggressive plan, and we are in the mindset that after 2 years, we'll need a huge facility when we will have Tanish q also and I think major clients are onboarded. We are in talks with Reliance also. So the growth will come from the organized market, which is unorganized market is shifting to organized very much drastically.

Earlier, they were expecting to shift it by 2035. Now they are expecting that in 6 years only much of the higher percentage of the unorganized market will shift to organized and it will come to 78%, which we are expecting in 10 years, it will happen in 5 y ears only because of the stable government and BJP government and also policies they are taking.

So we are expecting a huge growth in the stores opening. We have onboarded all the corporates right now in Dubai. Singapore also, we have distributor -- we ha ve appointed a distributor. So export is also growing very much. We are expecting lab -grown diamond to grow very much in these 2 years. So we need a good space now we are producing a small space in Sky Gold only for lab -grown, but we need a huge space for lab-grown also and 18 -carat is accepted very much for rose gold, white gold, yellow gold as the gold rates are going up, 18 -carat market share will also grow.

Keep in mind that we are into all the segments we have to plan a huge facility where this client will are growing very aggressively, and we have to cope up with them. So we have in mind, let's see as and when the plan is on board, we will inform the Exchange.

Srinath Krishnan: So the next one is on the capital employed in the business. If you look at it, you -- one effort you're taking is gold metal loan, but the -- and also importantly, the customers are going to -- reduce the capital employ ed [inaudible 0:20:19] that is also a very large pool. 50% of your capital employed.

Mangesh Chauhan: Your voice is breakding…

Srinath Krishnan: Can you hear me now? Can you hear me now?

Mangesh Chauhan: Can you repeat the question?

Srinath Krishnan: Yes. So 50% of your -- you're taking care of your gold bullion, right, because the customers are going to g ive it to you, a large portion of your capital employed and the rest is receivable. So what is -- because reduction there will also significantly reduce the capital employed and improve the ROCEs and cash flows. So what is the effort that you're taking the re? Directionally, where can we move towards in terms of receivable cycle from the 25 days we are at?

Mangesh Chauhan: 100% inventory days are -- we are at 25 days, debtor days, we are at 25 that will come down blendedly , because nowadays whichever we are exhibiting nearly 4 x and we are totally doing cash and carry business with them. So we are now targeting -- now our Vice President, Akash Talesara joined SGL totally targeting the customers who are giving the bullion advance or we are doing the cash and ca rry business.

So in 2 years span of time, we are expecting that this CaratLane, Aditya Birla, Reliance and if we are successful in onboarding Tanishq also, so they will give only 50% of production of their bullion and 50% out of 1,000 kg we have a capacit y, 500 kg will be from their raw material and 500 kg only we have to fund and fund the debtors. So automatically, it will come down to 15

days or something.
So already you can see we are concentrating on d ebtors day , and we are expecting it to come to 15 to 10 days because 50% business from right now from here to FY '27 March, we are targeting 30% business should come from their raw material, we don't have to fund that raw material and debtors also. So blendedly it w ill come down.
Srinath Krishnan: So one, 30% of your business will come fro

m people who are keeping bullion, right?
Mangesh Chauhan: Yes.
Srinath Krishnan: And also exports will also be another 20%, 30% where -- what is the receivable cycle there?
Mangesh Chauhan: Exports is, again, 10 to 15 days, 7 days, 10 days. So it's much better than India. So their receivables is very fast from India. So blendedly exports also, we are concentrating -- we were at 1% or 2%, we are at now 8%, 9% and we are targeting to t ake it to 15%.
Srinath Krishnan: Both these put together will be nearly something 30%, 40% of your revenue, which will have very low receivable cycle?
Mangesh Chauhan: Yes, yes. We are on track for that.
Moderator: The next question comes from the line of Jehan Bhadha from Nirmal Bang.
Jehan Bhadha Sir, my question is on the borrowings front. So what are the current borrowings as on December?

Mangesh Chauhan: So it's approximately INR380 crores to INR400 crores approximately.
Jehan Bhadha And any of the fun ds that we raised recently of INR270 crores that are going to be used for working capital?
Mangesh Chauhan: So already we use INR70 crores in subsidiaries and INR140 crores with the subsidiaries. And out of the INR130 crores, INR100 crores was used in Sky Gold and INR30 crores for the general corporate expenses. So we have already infused here 18 -carat and natural diamond and lab - grown diamond, we have infused a new capital we increase.
And there we infused in Starmangalsutra and Sparkling Chains. So all the divisions we have spreaded and invested. So we have seen the growth in 18 -carat also, we have grown from 3% to 5%, then we have grown natural diamonds also by 50% quarter -on-quarter .
Jehan Bhadha : And so sir, how should we look at debt for -- by the end of this year and by end of next year, where should the debt figure be?
Mangesh Chauhan: I think by the end of this year, we are at INR380 -INR400 crores only. We are in a comfortable situation. And next year, we can increase some INR50 crores INR100 crores debt not much than that because we are getting GML right now. So it will be not -- our interest cost will be lower because of GML. So already ICICI Bank has granted us INR100 crores of GML. So we'll be much of taking GML only, which will not impact our PAT margins.
Jehan Bhadha : Yes, that I understood, sir. Yes, but the gross debt will be how much?
Mangesh Chauhan: So gross debt will be approximately -- next year, we are planning -- this year is INR400 crores, so INR550 crores to INR600 crores.
Moderator: Next question comes from Raj Saraf from Finvestors.
Raj Saraf : Congratulation on great set of numbers. Sir, how would be the margin outlook on EBITDA and gross margin? Will it sustain this level or what could be the outlook going forward, FY '26 , FY '27?
Mangesh Chauhan: We have worked very hard for the fancy jewellery and we have improved our gross margin also and EBITDA also increased. So we'll maintain this EBITDA 5.5% approximately and PAT margins were 3.5%. So we have improved and we maintai n this in this 2 quarters also. So we are largely concentrating on the margin -based products, which are like 18 -carat, natural diamond.
Lab-grown also adding -- first shipment only gone from a small amount of INR15 lakhs to INR20 lakhs, but it's going to g row by, I think out of our revenue, lab -grown will have a place of 5% in next 3, 4 quarters or 6 quarters. So I think blended margins will be at 7 /8% and EBITDA at 5.5% and PAT at 3.5%.

Raj Saraf : And sir, you have given guidance for this year, INR3,300 crores. So if we maintain the same run rate for next quarter, we'll be already crossing this number. So what could be the guidance for this year and FY '26, though you have already given the guidance for FY '27, that is INR7,200 crores, sir?
Mangesh Chauhan: Yes. So already we have g

iven the guidance of INR5,700 -- we have revised the guidance to INR5,700 crores for the FY '26 and INR7,200 crores for '27.

Raj Saraf : FY '26, can you repeat again?
Mangesh Chauhan: INR5,700 crores for FY '26 and INR7,200 crores for FY '27.
Raj Saraf : And this year, we will maintain the guidance of INR3,300 crore?
Mangesh Chauhan: Yes, 100%. So I think it will be better than that, but we'll not talk on the numbers, but this quarter is much better than that. Yes.
Moderator: Next question comes from the line of Manan Vandur from Wallfort PMS.
Manan Vandur : So for the past few quarters, we are saying that we will onboard Tanishq. So where are we on that front?
Mangesh Chauhan: So I think we are right now in a good position bec ause we have supplied 2, 3 times to the CaratLane and we have become a regular vendor to the CaratLane. It's not the first time we supply, 2, 3 times more we supply. So we are -- and orders are coming back -to-back. So it will get very good impact in the Ta nishq also because Board members meet every time and they discuss about the vendors and there's a very good review about our company's product and selling time of our products.
So it will help us to onboard Tanishq also. We are regularly meeting them. Alre ady our Vice President, Akash Talesara is targeting them. Already we meet twice in last week also but we are expecting let's see in a quarter, we will -- but we are able to achieve Novel Jewels , Aditya Birla onboard then CaratLane. Now Tanishq is the only remaining part, so we are very nearby.
Manan Vandur : Sir, second will be when did you say that we will be cash flow positive?
Mangesh Chauhan: By FY '27, we'll be cash flow positive.
Manan Vandur : And sir, the next question was that when you spoke about the capex, I couldn't get it. So how much kgs per month are we planning, the next capex? And what will be the total capacity after that?
Mangesh Chauhan: So we are not -- anything on the plan, just h ave in the mind, but we are planning for this. So we will go up to 4 ton capacity. Now we are at 1 ton capacity. We will go up to 4 ton capacity because by FY '27 March after that, we'll leave the facility and we'll make -- now our competitor enlarges the capacity -- he's making 2 ton and he has a capacity of 2.5 to 3 tons.

We want to make a 4 ton capacity facility, including all lab -grown, natural, 18 -carat and all. So let's see, we are planning for that arrangement and we'll look at the Board and we'll in form you but we have a mind that we should have a capacity of 4 ton per month.
Manan Vandur : Okay. And sir, the last question would be that last quarter, you said that we might have other income in Q3 of about INR15 crores -odd, but we had around something INR7 crores. So will the balance INR8 crores come in Q4? How can we look at that?
Mangesh Chauhan: Can you repeat?
Manan Vandur : Sir, last quarter con -call, we asked so you said that for the quarter 3, we might get other income from sale of shares or somet hing about INR15 crores. But this quarter, we had around INR7 crores. So will the balance INR8 crores come in quarter 4?
Mangesh Chauhan: So you can see we have FDs against the bank limits for collateral . So we are getting every quarter the interest income also. This year from sale of investment, we got INR3.4 crores. Some of our investments are with single bank or SBI. They are in the process. So I think if they get released in this quarter, we'll get the income of -- other income also in this quarter.
So INR35 crores of shares are lying with SBI, they are in the release process. If they get released, we'll get -- we already got in this quarter also INR3.3 crores from the sales of investments and INR2.4 crores from the interest income.
Manan Vandur : And las t question will be, sir, I couldn't understand the debt part of it. You said that next year, our

debt will be around INR550 crores to INR600 crores. So could you please explain a little that why will our debt increase? I couldn't get it ?
Mangesh Chauhan: So we are expanding in many segments like 18 -carat also, lab -grown also, natural diamond also, 18-carat. So to fund the growth, we have to take the debt. And we are now getting GML, so interest part will be only 3%, 4% yearly other than 9% from the CC limits. So we are getting good orders from all the segments. I think lab -grown we have started Limelight jewellery which is 20, now Wondr Diamonds we are approaching who has 24.
So lab -grown has a huge potential in the next 2, 3, 4 quarters. So we'll fund that also -- we'll fund 18 -carat also. As and when required, we'll take the debt, but we are projecting at INR550 crores to INR600 crores. And we have revised the number also of the growth. To fund the growth, we'll take the debt.
Manan Vandur : And sir, very l ast question would be. Sir, you said that FY '27, we will be cash flow positive. So in terms of -- if I take cash flow by EBITDA, so what would be the conversion like more than 50% or how would it be? For example, if -- just an example, EBITDA is, for exam ple, INR500 crores. So will our cash flow be more than INR250 crores or something like that?
Mangesh Chauhan: Yes, yes, yes.

Manan Vandur : So it will be more than 50%, you are saying, our cash flow?

Mangesh Chauhan: 100%. 100%.
Moderator: Next question comes from the line of Bharat Gianani from Moneycontrol Group .
Bharat Gianani : Congrats for great set of numbers. So sir, my first question is that on the natural diamond side and also on the -- especially on the lab -grown diamond side, we ha ve seen the price of the lab - grown diamond correct very significantly in the last 2 years or so. And the prices are now stable, but then again, as the technology evolves, there is a risk that we may see a further price correction.
So as a lab -grown diamond manufacturer that you have started this segment, I know it is a very small portion right now. But then what is your risk in terms of if the price of the lab -grown diamond continues to correct? So what risk do you have as a manufacturer of that? So if you can throw some light on that?
Mangesh Chauhan: Sure. So I will throw a light on that because lab -grown is a devaluating asset every time -- every quarter rates are falling. Earlier, it was falling drastically. Now it 's falling in a limited -- but as a manu facturer, all the industry works on that model, we also procure that only order to the lab growing companies, that quantity only, which we get the fixed order of that. So we will keep in the stock of this inventory.
As we got an order of 500 carat, we orde red to the growing company. We do not grow inside because there's a big setup and now we are very small in that. So as and when required, we grow inside also in 2027. But we take the inventory as which order is fixed. So retailers are also working on the s ame model. If they are keeping inventory 300 -carat as they sold 50 -carat in 1 week, they order 50 -carat -- they sold 50 -carat.
Whole industry is working on that model because all of them know that the rates are falling and will fall much ahead also. So all industry is working on the same model, whichever order is there, we order the inventory and we dispatch. Once other orders come, then we order. So in the same process, we do for the natural diamond also because natural diamonds also and the small diamond rates fall 10%, 15%, but Solitaire we don't keep Solitaire really but solitaire also fall by 20%, 25%.
But the same model that also natural diamonds, we procured the diamonds as per the orders of the companies. And when new rates come, we quote the new rat es to the corporate and then they approve for the new rates. So every quarter or 6 months, we change the rate as and wh

en the
rates fall. So we also pick on the same rate. So that's why we keep a limited, order for limited and we don't keep in the inventor y also.
Bharat Gianani : So basically, as now that you're -- what you're trying to say is that as the business model that we have now for the gold, once you receive the order, you fix the price and then start manufacturing.
So that model will apply to the l ab-grown and natural diamond also?

Mangesh Chauhan: Yes, yes. So as and when required, and we are in a good position, we'll grow inside also because machineries are available to grow inside. So now quantity is very less, so we don't have to look at capex f or lab-grown diamond.
Bharat Gianani : And sir, one more question from my side is I missed your point. So you said that new clients that you are onboarding are giving you the raw material, for example, CaratLane and Aditya Birla. So you gave some percentage, but I missed that number. So what percentage of the revenues that you have the clients give you the raw material and what that percentage will be going in next 2 or 3 years?
Mangesh Chauhan: So in next 2 years, we are expecting 3 0% to 40% from this client. We will grow 1,000 kg, at least 300 to 350 kg we get from this advance ,650 maybe from our inventory. Now we are getting per month 15 to 20 kg from CaratLane and Aditya Birla just started in this month only, we get 5 to 10 kg pe r month. But coming 6 quarters, we are expecting -- after 6 quarters, we are expecting 30% to 35% business from this client. So out of 1,000 kg capacity, we are expecting 350 kg from this client and 650 kg from other.
Bharat Gianani : So on an overall basis in the next 2 years, you're saying that about 30% to 40% of the raw material will be provided by the client?
Mangesh Chauhan: Yes, we are expecting that.
Moderator: Next question comes from the line of Amit Agicha from HG Hawa.
Amit Agicha : Congratulation s for excellent set of numbers. My question was connected to exports. Like how much of the total revenue is from exports? And what is the company's exports revenue target for FY '26 and '27? And how is the demand shaping up in Middle East, UAE, Singapore a nd

Malaysia?
Mangesh Chauhan: So already, we are at 8% this quarter, 8% -- sorry, 7% this quarter, INR71 crores export we have done. And we were at 1%, 2% year before. And in 2 years, we are expecting it to take it to 13%, 14% or 15%. Majorly 85%, we will rely on India because India has a huge potential. So UAE demand is stable and good. Singapore also, we have appointed a distributor. So we will be starting delivering in this quarter.
So UAE, Singapore and Malaysia, decent growth is there. But India is ve ry strong growth we are seeing. India is growing , because unorganized market is shifting to organized. So we are relying 80% on India. And this 8% to 9%, we are taking -- we are expecting to go to 13%, 14% or 15% by FY '27.
Amit Agicha : And last question w as connected to the employee. Like what initiatives are being placed to retain skilled artisans and karigar s in the competitive market?
Mangesh Chauhan: Pardon?

Amit Agicha : What initiatives are in place to retain the skilled artisans and karigars in the competitive market like employees I'm talking about?
Mangesh Chauhan: So we -- already we are giving many incentives based on their design -- how design they have made and how it's working on the market . To design also , artisans we keep project type incentives to them, how much production they are taking. So we are giving each and every -- facilities also there. We have made gymnasium, saloon facility for them. So these are the basic facilities we are giving and incentives also we are giving to them.
Amit Agicha : So you're going to increase the hiring in the coming quarters?
Mangesh Chauhan: So alr

eady, we were at 600 employees . Now , we are t ogether subsidiary , we are at 900, 950 employees.
Amit Agicha : Nine hundred and?
Mangesh Chauhan: 950 employees are there together with subsidiaries. We are at 950 employees. So we'll be hiring as and when -- every quarter, we are hiring little bit with the karigar level, not much designers are needed because designer and merchandising t eam we have, we will increase by 10%. But at a worker level, the polish department, we have to increase every quarter.
So for doubling the production, we will not need double employees, we need 1/3 employee lesser because technologies are coming. We have already increased US electro polishing machine, then 3D printers have came, which is reducing our manpower. So in few years, we are expecting that for doubling the production, we will not need to double the employees. We have to just -- 1/5 of the employee s we have to hire.
Moderator: Next question comes from Nilesh Jain from Astute Investment Management.
Nilesh Jain: Congratulations on great earnings. My first question was on the GML side. Like you mentioned by end of FY '25, you're planning to target to b ring it to 50% to 55%. So when I talk about for FY '26, what percentage of overall debt you would like to convert to GML? And then how much of that savings would flow into your finance costs?
Mangesh Chauhan: We want to go up to 80%, 75% to 80% and already it will help because we have already a rating of A- from Fitch Rating. We were at BB stable. Now we are at A -. So there is a good sign that we have got a good rating, which will help us to reduce our finance cost in CC limit also in GML also and reduce ou r collateral part also. So we are -- we want to go up to 70% to 80% GML . But by March, we are expecting 50% to 55%.
Nilesh Jain: Okay. S o how much would that flow into us as a finance cost? Right now, it's around between 1% to 1.3%.
Mangesh Chauhan: Yes, it will help to improve by 0.5%. 0.5% will be approved, so, 1.2%, 1.3% we are there. So it will come down to 0.7% or 0.65%.

Nilesh Jain: Okay. M y second question was like you increased your guidance to INR7,200 crores by FY '27. So does it include any new clients which you plan to add? Or it does take into account only your existing clients and then your 2 accounts, which were added, which are CaratLane and Aditya Birla?
Mangesh Chauhan: So we are -- we have increased the guidance on the base of the ex isting client only because the showroom was increasing drastically. They have accelerated showroom s. Malabar Gold is opening 100 stores in a year. So we have given revised guidance on the base of the existing customers only, whichever other companies or CaratLane , they will give their own bullion. So in that our revenue will not increase , our gross margin will increase because we are making -- making charge bill only will be made .

They will give their bullion and we'll make from them. So in that our gross margin will improve.
And so we -- our revenue guidance increase on the base of the existing client only Kalyan Jewellers , Senco, Malabar Gold, Thangamayil , then GRT Jewellers , Khazana, these all are growing drastically in their showroom s. That's why we hav e revised our revenue guidance.
Nilesh Jain: Because I remember you mentioned that you were in a final agreement stages with Reliance. I mean -- so say, suppose you sign up by FY '26, Tanishq and Reliance both of them. So that would eventually increase you r guidance like on upside given right now, you've not included them.
Mangesh Chauhan: In that kg -wise percentage will increase, our kg -wise volume -wise guidance will increase 100% because they will give their own bullion. That will help us to improve much in our gross margins.
Nilesh Jain: So that is right now not taken into consideration? Okay.
Mangesh Chauhan: No, I'm not -- we are no

t taking consideration in the guidance. Right now also, we have not taken much consideration of the CaratLane, also Aditya Birla because they are in the initial stage. So after a few quarter s, we'll see and change the guidance of that also.
Nilesh Jain: My last question is because right now with the new clients which you have added, you are trying to take the inventory directly from them. Are you in conversations with your existing client to change the model which you have right now where you are taking i nventory on your balance sheet , changing the model to taking inventory from them with your existing client ?
Mangesh Chauhan: So we -- right now, we are not planning because every corporate has their own model because some corporates work on this model, som e corporate s work on , a, to fund inventory from ourselves also. So all -- they are large corporate, they have their own models. When we come to 30%, 40%, then we are in a position when we will talk to the existing corporate also to come to that model. But in the next 2 years, we'll first bring these clients on board and bring the volumes of 300, 400 kgs from their bullion. And then only we can negotiate with these clients also. But every corporate has their own models to work.
And so they -- this Malabar G old or Kalyan Jewellers , they don't work on that model to give inventory to us and then they are in the mindset , they don't want to fund the inventory for 25

days, and they can open more stores and they will keep the inventory in their stores. So other mix of model -- mix of their models are there for the other corporates. But when we are at 30%, 40%, we are getting the bullion from this big corporate, then we can change our strategy, I think.
Nilesh Jain: Just last question. Any inorganic acquisition or an y companies which you are looking to have in mind to acquire them just like you had acquired Starmangalsutra ?
Mangesh Chauhan: Nothing right now. But as and when required, as and when there will be any stronger, we will inform the Board & exchange .
Moderat or: Our next follow -up question comes from Palash Kawale from Nuvama Wealth.
Palash Kawale : Yes. So, sir, what was the inventory and debt position by the end of December?
Mangesh Chauhan: End of this?
Palash Kawale : By the end of Q3?
Mangesh Chauhan: Okay. So I think I will send you the numbers later.
Moderator: The next question comes from the line of Shanmugam Selvanathan, an Individual Investor.
Shanmugam Selvanathan : Congratulations on your excellent set of numbers in Q3. I have just one question. Because of the rise in gold prices, currently, we are facing the gold is at an all -time high. Do you face any kind of impact in your demand from the current retail clients or how is the wedding season currently going on?
Mangesh Chauhan: So wedding season is good. As a manufacturer, we are backed by order every month because there is every wedding season , then Akshaya Tritiya comes in the April . For example, March orders will come for Akshaya Tritiya. Now we are making for wedding season. At retail level, there is 10%, 15% of impact is there for a short term of 10 to 15 days. But I think nowadays, as and when gold rate s from youngsters want to buy the gold as they presume that gold will go to INR1 lakh or something, there is an assumption in the market.
So at the manufacturer level, because we are order back, corporate has to give us orders, we have to prepare for the other occasion going forward. But retail level, there is an impact of 10% to 12%, but I think it's short. As we talk to the corporate, they ar e telling the impact of 5 to 6 days or 7 days and back to normal in 7 days.
Shanmugam Selvanathan: So do you feel any -- because of this, any impact in revenues in the current quarter or in Q1?
Mangesh Chauhan: Nothing, because we are getting good orders o f 18 Carat

also, because of the rate -- 18 Carat are coming much because 18 Carat is a budgeted delivery. And in that the rate impact is lesser because it comes in the budget . Some switch is there in 18 Carat. 18 Carat orders are coming much in this quarte r also. So again, we have good orders lined up and we are backed up orders.

So there's no impact on manufacturing level , but it's natural that when rate goes up then 3, 4 days impact in the retail of 10% to 15%, and it goes back normal to relatively normal .
Moderator: The next follow -up question comes from the line of Bharat Gianani from Moneycontrol Pro.
Bharat Gianani : I just wanted to check on the margin guidance for FY '27 at gross , EBITDA and net profit level?
Mangesh Chauhan: So gross margins, we are expecting to be at 7%, EBITDA at 5.5% and 3.5% PAT.
Bharat Gianani : Sir, PAT, how much you say?
Mangesh Chauhan: 3.5%.
Moderator: The next follow -up question comes from Raj Saraf from Finvestors.
Raj Saraf : Sir, is there any difference in gross margin of e xport and domestic?
Mangesh Chauhan: There is a difference of 0.5%, not much in UAE countries. It's similar to India, Singapore, Malaysia. So 0.5% is better there. But of course, Europe and US is different gross margins are there, but we don't make product s of US and Europe. It's totally different products. So our products match to UAE country and Singapore, Malaysia, but the business is much of cash -n-carry and less debtor . So that 's the advantage. We can churn the inventory fast , but margins is a differen ce of 0.5%.
Raj Saraf: And sir, one request from my side, sir. Actually, the investor presentation, which has been posted of conclusion of Q3, we got now so many fresh updates on this conference call. So it will be helpful if you can please post a new inve stor presentation with so much updates, it will be helpful, sir. That's a request from my side.
Mangesh Chauhan: Sure. We will plan it out and update in 7 days.
Raj Saraf: And one thing, sir, the volume guidance which you have given for FY '26, that was fr om 550 to 600 kg. So what could be the volume guidance for now the updated volume guidance for FY '26?
Mangesh Chauhan: So we are expecting to 650 kg approximately , 650 to 700 kg. So as we told that we'll update new PPT guidance also in this 7 days and in our actions also . So I think we are expecting to 650 kg.
Raj Saraf: And for FY '27, it will be beyond 1 ,050 kg?
Mangesh Chauhan: Yes.
Moderator: Ladies and gentlemen, in the interest of time, this will be our last question. And I now hand the conference ov er to the management for closing comments.
Mangesh Chauhan: Thank you, everyone, for joining us. I hope we have been able to answer all the queries. In case you have inquired any further details, you may please contact us or Orient Capital, our

investment relationship partner. Thank you so much. Thank you for being a part of our Sky Gold journey. Thank you so much.
Moderator: Thank you. On behalf of Orient Capital, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2025

Date: 4th June 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street, Fort,
Mumbai 400001

Scrip Code: 541967 To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
G Block, Bandra-Kurla Complex,
Bandra (East), Mumbai 400051

Trading Symbol: SKYGOLD

Subject: Transcript of the earnings conference call.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of the transcript of the earnings conference call held on Thursday, May 29, 2025 on the audited financial results and operations of the Company for the quarter and financial year ended March 31, 2025, is enclosed.

The said transcript is also available on the Company's website at http://skygold.co.in/wp-content/uploads/2025/06/Transcript.pdf

You are requested to take the above information on record.

Thanking you.

For Sky Gold & Diamonds Limited,
(Formerly known as Sky Gold Limited)

Mangesh Chauhan
Managing Director & CFO
DIN: 02138048
Place: Navi Mumbai
Encl: As above

"Sky Gold and Diamonds Limited Q4 &FY '2025
Earnings Conference Call"

May 29, 2025

MANAGEMENT : MR. MANGESH CHAUHAN – MANAGING DIRECTOR
AND CHIEF FINANCIAL OFFICER
MR. DARSHAN CHAUHAN – WHOLE-TIME DIRECTOR
MR. SIDDHARTH SIPANI – GROUP FINANCE
CONTROLLER
MRS. NIKITA JAIN – COMPANY SECRETARY

MODERATOR : MR. VIDHI VASA – MUFG INTIME

Moderator: Ladies and gentlemen, good day and welcome to Sky Gold and Diamonds Limited Q4 FY '25 Earnings Conference Call.
As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Vidhi Vasa. Thank you and over to you, ma'am.
Vidhi Vasa: Thank you. On behalf of MUFG Intime, I welcome you all to Sky Gold and Diamonds Limited, Q4 and FY '25 Earnings Conference Call.
On the management side, we have Mr. Mangesh Chauhan – Managing Director and Chief Financial Officer; Mr. Darshan Chauhan – Whole-Time Director; Mr. Siddharth Sipani – Group Finance Controller; and Mrs. Nikita Jain – Company Secretary.
I hope everyone had an opportunity to go through our investor deck that we have uploaded on exchange and the company's website. I would like to mention a short disclaimer before we begin the call. This call may contain some of the forward-looking statements which are completely based upon our beliefs, opinions and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.
With this, now I will hand over the call to Mr. Mangesh Chauhan. Over to you, sir.
Mangesh Chauhan: Thank you. Good morning, everyone. Welcome to the Q4 FY '25 Conference Call. Just to give a recap of our business model, we are a design-led B2B jewelry manufacturer. Meaning, design is central to what we do. We collaborate with large corporations to co-create products, leveraging our strong understanding of and customer needs with various micro markets to foster strong consumer relationships. We differentiate ourselves from a typical B2B converter through this collaborative design approach.
At present, we are in the growth and scaling phase. We were among the first organized Indian jewelry manufacturers to directly target the corporate market, a departure from the distributor-led strategy of the market leader at the time, allowing us to build stronger customer relationships. While this corporate focus was initially questioned 15 years ago, strong growth in this sector has proven to be right approach, particularly with the ongoing shift from unorganized to organized players in retail jewelry. Large corporations increasingly prefer to partner with organized manufacturers like us as we assure them consistency, quality, positive working conditions, and innovative designs.

Our strategic strength lies in lightweight jewelry, highly relevant to today's gold prices. For example, we manufacture our products at 15% to 20% lower weight compared to our competitors. We are also supporting a major retailer's 18 carat gold growth. Our manufacturing capabilities range from 9 to 24 carat gold, including unique colors like rose gold, white gold, yellow gold. Our consistent approach is customer to co-creation aiming for preferred partner status. Our planned 4x expansion will make us India's largest jewelry manufacturer.
Why do we have right-to-win in this space? Our addressable market is substantial both domestically in India and international. As the B2B design leader, our strength lies in not being limited to a single geographic region, allowing for a high scalable and asset-light business model. We currently partner with the majority of Indian corporations and are expanding our global presence by establishing overseas offices. Darshan Chauhan will elaborate on the strategic implication on this international growth.
The largest competitor in India produces 4 times to 5times, 6 times more than us, operating at 2 ton

s to 3 tons per month, and holds a leading position with advanced gold, making 90% of their manufactured volumes. This is largely because of the scale and extensive design portfolio. We

respect our leader in this space.
What is the structural advantage we have? How does scale help in our industry? Sky Gold is 50% more frugal compared to our competitors. Our employee cost and other expenditure add up only to 1.5% approx of sales, which our competitors operate at 2x higher cost. Our PAT margins are superior despite operating at a lower markup compared to the leaders. The turnaround time for the competitor is 30 to 45 days, while our turnaround time is 15 to 25 days. As a result, we have been growing at 2x to 3x more than the organized players.
Until 2023, we had a manufacturing capacity of 200 kg's per month. And this quantity was manufactured across multiple locations. Our cost structure was not favorable, and we experienced a gold loss of more than 1.5%. Now, our gold loss has dropped to 0.5%. And we see further room for improvement. We feel that Sky Gold is at an inflection point to gain market share from the large unorganized base and organized players in space. This is one of the primary reason why we went to expedite our plans to increasing our capacity from 1 ton per month to 4 tons per month.
On the design bank front, we have been silently strengthening our design team over the last three years, which has led to this growth. In addition, we have recently opened a design studio in Andheri. Like BKC in the financial space, Andheri is a heart of jewelry design. High profile designers find it hard to travel to our Navi Mumbai facility. Also, the work environment required for our designers is totally different from the manufacturing facility.

Just to elaborate on the importance of the design facility. Until a few years back, our designs were not complex. We were working on co-creation projects with one of the publicly listed companies in the retail space on lifestyle design. These designs were exclusively for the customer and lock as well. Our business model has shifted from selling generic designs to more complex designs.
As a result, we can command superior gross margin and payment terms from our customers. Our design team of 110 employee plus freelancers have been split into 10 to 12 verticals where each designers focus on a particular category. As a direct result of these initiatives, we have been able to build close relationships with the founders of large retailers, a contrast to our prior limited access.
Let's now discuss our organization structure. A crucial element for scaling is our capacity to attract and compensate top tier talent. As the founder, we have learned the importance of willing to invest more for exceptional individuals. We have brought on board some highly experienced professionals with 15-20 years in the industry and strong networks. We are providing invaluable in attracting further talent of our recent hires. I would like to highlight a few key individuals.
Akash Talesara will lead our sales efforts. He had been crucial in our transition to a customer specific project business model and conceived the Andheri Design Studio, previously associated with major brands like Asian Star, Gold Star and Emerald Industry. Akash will now focus on shifting a significant portion of our revenue towards advanced gold. His prior experience includes high markup gold categories, diamond jewelry and exports.
Sandeep Roy heads our operations and oversees 18 carat gold segment. With over a decade of experience in the Chinese jewellery industry, he possesses a strong understanding of advancement in this field. Since his arrival, we have seen a notable improvement in the finish of our products.
Tiru brings nearly three decades of experience to our team, including thirteen years at Titan and eight years at Emer

ald. He is responsible for ERP implementation, gold loss reduction, and
productivity improvement. Since his arrival, our gold loss has halved, and employee productivity has increased by 20%-25%. Previously, he led Karigar training and continues to emphasize the training at Sky Gold.
We are implementing a modern ERP system, a significant improvement over our previous one. Despite the complex implementation in the jewelry industry, due to numerous SKUs, the long-term benefits are substantial. The new system will allow for close monitoring of employee productivity, gold loss, inventory positions and customer receivables. We began this in the second-half of the previous financial year and currently trailing, and we plan to have this operation by this year.

Siddharth Sipani will head our finance functions, bringing over two decades of experience, including time with Big4 firms. He will instrumental in transforming our auditing practices and possess a deep understanding for regulation for international office operations. Additionally, as

an operational CFO, he will work closely with operations and sales to reduce working capital, recognizing the need for improved corporate governance in the gold industry. Siddharth will lead initiative for best-in-class audit practices, important updates will follow.
Now, I will hand over to Darshan bhai to give a small speech.
Darshan Chauhan: Thanks, Mangesh bhai. Let's begin by discussing our advanced gold strategy, which is specially designed to sharply decrease our capital employed. In this model, the customer procures and provides the gold, thereby reducing our need for capital investment.
Our revenue will only reflect the value of manufacturing work we perform. This will optically enhance our profitability margins. Crucially, it also eliminates the need for us to hold inventory and manage receivables related to gold itself. A key performance indicator of our new head of sales, Mr. Akash Talesara, is to increase the proportion of advanced gold in our total production.
Our recent 200 kg monthly export order exemplifies this, with a gradual increase in shipment starting with 70 kg in Q1 FY '26. Similarly to the auto ancillary industry, the scaling of this will depend on customer timelines. We are optimistic about our success in the export market and anticipate significant growth over next 12 to 16 months.
In Q1 FY '26, advanced gold made-up about 5% of our total volume, a level we expect to maintain through FY '26, a substantial increase from its minimal presence in FY '25. We project this to contribute 10% of our total revenues by FY '27, growing to 30% by FY '29-'30, with endeavor to focus new customers onboarding on advanced gold terms. Due to competitive sensitivities, we cannot disclose the specific financial details of advanced goals. However, we do see opportunities for premium pricing, when we utilize our own gold, particularly during periods of high market prices.
Now coming to the diamonds. Our name, Sky Gold and Diamonds reflects the significant potential we see in the diamond category. Through our Sky9 diamond brand, we are offering lightweight contemporary jewellery that merges international designs with the Indian craftsmanship. While diamonds provide high gross margins, they typically have longer receivable cycles. However, their return on capital is superior to that of plain gold.
Our strategy includes both natural and lab grown diamonds. To enhance our capabilities in this way area, we have brought on board Mr. Shivakumar. Gangadhar, a seasoned professional who was a senior purchase manager at Joyalukkas for many years.

We have noted that rising gold prices are encouraging customers to buy studded jewellery, often with lower gold content. Currently, diamonds contribute about 1% to our revenue and we an

ticipate this increasing to 4% by FY '27.
And for the exports, FY'25 marked the turning point for Sky Gold with our export revenue tripling from approximately Rs. 100 crores in FY '24 to INR 300 crores in FY '25. Exports now contribute about 8% of our total revenue. To further leverage the substantial Indian Diaspora in the Middle East and Malaysia, we are establishing local offices in Dubai to enhance our market presence.
We have identified key team members for our Dubai office who have collectively handled sales of 600 kgs per month. We foresee significant contributions from Dubai and Malaysia, aiming for exports to represent. 20% of our volume by FY '27. Strategically, this expansion into exports also help us to reduce our capital employed due to the shorter receivable cycles compared to our domestic operations. The total receivable days in our export operations is less than 15 days.
Finally, we are implementing a new strategy to target the significant unorganized retail sector, which still accounts for over half of the industry. These retailers typically source through large distributors who in turn work with smaller jewellery manufacturers. Our approach will be to introduce fresh designs to this market, focusing exclusively on advanced gold due to the importance of collection.
We anticipate this new vertical will significantly accelerate our growth. Our primary efforts will be directed towards scaling advanced gold and decreasing working capital associated with customers. I will be heavily involved in improving collections and accelerating our receivable cycle. Consequently, managing the receivable cycle is a key KRA for all our key sales team members.
Now, Mangesh bhai will take over to explain the unit economics of the business.
Mangesh Chauhan: As we move into Q1 FY '26, our primary focus will be on working capital management, as previously communicated. Despite achieving growth, improved gross margin and profit growth, we recognize the critical need to optimize our working capital levels and reduce interest cost.
Our working capital cycle peaked at 72 days in Q4 FY '25 due to Akshay Tritiya preparation, but has since decreased to approximately 60 days to achieve a neutral operating cash flow by FY '27. We aim for a working capital cycle of 50 to 55 days, achieving two inventory days of 30 to 33 days and receivables of 20 to 22 days. This improvement will be driven by enhanced

inventory control via our new ERP system, and more disciplined approach to receivable collection led by Darshan Chauhan.

Our long-term goals include reducing working capital below 50 days and increasing PAT margins to 5% from our current existing margin of 3.7%. Key drivers for PAT margin expansion are advanced gold, gold metal loans, and our high margin diamond business, along with operating leverages from scale.

A significant part of my responsibilities in the first half of FY '26 is preparing gold metal loans. To strengthen our capabilities in this area and lower interest expense, we have brought on Siddharth Sipani, who has specific expertise in gold metal loans. As you all know, the gold metal loan interest rates have been volatile, and terms were not favorable to us. We have now received proposal which are favorable to us. Siddharth Sipani has handled gold metal loans for more than Rs. 500 crores across India, UAE, U.S. market.

Finally, regarding corporate governance, a key priority for us, we are committed to further strengthening our audit processes and we will share updates on this soon. Thank you very much. Now, we can start our question-answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nilesh Jain from Astute Investment Management. Please go ahead.

Nilesh Jain: Hi, thank you for the opportunity. Congratulations on a good set of numbers

.

Mangesh Chauhan: Thank you.

Nilesh Jain: My first question is on the working capital, like you mentioned. So I wanted to understand largely for this financial year for the last quarter what has led to massive increase in the receivable days from 21 days to almost 47 days? So, for this financially if you can talk about.

Mangesh Chauhan: Sure, sure. So our inventory days shot up in March because of Akshay Tritiya was on 30th April and many orders of delivery was getting postponed in the first week because March gold rates had gone up. So we pushed up the delivery in March only to achieve our targets also. And we given the comfort to the corporates that they can take credit of seven days more or 10 days more. So to achieve the target of March and to push up the deliveries of Akshay Tritiya as gold rates were very high, all time high, but now the receivables at 30th have already gone down to 60 days. So this was a short term comfort given to the corporates.

Nilesh Jain: Okay. So we expect this to normalize?

Mangesh Chauhan: Yes, already we have normalized on an average of 60 days and we are targeting ahead for 50 to 55 days. So again, in the last March '24, we inventory was shot up because Akshay Tritiya was in May end, so deliveries were very first week of April so the inventories were high. In this month debtors was high because we pushed the delivery, Akshay Tritiya was earlier and payments we had given the comfort of 17 days to the corporates because of the rates up and all.

But now it's all regular and business is on regular terms. Now it is below Rs 320 crores in absolute terms.

Nilesh Jain: Okay, okay. In your initial comments you mentioned that advanced gold has been about certain percentage of volume, can you help me with that number, what is that number?

Mangesh Chauhan: About the percentage of advanced good business then?

Nilesh Jain: Yes, of the of your overall volume how much percentage is –

Mangesh Chauhan: Yes, already we have closed with 5% to 6% in last year and now we are targeting for 7.5% this year. So last year we achieved 5% of advanced gold. So this year we are expecting good, advanced gold business because CarateLane already came up at the rate of 10 kg-15 kg per month from 2 kg. And Aditya Birla and Reliance we onboarded already last quarter onboarded Aditya Birla and given samples to them and they are about to start the business. And Reliance, we started the agreement phase, already agreement phase is done, and we are expecting from them also advanced gold business. So this year advanced gold business conservatively we will be at 7.5%.

Nilesh Jain: Okay. My last question is, we want to increase our capacity from 1 ton to almost 4.5 ton, and you mentioned that we are looking at Rs. 100 crores of investment to set up the plant to capacity. What would be our working capital investment, apart from the Rs. 100 crores for the fixed asset?

Mangesh Chauhan: So, again, we have just picked out land and building, keeping in mind the future demand, the corporates that are onboarding like Reliance, Aditya Birla and CarateLane we onboarded, and again some more will be onboarded. So this will lead to our capacity will be utilized by '27 end or starting of 2028 start. So we will need some huge facility that time. And we are in a plan mode, we will come up with all these details after June quarter and what will be our CAPEX plan and how we will be executing it. Right now we have just purchased the plant and land and building which we are replacing with the bank, with our collaterals which are FDs with the bank, just we have replaced with the bank for the collaterals. So again, we will come up with the plan of going for 4x by 2028 we will open this facility. And we are in the phase of making the plan and we will come up with after the June quarter how much CAPEX will be done and how much the working capit

al will be required.
Nilesh Jain: Thank you. Just lastly on the guidance you have given of Rs. 7, 200 crores by FY '27. What is our assumption on the realization of the gold price, like how much appreciation we are expecting?
Mangesh Chauhan: So we have conservatively taken a gold rate of Rs. 90,000 per 10 gram because we cannot predict two years because it has gone up by 30% this year. So expect it to consolidate for two years. So

we have conservatively taken a Rs. 90,000 rate, it is very conservative rate because two years it can be stability also or it can go up also. But we have taken a conservative rate. So we have given the guidance of Rs. 5,400 crores for FY26 and Rs. 7,600 crores for FY27 in the new PPT.
Nilesh Jain: Okay, sir. Thank you so much. All the best. I will join back in queue.
Moderator: Thank you very much. The next question is from the line of Bharat Gianani from Moneycontrol Pro. Please go ahead.
Bharat Gianani: Good morning, sir. And congratulations for a great set of numbers. Sir, I had two questions, first, coming back to the guidance side. We have seen in the press release that FY '27 revenue guidance is Rs. 7,200 crores. So sir, I just wanted to check on the margin front, what would be the EBITDA margin and the PAT margin guidance till FY'27 considering that we have highlighted lot of efforts to increase the exports, to increase the share of advanced gold, to increase the share of diamonds. So I just wanted to get a flavor of what is the margin guidance for FY'27 on EBITDA and PAT level.
Mangesh Chauhan: So we are at current 3.7% PAT and we are expecting to go to 4.5% conservatively by FY '27 March. EBITDA, we are now 5.7% approximately, 5.67%, and we will go up to 6.2%, 6.3% of EBITDA, conservative 6.2%.
Bharat Gianani: Okay, great. And sir, second, considering this GML part, so basically I guess GML rates were volatile, as you rightly pointed out, but now you gave the comment that we have started receiving favorable rates. So, can you elaborate like what is the GML rate that we are currently getting and what is the proportion of inventory that is funded by GML now and what is the target to take it up?
Mangesh Chauhan: So already we were using 15%, approximately 15%, 20% earlier. We surrendered that GML before Trump tariff and all, because the availability was dried up and also the rate was gone up in the last quarter to 8%, 9% to 10% is also gone up. So we stopped using last quarter. And this quarter, we are seeing it has stabilized to 5% now today's rate was 4.75% and they are telling that in one months' time it will go down to 3% or 3.5%. So availability is also in the normal phase now. Earlier quarter availability was not there for two to three, three days.
So, now we are planning, Siddharth Sipani also joined us who has good experience in GML, he has done a good meeting with all bankers and we are planning to use from July next quarter. This quarter has already come to an end, with 30 days pending. But in 2nd Quarter we will start using it and rates will be approximately 3.5% to 3.7% as per my assumption. It will not come down to 3% as earlier in a short time, but in a longer time, in the 3rd Quarter or 4th Quarter it will come up to 3%. So we will be slowly starting using it in 2nd Quarter.

Bharat Gianani: Okay. Okay. And sir, what proportion of inventory do you plan to fund via GML? So earlier as you said like in quarter four it was 15%-20%. So what will be the proportion that you are now targeting for GML?
Mangesh Chauhan: We have a plan to go up to 80%, because bank also gave up to 90%, there is a cap of 10% but we plan to go up to 80%-85% in three, four quarters from here. So 1st Quarter we are targeting is 20%. And again, 2nd Quarter, we are targeting 35%-40%.
Bharat Gianani: Okay. Okay, great, sir. And congra

tulations, all the best.
Mangesh Chauhan: Thank you, Bharat ji. Thank you.
Moderator: Thank you very much. The next question is from the line of Agastya Dave from CAO Capital. Please go ahead.
Agastya Dave: Sir, thank you very much for the opportunity and providing such a extensive commentary at the

start of the call. Many of the questions got addressed there. I had a question about the expansion and when it will get operational, but I guess I will have to wait till Q1.
Mangesh Chauhan: We are planning to start the facility, making the facility by 2027 opening and to conclude it by 2028 opening. So, we are on it, already Siddharth joined last month only. We are preparing all these plans and all. In the next quarter, by the June quarter we will be with all this plan going to 4x from here. So we have a plan of turnover of Rs. 27,000 crores. So we will be giving this plan after June quarter surely.
Agastya Dave: Right. Sir, I will wait for that sir, and I will keep my questions till that point. Sir, my question was on the export order that you have gotten. That's a single very large order for you. What is the scope with the customer going forward? I mean, after you reach the 200 kg mark, like can that customer give you a bigger, I mean, can you have a bigger wallet share with that customer? And also, what is the overall addressable market here? How much can you do in exports and how many such opportunities are there which you can easily touch going forward? And let's take probaby over the next two to three years how many such opportunities can come your way?
Mangesh Chauhan: Yes, sure. So this is just a strategic relationship with the customer in Malaysia, and he came to our facility and given a confirmation of order of 200 kg per month. So we have already delivered 60 kgs. So this is on the basis of the advanced USD he is providing to us and we are making it. Again sales is created. This is not like job work. Gold cannot be sent by advanced gold, there is some process in that. So he is sending U.S. dollar advance and we are sending already one tranche of 60 kg has gone and they are into QC model and all. So this run rate will come by in three to four months from here. And he is a distributor, we have appointed him a distributor for Malaysia, totally Malaysia country, we have given a whole and sole distributor to him.

So again, exports, there is a huge opportunity because we are that's why opening office in Dubai, because the reason behind opening is that there is a difference of dollar rate here. When we get export metal in India from bank, we have to pay some $4-$5 premium here and we charge same to the customer. Again in Dubai, gold is cheaper by $10, approximately out of 365 days, 350 days, $10 cheaper because gold comes from every country in Dubai. So they want the rate what is going in Dubai. So we will be picking up gold in Dubai and sending it here for job work, and passing this rate to customer, this difference of the $15 rate which is very hurdle for going to more export if we want to do we have to give the comfort of this dollar to them.
So we will get the gold in Dubai and send it here for job work. And this will give a comfort to the customer. They are getting the same rate of gold as in Dubai. So this will scale our business. Many customers will be added in this. So exports has good potential. We are targeting 20% from here in this year from Dubai, Singapore and Malaysia. Already said that in Malaysia we have pointed the distributors the whole time. And I think for exports, Darshan bhai, can also give a comment on this.
Darshan Chauhan: Yes. While looking the demand of Indian jewelry in the export market, it is going quite fantastic. Last year also you can see it was very good performance in the export market for us. So going forward, Dubai market, GCC countries like Bahrain, Oman, Qatar, Saudi, all are

growing at a
large scale. So we are getting good demands from the clients over there. So specially we are going to start the office in Dubai for to serve them more better, to give them more better services, and to give the comfortability of logistics and everything. So Dubai, Malaysia and Singapore, these areas are pure core market for our jewellery wherein Indian Diaspora is main at purchasing our jewellery.
So we are focusing main on increasing our export share in this. Again, the corporates in this international market like how we are conducting business in Indian market with the corporates, the international corporates also we are planning to make a co-creation and tie up with them to give them the new, new designs and multiple Indian designs which are in very huge demand right now in the international market. Thank you very much.
Agastya Dave: Understood. Sir, so my understanding on this matter is slightly, I mean, non-existing basically. But when you will import gold from Dubai and send like the manufactured piece from India, there will not be any duties, any taxation on you?
Mangesh Chauhan: Already, duties are not here. We get without duty bullion from Indian banks also. But here there is a premium of $4, $5, it's very nominal. But in Dubai gold rates are discounted by $10. So we have opened a subsidiary and our funds will be there, they will purchase gold from Dubai and send to Sky Gold, Mumbai, for a job work, and we can deliver from there order.
Agastya Dave: So that will not attract any taxation from Indian government?

Mangesh Chauhan: No, no, no taxation. We are charging the making charge from here only. So we are paying tax here in India.
Agastya Dave: Yes. So that tax you will be paying here, but on gold itself --
Mangesh Chauhan: Normally big company practices this type of model.
Agastya Dave: Understood. So then the market can be very large for you if you can do it the way you are saying.
Mangesh Chauhan: Yes. Yes, because some big distributor there is hurdle of rate of Indian premium of $4, $5 and they are getting discount at $10 in Dubai for the gold rate. So we will be able to trust that customer also.
Agastya Dave: Understood, sir. Sir, one last question again on export, so what kind of marketing, you described that you are bringing in people to take care of the marketing and sales specifically, but on this export opportunity, what kind of presence do you have in terms of like your team members, how many people are like catering to export markets exclusively? And how are you going to build that team?
Darshan Chauhan: Yes. So I will elaborate on this. We are taking experience sales team from the Dubai market who are having experience of the Dubai market for last 30 years, last 20 years. So two persons we have selected for our office who are having collectively experience of selling 500 kgs to 600 kgs of gold. So one is experienced in the local GCC markets and the Dubai market and the local GCC countries. And the other one is having expertise in the international market like Far East Asian markets are there, African markets are there, Australia, Canada, everywhere. So we are having a mix of good sales people. They will give good marketing services to the international market and everywhere. And we are doing co-creation with them. And the local retailers there in Dubai, Saudi, Bahrain, they are looking for co-creation so we will provide them the design they are looking for their market.
Agastya Dave: Excellent, sir. Thank you very much for the opportunity, sir. And all the best. You have some wonderful plans, I hope you are successful. Best of luck, sir.
Mangesh Chauhan: Yes. Thank you. Thank you for your blessing, sir.
Agastya Dave: Thank you, sir.
Moderator: Thank you very much. The next question is from the line of Palash Kavale from Nuvama Wealth. Please go ahead.

Palash Kavale: Hi, sir. Thank you for the opportunity and congratulations on the very good set of results. Sir, my first question is, is it safe to assume that in FY ‘26 you will be doing around 4% of PAT margins?
Mangesh Chauhan: So again, yes, because of GML we will be saving 0.3-0.4 conservatively, so we can reach 4%. I think it's reachable in 2026.
Palash Kavale: And sir, any new customer additions for this quarter are planned or you have added in last quarter?
Mangesh Chauhan: Already in March quarter we added Aditya Birla, and this quarter we added Reliance, added means we have already done the agreement phase, and they are going to order in one or two months, the processes of two, three months’ of onboarding and all. So we added this one. Again, PMJ jewelry, we added PMJ Jewelry who has 50 stores in Hyderabad, in Andhra. We are launching 24 carat jewelry with them. We have made a 24-carat exclusive jewelry which is made in China majorly, in India is very rare. So we have an expert in our production team, he has made it possible. So he we have made rings also, necklaces also, earings also, which is very difficult in 24 carat. So India has allowed 995 gold to hallmark as 24 carat jewelry. And he will be quoting this jewelry in all the 50 stores from August month. And he has done a tie up with us for 24 carat jewelry. So we have added PMJ jewelry, like Mari Jewellery in Hyderabad was 12 stories, he is planning to go to 30 stores.
So we have concept. In large corporate we have majorly all clients, CarateLane also, Tanishq we do not have. But again, we are concentrating right now on 10-15 store those who are concentrating in the region. Like Kerala those who have 10 to 15 stores we have onboarded them. Andhra those who have 10 to 15 stores, and they have an expansion plan seeing this corporate growing, they are also growing to 30 store, 40 store, 50 store. So we have concentrated this also in last quarter, mid corporate segment also we have concentrated much because seeing the opportunities they are also availing the bank loans and facilities and expanding the stores. So again, large corporates, I have already told, CarateLane we have onboarded two quarters before, last quarter Aditya Birla, and this quarter Reliance. So mid corporate and small corporates are adding every quarter. Those who have two to three stores also we are adding because they are also going to have 7 to 10 store in two, three years or something. So all the blended business we are getting from them.
Palash Kavale: Okay, that's really helpful, sir. Sir, again, on your guidance of Rs. 7,600 crores by FY ‘27 with 4.5% margins, that comes out at Rs. 340 crores of PAT from your guidance of Rs. 250 crores

which was there. So, does it also include the revenue and PAT numbers from the recently
acquired entity?

Mangesh Chauhan: No, we have not given the guidance of this one. After June quarter acquisition will be over and we will add the guidance of this in this. This will add up to your gross margins also and EBITDA also will be improved, because this company operates on advanced gold business totally.
Palash Kavale: Okay, okay. And sir, you plan to be operating cash flow positive in FY‘27, right?
Mangesh Chauhan: Yes, yes, we are. We will be cash flow positive in FY’27 March.
Palash Kavale: Yes. Okay. That's really helpful, sir. Thank you. That's it from my side. All the questions have been answered. Thank you.
Moderator: Thank you very much. The next question is from the line of Vijay Chauhan from RH PMS. Please go ahead.
Vijay Chauhan: Yes. Thanks for the opportunity and congrats on the excellent set of numbers and good execution. So looking at the commentary, it is wonderful. So, is it fair to assume like going ahead let's say we go for the expansion that we are already targeting, so exports will co

ntribute
significantly more than the domestic players in the incremental volume share, is it fair to assume?
Mangesh Chauhan: No, we mostly rely on Indian market because it is a huge market, 140 crores of population, there's a huge potential in India. But export again has a different potential. So, it will not be like we are going for 60%, 70% export. But again, there can be a 70:30 ratio. So going ahead, India can be 70%-75%, and export can be 20%-25% or 30%. So India is a huge capacity and we are very small for it because we are at now Rs. 3,500 crores turnover and India has Rs. 5 lakh crores-Rs. 6 lakh crores of market in India available, organized market, again, unorganized market is Rs. 9 lakh crores. So there will be a ratio of 25:75. I think going ahead huge unorganized market is shifting to organized which is Rs. 9 lakh crores unorganized market is available. So, that will be the ratio.
This capacity expansion, our sales will come from India also, exports also. Again, from mid corporate we are expecting a good sales because many 10-12 stores which are not in the market, names are in the market but they are growing very fastly. And again, from organized manufacturers we can expect good advanced gold business which can help us to achieve this 4.5 tons, advanced gold business will help us to achieve this which will need a lesser working capital in this huge facility. So this facility will show our strength of manufacturing which will be standalone, one of the largest in India in Coimbatore.
It is one of the largest in India, it is 5 lakh square feet. And we will be standalone one of the largest in India if we build up this facility and go in this. So we have aim to become a 4.5 tons, at least in India you can see 800 tons of gold is imported and 600 tons of jewelry is made, 200

tons of bullion and coins are made. So out of 600 tons we want to be somewhere about 7%-8%, 9% of the market share, somewhere in this market share. So this will drive from existing large corporate also and mid corporate also from export also advanced business also.
Vijay Chauhan: Excellent. And is it fair to assume, like this year's exit run rate per month will be more than 650 odd, FY ‘26?
Mangesh Chauhan: Yes, 100%, April was very good quarter for us, Akshay Tritiya was there. And as we have given, we will be run rate of Rs. 1,200 crores, Rs. 1,300 crores per quarter.
Vijay Chauhan: Okay, okay. And FY ‘26 exit run rate can be, I am asking per month it will be like 600 plus, 650 kg per month when we complete FY ’26?
Mangesh Chauhan: Yes, 650 to 700 kgs per month, yes.
Vijay Chauhan: Okay. And then lastly when it comes to exports, so can you elaborate like the design differences or the preferences they have versus the domestic preference? And how we are building, like if there is a substantial difference in terms of designs on jewelry side, so are we building some differentiated design portfolio for export market or there is no much difference?
Darshan Chauhan: No, no I will elaborate on the design aspect of the international market. Moreover, we are specialized in the South Indian jewellery market, like we have a very good deep knowledge of the South Indian jewelry market. That jewelry is going on very good in the international market.
Apart from that, there are some concepts and some regional specific and country specific designs that or we are also building on with them, we are doing co-creation with them. We have developed a design studio in Andheri for specially developing the export oriented designs which are special and new in the international market. So yes, some of the designs from the existing portfolio and some of the new designs with co-creation from the international clients we are

developing. So, as in all, we are a design based company, we are a co-creation company so we have to provide best designs to the customers.

Vijay Chauhan: Right. And those designs will be, let's say, whatever we create new designs, so those will be exclusive to export players or we will be also able to launch in Indian market?
Mangesh Chauhan: No, no, I can add up to Darshan bhai. We have 150 designer team, every 10-15 batch of designer head and designer team works for a corporate or the segment. So, two verticals are working for Dubai and Singapore, Malaysia region. And we keep a lock-in for the design. Like one of the public listed company we started lighter jewelry segment for them and we made a special design for them 1,500 design and we keep a lock-in for them. So we do not use the design for Indian market, because there should be some specialty and monopoly should be given to them. So we specially designed for these countries and make for them and take the order from them only. So

out of 10-15 vertical one or two vertical was for the exports, three, four, five verticals for the major corporate, then mid corporate and all mix.
Vijay Chauhan: Sounds very clear. So thank you for all the clarifications and good luck for the future. Thank. You.
Mangesh Chauhan: Thank you very much.
Moderator: Thank you very much. The next question is from the line of Snehadeep H, an individual investor. Please go ahead.
Snehadeep H: So recently gold prices hit its record high, so are you facing any decline in your client side and in the end customer side or any changes?
Mangesh Chauhan: So there are inventory changes going on. You can see our inventory falls below, we are into lightweight jewelry segment where impact is very lesser. Heavy jewelry, Rs. 3 lakhs, Rs. 4 lakhs, Rs. 5 lakh, Rs. 10 lakhs impact is there 20%. So our lightweight jewelry falls below 1 lakh 80%, and 20% below Rs. 2 lakhs. So there is an inventory, the customer going for 10 grams are going for 9 grams. We have brought in eight to nine 3D printers last year only when we came into this capacity. So we are able to reduce our weight by 15%, 20% in the inventory. So inventory shift is there, ticket size shift is there, but number of pieces are gaining. So our average ticket size was Rs. 55,000, Rs. 60,000 earlier, it got up to Rs. 45,000 Rs. 50,000, and number of pieces are increasing. So lightweight jewelry is very lesser impact because of the rates and all. But again, 18 carat we are expanding very much. 18 carat we were at 3.7% last to last year. Now this year we at 6.6% this quarter we closed. So, 18 carat market share is going up with the gold rate, so again this is helping to accelerate our volumes and all.
Snehadeep H: So are you looking for 14 carat in your portfolio?
Mangesh Chauhan: Already we have started a sample for two customer in lab grown diamond. We had added one customer in lab grown diamond last year. Again, two customers, I will not take the name because we have not done an agreement, already we are in the phase for it, but we have developed a 14 carat sample for them and they have approved for us. Both are in the gold diamond jewelry in the channel stores. So we have developed 14 carat for lab grown diamond jewelry. And I think some market share we will gain for 14 carat also in India because of the rate and coming modern youngsters like teenagers of 18 years, 20 years, 25 years nowadays, 15 years, 16 years boys and girls are wearing 18 carat cars and 14 carat. Earlier our parents not used to allow them to wear. But nowadays, lightweight July and white gold and colors are there. So they are able to purchase, and they have purchasing power right now. And they are also shifting to 18 and 14 carat. So we see some market of 14 carat going here.

Snehadeep H : Okay. Thank you, that was from my side. Thank you so much.
Moderator: Thank you very much. The next question is from the line of Bharat Gianani from Moneycontrol Pro.

Please go ahead.
Bharat Gianani: Yes, sir. Thanks for the opportunity once again. Just one clarification, we had about, I mean, current investments to the team of about Rs. 100 crores, I am not aware of the number in FY '25. But then for GML I guess you have to keep that as a collateral if you want to increase the GML. So just wanted to get a sense that if we keep that GML thing for the new plant the CAPEX that we are going to do Rs. 100 crores, I mean, I just wanted to check if the security deposit we will be using for GML then how will we do the CAPEX on new plant? So that was just my question.
Mangesh Chauhan: So already we have acquired land and building here which will be placed to the bank and we can take a Rs. 300 crores GML from them, which will be at 3% or 3.5%, it will be really beneficial

for the company. Again, for the CAPEX part, already I mentioned we are in the planning and our total detail will come with the June PPT what will be the CAPEX and how much years we will do. From internal accruals mostly it will be done. And per year how much it will be done from the profit, assuming 2027 we are at Rs. 250 crores-Rs. 300 crores PAT, so we will be using from that also some internal accruals. But we have not strongly made the plan, we have already acquired and we will be making this facility 100%. But we will come up with all this CAPEX plan and the 2030 plan, in June quarter we will give the glance over 2030 how will we reach total capacity, a turnover of 4x from here, and what will be our profit margin, who will drive the sale, how we will achieve this after 2027, how will this go to 1.5 tons or 1.7 tons, and again 2.5 tons and 3 tons and 4 tons. So a plan is totally in process and we will be giving up in June quarter.

Bharat Gianani: Okay, sure. We will wait for the same. Thanks and all the best, sir.

Mangesh Chauhan: Thank you.

Moderator: Thank you very much. The next question is from the line of Palash Kavale from Nuvama Wealth. Please go ahead.

Palash Kavale: Yes. Sir, thank you for the opportunity again. Sir, when can we expect this 200 kg per export order to like go to 200 kg per month, by which quarter?

Mangesh Chauhan: Already we are at run rate of 60 kg every month we get the order, it will be gradually increasing. This month also we are getting 60 kg advance USD from there. Gradually in 12 months we will be at 200 kg run rate. I think in one quarter we will be at 100 kg and 150 kg in July quarter, 100 kg run rate. And again, December quarter we will be at 150 kg run rate and March quarter will be 200 kg.

Palash Kavale: And sir, any other player in India who does similar kind of exports to distributors? Like you mentioned one of the competitors who is very big compared to us, but do they also do such kind of orders or you are the --

Mangesh Chauhan: Already, Emerald Jewelry who is very big than us, he is in exports also, in domestic also, and he is also exporting. And again, we are second largest in casting jewelry, we are also trying to achieve this export market and take a capture of this one.

Palash Kavale: Okay. Okay, that's it. Thank you so much.

Mangesh Chauhan: Thank you so much. Thank you all of you.

Moderator: Thank you very much. Due to time constraint, that was the last question. On behalf of Sky Gold and Diamonds Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Jul 2025

Date: 30th July 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street, Fort,
Mumbai 400001

Scrip Code: 541967 To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai 400051

Trading Symbol: SKYGOLD

Subject: Transcript of the earnings conference call .

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of the transcript of the earnings conference call held on Friday , 25th July 2025 on the unaudited financial results and operations of the Company for the quarter ended 30th June 2025, is enclosed.

The said transcript is also available on the Company's website at https://skygold.co.in/wp -content/uploads/2025/07/Transcript.pdf

You are requested to take the above information on record.

Thanking you.

For Sky Gold & Diamonds Limited,
(Formerly known as Sky Gold Limited)

Mangesh Chauhan
Managing Director & CFO
DIN: 02138048
Place: Navi M umbai
Encl: As above

"Sky Gold and Diamonds Limited
Q1 FY26 Earnings Conference Call"
July 25 , 2025

MANAGEMENT : MR. MANGESH CHAUHAN – MANAGING DIRECT OR
AND CHIEF FINANCIAL OFFICER – SKY GOLD AND
DIAMOND S LIMITED
MR. SIDDHARTH SIPANI – GROUP FINANCE
CONTROLLER – SKY GOLD AND DIAMOND S LIMITED
MRS. NIKITA JAIN – COMPANY SECRETARY – SKY
GOLD AND DIAMOND S LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Sky Gold and Diamonds Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Vidhi Vasa. Thank you, and over to you, ma'am.
Vidhi Vasa : Thank you. On behalf of MUFG Intime, I welcome you all to Sky Gold and Diamonds Limited Q1 FY '26 Earnings Conference Call. On the management side, we have Mr. Mangesh Chauhan, Managing Director and Chief Financial Officer; Mr. Siddharth Sipani, Group Fina nce Controller and Mrs. Nikita Jain, Company Secretary.
I hope everyone had an opportunity to go through our investor deck that we have uploaded on exchange and the company's website. I would like to mention a short disclaimer before we begin the call. This call may contain some of the forward -looking statements, which are completely based upon our beliefs, opinion and expectations as of today. These statements are not a guarantee of ou r future performance and involve unforeseen risks and uncertainties.
With this, now I hand over the call to Mr. Mangesh Chauhan. Over to you, sir.
Mang esh Chauhan : Thank you so much. Good morning, everyone. Thank you for joining us today as we are discussing our Q1 FY '26 financial performance. We have commenced the quarter on a strong note despite persistent fluctua tion in gold prices. Our Akshaya Tritiya sales performed exceptionally well, demonstrating significant growth.
At Sky Gold, we remain steadfast on our vision to become one of the largest B2B gold jewellery manufacturer in our segment. Our specialization in lightweight jewellery serves as a strategic differentiator, especially relevant in today's fluctuating gold market. The Indian fine jewellery sector is seeing accelerated growth, fuel led by surging gold rates, the emergence of women as primary buyers and growing inclination towards sleek design forward pieces suited for modern lifestyles.
We have transitioned from a volume -based approach focused on generic design to a more design -led model, emphasizing craft smanship and complexity. This exclusion enables us to produce jewellery that's both lightweight and structural ly robust, perfectly catering to today's customers who seek durability and elegance amidst fluctuating gold prices.
In response to these market dynamics and to cater to evolving consumer preferences, we are also observing an increasing trend to growing customers' preference towards 18 -carat jewellery . Further, a few customers are also open to test 14 -carat jewellery due to high gold prices and industry is adopting to a new hallmarking rule for 9 -carat jewellery .

As we progress on our growth journey, the successful onboarding of our new large client like Reliance Jewellery demonstrates our capability to manage premium large -scale products with excellence and signific antly expand our customer reach. Now I would like to highlight some of our recent company updates.
New client additions, we have successfully onboarded Reliance Retail, PMJ Jewellery Hyderabad and Kalamandir, which has strengthened our presence across diversified and fast - growing major jewellery retailers. Additionally, our wallet share is increasing with Aditya Birla, CaratLane and P N Gadgil, further enhancing our footprint among prominent and rapidly expanding jewellery retail chains.
Focus on advanced gold customers. We are actively targeting new customer additions through the advanced gold model, and we anticipate a fur

ther increase in wallet share from our existing
advanced gold clients. The model is expected to enhance PAT and impro ve ROCE. Sky Gold and Diamonds plans to optimize working capital by strategically implementing the advanced gold model across its customer base.
Acquisition of a wholly owned subsidiary -- new wholly owned subsidiary in Dubai, UAE. Sky Gold and Diamonds plans to acquire a newly incorporated entity in Dubai, UAE for a nominal

amount of INR12 lakh. This is to strengthen its exports to the Middle East as we have identified this region as a strategic growth market and plan to open a sales office there. This is in addition to our recently opened office in Kerala, owing to a strong demand for high -quality jewellery , particularly in Dubai.
Focus on gold metal loan. We have successfully secur ed gold metal loan limits from three existing bankers. Gold metal loans provide lower cost financing, thereby substituting high -cost working capital facility and offer gold manufacturers raw material upfront, which improves cash flow and production cycles.
From June end and early July, GML rates have now started cool off to around 4% from the high s a couple of quarters back. We are on track to gradually shift our borrowings to GML loans.
Market dynamics during Q1 FY '26. The Indian jewellery market in Q1 FY '26 experienced mixed trend due to gold price volatility, particularly sharp increasing from May to mid -June. Softened customer movements after a strong Akshay a Tritiya period.
Despite this festival -driven demand and continued expansion effort by organized players have fuelled growth. There is also a noticeable consumer shift towards lightweight, lower carat and studded jewellery with strong and sustainable growth projected from organized sector . Now I will discuss our Q1 operational highlights.
This quarter, our monthly production volume was 456 kg per month, up subsequently from 349 kg per month from last year, making a robust 30% growth year -on-year. Exports continue to make healthy contributions with sales reaching approximately INR131 crores, which is 12% of total revenue.
The consolidated revenue for the quarter stood at INR1,131 crores versus INR723 crores in Q1 FY '25, thus registering a growth of 56% on a year -on-year basis. The gross margins were 8%

compared to 6. 4% on Q1 '25, an improvement of 163 basis points, mainly on account of increase in advanced gold volume from 4% to 5% quarter -on-quarter. Further, our 18 -carat volumes has increased from 4% to 7% in current quarter.
Further, we launched lightweight feather light jewellery designs in 22 -carat, which has led to improvement in our margins. EBITDA for the quarter was INR71 crores compared to INR37 crores in Q1 FY '25, showing a growth of 91%. EBITDA margin for the quarter stood 6.3% as compared to 5.2% in Q1 FY '25, improved by 115 basis on a year -on-year basis. PAT for the quarter stood at INR43 crores as compared to INR21 crores in Q1 '25.
PAT margins for the quarter stood at 3.9% as compared to 2.9% in Q1 FY '25, hence, improving 92 basis on year -on-year basis. With our robust profitability strategic move towards advanced gold consumer GML, we are expecting moderation in our working capital cycle in coming quarters on track for working days of 52 to 55 days in FY '27, with target revenues of INR5,400 crores in current financial year and INR7,600 crores in FY '27.
Now I request the moderator to open the floor for questions.
Moderator: Thank you very much. We will now begin with the question and answer session. Th e first question comes from the line of Cha ndan Mishra from Finvestors . Please go ahead.
Chandan Mishra : First of all, congratulations on posting good sales. Sir, first question is regarding export opportunity. As India, U.K. trade deal is signed and the jewellery sector having zero tariffs, ar

e
we eyeing the U.K. market for opportunity?
Mangesh Chauhan : So again, yes, there is a good news from the government that U.K. has done a deal with India for duty-free export. We can export from India , duty-free. We are right now , not in the products of U.K. and Europe type products -- European products.
We are into Asian products, which suits to UAE countries or Singapore or Malaysia. Those were stored in Singapore, Malaysia and UAE. And then the buyers are like Sri Lankan, Pakistani, Bangladeshi, Indians and all. Those are also modern jewellery , but they suits to Asian customers.
So in future, we might be planning because U.K. has opened the market and now only the news has come, but it will take time for us to produce the product like European style. Yes.
Chandan Mishra : Sir, my next question is, sir, if you please give me an update on Ganna N Gold acquisition? Is it completed?
Mangesh Chauhan : That is in process and it will be completed in the last 7 to 10 days work is pending.
Chandan Mishra : Pardon, sir, how much pending?
Mangesh Chauhan : 7 to 10 days work is pending. Approvals we have got from the both NSE, BSE, but 7 to 10 days of process is pending, documentation and all.
Chandan Mishra : Sir, my next question is related to volume, sir. What is current volume of export order, which we started at 60 kg per month? Have we increased our volume as that we have targeted for 200 kg per month by year -end?

Mangesh Chauhan : Yes. So we are opening an office in UAE for that only because of the rate difference in the UAE and in India, we get a premium rate for the export gold. That's why we are opening office there.
So we are a little bit -- 15 days' work is pending for the pape rworks and all.
And so, approximately 1st August or 10 August, we'll open the office, and we'll start distributing that order also. So already, we have distributed the order of exports 40 kg already we have distributed in this quarter.
Chandan Mishra : Okay. Sure, sir. One more question, sir. We have planned to exit FY '26 run rate around 650 to 700 kg per month in volume. And currently, we are at approx. 456 kg after Q1. Are we on track to achieve that target?
Mangesh Chauhan : Yes, we have done 450 kg per month. Next quarter, we are approximately expecting 580 -or-something. In the third quarter, 630 and last quarter 650, we'll be at 650 kg last quarter. So earlier quarter, you can see we grown every quarter gradually. And this w ay, we'll grow in this year also.
Chandan Mishra : Sir, I have a few more questions. If you permit, I can ask or I may go in line.
Mangesh Chauhan : I think, you can come after 15 minutes 20 minutes. .
Chandan Mishra: Okay. Sure, sir. I will go in queue. Thank you.
Moderator: Thank you. Th e next question come s from the line of Angad Katdare from Sameeksha Capital. Please go ahead.
Angad Katdare : Good set of numbers. My first question is, can you just provide a breakup of your sales based on carat?
Mangesh Chauhan : Yes. We have 18 -carat is approximately 7%, 7% is 18 -carat, 87% is 22 -carat, 5% is job work and studded is 0.7%. So we have gained the shares in 18 -carat from 4% to 7% year -on-year and 87% is 22 -carat and job workwe have reached 5%, which was 4% before this quarter. And studded is just 0.7% because we are in -between 0.7% to 1%.
Angad Katdare : Sir, my next question is on our gross margin. We -- in this quarter, we have reported around 8% gross margin on a consol basis. How much is due to the gold price increase?
Mangesh Chauhan : So we are totally hedged in the inventory base and sale and purchase. There is no gain of the gold price in this. Already, we have gained some -- our sale of 18 -carat has increased. That's why we have increased our margin also. Again, instead of that, we h ave launched lightweight feather -light new verticals in designs in this qu

arter in 22 -carat, this led us to improve our margins.
So there is no gain if the inventory or loss also we will not have because we are hedged by the inventory and we are -- our sale and purchase are also hedged.
Angad Katdare : Great to know that. Sir, my final question is on our net asset turn. I was looking at our FY '25 numbers. Our net asset turn is far superior when I compare it to our peers who have in the range

of, I think, 20, 30x, we are in north of 90, 100x, sir. How do you think this trend will sustain going forward for us on net asset turn basis?
Mangesh Chauhan : I think I can come back to you because I have to check this one. Yes. So, can you come back with this, I will confirm.
Moderator: Thank you, A ngad sir, may we request you to return to the question queue for the follow -up question?
Angad Katdare: Sure. Thanks.
Moderator: Thank you. T he next question comes from the line of Palash Kawale from Nuvama Wealth.
Palash Kawale : Congratulations on the good set of results, sir. Sir, when do you see this CaratLane and Aditya Birla business picking up and contributing well to the overall business?
Mangesh Chauhan : Already CaratLane business is picking. That's why we are -- came at 5% -- from 2% to 5%. And Aditya Birla and Reliance are about to start the orders. So this quarter, August and September, we'll be supplying to Aditya Birla and Reliance both. So this will also add in the j ob work percentage.
So because of CaratLane, we are increasing our job work percentage came to 5%, which where we are at 1% or 2%. And now if the Reliance and Aditya Birla will be joined, we are targeting 7.5% this year.
Palash Kawale : So this means that there's still some scope for margin expansion for this year, right, on gross levels because the contribution should increase ?
Mangesh Chauhan : Yes.
Palash Kawale : And sir, what is the limit of gold metal loan that you have secured from the 3 banks? What is

the amount?
Mangesh Chauhan : So already 3 banks, we have secured approximately INR190 crores or something -- INR180 crores, INR190 crores we have secured the gold metal loan. So from this quarter only, we have started using. I think 20% we will use this quarter and balance 20% in the next quarter. And we'll be at March quarter, 70% or 75% odd. So successfully, we have got the limi ts from all the bankers, and we are starting the use.
Palash Kawale : Okay. And sir, what is the inventory and receivable days for you after the Q1 quarter end?
Mangesh Chauhan : So again, successfully, we have reduced our debtor days from 38 to 30 days, 32 days, which was shoot up in the last quarter. So we have reduced our debtor days successfully. Our inventory days is a little bit higher because we have made the orders for Duba i office, which are going to dispatch a little bit later . Because of the paperwork of the Dubai office , it got shifted in 1 month because -- which was going to shift in June quarter. So we'll be shipping in 15 -- 10 days or something. So i nventories that's why a little bit higher. Some dispatches of June also happening now in July because gold rates were higher. So again, we have successfully reduced our debtor

days and inventory days will be reduced as our Dubai office also will open and July also dispatches are going on.
Palash Kawale : Okay. That's really helpful, sir. Sir, my next question is on demand. You said that the gold price increase has affected the demand. So like the growth which you have guided for this year, will it come from the new client or the wallet share gain and deman d gains would also contribute to it for the FY '26?
Mangesh Chauhan : 100%. We are majorly relying on the existing client because we have given the guidance on the major dependency on the existing large corporate, mid -corpor

ate, small corporate. So their stores
are opening because they have already announced the store of thi s year coming -- this financial year, somebody is opening 80 stores, somebody opening 100 stores.
So there are mostly 2,500 stores coming in 2 years of the corporates only, So based on that, our inventory will be -- orders is coming from the new stores also and from the existing store also.
So we are a little bit expanding our wallet share also and supplying the inventory in the old and new store also.
So again, if we are not expanding our wallet share, we will be supplying to the opening new store and existing stores. From there also, the sales will come. So majorly, we are relying on the existing stores only. Again, new clients are giving what we have onboarded, they are giving advanced gold business, though that will expand our volumes because of the advanced gold.
I will add that we are -- we have opened the Kerala office also and we are entering into single store, two store, those who have -- they are also planning to multiplying their stores. They are regional based, and they have a very good sales on this region. So we are expecting to come the sales from that also.
Moderator: Thank you. The next question comes from the line of Bharat Gianani from Moneycontrol Pro. Please go ahead.
Bharat Gianani : Congratulations for a good set of numbers. So first thing, while we have given the revenue guidance, what would be our EBITDA and PAT margin guidance for FY '26 and '27?
Mangesh Chauhan : So we are -- by FY '27, we'll be reaching 4.25% or 4.5% PAT margin because of the GML in 3 quarters, some below EBITDA, we will gain, the interest cost will be saved. And again, our gold metal -- the advanced gold business will increase by 2027. This year, we are expecting 7.5%. Next year, we are expecting 10%. So that will improve our gross margin and EBITDA. But conservatively, we will be at 6.2%, 6.3% EBITDA and PAT level at 4.25% by FY '27, I'm telling. So in coming 7 quarters.
Bharat Gianani : Okay, great. And sir, on the cash flow side, I understand that we are kind of scaling up the business. So the cash flow is not there at this point of time. But given that whatever strategy you have highlighted, especially of the advanced gold scheme, where in the working capital will also get reduced. So will we become operating cash flow positive by FY '27? What is your estimate on that?

Mangesh Chauhan : After March 27, we'll be 100% cash flow positive. In 2026, March we'll be negative because we'll be short -- we'll be creating a INR200 crores - INR210 crores PAT, but we'll need INR350 crores. So INR140 crores short will be there in 2026. But again, '27, we will be cash flow positive after March.

So we are sufficiently funded for 2026. Already, we have INR900 crores of inventory and debtors, which will be -- if you see a cycle of 60 days, we are sufficiently funded. So we do not need any funds. But by FY '27 March after, we will be cash flow positive.
Bharat Gianani : Okay. Sir, one question from my side. Can you please explain this scheme of for the export customers buying gold from the Dubai market? So, I mean, just wanted to understand the nitty - gritties of any regulatory thing involved in that because, I mean, buyin g gold and then -- I mean, you'll process it in India and then again, give it back to the export customers.
So, I mean, can you explain the regulatory angle for that? I mean, how -- is it permissible? I mean, how we are going to do that because that will contribute a significant chunk of the revenues. So if you can please highlight how the procedure will work fo r the Dubai?
Mangesh Chauhan : No problem. Indian government is very supportive for the export. We are getting export gold from the banks, but they are charging us $4 to $5 premium. Example, today, if gold is $3,300, and we are getting

it for $3,305, $5 premium without duty we get, we h ave to export this gold.
We can't use this gold for domestic. There is no problem in there. But in UAE and Singapore, Malaysia, when gold is running at a rate of $3,300, discounts are going on for $10, $15, $12 because Dubai is a free port and mine d gold is available . So that's why customers are willing to pay the making charges, but they are not willing to pay the $15 premium ($5 premium of India and the discount in Dubai). They are not getting from us. So that's why we are opening an office, sales office there to provide -- secur e orders perfectly to give a ground support to the customer.
From there, we'll serve in Singapore, Malaysia and UAE. Example, we infuse INR20 crores in UAE, Dubai office and we purchase gold from that.
So I will get $3,290 not $3,300 at a discount rate, and we'll send to India for the job work at the parent company and we send back the goods to UAE office, and we can sell it our gross margin of whatever gross margin I did, but we'll sell at the same rate which is going on with the Dubai rates.
So there is no hit for the gold rates to the customer. That's why they are -- they want to increase the quantity with us. So that's why we are opening the office and we'll procure the gold in Dubai only and we'll give job work to the parent company and finished goods will come back to the Dubai office and we can sell to add to our gross margin. Gold rate will be not different because of this discounting going in Dubai.
Bharat Gianani : Okay. So -- but all this is like is regulatory compliant, right, the procedure...
Mangesh Chauhan : Yes. So compliance issue is from India also, we can export directly. We are already exporting. So very good support from the Indian government, and they are very much improving the export

and the paper works, there is no problem in that. And there is no problem in the job work also.
So we are -- we want to increase our sale and have a good footprint in the UAE centre .
So if we open the office there, our salesperson will be able to procure more orders and show them the samples and procure more order because huge market is there because our corporates like Joyalukkas and Kalyan and all have their office -- have their stor es there also. They are opening more store in UAE and Singapore in Malaysia, so we can serve them.
Bharat Gianani: Great, sir. I have few questions, but I will come back in the queue. Thanks a lot.
Moderator: Thank you. Th e next question comes from the line of Nirvana Laha from Badrinath Holdings.
Nirvana Laha : Sir, you mentioned that you will -- you plan to scale your volumes from 450 kg this quarter to 580 kg next quarter, if I heard you right. So that's a huge increase, 130 kg per month in just 1 quarter. So which clients or what orders will drive this increas e, sir?
Mangesh Chauhan : So again, I told you that already our Reliance and Aditya Birla is placing the order, for job work, I'm telling. CaratLane is increasing every month. And again, our existing clients, we have diversified the same from large corporate, mid -corporate, small c orporates and all. So all will -- because again, you can see the Diwali and Navaratri season orders comes in August, September this quarter.
So we will be order back for September for Diwali and all and seasons are coming for Ganesh Chaturthi and Raksha Bandhan. So season starts from August. And in July, we get orders for Navaratri, Ganesh Chaturthi. Other states have other festivals in August. So there is a huge season in the industry in August month, September month, November month, December month.
That's why we are expecting this sales -- volume from this quarter.
And again, you can see our back 4 quarter also, we have increased the sales quarterly gradually.
And this year also, we'll be seeing this type of sales. So we have customers new

also and existing
customers also will order us. Already, they are ordering.
Nirvana Laha : Sure. After the festive quarter, do you think you can sustain this kind of 600 kg kind of volume

in Q3, Q4?
Mangesh Chauhan : Yes. After that, wedding season comes in -- you can see February, January is the wedding season, and we get the orders in November, December quarter. So we are back with -- third quarter is back with totally wedding seasons and all again, many festival occ asions and all because our muhurat comes on this season only on many marriage happen in the winter seasons and all.
So we are back with order of marriage season. And again, third quarter, we are back with the order of Akshaya Tritiya and again, mix of marriage and many days come, India is about 12 months, 12 season, Father's Day, Mother's Day, Valentine's Day. Those are already there, again, wedding season, Navaratri, Diwali.

So our manufacturer is ordered back any time except June month because this is a monsoon season. But again, all the months, we are ordered back because customer has to plan their inventory 90 days before they have to order -- give us order 60 days before, then they can place the inventory 20, 25 days before the stores and inventory should enter into the store before the festival.
Nirvana Laha : Sure, sir. Sir, my next question is on Ganna N Gold, the bangle company that we have acquired. Sir, can you tell us the FY '25 revenue and EBITDA that this company did?
Moderator: Mangesh sir, we are unable to hear you.
Mangesh Chauhan : Yes. So I don't have the -- can you come back in 15 minutes? I will tell you. Yes.
Nirvana Laha : Okay. I will write to you, sir. And with regards to Ganna N Gol d, what is the maximum revenue or how do you see the scale up in volume and revenue for Ganna N Gold this year and next year?
Mangesh Chauhan : We are expecting this year, 60, 70 kg per month volume from this. This is total -- this will operate on a job work basis model. And so, this will improve our gross margin, EBITDA because totally our -- this company works on gross job work basis, so we don' t have to infuse the money and total advance gold will come in this company.
Nirvana Laha : Okay. And do you need to do any capex in this facility?
Mangesh Chauhan : Not needed.
Nirvana Laha: Okay. I will come back in the queue.
Moderator: Thank you. Th e next question comes from the line of Sagar Jethwani from PhillipCapital PMS. Please go ahead.
Sagar Jethwani : How much was the revenue from diamond segment and 18 -carat gold revenue for the quarter?
Mangesh Chauhan : So, 18 -carat was 7%, 7.25% and studded was 0.7%. So studded was almost same quarter -on-quarter, but 18 -carat rose from 6.5% to 7.25% quarter -on-quarter and year -on-year increased from 4% to 7%.
Sagar Jethwani : Okay. And when are we commercializing the business with PMJ and Kalamandir? You mentioned about Reliance. And is it for all products or only gold as of now?
Mangesh Chauhan : So this -- every customer we enter with gold only because we are expertise in gold jewellery from last 18 - 20 years. We have started studded jewellery last year only. So we enter with gold only, then we place the diamond jewellery also in the same. So we are entering -- I think we are entering with lab -grown diamond in Kalamandir and again, in Reliance with gold only.
But carats are different, Aditya Birla is ordering for 18 -carat. Reliance is ordering for 22 and 18 both. And Kalamandir, we are entering with lab -grown diamond only.

Sagar Jethwani : Okay. This line item of changes in finished goods and working capital on P&L, which is negative INR142 crores. Can you explain this line item? Was it because of the excess demand tha t led to inventory utilization o r is it because of the less production seen during the quarter?
Mangesh Chauhan : No, no, already I told that we had orders of exports and some orders are not dispatched because of the Dubai office opening got delayed by 15 - 20 days, something. And that's why our inventory was shot up. Now dispatching is going out of the Kerala office also.
Their order was also there. So, we are dispatching for the Kerala and Dubai office also opening some 15 days -20 days delay got happened. So that's why inventory was up. And again, June month delivery a little bit was dispatches happened in July.
Sagar Jethwani : No. Actually, I was talking about the line item of changes in finished goods and WIP on P&L.
Siddharth Sipani : It is because of the increase in stock.
Mangesh Chauhan : WIP, you are telling about work in progress and finished goods. Okay.
Sagar Jethwani : Right. That is negative INR142 crores.

Siddharth Sipani : Stock has increased from March versus June.
Mangesh Chauhan : Stock has increased from March versus June. Okay. I'll get back to this. Just a minute, my CFO is there.
Siddharth Sipani : So this negative INR142 crores is because of the increase in stock in June 2025 versus March quarter. And the increased reasons have already been explained by Mangesh sir some time back.
Sagar Jethwani : Okay. And what's the production capacity organic and including subsidiaries? Can you break it down for subsidiaries per month?
Mangesh Chauhan : Yes. What's the capacity we have?
Sagar Jethwani : The organic production capacity and breakdown of the subsidiary production capacity per month.
Mangesh Chauhan : Okay. So 750 is the parent company and subsidiary is 150, 150 kg. So 1,050 kg per month.
Sagar Jethwani : Okay. And Ganna N Gold would be how much? I know it's not complete. Yes.
Mangesh Chauhan : 150 kg per month that will be added.
Sagar Jethwani : Okay. Thanks. All the best.
Moderator: Thank you. Th e next question comes from the line of Diya Brijwani from White Whale Partners. Please go ahead.
Diya Brijwani : Congrats for a good set of numbers. I had a question on the business model. So ex of the advanced gold business, which is about 5%, what is -- I mean, how do we record our revenues?

Is it on a per gram basis such that we acquire the gold and we charge on a p er gram like a cost - plus basis o r is it like a percentage, let's say, 6%, 7% of the value of gold that we charge...
Mangesh Chauhan : So we charge on a percentage basis.
Diya Brijwani : Okay. So you're saying that your gross profit is linked to the gold prices?
Mangesh Chauhan : Yes, percentage -wise, yes.
Diya Brijwani : Okay. Got it. And just one question on the gross margin expansion from current levels. Is it that -- so I'm just talking of the advanced gold business. Is it that exports command a different margin versus domestic? And secondly, is there a difference in gr oss margin between 18 -carat versus 22-carat?
Mangesh Chauhan : Yes, madam, it's totally a mix of all these things. So exports also don't have a very exceptional different margin, but there's a better margin of 0.5% in export. But again, 18 -carat has a better margin than 22 because rose gold, white gold jewelry has a good margin. But 18 -carat percentage has increased to 7%.
So again, it has also helped us to improve the margin. Again, in 22 -carat also, we have launched many lightweight feather -light new designs and new verticals, which are creating margin. So blended, we are getting the margin from 22 -carat also, 18 -carat als o from export a little bit. And again, advanced gold is a major player, again, because labour charges only we charge from them. So it add up to gross margin and EBITDA. So all the 4 players are there. So we are creating new versions in 20 -carat also because 22 -carat rates are up. So we are getting new lightweight. We have reduced the weight by 20% .

It's helped by the 3D printers and all. So blended, we are creating the margin.
Diya Brijwani : Got it. And just one last question. What would be your wallet share with the anchor customer? And how has it moved in the past 2 years?
Mangesh Chauhan : So again, we have a wallet share of 5%, 6%, 7% in each of the customers, somewhere 7%, somewhere 5%, somewhere 6%, 7%. So year -on-year, last 5 years, we were -- before 5, 7 years, we were at 0.5% or 1%. Before 2 years, we were at, I think, approximately wh ere we are at 5%, we were at 3.5% or something. So we have increased the wallet share also.
Now the stores are also expanding, new stores are opening. So we are gaining the sales from the new store also. Yes.
Diya Brijwani: Got it. That's helpful. Thank you.
Moderator: Thank you. Th e next question comes from the line of Vijay Chauhan from RH PMS. Please go ahead.
Vijay Chauhan : So can you please explain the progress of the 200 kg per month order that we have received from the outside in quarter 2? What will be that contrib ution in quarter 3, quarter 4?

Mangesh Chauhan : Already we have dispatched 40 kg in this quarter, and we have got the order of more 60 kg and we are waiting to -- they want to dispatch it from Dubai office because of the gold prices and all. So already, we dispatched 40 kg, 60 kg, we have got the order. Approximately, we will be

exporting 100 kg this quarter, I think. And from next quarter, we'll be at the run rate of per month 100 kg.
Vijay Chauhan : Okay. In quarter 4, will it be like 150 or 200 any chance like full reach?
Mangesh Chauhan : Honestly, they have confirmed us the order to complete it in three quarters, we'll be at a run rate of 200 kg. But conservatively, you can 150, 125 kg, 100% will be there in third quarter.
Vijay Chauhan : Okay. So there is a high probability that we will exceed the 650 kg guidance on the exit rate…
Mangesh Chauhan : We got conservatively 650 kg only. So, 650 kg will be our conservative number on the last quarter.
Vijay Chauhan : Yes, that's fine. And this advanced gold when we get -- so how is the revenue recognition? Because what I understand, we typically charge 7% to 8% as the making charges. So -- because the inventory belongs to -- because client has purchased gold and given it to us. So will we only record the making charges, the revenue, right? It will not be like INR100 gold we are purchasing and then we are showing 7%, 8%, right?
Mangesh Chauhan : No. So if we charge 7% or 6.5%, or 7.5% for the -- when we are producing our gold and funding the debtors and inventory. So in advanced gold, we charge for the same product, 5.5%, 5.25%, 5.75%, like that we charge. So we give a consideration of 1% or 1.25%. Th at's why we go to the advanced gold based on the product, based on the vertical, based on the design they want. So -- but again, we don't have to fund the inventory and all. So there is a win -win situation for both.
Vijay Chauhan : Right. My question is only that will we report INR8 as a revenue, let's say, the 8% is the making charges or we repeat INR100 as a revenue and showcase INR92 as COGS and then INR8 will be the gross profit?
Mangesh Chauhan : No. It would only -- whatever we charge 5.5%, 6% as a revenue, INR6 only the revenue will be showing that because that is, again, advanced gold. So we only -- revenue will be INR6, not INR106.
Vijay Chauhan : Correct. So it is safe to assume that, that gross profit will keep increasing because the revenue recognition is because of the accounting practice will change when we increase the advanced gold volume, right?
Mangesh Chauhan : So it will shift as soon as we increase to our 10% …
Vijay Chauhan : 10 percentage.
Mangesh Chauhan : Yes.
Vijay Chauhan : Yes. And what will be the interest expense saving because of GML and all other things combining up?

Mangesh Chauhan : We are expecting it to 0.4 basis to save from the gold metal loan. We are at 1.2 -something -- interest rate is 1.2% of the revenue. I think we'll be at 0.6% or something GML. We'll save 0.4 or 0.45 basis.
Vijay Chauhan : Okay. And the hedging policy, which we have followed... Yes, it's okay.
Moderator: The next question comes from the line of Darshil Jhaveri from Crown Capital. Please go ahead.
Darshil Jhaveri : Firstly, congratulations on a great set of results, sir. And a lot of my questions have already been answered. So sir, I just wanted to know like currently, like in -- we are already at around 4% PAT, right, 3.9%. So in the current year, because now the vo lumes also increased due to operating leverage, can we reach like our FY '27 PAT goal in the current year only as a percentage, like 4.25%, 4.5%. Is that a fair assumption, sir?
Mangesh Chauhan : So we'll be conservatively saying that by FY '27 March, we'll be at 4.25% to 4.5% in between that. But it will be a quarter -on-quarter basis. So every quarter we will improve by some basis points. So in a long period of 7 quarters, you can see we'll be rea ching 4.25% to 4.5%.
Darshil Jhaveri : Okay. Fair enough, sir. And sir, I just wanted to know like our acquisition of Ganna N Gold, that will start contributing revenue from maybe Q2 or H2 only it will start, sir.
Mangesh Chauhan : Q2 only. August and September, it will be contributing, Q2 only.
Darshil Jhaveri : Okay. So that will also help our volume growth. So -- and our volume guidance is ex of Ganna N Gold, right, that we have given…
Mangesh Chauhan : Yes.
Darshil Jhaveri : Okay. So we have even more scope of growing. And sir, I just wanted to know like following up on the previous participant's question about job work. So our revenue currently like around INR1,131 crores when we say that 5% is job work. So the job work revenue is as good as profits only, right, because that's a service charge, right?
Mangesh Chauhan : Yes, directly add up to gross margin.
Darshil Jhaveri : Correct. So will directly add up to the gross margin only ?
Mangesh Chauhan : We were not in the job work basis, we have started job work that's o ur gross margin also increasing.
Darshil Jhaveri : Okay. So that will be one of the biggest drivers of our like margin expansion because of pure

service revenue. Yes, fair enough, sir. That's it from my side. Thank you so much. All the best.
Moderator: Thank you. T he next question comes from the line of Aryaman Iyer from Sowilo Investment Managers. Please go ahead.

Aryaman Iyer: Congratulations on the good set of results. Just one question from my side. So in 2020, '21, that gold prices fell from INR52,000 to INR46,000. For us, what is the effect on margins as well as working capital day?
Mangesh Chauhan : Working capital in COVID time, I think. So 2021 was the COVID time, that time 56 k to 46 k it came by gold. So whenever we are linked with the percentage basis, whenever in the history, gold does not fall below 3%, 4%, 5%. If it is fall 20% or 50%, we revise our quotation with the customer.
Customer also understand that quotation should be revised for 6 months or 12 months whenever gold rate get to normal basis. So I think 2020 was the COVID period, and it was a very different period. So I don't remember about '21. But again, our margins are intact with the percentage basis on the gold prices, yes.
Aryaman Iyer: Sir, so purpose of asking this question. So if gold prices do fall, what will be the effect on our working capital days?
Mangesh Chauhan : So working capital days, I think if gold price falls though sales gets faster, payments comes faster, so working cycle will be improved much better if gold prices decreases.
Moderator: The next question comes from the line of Nilesh Jain f

rom Astute Investment Management Private Limited. Please go ahead.
Nilesh Jain : Congratulations on great set of numbers. My first question is, can you give me volume breakup for this quarter by -- at stand -alone level and for your two subsidiaries?
Mangesh Chauhan : Yes. So 60 kg from the subsidiary we have done and approx. 340 kg from the parent.
Nilesh Jain : So I see because your last year Q1 does not include subsidiary numbers, what I understand. So last year, we did 349 kg per month average. So there's some slowdown at the stand -alone company. What would be the reason behind it?
Mangesh Chauhan : So revenue -wise, we are positive, but it's just a difference of 4 to 5 kg. So in the industry -- in the retail sector also, revenue as everybody has grown. Volumes are at 2%, 3% dip or at the same level. So we are at near or the same level at the parent co mpany level and at the consol level, we have grown by 30%. But at the parent company, we are at the same.
So total industry this quarter, volumes are same because of the gold rates have increased drastically. So revenue has grown and volumes are the same because of the gold rate.
Nilesh Jain : So then do we understand that the volume growth which you have shared for the Q2, Q3 and other quarters, will it be largely le d by your subsidiary companies o r you are expecting, given the...
Mangesh Chauhan : All the three it will come because gold rate has totally stabilized. And whenever last month quarter only 30% jump came in this quarter. So it will grow in all the 3 companies.

Nilesh Jain : Okay. Sure. And my second question is, when you -- about you're procuring gold from the Dubai, is it you're getting it on advance from your customers there? Or it will be -- again, you will be -
- inventory will be on your books?
Mangesh Chauhan : No. Again, these all are large corporates don't give us advance gold other than Reliance, Aditya Birla and CaratLane. So they are a customer of India only. They are not in international. So we'll get -- but their terms are mostly cash and carry or 7 days o r 10 days. So our working capital cycle will improve on that.
Nilesh Jain : Okay. And my last question is on your export. You mentioned by FY '27, you have target of 25% of revenue. What would be for FY '26?
Mangesh Chauhan : So '26, we are targeting it to 17% to 20% or something.
Moderator: The next question comes from the line of Manan Vandur from Wallfort PMS.
Manan Vandur : Congratulations on the numbers. Sir, my first question is, how much is our receivable currently, not the days, the amount?
Mangesh Chauhan : The amount INR397 crores and inventory is INR550 crores inventory and INR397 crores receivables
Manan Vandur : INR394 crores?
Mangesh Chauhan : INR397 crores.
Manan Vandur : INR397 crores on receivables?

Mangesh Chauhan : And inventory is INR550 crores.
Manan Vandur : Okay. INR550 crores is inventory. Sir, so my question is, how is our receivable still INR397 crores? Because I believe that our receivable had increased due to our -- the Akshaya Tritiya you said. But then now it has come back and our debtor days is normally like 45, 50, 60 days, even if we count 2 months, still our receivables should go down by a lot, then it has gone only INR50 crores down. So, please explain that.
Mangesh Chauhan : So it is 31 days right now, and we were at 38 days. So by days, we have improved. So our sales are also improving. So our sales have improved by INR80 crores. So again, we -- as soon as our sales improved inventory also there and debtors also there. So by days, you can see we have come up to 38 days to 32 days. So it's a cycle.
Manan Vandur : Okay. Understood. So how do you see our receivable days -- I mean, sorry, receivable amount come -- go further by the year -end?
Mangesh Chauhan : We told that we are going for advanced gold business. And

again, the gold rates was up in the March. That's why the receivable days was gone up, but we have controlled in this quarter also. And coming quarter also, it will come down to 25, 26 days. We are confident that it will come back to 25, 26 days.

Manan Vandur : Okay. And sir, last question is that, there was currently a stake sale of almost around 5% something. So my question was that why did the promoter sell? And like, I mean, we do preferential, but then we also sell our stake. So it will decrease confidence i n the shareholders. So can you please explain that?
Mangesh Chauhan : Yes, sure. The objective of the transaction was two-fold to enable the promoter to partially monetize their stake after over two decades . We are building the business and we have sold the stake to broaden the institutional participants. So the institutions were interested to participate in this. However, there was some unp recedent issue in the execution, which resulted in the institutional investor not able to participate in that.
So again, you can see from last 20 years, we are building the business from 2005, we started -- before 2025, we've done fundraise 2 times . We've given a growth to the company. We've done two fundraise and we have come up with a good turnover and a set of numbers and all. So after 20 years, it is between three promoters, we have -- net sale is 4.3% because we have taken the warrants also.
So it is 4.3% between 3 promoters. So it is -- I think after 20 years, we have sold the same. But execution was not properly, I can say that only. Yes.
Manan Vandur : Okay. That's it from my side. Thank you so much.
Moderator: Thank you. Th e next question comes from the line of Gagandeep Singh from Growmore . Please go ahead.
Gagandeep Singh : Congratulations on great set of numbers. Most of my questions have been answered. So I just wanted to know the guidance which you have given, like of INR5,400 crores, is it on the conservative side or it is on the aggressive side?
Mangesh Chauhan : So you can say on the midway side, not very conservative, not very aggressive. So yes, so we are on track. We ha ve done already INR1,1 30 crores and we are expecting this quarter also a good set of numbers. So every quarter, we'll increase by INR150 crores or something every quarter.
So this is a very decent number, I think, because again, footfalls are very good in the retail side, gold rates have settled down and retailers are opening their stores actively every month. So we are in a very comfortable position to reach that turnover.
Gagandeep Singh : Amazing, sir. Sir, my second question would be like the guidance which you have given. Does it include the Ganna, the one as well or it is excluding that?
Mangesh Chauhan : Excluding Ganna. Yes.
Moderator: The next question comes from the line of Ankush Agrawal from Surge Capital.
Ankush Agrawal : Just two clarifications. So you said we did 40 kgs of export in Q1. So that is a cumulative number or it's a monthly average of 40 kg?

Mangesh Chauhan : No, cumulative. Only April end only, we got the order. So we started in May and we exported, I think, May end or something. So it's a quarterly number. So we got orders in April end.
Ankush Agrawal : Okay. And 100 kg would be the monthly run rate for Q2?
Mangesh Chauhan : Yes, coming 2 months, we are expecting to deliver 70 kg per month. And third quarter, we are

expecting 200 kg.
Ankush Agrawal : Okay. The second clarification I needed was -- so when you say the job work or the advanced gold business is 5% of revenues, but on a volume basis, it will be much larger, right, because revenue is just net?
Mangesh Chauhan : No, we are talking about the volume only 5% of the volume was job work.
Ankush Agrawal : Okay. 5% of the volume is.
Moderator:

The next question comes from the line of Ganesh Rao from Rupani Capital. Please go ahead.
Ganesh Rao: So I just want to follow up on the previous question on the participants asked. Do you have the numbers of Ganna N Gold, the EBITDA and PAT at the time of acquisition?
Mangesh Chauhan : You can write to me or IR PR, or you can talk to my CFO, so he will give you.
Ganesh Rao: Okay, sir. Okay. So my first question is regarding the advanced gold model, what are the key enablers or barriers for your existing clients to transition to this format? Have you initiated any of your existing clients to the advanced gold model?
Mangesh Chauhan : Pardon, you can repeat the question? Sorry. Yes.
Ganesh Rao: So for the advanced gold model that you're trying to adopt for the new clients, so my question is in regarding to your existing clients, right? So have you started having conversations with your existing clients to move to the advanced gold model?
Mangesh Chauhan : So in this industry, you can see Tanishq, CaratLane, Mia by Tanishq , Aditya Birla, Reliance, only three , four these type of corporates have advanced gold model. And other corporates like large corporate, they work on the basis of they don't want to fund the gold to us. They want to invest the funds in their store only.
So they have a policy that manufacturer will increase in the inventory. And so they give us the rate also for that. So that corpor ate does not work on that model. So different style of working are there. So we are diversified into everybody, mid - corporate, large corporate, this Reliance and Aditya Birla and CaratLane also. So we are blended in doing the business. So every corporate has their own model of working.
Ganesh Rao: Okay, sir. My second question is, could you share details on your current gold metal arrangements? Like what is the quantum that is tied up? Who are your banking partners? And what is your current gross debt?

Mangesh Chauhan : INR190 crores already we got the GML approval. So from 3 bankers from Federal , Axis and Yes Bank. And now net debt is INR350 crores and gross debt is INR600 crores something.
INR190 crores, we already got the GML approvals. So 20% at least we can use in this quarter .
Ganesh Rao: Okay. And you had explained this earlier, sorry, if I'm repeating the question, but could you explain like if I just look at the stand -alone growth, it has moderated to 12% year -on-year compared to 50% growth in your previous quarters, right? So if I adjus t for exports, right, the growth in the domestic just stands at 7%. So could you help us understand what are the drivers for the slowdown?
Mangesh Chauhan : So year -on-year, you are talking we have expanded by 30% on the volume basis. And by revenue basis, we have increased 45%, I think -- year-on-year basis. 56% year -on-year quarter, you can see 56% is the revenue growth and volume growth is 30%. So it's a mi x of gold rate and volume.
Volume, we have grown by 30% and rate also increased gold rate. That's why we have increased the revenue by 56%.
Ganesh Rao: Yes, but that is consolidated. I'm asking at the stand -alone growth, sir.
Mangesh Chauhan : Okay. So what you want about the stand -alone?
Ganesh Rao: Yes, sir, stand -alone.
Mangesh Chauhan : So you can call the CFO for that also, if you want. So we have number of consolidated. So you can call the CFO. Yes.
Ganesh Rao: Okay, sir. And last question, more long term, right? Your current market share, as you presented in the presentation is 0.5%. What is your medium -term aspiration, sir? Where do you want your company to be from a market share perspective?
Mangesh Chauhan : So we are at approximately 1%. We made approximately 5 to 6 tons last year. India is making 600 tons of jewellery per month -- sorry, 650 tons of jewellery . So we made 5 to 6 tons last year.
We are aiming to be at

4%, 5% stake of India in coming 5 years or 2031, '32. So we want to be at 4%, 5% stake of India. So we are on the good path, let's see. And we first targeted to achieve 1 ton per month by 2027.
Ganesh Rao: Awesome. And sir, one last question, if I can just sneak in quickly. Could you provide some insights on the gross and EBITDA margins difference for a 22 -carat and an 18 -carat, right?
Assuming the diamond and stones that is used in the jewellery is the same, what would be the

differential between the 2?
Mangesh Chauhan : Diamonds has approximately 12% to 15% gross margin. 18 -carat has 8% -- 7%, 8%, 9% gross margin, 22 -carat has mix of 6%, 7%. So blended, it comes up to 7%, yes.
Ganesh Rao: Okay. So the gross margins are lower for the 18 -carat, but we plan to get that because…
Mangesh Chauhan : No. 18 -carat is higher. 18 -carat margin is higher than 22-carat . Yes, yes.

Ganesh Rao: Okay. So the numbers were reversed. But if you just could clarify that again? So for 18 -carat roughly what would be the margin?
Mangesh Chauhan : We sell at 7%, 8%, 9% also. There are different vertical, different pricing. So we cannot give each perfect pricing, but approximately because of the secrecy level. And again, 22 -carat, we sell at 5.5%, 6%, 7%, 8%. And again, diamond studded, we sell at 12 %, 13%, 15% gross margin.
Moderator: Thank you., in the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments. Thank you, and over to you, sir.
Mangesh Chauhan : Thank you so much, everybody. Thanks all of you, and thanks to shareholders for being with us and for a promising growth ahead. Thank you so much.
Moderator: Thank you. On behalf of Sky Gold and Diamonds Limited, that concludes this conference. Thank you for joining with us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

Date: 20th November 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street, Fort,
Mumbai 400001

Scrip Code: 541967 To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
G Block, Bandra-Kurla Complex,
Bandra (East), Mumbai 400051

Trading Symbol: SKYGOLD

Subject: Transcript of the earnings conference call.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of the transcript of the earnings conference call held on Friday, 14th November 2025 on the unaudited standalone and consolidated financial results and operations of the Company for the quarter and half year ended 30th September 2025, is enclosed.

The said transcript is also available on the Company's website at
https://skygold.co.in/wp-content/uploads/2025/11/Transcript.pdf

You are requested to take the above information on record.

Thanking you.

For Sky Gold & Diamonds Limited,
(Formerly known as Sky Gold Limited)

Mangesh Chauhan
Managing Director
DIN: 02138048
Place: Navi Mumbai
Encl: As above

"Sky Gold & Diamonds Limited Q2 & H1 FY'26
Earning Conference Call"

November 14, 2025

MANAGEMENT : MR. MANGESH CHAUHAN - MANAGING DIRECTOR,
SKY GOLD & DIAMONDS LIMITED
MR. SIDDHARTH SIPANI - CHIEF FINANCIAL OFFICER,
SKY GOLD & DIAMONDS LIMITED
MODERATORS : MR. PARTH PATEL - MUFG INTIME

Moderator: Ladies and gentlemen, good day and welcome to Sky Gold & Diamonds Limited Q2 & H1 FY'26 Earning Conference Call.
As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Parth Patel. Thank you and over to you.
Parth Patel: Thank you. On behalf of MUFG InTime, I welcome you all to Sky Gold & Diamonds Limited Q2 and H1 FY'26 Earning Conference Call.
On the Management side, we have Mr. Mangesh Chauhan, Managing Director; Mr. Siddharth Sipani, Chief Financial Officer. I hope everyone had an opportunity to go through our Investor Deck that we have uploaded on Exchange and the Company's website.
I would like to mention our short disclaimer before we begin the call. This call may contain some of the forward-looking statements which are completely based upon our belief, opinion, expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risk and uncertainties.
With this, now I hand over the call to Mr. Mangesh Chauhan. Over to you, sir.
Mangesh Chauhan: Thank you, Parth. Good evening, everyone. Thank you for joining us today as we discuss our Q2 FY'26 quarterly performance.
In the current quarter, the Company recorded its highest-ever quarterly revenues and PAT showing resilience and strength. Revenue for the quarter stood at INR 1,484 crores, resisting a growth of 93.1% year-on-year. PAT stood at INR 67 crore, registering a remark growth of 82% year-on-year. Volumes have been increased to 544 kgs per month for this quarter, registering a 20% growth versus Q1 FY'26. Despite the elevated good prices, Indian consumer has been resilient and continues to stand strong in the festive season. The demand for gold is not dampened. Instead, people are adjusting budgets by exploring lightweight designs, lower-carat gold like 9Kt, 14Kt or diamond stud pieces. This was reflecting in our quarterly performance as well as now 18Kt business stands to 7%. Studded business has been now doubled to 1.5% of total revenue, traditionally dismissed as a poor investment. Lower-caratage gold jewel is now being seen as a practical and stylish choice for daily wear. The mindset among young buyers is clear. Jewellery is meant to be worn, not locked away. Still, 22Kt continues to be a favorite of the Indian consumers. Also, we can simultaneously see a shift from an organized sector to an

organized sector. As organized players are becoming innovative, providing convenient instalment or gold exchange schemes, lightweight machine-made jewellery tapping into e-commerce and expansion of stores into untapped market in tier 2, tier 3, tier 4 areas thus ensuring higher-than-industry growth.
Today, jewellery is not just a cultural emblem but also a fashion statement reflecting individuality and style. As Sky Gold & Diamonds Limited, we remain committed to blending this timeless heritage with contemporary design and comprehensive. Our business model operating on B2B platform enables us to serve a vast network of leading jewellery retailers and renowned brands, making our products available in over 2,000 showrooms across India. This growth is a testament of our operational efficiency, customer trust and ability to adapt to evolving market needs.
Discussing our performance this quarter, currently our advanced gold model stands at 7% in Q2 FY'26. We have also improved our working capital day cycle by 7 days in September '25 compared to March '25, on the back of the better inventory management Q2 FY'

26 compared to
last year. This quarter we have successfully completed the final transaction for Speed Bangle Private Limited (formerly Ganna N Gold). This business will adopt 100% advanced gold business which is expected to strengthen the working capital cycle. Also this company has tax incentive benefits under Section 115BAB, resulting in improved PAT margins.

To further expand our customer portfolio and deepening market penetration in the high growth traditional jewellery segment, we have entered into a non-binding term sheet to acquire a majority stake in the Shri Rishab Gold, a reputed Mumbai-based jewellery firm. This acquisition marks as a significant step in Sky Gold & Diamonds strategy to establish India's largest and more trusted mangalsutra-focused enterprise as Rishab Gold known for its strong presence in the mangalsutra segment brings with it a rich-client base that includes one of the largest jewellery brands. And this client relationship will be strategically on-boarded by Star Mangalsutra subsidiary of Sky Gold & Diamonds.

To expand our international footprint, we have established a new B2B sales office, Sky Souk Jewellery trading LLC in Dubai, UAE. This move is aimed at strengthening our foot-fold in the Middle East, a region identified for its robust demand for premium jewellery, particularly in UAE. The strategic presence in Dubai position us closer to key markets and enhance our responsiveness to the regional demand.

I am pleased to share that our exports have doubled this quarter, reaching around INR 150 crore, reflecting the early success of this initiative and reinforcing our confidence in continued global growth. To support our growth, we have strengthened our team by promoting Mr. Siddharth Sipani as the CFO, who previously headed the finance department as a group finance controller

and brings over 16-year of expertise in finance and accounts, global fundraising, due diligence. compliance, auditing across diverse industry sectors. This will help me to focus on strategic business initiatives. Also, in order to strengthen our brand, we onboarded Mr. Virupakshi Kolla as independent director, who headed Gems & Jewellery segment for Kotak Mahindra Bank. He brings with him 36 years of extensive banking expertise across different banking verticals.

During the quarter, we initiated our GML program. The program is taking longer time than anticipated due to delays in documentation and supply constraints. Going forward, this initiative marks a significant step in optimizing our financial structure as GML offers a lower cost of alternative to regional working capital facilities. Our target is to scale up GML utilization going forward, reinforcing our commitment to prudent finance management and operational agility.

During the quarter, we re-aligned the accounting policy for depreciation across Sky Gold Group. The same as we re-aligned from WDV to SLM so as to better match the business expenses with the expected pattern of usage of assets. This change has resulted into currently half a year PAT to be higher by 0.08%.

Now, I will discuss our Q2 & H1FY'26 financial performance:

The consolidated revenue for the quarter stood at INR 1,484 crores versus INR 768 crores, thus registering a growth of 93% year-on-year. The gross margin was 8.2% as compared to 6.5% on Q2 FY'25. EBITDA for the quarter was INR 99 crore compared to INR 38 crores, showing a growth of 157%. EBITDA margin for the quarter stood at 6.7% as compared to 5.1% of Q2FY'25 improved to 163bps on year-on-year basis. PAT for the quarter stood at INR 67 crore as compared to INR 36 crore in Q2 FY'25. PAT margin for the quarter stood at 4.5% as compared to 4.8% in Q2 FY'25, hence reducing to 26bps on year-on-year basis. Moving to the H1FY financial performance, the consolidated revenue of H1FY26 stood at INR 2,615 crore versus INR

1,491 crore in H1 FY'25, thus registering a growth of 75% year-on-year basis. The gross margin is 8.1% as compared to 6.4% on H1 FY'25. The EBITDA for H1 FY'26 was INR 171 crore compared to INR 76 crore in H1 FY'25, showing a growth of 125%. EBITDA margin for H1 FY'26 stood at 6.5% as compared to 5.1% in H1 FY'25, improving 145 bps on year-on-year basis. PAT margin for H1 FY'26 stood at INR 110 crore as compared to INR 57 crore in H1 FY'25. PAT margins for H1 FY'26 stood at 4.2% as compared to 3.9% in H1 FY'25, hence improving 34 basis points on year-on-year basis.

We have delivered a strong performance for H1 FY26 and we are on track to achieve our target revenue of INR 5,400 crore by FY26 driven by new client acquisition operation efficiency and enhanced management capabilities.

Now I request the moderate to open the floor for questions.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Chandan Mishra from Finvestors. Please go ahead.

Chandan Mishra: Good evening, sir. First of all, congratulations on a very good set of numbers. Sir, my first question related to revenue share from acquisition of Ganna N Gold, sir. How much contribution did Ganna N Gold have in our revenue share?

Mangesh Chauhan: So, we acquired, we renamed it as Speed Bangle, and we completed the acquisition in August

mid. So, we got 25-30 days to work. So, we got 41 kg sales in this quarter and next quarter it will be 50 kg per month.
Chandan Mishra: 50 kg per month. Next question, sir, related to volume. Current volume of export order after establishing a dubai office, sir?
Mangesh Chauhan: So, we already opened, the dubai official opening was 7-8 November. We opened last month only in October. So, this quarter will be full-fledged sale will come. But again, we reached INR 150 crore sales this quarter by exports.
Chandan Mishra: And, sir, current run rate of volume, sir?
Mangesh Chauhan: Volume totally.
Chandan Mishra: Yes.
Mangesh Chauhan: So, we have done a 544 kgs of volume per month basis versus 454 kgs last quarter. So, we have grown by 20% in volume.
Chandan Mishra: So, are we on track to achieve 650 kg to 700 kg guided for FY'26?
Mangesh Chauhan: Yes, we are on track. So, in the second quarter, Speed Bangle 50 kg per month will also be added. So, we are on track to reach 630 kg in next quarter.
Chandan Mishra: Okay. Thank you, sir. I will join the queue for the follow-up question.
Moderator: Thank you. The next question comes from the line of Deep Shah from Equirus Securities. Please go ahead.
Deep Shah: Hi, sir. Thanks for the opportunity and congratulations on a strong set of numbers. A couple of questions from my side. First is on the festive shift side. This time around, Navratri and Diwali were a bit early. And when I see your export revenues on a sequential basis, it was largely flattish, which means the growth was largely domestic business driven. Should we consider this

time around, there was some preponement in terms of revenue booking. And third quarter around, on a sequential basis should we see some moderation in terms of revenue. And an additional question attached to it is around inventory. So, if the inventory days has improved, is it again because of the preponement of festive or am I missing something over here?
Mangesh Chauhan: So, about the first question that this quarter, Diwali was earlier, so we enjoyed the sales in September. So, this quarter, we are having good orders of wedding season is going on for January, February and all. This quarter, wedding orders are very nice placed by the customers. So, this quarter also is very good by volume also and revenue also. Again, the export side, we stopped direct export to the customers, and we told them that you can pick up

from the office.
So, this was a transition period of 15 days. Now from November month, they are taking directly from our office, the dispatches and all. So, you can see in this quarter, exports will be very good. So, direct export stop in October month for 15-20 days. And again, inventory days is the normal decent days, which is not about the pre-dispatch or something. This will continue in next quarter also, and coming quarter also, inventory days will be at this run rate only because of the ERP system and we have done better in the inventories aligning and all. So, you can see revenue for next quarter, marriage season is very good. And export, you will see the offices started from October month. We have officially opened on 7th or 8th Nov. We have kept the opening there and our client, all the bosses of the corporates also visited, they have given good testimonial also for us. And so November, this quarter, the export sales will be very good.
Deep Shah: Okay. So, on a sequentially basis this quarter around, we did INR 1,500 crores of topline on consolidated basis. Next quarter onwards, 3rd Quarter onwards, should we see sequential growth in this INR 1,500 crore revenue base as well? And one more thing to it, any update on revenue guidance because we have seen a very strong first half of the year. What will be the guidance for '26 and '27, both on topline and margin?
Mangesh Chauhan: So, we cannot talk on the numbers perfectly. We are not allowed to talk, but we are very good. And we are expecting Q3 to be the best of our quarter, this quarter on the revenue side and the volume also. And again export, you can expect 10% to 12% of the overall sales from next quarter onwards. And again, going ahead to 15%-20% by 2027 March.
Deep Shah: Okay. Any update on guidance sir, '26 and '27 topline and margin guidance?
Mangesh Chauhan: Already we have given the guidance of INR 5,400 crore and INR 7,600 crore and a PAT margin of 4.25%. 4.25% we will be conservative saying 4.25%.
Deep Shah: Okay. Thank you.

Moderator: Thank you. The next question comes from the line of Palash Kawale from Nuvama Wealth. Please go ahead.
Palash Kawale: Thank you for the opportunity, sir. And congratulations on very good set of numbers. So, my

first question is on margins. What was the driver of such a good margin expansion and is this sustainable?
Mangesh Chauhan: So, you can see we have improved our gross margin by 20 basis points. So, our advance gold business has improved from 5% to 7%. And our studded natural diamond jewellery has gone up from 0.7% to 1.5%. It has doubled the sale in this quarter. That's why our gross margin has gone up.
Palash Kawale: Okay, sir. Again, if I look at your PAT margins, for this quarter, PAT margins are already at 4.5%. And gold-metal loan has not started kicking in. So, do you expect these margins to go up going forward again? Because the contribution from advance gold and studded business will also increase. Is that the right assumption?
Mangesh Chauhan: So, we have implemented 8% to 10% in advance gold business. So, the little bit impact is there of GML in this. 8% to 10% loan is shifted to gold-metal loan. And again, the depreciation format has been changed. That's why 10 basis point was the format impact because we have gained from WDV to SLM System . So, again, some GML benefits is yet to come. 60%-70% is going to shift in two quarters or something. Because that process is going slowly because there is some availability concerns and documentation process going on. But other than that, you can assume we can be at 4.25 or conservative 4.3. And GML benefits is yet to come little bit.
Palash Kawale: And sir, will we see more acquisitions coming in? Because there might be more consolidation happening in the industry as there is a shift from an unorganized to an organized. So, are you looking at mor

e acquisitions going forward?
Mangesh Chauhan: So, right now there is no need for any acquisition in the Company for coming forward 2, 3, 4 years. Because already we have all the products on board. We are into 80% product which is holding the retail store. So, we don't want to be 20%-25% which are very heavy, which are bridal jewellery or Kundan Polki jewellery, which is not our inventory, which are 5 lakhs-10 lakhs-15 lakhs inventory. And again, we were lacking insome, that's why we've done a small acquisition, small company because to onboard the largest retailer of the industry, which this Company holds. So, I don't think there is any acquisition plan in the future for 2, 3 years.
Palash Kawale: And sir, again, on gold realization, if I consider your Q2 realization and just calculate on the basis of 900 kg per month that you have guided for next year, your revenue looks very big. That is very big from your guidance. And even if I consider some advanced gold business contribution

going up, still 7,600 looks lower than because of the gold price rise. So, how should we look at this?
Mangesh Chauhan: So, that is our last quarter exit quantity we have told, 650 odd kgs. And exiting in the last quarter, so we have taken an average rate of 90,000-95,000 based on the, let's see how the rates go. But we have taken a conservative number and we will stick to that. And let's see how the gold rates go. But we have taken a conservative number and 650 is our exit number for last quarter.
Palash Kawale: Sir, I am talking about next year, next year you have guided for 900 kg, right?
Mangesh Chauhan: So, we have taken the average rate of 90,000-95,000. If rates goes up and stand to 1,20,000-1,25,000, then the numbers will go up. But let's see how the gold rates go, it comes down or whatever, how it plays. So, where does the stability come? But we every time take the conservative number and we will stick on to 7,600 crores.
Palash Kawale: Okay. And sir, any data on number of pieces shipped because as your product mix changes, I think amount of gold required would be lesser for lower caratage ornaments. But the number of pieces ship must have grown higher than the gold volume. Is that assumption right?
Mangesh Chauhan: So, I have a number of, what you are telling?
Palash Kawale: Pieces?
Mangesh Chauhan: Okay, so lower caratage is very low volume, you can see India 80% is 22Kt, and 15% is 18Kt and this 9Kt, 14Kt is below 1%. So, it will take time to grow 5-10 years to come up at 4%-5% of the sales. So, right now we are at 14%-15% of 18Kt sales and 80% at 22Kt sales. These 9 and 14Kt volumes are very low. It's growing up, it will take 5 years to grow. So, again, 22Kt is a major leader in India.
Palash Kawale: Okay. And sir, last question, how do you see gold prices in next one year?
Mangesh Chauhan: So, I think we are seeing from last 20 years, we have seen a huge amount of investment routing to ETF and sovereign gold bond, which was not there 5 years-10 years back, ETF was not there so much. So, ETF is buying like 150-200 ton per year and central banks are buying. So, I think gold is, I think we will appreciate it. I am seeing next 3-4 years gold appreciating by 20%-25% yearly basis.
Palash Kawale: Okay, sir. That's it. That's it for my side. Thank you for your answers and all the best for upcoming work. Thank you.

Mangesh Chauhan: Thank you.
Moderator: Thank you. The next question comes from the line of Sunil Jain from Nirmal Bang Securities. Please go ahead.
Sunil Jain: Thanks for this opportunity and congrats on good result. Definitely, we are seeing some improvement in the inventory. But still the working capital, this operating cash flow continue to remain negative with over INR 100 crores. So, can you give any indication when it is likely to

neutralize or come into positive?
Mangesh Chauhan: Surely, we will be cash flow positive after '27 March. We will be short in '27 Mar by INR 70 crores-INR 80 crores-INR 100 crores that will, we have already raised the debts for that. So, we will be shortly cash flow positive after '27 March when our profits will be above INR 300 crore and above.
Sunil Jain: So, you want to say '26 will be negative and '27 will also be negative.
Mangesh Chauhan: After '27 March, we will be positive 100%.
Sunil Jain: Okay, fine. So, this metal loan, is this likely to help it to improve this negative cash flow and how much it can improve?
Mangesh Chauhan: So, gold metal loan is just a change from CC limits to gold metal. It will not change the cash flow structure, but it will help us to reduce the interest cost and borrowing costs.
Sunil Jain: Okay. And the advance metal that is, there it is basically job charges, not the full revenue.
Mangesh Chauhan: Yes, only job charges that will again help us to improve our working day cycle and cash flow positive. That's why we are telling that we are targeting to be at 10% to 12% by '27 for advance gold business. And that will again help us to reduce our working cycle and we will be cash flow positive by '27 March. And again, exports business is of less credit and that will also help us to improve our working cycle. So, in advance gold business, only the making charge is done by the billing and that will only add up to revenue. That will help us to add our gross margin and EBITDAwhy our gross margin in this quarter also was better because of advance gold business rise.
Sunil Jain: And just to clarify, this Ganna Bangle was 41 kg per month in the second quarter and this will increase to 50 kg per month?

Mangesh Chauhan: Already we got 25-30 days to work after the acquisition. So, we have done 41 kgs in 25 days to 27 days, so next quarter 150 kgs will be added.
Sunil Jain: Okay, we had only 21 days consolidation in this?
Mangesh Chauhan: 25 days. Consolidation was too much, but we got 25-30 days to work. We have transition period and all.
Sunil Jain: Okay, sir. Thank you very much.
Moderator: Thank you. The next question comes from the line of Smith Gala from RSPN Ventures. Please go ahead.
Smith Gala: Thank you for the opportunity. Congratulations on a good set of numbers. I just wanted to understand more about the gold-metal loan. How does it work? What sort of margins does it require? And what sort of limits do we get? And what is the maximum that we can get on the leverage that the balance sheet will provide us?
Mangesh Chauhan: So, we are at a net debt of over INR 450 crore. So, we can go up to 70%-75% or 80% of the limit. That is 350 crores. So, that will help us. The gold-metal loan is available for 3%, 3.5% of interest cost. And other expenses come up to 4% versus 9.5% for the CC limits. So, we will save 5.5% of interest going ahead on the borrowing cost. So, we can go up to 75%-80% of the limit of gold-metal loan. And we have to keep a 10% margin for that, from that CC limit we have. So, if we have INR 350 crores of limit of gold-metal loan, we can use up to INR 300 crores-INR 310 crores, 320 crores of gold-metal loan. So, again, we can improve 20 basis point of PAT margins when we avail. Already we have 8% of gold-metal loan in this quarter. That's what our little bit bad margins have improved. But coming quarters, we will be availing the remaining. We are pursuing it from long time, but in this point, we are a little bit delay because of the availability and documentation and all. And there is a process and availability, sometimes availability, scarcity is there. So, we have to go again to the CC limits . But slowly, we will go up to GML by 75%-80%.
Smith Gala: So, just to reconfirm, what will be the total debt which you can take with gold loan and the other debt

which we can take on our balance sheet?
Mangesh Chauhan: I will repeat from, if our debt is INR 430 crore, we can go up to 80% of INR 430 crores to gold-metal loan, which will be approximately INR 330 crores-INR 350 crores.

Smith Gala: I am talking, overall total debt, with gold-metal loan and other debt also, at the moment 450 is net debt. So, where this 450 number can go maximum?

Mangesh Chauhan: So, 80%, we can avail gold-metal loan. 20% banks keep a gap of CC limits. I hope you understand. 80% of the limit can be, we can convert into gold-metal loan. Whatever limit we enjoy, 80% we can shift it to gold-metal loan.
Smith Gala: I am talking about the limit. What is the limit debt that we enjoy?
Siddharth Sipani: So, I will add. So, at this point of time, we have got INR 170 crore of sanctioned GML facility. We are negotiating with other bankers as well to sanction the GML facility. We expect that this INR 170 crore, considering the current set of bankers, can go up to INR 350 crores. But that change in the banking terms takes some time. But the talks with the bank is ongoing..
Smith Gala: Next question from my side is, how is the progress on the new facility that we are developing going on?
Mangesh Chauhan: So, we are planning to start the construction of the facility from April 2026. And it will take three years to make the facility. And in 2028, we are planning to open, end of the 2028, when our 1.2 ton of facility will be exhausted. And it is on a planning process, we are taking the quotation and all. It will take 4-5 months to plan. And we are planning to start making the facility from April 2026.
Smith Gala: So, to manage the funding, etc , for the construction, are we on track for that. So, what are the plans for funding for the same?
Mangesh Chauhan: So, we will need INR 150 crores for construction basis and INR 100 crores for furniture fixture and machinery which will be needed in 2028. So, in three years, we will put 50-50 crores from internal accruals, as we are expecting extra 50 crores in each year, because so much acquisitions we have done. And again, new products we have started. So, we are expecting, we have onboarded Rishab Gold also, and which is also in advanced gold business, Speed Bangle also. So, what we have given guidance, we are expecting 50 crores extra PAT in each year. From this, we will fund our construction part. Every year, we will remove 50 crores and invest in that. And in 2028, we will need INR 100 crores for furniture, fixture and machinery in tranches. After the 18 floor, we will open 9 floor first. And in four years, we will open the remaining 9 floors. So, we will take term loan for that furniture fixture and machinery. That interest cost will be on the balance sheet, but our sales will be 1.5 tons or 2 tons.
Smith Gala: One final question from my side. We have enabled a higher borrowing resolution in the board meeting. So, what was the rationale behind it?

Siddharth Sipani: So, it is more to do with the operational part of it because as per the act, we need to have the approval of the shareholders. And that's why we have gone for a higher value because this is more from a long-term perspective.
Smith Gala: Okay. Thank you. I will join back the queue. That was it.
Moderator: Thank you. The next question comes from the line of Ankush Agarwal from Surge Capital. Please go ahead.
Ankush Agarwal: Hi, sir. Thank you for taking my question. Sir, can you give a split of the volume that we have done during the quarter between standalone, export, Star and Sparkling? And in Ganna, you have told that you have done 41.
Siddharth Sipani: In terms of volume, we have totally done 544. Out of that, in the Sky, it is 400 odd. In Star and Sparkling, it is 55 each.
Ankush Agarwal: And out of this total, how

much would be export, volume wise?
Siddharth Sipani: In terms of exports, export is 10%, broadly it should be close to 40 kgs.
Ankush Agarwal: Thank you. That was all. Thank you.
Moderator: T hank you. The next question comes from the line of Agastya Dave from CAO Capital. Please go ahead.
Agastya Dave: Thank you very much for the opportunity. Excellent execution, sir. Your numbers have been very, very good. Sir, I had a question on CAPEX, which you have answered. So, the only other question that I have is, when the results came out last quarter, there was a lot of selling from the promoters. And it was executed in a very destructive manner. I mean, it was done very aggressively, and it completely decimated the stock price for a few months. I just wanted to say, it's your shares. I don't have any say in that. But is there any other plans, sir, in another round of selling from the promoter side, or are we done for the time being?
Mangesh Chauhan: We have already done for 2-3-5 years from here. So, we have appointed a good branded merchant banker for the execution two quarters before. But there was some execution lag from

the merchant banker side. I accept and apologize for that, but there is no plan for 3 to 5 years.
Agastya Dave: It's not your fault. It's the execution was screwed up…
Mangesh Chauhan: I understand, but we apologize again. And there is no plan for 3 to 5 years for any dilution from the OFS also, and for the dilution also, because we are nicely funded. And we will develop this

facility from extra, what we have guided the PAT, we will make extra. We are expecting good PAT for these three years, and we will take out every year 50 crores fund from each year from this extra income we will make and deploy in that. So, there will be no outflow from the guidance PAT.
Agastya Dave: Understood. And again, just for the sake of reputation, you said INR 150 crores will be the total capex for the new facility, and it will be 50 crores per year for the next three years, right?
Mangesh Chauhan: '26-'27-'28.
Agastya Dave: Perfect, sir. Thank you very much, sir. And all the best sir. Again, sir, on the operational side, the execution has been very, very good. So, congratulations.
Mangesh Chauhan: Thank you.
Moderator: Thank you. The next session comes from the line of Dipanshu Suman from Sattva Ventures. Please go ahead.
Dipanshu Suman: Hello, sir. First of all, congratulations for a fantastic result. I think quarter-on-quarter, we are executing very well. I want to double check that industry has declined by about 15% to 25% in terms of volume, and we have increased by almost a similar rate. So, what kind of contribution are we getting from the new clients what we have acquired in the last few months, like Indriya, Aditya Birla, the Indriya, the CaratLane, and Reliance and P.N. Gadgil, etc. So, what kind of volume these guys have started to contribute?
Mangesh Chauhan: So, again, CaratLane is at 10 kg to 12 kg, and again Aditya Birla started with 3-4 kg per month, and Reliance is yet to start because the process is getting over and orders are getting to come because we are already on boarded. We have done the agreement phase and all. P.N. Gadgil also 6-7 kgs per month, started from 1-2 kg and now we are 6-7 kg. So, we are getting the volume from the new client also, and the existing client is the major leader to give this growth and all. So, again, we are onboarding new clients every quarter. So, this is also helping us to gain the volume, and existing client also taking the lead.
Dipanshu Suman: Okay. So, can you give the number for your top 3 clients, how much they are contributing in percentage, and how much are coming from top 5?
Mangesh Chauhan: So, top 3 is 25% to 27% and top 5 will be 30% or 32% something.
Siddharth Sipani: 35%.

Dipanshu Suman: Okay. So, the top 5 guys are contributing was 35%.
Mangesh Chauhan: 30%-32%.
Dipanshu Suman: Okay. Understood, sir. On this new acquisition, what we have done for this Rishabh Gold, it seems that you have acquired 51%. There are two parts on this. One thing, what I saw that this guy does about INR 49 crores of revenue annually, but about 3.5 crores to 4 crores of EBITDA. So, on advanced gold business, why the EBITDAs are so low? Have we seen their numbers, etc.? Why the EBITDAs is so low? Because if they are doing advanced gold, it should be higher.
Siddharth Sipani: So, basically, with Shri Rishabh Gold, we are expecting that the operational efficiency will be flowing in the long-term, and that's why we have done this acquisition.
Mangesh Chauhan: So, this company has India's largest jewellery brand onboarded this company, and has a volume of 40-50 kg of the largest brand. So, this will come to our umbrella, and this will help us to improve our advanced gold business much better.
Dipanshu Suman: Okay, understood, sir. And do we have any plans to increase the stake, because we have acquired 51%. So, are there any plans that we can go to say 100%?
Mangesh Chauhan: No, we have just acquired, this will take also 3-4 months. So, we will work for one year, and we will see in future, we will acquire 100%.
Dipanshu Suman: Okay, and the promoters are intending to sell up to 100% also.
Mangesh Chauhan: Yeah, in future, we will take the decision, but right now, they were intending to sell 51%, because smaller manufacturers are not able to cope up on the designing part, and the larger facilities they want to work. So, we have a large facility at Starmangalsutra, and they will come to our facility, we will ship this facility to our facility, and the larger brand of India will be onboarded by us.
Dipanshu Suman: Okay, so your advanced gold business, I just missed the percentage, how much percentage of the revenue has come from advanced gold, and what is the exact number? I think it's about 20-22 crores, advanced gold.

Siddharth Sipani: In terms of advanced gold business, in terms of volume, it is 6% of the total volumes.
Dipanshu Suman: Okay, and in terms of the revenue?
Siddharth Sipani: Around 8 crores in terms of absolute revenues.

Dipanshu Suman: Okay, 8 crores from advanced gold has come in. So, about 60-70 basis points and gross margin improvement might happen because of this advanced gold. This is about 60-70 basis points.
Mangesh Chauhan: Already we were at 4%, we came at 6%. That's why our gross margin has gone up because the diamond jewellery sale has expanded and advanced gold business has expanded.
Dipanshu Suman: Understood, sir. So, your INR 170 crores at GML facility, what you have got, how much of that you have utilized, and at what rate this GML facility is coming in?
Siddharth Sipani: So, out of INR 170 crores, currently we are utilizing close to INR 40 crores, it comes at an overall cost of 4%.
Dipanshu Suman: So, can we utilize the entire INR 170 crores in this financial year?
Siddharth Sipani: We are targeting that, we will ramp up the GML utilization, and we expect to utilize INR 150 crores to INR 170 crores by Q4 of '26.
Dipanshu Suman: So, are there some hindrances in this? Because if the sanction has already happened, then we can move into that number quite fast?
Siddharth Sipani: Basically, there are two hindrances. The sanction has happened, but the bank documentation is taking significant time. That's one thing. And secondly, there are also supply constraints because we have to order the GML and they procure the metal from their suppliers. So, there are supply constraints, and that's why the offtake has been a bit slower, as we have already indicated in the past, that we endeavor to increase the gold metal loan utilization, because it is a PAT accretiv

e
proposition. So, we are working on both fronts. One is faster conversion of the current limits to GML facility. Parallelly, we are also talking to the current bankers as well, and trying to get the additional GML limits as well.
Dipanshu Suman: Okay, understood, sir. So, last point from my side, we have announced a very large order from the Malaysian client. How we are moving on that, and is it not going in the way what we were thinking?
Mangesh Chauhan: No, it's going properly. They were just waiting for our Dubai office to be started, because there were some gold prices differences between India and Malaysia, and Dubai prices are same. India prices are much higher than $15. That is in the import duty also. That's why they were waiting for 25-30 days. We took some time, because Dubai has very strict compliances to open the office, and we took 3 to 4 months. We were expecting two months. We took four months to open. So, now from November, you can see the average of the Malaysian customer, which was 30 kg or 35 kg in two months, it will go up to 40 kg per month in this quarter, because they were also

waiting that we can avail the goods from Dubai office. That will benefit them. So, the Dubai office was open in October month, but it was fully functional by 7-8 October. We kept the official opening also. And I think by March, we will be at, I think 50-60 or 70 kg per month. Let's see. But now the office has opened, and very easily we will operate, and it will be easy for them also to take the deliveries.
Dipanshu Suman: Understood, sir. Fine. So, just on this thing from Dubai opportunity, so what kind of, say, market size under this particular market has, and I know that you can move from Dubai to other areas also, but in terms of just the opportunity size, what can be our opportunity size from this particular market in terms of the overall market and how much we can reach in, suppose, 3-5 years kind of time period?
Siddharth Sipani: So, for UAE market , we are very optimistic. We have identified UAE as a strategic growth market, and our export target of reaching to 15%-20% was based on our presence in this segment. Now our strategy is to be closer to the customers , and we expect that we are on tracks to reach 15%-20% of the sales by end of 2027.
Mangesh Chauhan: Okay. I will add that we service Singapore, Malaysian client also from UAE office, so we can serve all the UAE country and again Singapore-Malaysia, and our sales head and team has already started promoting our sales, and we kept the event in UAE on 9th of November. We sponsored a award show, and we distributed the award to all the major clients. We sponsored that, and 7-8 was the opening of that office, and we expect exports to be 20% by 2027 March.
Dipanshu Suman: Understood, sir. So, in a way, what you are saying is that there can be an export opportunity of about INR 1,500 crores by '27, and out of that, because you are opening this new facility, so that might contribute 50%-70% of increment, so whatever the export we do, right?
Mangesh Chauhan: So, 15%-20% we expect by '27 March, and when new facility will be open in 2028 we will

analyze how we have reached, how the market is going, and we will give the guidance after opening the new facility what the export will play much in 2028-2029-2030. But again, this will play a key role in our vision and our dreams to achieve 4.5 ton in 2031-2032.
Dipanshu Suman: Okay. Thank you, sir.
Moderator: Thank you. The next question comes from the line of Nilesh Jain from Astute Investment Management Private Limited. Please go ahead.
Nilesh Jain: Hi, thank you for the opportunity. And firstly, congratulations on a great quarter. I have only one question. Can you help me understand why is there an increase in capital work in progress? I think almost INR 110 crores. Is it for the land, for the new plant facili

ty ?

Siddharth Sipani: Yes, this is for the new project. As of March '
25, this balance was parked in other assets because we have just given the advance while the final sale agreement was not executed. The sale agreement got executed in the H1 of 2026 and that's why the amount is showing in capital work in progress.
Nilesh Jain: Okay, sure. Thank you so much. And I wish you all the best.
Siddharth Sipani: Thank you.
Moderator: Thank you. The next question comes from the line of Sajal Agarwal from Clearview Equity. Please go ahead.
Sajal Agarwal: I have a couple of questions. The first one is regarding the EPS. So, as per the latest earnings release, your Q2'25 EPS was 3.37 on a standalone basis, which is only 3.6% to 3.59% in this quarter while the PAT has increased of almost 53% over the same period? So, we know that you have diluted some equity around 10% to 15%. But this is a huge difference. So, can you explain the reason behind this?
Siddharth Sipani: So, EPS is based on the total shares outstanding . For the Q2, we have done the weighted average of the total number of shares which was outstanding. That is why you are seeing this EPS to grow only from 3.37 to 3.36 because of the increase in the base of equity shares.
Sajal Agarwal: Is there increase at this quantum? Because from my understanding, you have diluted around 10% to 15% of equity over the last one year, right?
Siddharth Sipani: So, it is based on the number of shares outstanding and the total number of days it was outstanding. So, this is a weighted average. So, you are asking from Q1 '26 to Q2 '26 or which period you are asking?
Sajal Agarwal: Last year Q2 '25 to this year Q2 '26.
Siddharth Sipani: So, that impact was an account of the weighted average and secondly also an account of the bonus shares which was approved in Q2 FY'25. So, the impact of the bonus shares have also came.
Sajal Agarwal: Okay, sir. Sir, my next question is, as in the last earnings call we discussed that are margins and revenues dependent on both volume and price of gold. So, I just want to understand what if the gold prices fall by say 20%-25% in the next two years? So, how it will impact our margin profiles

over the next two years? In case we say that the gold prices fall from INR 1 lakh to INR 80,000 over the next two years?
Mangesh Chauhan: So, you can see our margins are on percentage basis. You are telling perfectly. But gold is appreciating from last 15-20 years. We see 10%-12% appreciation is there. Whenever it is a fall, gold falls by 5%-10%. So, this does not change our margin. But when gold falls by 25% or 20%, we revise the quotation with the customers for 6 months or 12 months. Whenever gold comes to the normal place, then we revise the quotation. So, whenever it is, in history in COVID already gold came down by 15% or 10%. But you can normally say you can see gold is appreciated. Whenever gold falls by 20%-25%, we revise our quotation with the customers. And customers also know that when the gold price comes down, the quotation will be revised.
Sajal Agarwal: So, in the near time you say 1 or 2 quarters, when it impacts our margin in that case?
Mangesh Chauhan: Not, because gold is again, it is from 1,00,000 to 1,20,000-1,25,000-1,30,000, So, 5%-10% we again customers know that there is no change in the quotation. And margin also will not change.
Sajal Agarwal: Thanks a lot, sir. That is for mine.
Moderator: Thank you. The next question comes from the line of Raj Sarraf from Finvestors. Please go ahead.
Raj Sarrf: So, congratulations on a brilliant sets of numbers.
Mangesh Chauhan: Thank you, sir.
Raj Sarrf: Sir, I have a question regarding the guidance, do you refrain from giving it? But what I mathematically calculate, our guidance of 5,400 crores and 7,600 crores fo

r FY'26 and FY'27 is
given, for the gold prices 90,000 to 95,000, so right now the gold price is about INR 1,20,000 and if I calculate the revenue even at 650 kg volume, which we intend to achieve by this financial year, and by subtracting 10% of advanced gold business which we might be intending to do by this end year. So, the revenue easily can cross INR 8,000 crore. And even at the current run rate of 544 crore per month, we are even overachieving this year's guidance. So, how to look at the whole scenario, sir?
Mangesh Chauhan: So, you can see, we have taken the 90,000-95,000 of 22Kt. So, gold, you are telling gold prices at Rs120,000, Rs125,000 is a pure rate. So, 22Kt will come to 1 lakh or something. So, there's a gap of 10%. I agree that gold has gone up, but caratage are also changing. We have launched 9Kt also. So, 18Kt percentage is also going up. So, we have conservative taken 90,000-95,000. So, again, if gold goes in this moment and remain at higher level, I agree that the revenue amount

will change. But again, some caratage are changing. 18Kt is gaining the shares. That's why we have taken the conservative number of 7,600 crores. But if gold does not go down and keeps on moving on this rate, 100% there will be change in the revenue.
Raj Sarrf: Okay. So, right now, we are having capacity of standalone, I think 750 and subsidiary the Star and Sparkling…
Mangesh Chauhan: 1.2 tons per month, we have the capacity.
Raj Sarrf: Including Ganna N gold, sir?
Mangesh Chauhan: Yes, that is renamed as Speed Bangle. So, including the three subsidiaries, we have 1.2 tons capacity, which can be utilized in 2028.
Raj Sarrf: Okay. And sir, the gold prices has actually exceeded, I think, beyond everyone's expectations. So, how confident is the management to reach the run rate of 900 kg by FY'27?
Mangesh Chauhan: 100% will reach because as we were also expecting that gold prices are going up and second quarter we were also seeing that how the customer behave. But the customer buying was very aggressive because of the gold prices going up. So, earlier, you can see, when our parents were there 10 years back, when gold used to go up, there used to be a slowdown of footfall of 25%-30%. Because early parents used to say that gold prices are high, we can buy after 6 months or 10 months. Nowadays, there is a data available with every youngster. Apps are available, everybody knows that gold is an appreciating asset. So, customers, when they have money in the pocket, they want to buy at that time only. So, buying was very aggressive with the Diwali time in the customer level also because everybody is in that mindset that gold is going to appreciate for long from 3 to 4 years or 5 years because of the Central Bank buying and ETFs has also entered into market aggressively. So, customers' weight level has gone up with very much higher because six years back, customers buy the Diwali for INR 1 lakh, now he's getting INR 4 lakh after cutting the making charges. So, in six years, 4x or 3x returns are given by the gold to the retail consumers, mostly to the ladies who are buying. So, they are very confident and faith level has gone up. So, we are showing very huge demand in volume also and revenue also, and we are very confident we will reach 900 kg.
Raj Sarrf: Sir, Ganna N Gold capacity or all businesses is entirely of advanced gold bills?
Mangesh Chauhan: Yes, totally advanced gold.
Raj Sarrf: Okay, so right now we are doing 6% of advanced gold bills. Am I right, sir? If I perceived this correct?

Mangesh Chauhan: Yes.
Raj Sarrf: So, going forward, if you are guiding that 50 kg per month is going to come from Ganna N Gold and the same run rate will continue or even go further? So, that means 10% of our volumes are coming from Ganna N Gold and the 6%

is already we are doing advanced bills. So, can I perceive that more than 15% is going to be our advanced gold bills by this end year?
Mangesh Chauhan: So, we are giving conservative 10% to 12% because 50 kg we are showing from Speed Bangle and again how the volumes come in next quarter, so we can calculate the percentage but again you can assume 10% to 12%.
Raj Sarrf: Okay, so congratulations once again sir and very much happening to see you even increasing our volumes on standalone basis also and that's what we are actually looking for. Thank you very much, sir. Congratulations for these numbers and even wishing you best for the future endeavors and even your export and all acquisitions further. Thank you.
Mangesh Chauhan: Thank you, sir.
Moderator: Thank you so much. Ladies and gentlemen, in the interest of time, that was the last question for today. I would now like to hand the conference over to management for closing comments.

Mangesh Chauhan: Thank you so much to our shareholders for supporting us every time. So, we management assure you the performance we are giving from last two to three years and going ahead and hope you are with us for a long time. Thanks so much.

Moderator: Thank you. On behalf of Sky Gold and Diamond Limited that conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

Date: 16th February 2026

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street, Fort,
Mumbai 400001

Scrip Code: 541967 To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
G Block, Bandra -Kurla Complex,
Bandra (East), Mumbai 400051

Trading Symbol: SKYGOLD

Subject: Transcript of the earnings conference call .

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of the transcript of the earnings conference call held on Tuesday , 10th February 2026 on the unaudited standalone and consolidated financial results and operations of the Company for the quarter and nine months ended 31st December 2025, is enclosed.

The said transcript is also available on the Company's website at https://skygold.co.in/wp -content/uploads/2026/02/MUFG -Transcript -SkyGold -Feb10 -2026 -clean -ss-2.pdf

You are requested to take the above information on record.

Thanking you.

For Sky Gold and Diamonds Limited,
(Formerly known as Sky Gold Limited)

Mangesh Chauhan
Managing Director
DIN: 02138048
Place: Navi M umbai
Encl: As above

"Sky Gold and Diamonds Limited
Q3 and 9 Months FY '26 Earnings Conference Call "
February 10, 2026

MANAGEMENT : MR. MANGESH CHAUHAN – MANAGING DIRECT OR –
SKY GOLD AND DIAMOND S LIMITED
MR. SIDDHARTH SIPANI – CHIEF FINANCIAL OFFICER
– SKY GOLD AND DIAMOND S LIMITED
MR. AKASH TALESARA – PRESIDENT , SALES AND
BUSINESS DEVELOPMENT – SKY GOLD AND DIAMOND S
LIMITED

MODERATOR : MR. PARTH PATEL – MUFG INTIME

Moderator: Ladies and gentlemen, good day, and welcome to Sky Gold and Diamonds Limited Q3 and 9 Months FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Parth Patel from MUFG Intime. Thank you, and over to you, Mr. Parth.
Parth Patel: Thank you. On behalf of MUFG Intime, I welcome you all to Sky Gold and Diamonds Limited Q3 and 9 months FY '26 Earnings Conference Call . On the management side, we have Mr. Mangesh Chauhan, Managing Director; Mr. Siddharth Sipani, Chief Financial Officer; and Mr. Akash Talesara, President, Sales and Business Development. I hope everyone had an opportunity to go through our investor deck tha t we have uploaded on exchange and the company's website.
I would like to mention a short disclaimer before we begin the call. This call may contain some of the forward -looking statements, which are completely based upon our belief, opinion and expectations as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.
With this, now I hand over the call to Mr. Mangesh Chauhan. Over to you, sir.
Mangesh Chauhan: Good afternoon. Mangesh Chauhan here, Managing Director of Sky Gold and Diamonds. First, I want to thank my team. They delivered a strong performance despite a tough market. I will assume you have reviewed our latest results and presentation.
Sky Gold's journey has unfolded in 3 phases. In the beginning, our goal was to build a basic product portfolio and establish credibility by securing our first corporate client. We anticipated the shift from unorganized to organized retail very early, and t hat paid off. Similar shift is happening in jewelry manufacturing. Jewelry manufacturing is getting more organized.
With IPO proceeds and internal cash generation, we were able to penetrate multiple clients and lease a large facility in Navi Mumbai. Once we raised preferential capital, we had guided our revenue, PAT and ROCE of INR 5,000 crores, 3.5% and 25%, respectively by FY '27. Since then, we have increased our guidance multiple times. We would be exceeding even our recent guidance also.
In the third phase, Sky Gold's strategic focus shift to internal cash generation. Top line growth, including volume expansion remains central, but we are equally committed to disciplined growth and robust free cash flow generation.
The first 2 phases were fueled by the mix of internal and external capital. Sky Gold 3.0, however, will be driven entirely by internal generated capital. Our guidance calls for a 30% to 35% CAGR in revenue alongside strong cash flow generation.

By 2030, we expect to deliver INR 945 crores PAT and achieve a net debt -free position. The revenue growth will be capped at 30 %-35% since we would like to be net debt free by FY '30. There are not many businesses in India which can grow revenue at 30 %-35% CAGR and convert 20% -25% of PAT into OCF. This also underscores the lean growth engine we have built. Considering the large addressable opportunity, we can easily grow at twice the pace , but we would not be in a position to generate operating cash flows. The dual commitment to growth and cash generation discipline underscores our ability to scale while creating long -term shareholder value.
When it comes to the jewelry industry, corporate governance is always a question mark. We would like to follow highest corporate governance. From 1st April, 2026, global audit firm will

be put in place, kudos to Siddharth for leading this change.
As promoter, we have agreed for Zero salary compensation model from FY '27. We will follow dividend -only compensation. Promoters would draw compensation exclusively through dividends, ensuring their rewards rise only when shar eholder benefits.
This structure fully signs promoter with minority shareholders as payout depends on shared ownership outcomes. Dividend would be distributed strictly from operating cash flows, reinforcing financial discipline and long -term value creation. There are 3 main pillars in the company: creativity, technology and manufacturing excellence.
Now let me request our President, Sales, Business Development, Akash Talesara, to explain our efforts in the merchandising space. Over to Akash.

Akash Talesara: Thank you, Mangesh Bhai. Hi, this is Akash Talesara, President, Sales and Business Development at Sky Gold and Diamonds. I come with more than 23 years of experience in jewelry industry with the past experience of working with domestic and export market with all the jewelry categories like gold, diamond, lab -grown, silver.
When I joined Sky Gold and Diamonds, my first goal was to find the USPs and build on the company's existing strengths. Sky Gold is especially strong in making lightweight casted jewelry. We are a young company with modern 3D technology, laser cutting stamp ing that helps us produce high -quality lightweight design efficiently.
At that time, gold prices were rising fast and gold was becoming expensive, and the customer preferred lightweight jewelry. This trend worked in our favor and Sky Gold was in the right position to meet this demand.
The company also had access to growth capital, which helped us focus on to the right product categories and grow quickly in the market. This created a perfect ecosystem to make it as a one - stop shop for all the jewelry requirements. In the jewelry manufact uring, labo ur, raw material, machine and are important, but co -creation and merchandising skill makes the real difference.
Designing plain gold jewelry is very different from designing diamond jewelry and both needs special expertise. Over the last 3 years, we doubled our merchandising and design team to around

150 people and built strength in many categories. We have now more than 25 different jewelry projects.
We also started a diamond design studio in Andheri near to SEEPZ to use the local talent available there. Another important initiative we took was co -creating with the retailers. We worked closely with the retailers to design products that match market tre nd.
Our team studied their current portfolio and competitors, then prepared sketches, prototypes, samples as our proposal before they approve for the mass production. We measure success by how many designs get selected by the retailers.
This database approach has given us one of the best selection rates in the industry and has helped us reduce the unsold inventory as well. Our teams are constantly co -creating with the retailers like Malabar, GRT, PNG, Carat lane, Joyalukkas, Reliance, Adit ya Birla, Kalyan and many more.
Sometimes we create new well -studied themes on our own and invite the retailers to choose from them. This creates a healthy competition and helps us understand what market really wants. It also changes our relationship with the retailer from just buying to selling -- right, from buying to selling to a true partnership. And generally, whatever is co -created has a better strike rate and sales.
We also have made a custom cell in the organization, probably one of the biggest in India, as many end customers show photos and designs they want and the retailer asked us to make them. Though the volume is small, but this strengthens the bond between the retailers and the customer, which ultimately benefits us

.
One of the major achievement was onboarding Damas, which is one of the biggest retail chain in the GCC in just 3 months. Their customer is mainly buying a 21 kT jewelry, which is very different from the Indian market in terms of design and workmanship. Our team studied their need carefully and created a special product range for them after studying the market. This shows how flexible and strong our merchandising team is.
Sky Gold has recently received many merchandising awards, including the one from Carat lane and Aditya Birla. De Beers selected us as an exclusive partner for a couple of their campaigns, which is My First Diamond and the Bestie bracelets. Only 4 -5 companies were chosen out of the 45 applicants.
We have also partnered with World Gold Council and our product were highlighted in the TV commercials and their ad campaigns, which further proves our leadership in innovation. Our product range has gone a lot through in -house effort and acquisition.
Value -added products now contributes more than 50% of the revenue compared to just 4% to 5%, 3 years ago. There are categories like 9 kT, 14kT, 18kT, rose gold jewelry are growing well.
Even in the basic products like chains, we have added an extra value to improve the margins.

To improve the customer experience, we created a focused CRM team for better sales support.
We also launched a digital app where customers can see our design banks in all the categories

and place orders directly from the app.
Around 7% to 8% of the orders already are coming through the app, and this will increase further in the upcoming months. Our sales team is also responsible for margins and collection to ensure healthy cash flow.
Another step forward was creating dealership network. Our next growth area is reaching to the smaller retailers through the distributors and dealers. We are in process of building a region - wise dealership network. Also as South India is one of our key focus area, we opened a sales office in Thrissur to have a better grip on the South India.
Further ahead, we wanted to increase our footprint in exports as well. So we opened an office in Dubai Gold Souk, the center of global gold trade. We hired an experienced professional team who has sold near about 200 kgs per month earlier with their past experience. This is a very important step for our international growth.
Talking about manufacturing strength, I would like to thank Mahendra Bhai for improving the factory's efficiency, controlling gold loss. Our delivery time is 30% to 40% faster than many competitors. The shift to direct casting, 3D printing, laser, hollow s tamping and other latest techniques and R&D has improved the finish and made our jewelry 20% to 30% lighter.
Once again, thank you so much. Over to Mangesh Bhai.
Mangesh Chauhan: Thanks, Akash. May be you forgot to mention about Morni jewelry collection. Investors must have seen Tazim, Zenna, Aasma and other brands in our presentation. May be this brand is not popular among common customers but it is well known among our clients. For example, Morni is a collection inspired by peacock which is available in many categories and is selling well at this time.
Apart from Akash, we are fortunate to have another silent achiever, Thiru. Thiru brings over 3 decades of jewelry manufacturing expertise, including a decade at Titan in product development and a long tenure at India's largest jewelry manufacturer, implementing ERP systems. Since joining Sky Gold, he has reduced gold losses from 1.5% t o 0.5% and continues to drive further improvements.
Siddharth leads our finance team with dedication and focus. Thiru is leading ERP implementation across the organization. Thiru has already digitized the back end, monitoring productivity, order flow and gold loss, while rolling out ERP at the front end is expected to be

over in the next 6 months.
As first -generation entrepreneurs, Darshan Bhai, Mahendra Bhai and I have worked tirelessly to build this organization. We are proud of our achievements, yet recognize that our process are still evolving.

To strengthen and scale, we are bringing in external talent from leading organizations to help us implement world -class systems. Investors will appreciate the transformation as the company becomes fully digitalized.
Benefits will be seen across multiple fronts. Implementation of the jewelry ERP system is not a simple task. Siddharth has been instrumental in shaping our Vision 2030 or Sky Gold 3.0. The leading finance team is in a fast -paced working capital -intensive b usiness is not so easy task. Yet he has exceeded expectations.
For the first time, we have gone down to the level of sales type, geography and product level, an exercise never attempted before. Special thanks to our finance team for making this possible.
When we started our 3 -year strategy, our agenda was clear: drive gold growth while generating cash flow. I repeat growth will not be compromised. In the next phase, our focus shift to revenue growth rather than volume growth since gold prices remain beyond our control.
On the contrary, if gold prices falls, the entire jewelry market expands. And as a relatively small player, this works to our advantage. At 30 %-35% revenue growth, we will position to generate sufficient PAT as cash flow, enabling us to deleverage our balance sheet and achieve a net debt - free status by 2030.
My finance mentor, Siddharth, will take you through our vision.
Siddharth Sipani: Thanks, Mangesh Bhai. Before we walk you through Vision 2030, let me address a common question about the impact of gold prices on our business. We are fully back -to-back hedged, so price movements do not directly benefit us.
However, when gold prices rise sharply, end demand tends to soften and unorganized manufacturers struggle with the additional working capital requirement. In these periods, we gain an indirect advantage. Capital is not a constraint for an organized player like us.
Another common question is on the gross margin expansion. In the current year -to-date, our consolidated gross margin stood at 8.27% versus 5.97% in FY '24, means an increase of 230 bps. This has been mainly on account of impact of gold reduction by 100 bps. Increase in advanced gold business leading to improvement in gross margin by close to 60 bps and balance

is on account of value -added products like 18 kT jewelry, 9 kT jewelry, diamond studded jewelry
and various other co -creation designs.
To summarize, our gross margin improvement has been mainly on account of gold loss reduction, increase in advanced gold business, increase in 18 kT studded jewelry business having better margin. Our revenue growth will be driven by 3 key levers: increasing share within existing corporate clients, expanding reach through distributor markets and scaling exports.
Strengthening our merchandising capabilities is central to this journey. We aspire to be a global leader in jewelry manufacturing. To achieve this, we must further build our merchandising team.
In his previous role, Akash worked with leading clients such as Signet, Costco, Walmart, Macy's and others, bringing valu able experience to our efforts.

We are such a tiny player in the market that reaching INR18,000 crores to INR19,000 crores is not expected to be a challenge. We would like to pick the right battles so that we don't compromise on the gross margins and working capital. Our margins are supported by 3 key levers: advanced gold, a growing share of value -added products and improved manufacturing efficiency.
In the advanced gold segment, job work is booked directly in top

line with limited costs, which
optically results in higher margins. Margin gains from value -added products and efficiency improvements are straightforward, while an additional benefit will co me from financial deleveraging.
As cash flow strengthens and debt is repaid, interest cost currently at close to 1.2% of sales will reduce to virtually zero. Even though we are optimistic about our PAT expansion, we are also cognizant of the opportunities present.
Now let me explain the levers available for working capital reduction. First, advanced gold carry no capital employed. Secondly, export and distributor segments also operate on spot payments or receivables under 10 days. As these categories expand, working capital intensity will decline further, enhancing efficiency and resilience across the business. Directionally, we expect our working capital cycle to drop below 60 days.
To summarize, we are looking at revenue of INR18,000 crores to INR19,000 crores, PAT of 5.2% plus, OCF to PAT of close to 20% and achieving net debt -free position by 2030. Also, promoters will take salary through dividends starting 2027. Further, our accounts will be audited by global audit firm effective first quarter of upcoming financial year.
Now I request the moderator to open the floor for any Q&A. Thank you.
Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Deep Shah from Equirus Securities.
Deep Shah: Congrats on good set of numbers. So basically, 2 questions. First is on the demand side. So if I see the festive this time was good, volumes were healthy despite higher gold prices. After the quarter, there were some zigzag moves in the gold prices. Just w anted to check how has been the behaviour at the retailer level? How has been the inventory level? And more importantly, if you can highlight how has been the behaviour at the ground level? Yes, that's my first question?
Mangesh Chauhan: Sure. Sure. So you can say gold prices have risen by, I think, 60 %-70% in a year. But we, as a manufacturer, Sky Gold and already our clients have also started taking step 1 year - 1.5 years back only when gold prices were rising by 15 %-20%.
So they have moved to 18 kT, 9kT. Again, 22 kT is a leader in the market because it's a favorite of South Indians, and all the Indians market 2 2kT is a leader. But nowadays, you can say we have produced 19% to 20% of 18 kT in this December quarter.

Mangesh Chauhan: So they are shifting the car atage, making the inventory lighter. So when you talk about the Sky Gold is making very lighter inventory. Our ticket size is INR 40,000- INR 60,000. We are below INR1 lakh. 80% inventory is below INR1 lakh and 20% inventory is below INR2 lakh.
So there is a higher impact on the higher jewelry, which is Kundan Polki in INR5 lakh -10 lakh - INR15 lakh inventory. But coming to the lighter segment, there is a very less impact because of the budget of the customers.
So again, in last , before fourth quarter only we started by 3D printers started reducing the lightweight inventory we were making in 10 grams into 8.5 grams. We have reduced by 15%weight .
So yes, your question is perfect. And in January, in 10 days only, it rise very much. So for 5 to

10 days, it was very little customer footfall was impacted. But when the gold price decreased in 10 days and it corrected by 15%, now there is a very good rush in the showroom to buy the jewelry because it go t cheaper by 15%.

So store levels are they are also making the strategy of lightweight, 18 kT, 9kT and maintaining the sales. And again, we are in the same boat. We are in the lightweight jewelry, so we have very lesser impact, and we are on track. And at the retail level also because fa ith level of consumer s have gone up. You can see consumer has gaine

d 5x to 6x return in 6 to 7 years. So no product in the world gives a returns of 5x to 6x in 6 years or 7 years' time.

So as such, where the customer faith levels have gone up, anytime jewelry is going to be biased. It may be in 9 kT, maybe in 14 kT, may be in 18 kT, some of them we are buying 20 kT, 22 kT. So some 50% customer doesn't matter the budgets and 5 0% customer buys in the budget. So we fit that by making the inventory lighter . So craze of jewelry in India is numerous and they will keep on buying. But the gold rates have come down currently by 15%. So it's very attractive rate for the customers and at the show room level, customers are good.

Deep Shah: Sir, basically, what I wanted to check was when there is such zigzag movement, do customers wait for another correction? How does they generally be? I understand will be in touch with the retailers?

Mangesh Chauhan: So those who are buying bullion or ETF, they see the screen and wait for the correction or wait for more correction. But coming to the jewelry, this is about the gifting. This is of the occasion. This is of the marriage season, Diwali, Navratri, Akshaya Tr itiya and it's about the buying of the lady buyer.

So at the home they -- when the rate is reasonable -- jewelry is not about that it will be correct more or -- whenever there is a need, they have to buy. If there is a gifting occasion, there is many Father's Day, Mother's Day, Valentine's Day comes and on the occasion they have to buy the jewelry as per their budget. So it's a differen t market , ETF and bullion are buying on the sentiment that it will collect more or it will go rise whatever they assume. But on the jewelry market side, there is no such thing .

Deep Shah: Got it, sir. And sir, with the very strong wedding pipeline and Akshaya Tritiya also coming in the first quarter, just wanted to check how then the inventory at the retailer level? Are the inventories at normal levels? Have they stocked up hi gher? Just wanted to check that?

Mangesh Chauhan: So retailer plan the inventory as per the stores, where they are located, how much is the square feet of the showroom. And they keep on maintaining the same budget of the inventory, same kgs of weight. And this is not reduced also or increased also because they have a plan that the showroom should hold 80 kg or 50 kg, whatever the size of the store. And whatever sales, they refill the jewelry.

Deep Shah: Okay. Got it. And sir, last one thing from my side. When I went through your presentation, I think actually, I didn't find much around the gold metal loan. And when we brought Siddharth sir one of his key agenda was also to increase GML. So just if you can throw some light on how then the...

Mangesh Chauhan: Yes. Already, we are using INR80 crores of GML and we have INR150 crores of GML limit. Some of the bankers doesn't have limits, so it takes time to give SBLC limit. And again, yes, we agree that there is a slow process going on for GML.

But sometimes when we have an order of a customer, when we give the order of GML, they deliver after 1 days or , 3 days. And in the market, we get the same day from the banks. So we have to wait for 2 days to start the production. So we are going in the churn, and we have to adjust with the GML. So sometimes there is unavailability of the raw material, sometimes we get on third day.

So whenever it is on the same day, we are utilizing, whenever it is not available, it is available third day, we have to go again to the normal limit. So it's taking time process because some availability issues are there. But we are fitting it that journey, and we are trying it harder. But I agree we are doing it on slow process.

Deep Shah: So what will be the target over next year, FY '27 and what will...

Mangesh Chauhan: So we have a target of INR350 crores odd something in 3 -4

quarters. But we are saying from last 2 -3 quarters, we accept. But some banks have just not have their products which bankers hold. So they take time to give SBLC to other bank and all the process are there. But again, we are targeting it to take in 3 to 4 quarters to INR350 crores, 80% of the limit.

Moderator: The next question is from the line of Palash Kawale from Nuvama Wealth.

Palash Kawale: Congratulations on the good set of numbers. Sir, what was the contribution from advanced goal

in volume and revenue terms?
Mangesh Chauhan: So 12% was from advanced gold in this quarter and value, maybe you can calculate.
Siddharth Sipani: And the advanced gold volume - in terms of total sales, it was INR11 crores The total revenue for the advanced gold. So making charges comes out...
Mangesh Chauhan: Making charges we got INR11 crores.

Palash Kawale: Yes, sir. Okay. Got it.
Mangesh Chauhan: So 12% for the volume growth. Yes.
Palash Kawale: Okay. Got it, sir. And sir, my next question is on the Vision 2030 that you have given. So what kind of assumptions you're taking in terms of volume and gold prices? And are you going to add new product lines and customers? And how would export look like? So some colour on these assumptions would be really helpful?
Mangesh Chauhan: Yes, yes. So sure, we have taken many steps in the last 4 to 6 quarters. You can see we have added clients, Aditya Birla, Reliance, Carat lane and again, in the subsidiary level, Tanishq came. So these clients were not there 1.5 years back, so they are all on advanced gold model. So we have opened office in Dubai, and we have onboarded D amas, which is again a - 67% of holding of Titan. So many clients already we added.
Right now, we are holding every client of India or international major top client of Dubai, Singapore, Malaysia, but we are not in Europe and U.S. market. So already, we have onboarded clients. Again, product level, we have launched 9 kT and 14 kT.
Again, we have launched , lab grown diamond jewelry 1 year back, 1.5 years back studded jewelry , we have already launched because of the fundraise we have done 2 times. So we were able to launch every category and growing in that.
So we have taken every step for the product also. So now we are right now we are there in each and every product in the jewelry of gold jewelry or diamond jewelry or lab -grown diamond. And we have each and every customer. So we have to just keep on growing our wallet share.
So our sales are coming and the existing wallet share is increasing and new stores are coming. You can say 2,500 stores new coming of all jewellery brands in 18 months. So we are expanding our sales in that also.
So keeping in mind to 30 %- 35% growth, we are giving this guidance. So from the existing client also and again, some new clients are also adding. So our focus is totally on corporates like Malabar Gold, Kalyan, Joyalukkas, those are coming in listing , Senco, Thangamayil, GRT jewelry, Lalithaa Jewellery and again, Bhima groups and all. And again, this corporate belt of Carat lane, Aditya Birla, Reliance and all.
So we have introduced every product in the customer. So first is advanced gold business, we are concentrating much higher on that because now we are in the stage that we can attract much advanced gold from this large client.
And second is on export side. We have opened office in Dubai and export is going to be at 20%, as this quarter it was at 10% or something, and we are expecting to go to 13%. Third is to the distributor level also when in the mom -and-pop store we cannot serve directly, so we are appointing a regionwide distributor model also, and that will also help us to achieve the growth.

Palash Kawale: So sir, does this mean that distribution -- tha

t contribution in overall business could increase going forward?
Mangesh Chauhan: So right now, it is 65 %. You can see year -on-year, we were a totally distributor model 12 years, 15 years back and corporate business is going up. So the percentage of corporate is going up. So you can see it will be distributors also will be at 30 %- 35% range and corporate will be at 65 %- 70% range.
Palash Kawale: Okay, sir. Okay. And sir, what about the working capital? How is the working capital by the end of 9 months?
Siddharth Sipani: So the working capital days as of September was 66 days . We have improved by 3% to 4% on our overall working capital days.
Moderator: The next question is from the line of Anushka Vora from Vimana Capital.
Anushka Vora: Congratulations on a great set of numbers, sir. My question is what has been the 9 -month capex ?
Mangesh Chauhan: capex of 9 months? In this 9 months what is the capex ?
Anushka Vora: Yes.
Mangesh Chauhan: So around INR35 crores - INR40 crores.

Anushka Vora: INR35 crores to INR40 crores. And my other question was already answered by the previous person. But so in September, your working capital days were 66 and you have now improved by 3% to 4%, right? Can I get the split between receivables and inventory...
Mangesh Chauhan: So we were at 66 days. Now we are at 63 days...
Siddharth Sipani: 63 days.
Mangesh Chauhan: 3 days, we have improved. And we are expecting to go below 60 days, because in the coming quarter you can see our advanced gold business is rising and we are targeting it to go below 60 days.

Anushka Vora: Okay. So by FY '26 then you would be at 60 days of working capital?
Mangesh Chauhan: By FY -- what you are asking?
Anushka Vora: By end of this year, you will be at below 60 days, right, of working capital?
Mangesh Chauhan: Yes, we are expecting to be below 60 days overall . And we are expecting to be getting it to neutral cash flow by end of this year .
Siddharth Sipani: So the focus at this point of time is to be cash flow neutral by March '26 and further to be cash flow positive in the upcoming financial year .

Moderator: The next question is from the line of Vaibhav Mishra from Finvestors.
Vaibhav Mishra: Congratulations for the fabulous set of numbers. Sir I have few question. My first question is regarding the impact of gold prices on our margins. Like recently, gold prices rose to INR1.9 lakh and then they corrected to INR1.5 lakh kind of number. So this type of fall can this affect our margins in any way or we are hedged to protect this kind of corrections in the gold prices?
Mangesh Chauhan: Yes, we are already hedged back -to-back, and we are not exposed to any rate risk, so we are not affected.
Vaibhav Mishra: All right. All right, sir. And sir, the other question will be...
Siddharth Sipani: In terms of the gross margin, as I had informed in my earlier speech as well that our gross margin has improved , mainly on 3 factors. One is on the advanced gold business increase. And if we take FY '24 as base, we have improved by 2.3% and this increase is mainly on 3 counts . First is the impact of gold loss reduction by 1%. Then increase in the advanced gold business has led to improvement in the gross margin by around 0.6% and further increase in the value - added products like 18kt business and the studded business, which has got better margins have led to the overall improvement in the overall gross margin in 9 months of FY '26 versus FY '24.
Vaibhav Mishra: Understood. And sir, other question would be regarding the volume growth that we are targeting for FY '27. I think in Q3, we had 631 kg per month kind of rate. So how do you see that in FY '27 say, in Q4 of FY '27?
Mangesh Chauhan: We are now mainly focused on revenue because there are many carat changes going on, 9 kT, 14kT, 18kT mix of 22 kT. Ea

rlier we used to sell 22 kT only. So there will be a mix of volume and revenue. Approximately, we are expecting to be 750 kg average. And the revenue guidance we have given INR8,100 crores for the next year and 750 kg on an average, we are expecting next year. So focus is on 30 %- 35% revenue growth after that.
Vaibhav Mishra: So this will be -- this 750 kg kind of number is for Q4 of FY '27, exactly?
Mangesh Chauhan: On an average -- total of all the 4 quarter we are telling, exact may be higher, but on the average of total of the year, we are telling.
Vaibhav Mishra: All right. One last question, small question regarding the guidance for FY '27. In the investor PPT, you have mentioned that PAT margins, you have mentioned around 4.25%. But I think in FY '26, 9 months we have already clocked 4.4% kind of PAT margin?
Mangesh Chauhan: Correct, correct.
Vaibhav Mishra: So are we being conservative? Or is there any other reason for 4.25% mentioned for FY '27?
Mangesh Chauhan: We are just being conservative. We have given the guidance of 4.25% plus, only, but we are just giving a conservative number on the PPT. 20% PAT will be converted to operating cash flow. So it will be on, I think, good part.

Moderator: The next question is from the line of Smith Gala from RSPN Ventures.
Smith Gala: Congratulations on a great set of numbers. So in the presentation as well as in your opening remarks, there was an aspiration to become a global jewelry manufacturer. And that implies that you will be entering into markets other than Middle East and Gulf g oing forward. Also, you have mentioned in the presentation, you are looking for EU, U.K. and U.S. So are there any plans in

place or any time period we are targeting to enter that market maybe 1 year, 2 years down the line?

Mangesh Chauhan: Yes. So we are focusing mostly to Southeast Asia and Middle East because we have opened office and already we are serving from last 4 years to Middle East, Singapore, Malaysia and Dubai. But again, in future, after 1.5 years or 1 year, because opportunities are opened by our government, so Akash is there from that background, he has served Signet , Costco and Walmart and all.

So it is very preparation period for them. So we'll prepare 1.5 year or 1 year, and we'll enter after 1.5 years to this market because this market needs very focused quality and concentration of the product and all. I will give a chance to Akash to speak about this.

Akash Talesara: So just to give you a little bit of a gist. That right now, our groundwork is happening in terms of product development, in terms of merchandising, in terms of creating the correct mix to enter this market.

As Mangesh Bhai rightly said, that once we are 100% prepared with our product line, with the entire team ready to get into other markets, with my experience in the past with Signet and different, different other corporates across the globe, we'll be certai nly looking out for entering those. Maybe from May '28 - '29 is what we should be targeting as of now.

We have enough opportunity in the domestic market right now, which still has to be catered. So our first focus is definitely getting into the domestic market and freezing those opportunity first. Once we are done with that, then the next step is certainly what you have mentioned.

Mangesh Chauhan: So to answer you, straightly we will be focused mostly 80% on India because India is a huge market of 150 crore population. And 15 %- 20%, we can export to other countries like UAE and Singapore and in the future, Europe or U.S. So we will be not going as aggressively for 30%, 40% or 50% exports because we majorly rely on India market, 80%. So if there is any policy changes, we can hedge the sales to India.

Smith Gala: Sure, sure. That was very helpful. And any new markets as and when we are ready are alway

s

beneficiary. Secondly, to whatever guidance which we have taken for FY '30 as well as FY '27 and for FY '26, INR6,100 crores, what is the base gold rate which we have assumed for that guidance?

Siddharth Sipani: We have assumed INR1.04 crores / kg as the gold rate on a blended basis because the mix of...

Mangesh Chauhan: 18kt, 9kt, 22kt, so INR105000/10 gm , INR 110000/10gm is our rate taken approximately. So we are seeing that this quarter also 18 kT is sold much. So there will be average mix of rates and all.

Smith Gala: So this is INR1.05 lakh or INR1.1 lakh per 10 grams rate which is the base rate taken.

Mangesh Chauhan: Yes, yes.

Smith Gala: Okay. And are we on track to give the exit rate of 650 kgs for Q4?

Mangesh Chauhan: Yes, we already have done 630 kg this quarter, and we are on track on that.

Moderator: The next question is from the line of Bharat Gianani from MC Pro Research.

Bharat Gianani: So 2 questions. First is, we are targeting 20% of the EBITDA as the operating cash flow. So is that understanding right, I mean, from the presentation? And second, sir, dividend, we said that we are targeting FY '27 to be cash flow positive. So what this kind of dividend yield that you are targeting? I mean what is the dividend payout ratio that you're targeting compared to the earnings for FY '27? That i s the first question?

Mangesh Chauhan: So dividend amount will be very small amount, more from commitment perspective. So as we are discontinuing from April to take the salary, so dividend will be very small in the initial to ' in 2027 March year. We have a lot of opportunity to grow. So that's why the dividend will be very smaller part.

Bharat Gianani: Okay. And so 20% of the EBITDA is being targeted as the operating cash flow, right?

Mangesh Chauhan: Yes. Basically we would be -- sorry, you are asking.

Bharat Gianani: Yes, sir. Please go ahead.

Siddharth Sipani: Yes. So basically, we would be net debt free by 2030. And between 2026 to 2030 on a sequential basis, we expect that the cash flow generation to increase and we would be -- we expect to reach 20% of OCF to PAT by 2029 or 2030 maybe.

Bharat Gianani: No, sorry, I didn't get the 20%. So is it EBITDA to OCF or OCF to PAT? I mean just a bit of clarification on that?

Siddharth Sipani: That is the 20% that we are saying is OCF to PAT .

Bharat Gianani: So basically, if -- so 20% of the EBITDA will be the operating cash flo w. That is the right assumption?

Siddharth Sipani: That is what is our long -term vision which we have outlined as Sky 3.0 vision statement.

Bharat Gianani: That is by FY '30. Okay. And sir, just a related question, I missed probably. So working capital,

what it is currently expected in FY '26? And by FY '30, what is the working capital target that
we are planning?

Siddharth Sipani: So basically, we are looking at sequential improvement in the working capital cycle and that would be achieved by improvement in the profitability and by improvement in the working capital days. We expect that the overall working capital days should be les s than 60 days going forward.
Bharat Gianani: And sir, currently, what would be that number as of end of December, I missed it, sorry?
Siddharth Sipani: So as of September, it was around 66 days.
Mangesh Chauhan: In December, it is 63 days.
Siddharth Sipani: December, it is 63 days.
Moderator: The next question is from th e line of Raj Sarraf from Finvestors .
Raj Sarraf : Congratulation first of all for this great set of number. Sir can you please bifurcate your subsidiary Starmangalsutra, Sparkling Chains and recently acquired, I think, Ganna N Gold contribution in this 631 kg volume per month?
Siddharth Sipani: Yes. So basically, for Star and for the newly acquired SRG, i

t was around 86 kgs. For Sparkling Chains, it was around 65 kgs and for Speed, it was 51 kgs.
Raj Sarraf : 51 kgs. And sir, guidance for next year utilization out of our existing capacity? And any concrete plan we are having on expansion with fund availability, keeping our 2030 Vision in view?
Siddharth Sipani: Sorry, can you repeat your question? Not very clear.
Raj Sarraf : First of all, the guidance for next year utilization of our existing capacity and any concrete plans with fund availability, keeping our 2030 vision in view?
Mangesh Chauhan: Yes, yes. So after rainy season, Diwali, Navratri, we are into the planning phase and keeping the cash flow positive. As we guide for the PAT, we are expecting to create more profits from the every year, we are giving the guidance. And the extra profit will take to that factory part of INR50 crores per year we will meet.
And what we have guided, like this year, we have guided for INR225 crores and already we have done INR190 crores. So every year, we are expecting some extra profits from all the subsidiaries and all, and that will help us to plan our vision for factory and all and keep in mind the vision of 2030.
Raj Sarraf : Okay. Sir, with the calculation, sir, you might have done any calculation of achieving INR18,000 crores to INR19,000 crores revenue by FY 2030. How much working capital we need?
Siddharth Sipani: So basically on the overall working capital, the target is to improve it and to move down below 60 days cycle .. And the focus is to generate the cash flows and to improve on the overall cash flow generation and to improve on the OCF to PAT percentage year -on-year to reach 20% by 2030.

Raj Sarraf : So why I'm asking this question is, sir, are we having any visibility of any further dilution in our equity base or any fund raise you are keeping anything...
Mangesh Chauhan : So we are all nicely funded, and we are guiding for cash flow. So we are not planning for any dilution at this point of time.
Raj Sarraf : Okay. Till FY 2030, we are not planning any dilution or any fundraise?
Mangesh Chauhan: Yes, yes. So right now, we are nicely funded. And again, we are improving our working cycle. So the fund needed will be from the internal accruals only for the business we are doing right now.
Raj Sarraf : Okay. And just confirming, sir. We have taken this INR18,000 crores to INR19,000 crores revenue by keeping 18 kT gold in view at a rate of INR105,000. Am I correct, sir?
Mangesh Chauhan: So yes, it's a mix rate, INR105,000, INR110,000 is a mix rate of 22 kT, 18kT, 9kT and 14 kT.
Raj Sarraf : Okay. So right now, we are having more exposure to 18 kT or 22 kT, sir?
Mangesh Chauhan: So 22 kT is a leader in market. You can see 80% jewelry sold in 22 kT in India. It was 100% earlier. So it gets down to 80%. And now we are expecting that 22 kT will come down to 70% or something of India. And now we are at, I think, at 20% of 18 kT. Earlier, we were at 4%, 5%. And 22 kT we were at 95%, now it is 80%.
So target will be much to grow 30 %- 35% revenue growth because carat is like 9 kT, 14kT, 18kT and 22 kT, all the mix we have to sell to the customers. If the gold price shoots up, then we will lower volume sales, then target will be 35% revenue growth. But if gold prices drop, then volume growth increases. So it's vice versa.

Raj Sarraf : Okay. And just the last question, if you may please allow me, sir. Sir, this recently concluded FTA with Europe and U.S. So this category will be duty -free as I'm just speculating by the news. So are we planning to explore those areas in Eu rope and U.S. to have advantage…
Mangesh Chauhan: Yes, doors are open for us. But we -- right now, we don't have the design and the product that is needed in Europe and U.S. because from last 15 - 20 years, we are focusing on India and 20% on UAE, Singapore, Malays

ia, where the clients are Asian customers only. And the end consumer are also Asian. So the European customers and U.S. customers, we have not made the product. But now we have got the new standards back only of both the countries.
And in going future, it takes a time of 1 year 1.5 years to plan and execute. And our doors are open for that U.S. and Europe market, but we'll not aggressively go ahead because we have already opened Dubai office, and we have taken orders of Titan, Damas, Kanz Jewelry and many clients have onboarded right now in the last 4 quarters. We have to serve them and increase the wallet share in them.
So right now, our focus is to increase the wallet share in the existing customer, large customer we have onboarded in India also in Dubai and Singapore, Malaysia. So the main focus is in these

countries. And going for future when we will see if we are going to penetrate in that country, but we are positive about that.
Raj Sarraf : Are we still trying to have Tanishq on board or...
Mangesh Chauhan: So already, we have onboarded in our subsidiary, Starmangalsutra, and we are getting 50 kg on an average advanced gold business from Titan, expecting good business in subsidiary from that.
Raj Sarraf : From Tanishq, sir?
Mangesh Chauhan: Tanishq Jewellery, yes.
Moderator: In the interest of time, this will be the last question. I would now like to hand the conference over to the management for the closing comments.
Mangesh Chauhan: Thank you so much, my shareholders, investors and my management team and again, my brothers, Darshan Bhai and Mahendra Bhai, who have supported in this journey and hoping to grow more in future. So thank you all of you, the investors and shareholders of Sk y Gold and Diamonds.
Moderator: On behalf of Sky Gold and Diamonds Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2026

Date: 3rd June 2026

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street, Fort,
Mumbai 400001

Scrip Code: 541967 To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
G Block, Bandra-Kurla Complex,
Bandra (East), Mumbai 400051

Trading Symbol: SKYGOLD

Subject: Transcript of the earnings conference call.

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, copy of the transcript of the earnings conference call held on Thursday, 28th May 2026 on the audited standalone and consolidated financial results and operations of the Company for the quarter and year ended 31st March 2026, is enclosed.

The said transcript is also available on the Company's website at https://skygold.co.in/wp-content/uploads/2026/06/MUFG-SkyGold-May28-2026-clean-version-3.pdf

You are requested to take the above information on record.

Thanking you.

For Sky Gold and Diamonds Limited,
(Formerly known as Sky Gold Limited)

Mangesh Chauhan
Managing Director
DIN: 02138048
Place: Navi Mumbai
Encl: As above

"Sky Gold & Diamonds Limited

Q4 & FY26 Earnings Conference Call"

May 28, 2026

MANAGEMENT : MR. MANGESH CHAUHAN – MANAGING DIRECTOR – SKY GOLD AND DIAMONDS LIMITED
M R. DARSHAN CHAUHAN – WHOLE-TIME DIRECTOR – SKY GOLD AND DIAMONDS LIMITED
M R. SIDDHARTH SIPANI – CHIEF FINANCIAL OFFICER – SKY GOLD AND DIAMONDS LIMITED
M R. AKASH TALESARA – PRESIDENT , SALES & BUSINESS DEVELOPMENT

Moderator: Ladies and gentlemen, good day, and welcome to the Sky Gold & Diamonds Limited Q4 and FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Vidhi Vasa from MUFG Intime. Thank you, and over to you, ma'am.
Vidhi Vasa: Thank you. On behalf of MUFG Intime, I welcome you all to Sky Gold & Diamonds Limited Q4 and FY26 Earnings Conference Call. On the management side, we have
Mr. Mangesh Chauhan, Managing Director; Mr. Darshan Chauhan, Whole-Time Director;
Mr. Siddharth Sipani, Chief Financial Officer; and Mr. Akash Talesara, President, Sales.
I hope everyone had an opportunity to go through our investor deck that we have uploaded on exchange and the company's website. I would like to mention a short disclaimer before we begin the call. This call may contain some of the forward-looking statements, which are completely based upon our belief, opinion and expectation as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.
With this, now I hand over the call to Mr. Mangesh Chauhan. Over to you, sir.
Mangesh Chauhan: Good afternoon, everyone. Mangesh Chauhan here, Managing Director of Sky Gold and Diamonds Limited. First, I want to thank my team. They delivered a strong performance despite a tough market. I will assume you have reviewed our latest results and presentation.
The strategic evaluation of Sky Gold has systematically unfolded across 3 distinct operation phases.

Phase 1, our primary objective was establishing portfolio credibility and securing initial corporate client penetration. We were ahead of the curve in anticipating the shift from unorganized to organized in retail and jewellery manufacturing. Also, in shift towards lightweight jewellery, in all these 3 aspects, the bets are paying off now.
Phase 2, utilizing a combination of IPO proceeds and internal accruals, we expanded our client ecosystem and scale capacity via our Navi Mumbai facility. Following our preferential capital raise, we originally guided for FY27 revenue of INR5,000 crores, a 3.5% PAT margin and a 25% ROCE. Having subsequently revised our benchmark upward multiple times, we are on track to exceed even our most recent guidance.
Phase 3, unlike previous phases funded via mix of internal and external capital, Phase 3 pivots entirely on an organic self-sustaining financial architecture. Growth will be funded strictly through internal cash generation to achieve a net debt-free balance sheet by FY30.

On debt reduction strategy, we would like to highlight based on our current plan. We would be reducing net debt by 50% above in FY27 itself through land sale and operational improvement. I repeat there would be a debt reduction of over 50% in FY27 itself. A larger portion of debt reduction would be due to operational reasons.
Our Q4 FY26 performance significantly outpaced most industry peers, driven by strong wedding seasonality bolstered by key festive occasions like Gudi Padwa, Akshaya Tritiya alongside materially improved customer engagement through our B2B portfolio. Unlike several industry peers, Sky Gold's B2B focused manufacturing model effectively captured peak wedding and festive demand through higher production volumes.
Strategically, we pivot towards higher-margin lightweight and studded jewellery, which enhance realization and profitability. We deepened strategic partnership with major retail chain store, including but not limite

d to Reliance Jewels, CaratLane, Malabar Gold, Kalyan Jewellers, Senco
Gold, Aditya Birla, Thangamayil, PN Gadgil, Lalitha Jewellery, Joyalukkas, Khazana Jewellery, Damas Jewellery, Kanz Jewellery, Titan Gold, and GRT and many more in this group.
Expanded our distribution networks and grew our advanced gold business also, which strengthened working capital efficiency and provided greater order visibility across the value

chain. Financial guidance and capital discipline. Our forward-looking framework balances aggressive market share capture with stringent balance sheet discipline. Target growth metrics. We are targeting a sustainable revenue CAGR of 30% to 35%, projecting a PAT of INR945 crores by 2030.

I want to make a small change to the guidance we have provided in the past. We would like to stick to our PAT guidance by FY30, but we would like to avoid volume guidance primarily because of the volatility in the gold price, which is beyond our control. Also, top line is vanity, PAT is sanity and cash in the bank is reality.

Controlled velocity, given the large addressable market opportunity, we possess the capacity to expand twice this velocity. However, doing so would compromise our operating cash flows. Therefore, top line expansion is intentionally capped at 30% to 35% to further strengthening the balance sheet.

Cash conversion engine: Our model targets a consistent conversion of 20% to 25% of PAT into operating cash flow, underscoring a lean, high velocity growth engine that is rare among high-growth Indian enterprises. This dual commitment ensures optimal scaling alongside robust cash flow generation.

Siddharth Sipani has been thinking continuously in how to grow our institutional governance and promoters' realignment. To address historical industry-wide corporate governance discounts and maximize long-term shareholder value, management is implementing best-in-class institutional framework. Global audit oversight as promised, we have appointed

M S K A & Associates LLP, member of BDO International as statutory auditors.

Promoter remuneration alignment: Beginning FY27, the promoters will transition to a zero-salary compensation model, migrating exclusively to a dividend only framework, promoters will derive financial rewards solely from shared ownership outcomes.

Capital distribution discipline: Dividends will be funded strictly out of operating cash flows. This structural realignment ensures promoter incentives are perfectly matched with minority shareholders, reinforcing fiscal discipline.

Moving forward, our institutional scale remains anchored by our 3 core operational pillars: 1st is creativity, which is through design innovation; 2nd is technology, which is through process automation; 3rd is manufacturing excellence. In today's forum, we anticipate several inquiries regarding prevailing jewellery demand trends following our Honorable Prime Minister Modi's recent national address.

We view the Honorable Prime Minister's call to curb gold imports and protect our nation current account deficit as a clear necessary directive for the entire industry. We embrace our broader national responsibilities in support of this macro economical goal.

While the wider sector is experiencing a temporary phase of demand softness as a result of this tightening conditions, Sky Gold business model is explicitly built to thrive in such an environment. Our expertise in lightweight jewellery places us in a superior position. Historically, proactive regulatory policy have been introduced around gold metal loans to manage capital import flows.

Sky Gold maintains zero GML exposure today. While we refrain from speculating on future policy directions, our internal operational structure are fully prepared for any further measures the government may deem necessary to safeguard the economy.

As articulated in our previous interacti

ons, our core mandate remains the construction of a
fortress balance sheet. The objective is heavily safeguarded by our enhanced Cash Conversion guidance, particularly as we move through FY27. The jewellery manufacturing landscape is actually working capital intensive.

By aggressively executing our deleveraging strategy with targets of 50% + debt reduction during FY27, Sky Gold will drastically reduce its credit reliance. This guarantees that our capital structure remains robust, resilient and fully self-sustaining, leaving us securely insulated even if institutional lending norms become significantly more stringent.

We would also provide another comfort to investors. Our annualized exit run rate for Q4 of INR1,911 crores is close to the guidance of INR8,100 crores provided for FY27, as we would not require substantial incremental working capital for growth.

I now request Darshan Chauhan for his update on new development of Sky Gold.

Darshan Chauhan: Hello. Good afternoon, everyone. Darshan Chauhan, Whole Time Director. Today, as we look back at the past quarter and the journey of Sky Gold & Diamonds, one thing becomes very clear.

Our growth is not only because of strong business performance, but because of strong relationships, trust, innovation and teamwork that define this organization.
Over the years, Sky Gold has built a strong leadership position in lightweight casting jewellery manufacturing and expanded successfully across multiple jewellery categories. We continued strengthening our partnership with leading retailers across India and globally through our strong co-creation, merchandising and customization capabilities.
Even during challenging global conditions, including difficult times in international markets, our teams showed resilience and adaptability. Through Sky Souk in Dubai, diversification into newer territories, wider product categories and continued innovation, we successfully navigated business challenges while continuing to grow. We also invested heavily in technology, systems, people and culture.
One of the proudest moments for us this year was recognizing long-serving employees and star performers through ESOP initiatives, appreciating team members who have spent 5+ years contributing to the company's success. Because at Sky Gold, we believe people are our greatest strength.
Our journey has also been recognized across the industry through prestigious awards, recognition and participation at leading national and international jewellery platforms. This achievement reflects the collective effort of every employee, karigars, partner, retailer, investor and stakeholder associated with Sky Gold & Diamonds.
And now as Sky Gold enters its next phase of growth, expansion and global vision, the management is pleased to announce a new leadership milestone for the organization. Further, we are happy to announce today that we propose to elevate Akash Talesara, currently President - Sales to the role of CEO, subject to Board approval.
This strategic appointment reinforces our commitment to professionalizing management, enforcing strong governance and positioning the company for accelerated growth as we advance towards our FY30 target of achieving sales of INR18,000 crores to INR19,000 crores with a nil net debt position.
We extend our heartfelt congratulations to Akash on this well-deserved promotion to CEO of Sky Gold and express full confidence in his vision and leadership to drive Sky Gold's next phase of expansion, innovation and value creation for all stakeholders. Congratulations, Akash Talesara and wishing you great success in this new journey.
Thank you, everyone, for your trust, support and belief in Sky Gold & Diamonds.
Akash Talesara: Hi, everyone. This is Akash Talesara. First of all, a big thank you to the management for believing in me and giving me the responsibility of le

ading this organization as a CEO. For me,
this is not just a designation or a position. It is a responsibility towards every employee, customer, partner, investor and every person connected with Sky Gold & Diamonds.

What makes me most proud about Sky Gold is not only our growth numbers or achievements, but the culture and relationship we have built over years. At Sky Gold & Diamonds, people do not just come to work. They become a part of the family. This is the reason many people do not like leaving this organization. There is a trust here, there is respect here and most importantly, there is a strong sense of belonging.
As mentioned earlier, during the inauguration of one of our subsidiary facility by Mr. Ajoy Chawla, MD of Titan Group, we witnessed one of the most emotional and meaningful initiatives from the organization this year was to introduce ESOPs for the employees who have been a part of the Sky Gold journey for more than 5 years, along with our star performers. This was one small way of saying thank you to the people who stood by us in the company, contributing with dedication and helped build Sky Gold into what we are today.
We wanted our employees not only to work for the company's growth, but also to become part of the growth story themselves because we truly believe that loyalty, commitment and consistent hard work should always be respected and rewarded. These initiatives have created a strong sense of ownership, a deeper emotional connect and even greater motivation within the organization. And this is the real strength of Sky Gold & Diamonds, our people.
Our efforts have also been recognized through several prestigious awards and the industry recognitions, including the Global Market Entry Leadership Award for Manufacturing. The India's Business Leader and Excellence Award and the Joyalukkas PRIDE 2026 recognition for partnership excellence and innovation in design.
We were also honored as a valuable vendor partner at the Circle of Indriya ceremony by the Aditya Birla Group. In addition, Sky Gold was recognized as one of the fastest jewellery

manufacturing Company through the AOJ. We also got MD and CFO awards, along with the several other manufacturing leadership recognition, excellence award, industry trophy and certificates.

These recognitions are not just awards for the company. They represent the collective hard work, commitment and passion of our employees, retailers, partners, karigars, leadership team and every stakeholder associated with Sky Gold & Diamond.

Thank you again, and I'll pass on back to Mangesh bhai.

Mangesh Chauhan: Thank you, Akash. The success of Sky Gold is built entirely on the blessing and support of our stakeholders. The moment that truly touched my soul was honoring our long-standing employees. It was a small gesture of gratitude for their years of loyalty and it brought back too so many cherished memories of our early days. These are the people who build Sky Gold and celebrating them was the highlight of it all.

I want to hand it over to Siddharth Sipani. Before Siddharth Sipani takes you through the financials. I want to congratulate Siddharth on implementing stringent processes. Jewellery manufacturing is a highly capital-intensive business.

As you know, we are growing at a fast pace, implementing processes in such a growth phase is not an easy task. Siddharth successfully streamlined the working capital of our business without growth being impacted. And our net working capital days have successfully dropped from 71 days for quarter ended March '25 to 59 days for this quarter ended March 26.

Siddharth also successfully onboarded M S K A & Associates LLP, a part of BDO International as our statutory auditors, thereby transitioning from mid-sized to global audit firm as a part of our step in strengthening our corporate governance framework.

I gave him a 2-year window within which he had to reduce working capital below 60 days, appoint a global auditor and get to neutral operating cash flow. Within the first year, he has successfully reduced the working capital intensity of the business, and there is no need to raise external capital.

Now Siddharth is a special find for us. Hand over to you, Siddharth.

Siddharth Sipani: Thank you, Mangesh bhai, for your kind words, and thank you to the entire leadership team at Sky Gold for your support. I am truly honored to be part of Sky Gold's growth journey and this achievement belongs to entire finance and sales team. I am confident we will continue building a stronger, more efficient Sky Gold that creates enduring value for all stakeholders.

Before discussing our Q4 performance, I would like to outline our strategy for cash flow management and debt reduction. As Mangesh bhai highlighted, our annualized Q4 exit run rate for revenue of INR7,650 crores is already close to our FY27 guidance of INR8,100 crores. Because of this, we will need very little extra working capital to fund our growth.

Additionally, we are shifting our business model towards the advanced gold format. As a result, we expect our operating cash flow to PAT conversion in FY27 to be much higher than our long-term trend guidance. We have also included a detailed slide in our presentation covering this FY27 debt reduction plan.

In our last call, we broke down our gross margin expansion. From the current year-to-date, our consolidated gross margin stands at 8.45%, up 245 basis points from 6% in FY24. This improvement comes from 3 main areas, a 100 basis point gain from reducing gold loss, a 70 basis point gain from our growing advanced gold business and the remainder from high-margin value-added products like 18 kt, 9 kt, diamond studded jewellery and our unique co-creation designs.

Looking ahead, our revenue growth will be driven by 3 clear levers: increasing our share with existing corporate clients, expanding our distributor market network and scaling up exports. For this call, we want to walk you through our future PAT margin expansion. We know there are questions about whether these margins are sustainable or if we are over-earning due to rising gold prices.

As a management team, we only provide achievable targets, and we routinely outperform them. In fact, our current FY27 guidance is already 30% to 40% higher than our initial estimates. Investors will also see that our debt reduction time line is moving much faster than expected.

We would like to categorically state that our operations are back to back hedged. However, for those who still question the sustenance of our margins, our profit margins naturally improve as

our share of advanced gold increases.
Our FY26 PAT margin stands at 4.5%. Under the advanced gold model, we only record the job work fees as revenue, whereas our traditional model records the entire jewellery value as revenue. Therefore, as advanced gold volumes grow, our absolute profit and margins improve, even though it creates a deflationary effect on the top line revenue figure.
We expect our gross margin to expand by 60 to 90 basis points due to better mix of advanced gold and studded jewellery. This is our first margin lever. Our second lever is reducing interest cost. Today, interest expenses account for 1.25% of sales, which is a significant drag. As we transition towards a net debt-free balance sheet, this cost will drop to zero, giving us a combined 200 basis points margin expansion opportunity.
While these levers offer strong upside, we have guided for a conservative 5.25% PAT margin by FY2030, which represents an expansion of 75 basis points from current levels. We choose to be prudent with our guidance because our long-term aspiration is to become the

largest global
jewellery manufacturer. To achieve this, we plan to invest heavily in international infrastructure and use strategic pricing to solidify our global presence.
Now let us review the financial highlights for Q4 and FY26. Notably, our working capital cycle improved, dropping to 59 days from 71 days in March '25, mainly driven by: first, increase in advanced gold business volumes to 11.5% for the year '26 versus 5.7% for the previous financial year.
Secondly, increase in exports to 11% for the year versus 6% in the previous financial year and prioritizing shorter credit term customers. Our cash from operations improved from negative INR272 crores to near neutral operating cash flows of INR45 crores negative, which is in line with our guidance.
Further, other income stood at INR16.3 crores for the quarter, of which INR3.7 crores was attributable to gain on sale of investments and balance mainly includes all operational income like exchange gain on exports of INR8.4 crores and interest income of INR4.5 crores for Q4 FY26.
Now I give the podium back to Mangesh bhai for his comments.
Mangesh Chauhan: Thanks, Siddharth, for the update. Before opening for forum for Q&A, I have stressed multiple times in the past that having a strong corporate culture is the bedrock of the company.
To achieve our FY30 PAT guidance of INR945 crores, we need to implement at multiple fronts.
To be the globally largest manufacturer over the next decade, investing in people is essential.
That is one of the reasons we rolled out ESOPs for all loyal and deserving employees. We will further expand the ESOP pool.

Strategically, we would also be creating a group council with global industry veterans to guide us on the journey ahead. Finally, we kindly ask participants to avoid speculative questions regarding future government policies. Our view is that no further restrictive measures will be introduced.
However, even if the regulatory environment becomes more stringent, organized players like Sky Gold are best positioned to benefit and capture market share. Thank you, everyone. Now we open the floor for the question and answers.
Moderator: Our first question is from the line of Uchit Shah with Vimana Capital.
Uchit Shah: Congratulations on the good results. I just had a couple of questions. For sales, due to recent increase in the customs duty and the government's appeal to reduce gold consumption. Do you think this will affect our revenues or volumes in any way.
Mangesh Chauhan: So this is not the first time the government is increasing or decreasing the duty. We are doing the business for the last 20 years, I have been in this business. So I have seen this type of event many times in the Congress government also, in this present government also increasing the duty as per the requirement as per the fiscal deficit and all.
And again, reducing the duty whenever the environment is good and all. So this is the measures taken by the government. And as per the consumer level, they takes as per the MRP of the gold rate, now gold is available at INR1,55,000, they take it as a cost of buying.
So again, government takes measures whenever its requirement. So as we are into lightweight jewellery right now, till now we have not find any lowering of the order or softening of the demand at the B2B level because we are into lightweight jewellery segment.
And nowadays retailers have announced so many gold exchange schemes and with gold exchange, they will get more benefit in the making charges. Many schemes are rolled out. We have heard that at the retail level, the gold exchange has gone up from 20% to 40% above.
The regular rate is 20% gold exchange business, it has gone to 40%.
And again, by talking to our large customers, large corporate pool and the owners with them I'm

talking to, they are also telling it is very early to predict in 1 week

. So they are analyzing June
month, July month, how the consumer behavior is going to happen. But right now, there is no softening of demand at the B2B level, a stable demand is there.
Uchit Shah: Second question is more around the recent transcript or con calls of Titan, PNG the retailers. They have said that they are seeing higher demand in lower karatage jewellery and towards gold bars and coins. Do you think this shift of consumers towards lower karatage affects us in any way?
Mangesh Chauhan: So this is a part and parcel of the strategy because some Gen-Zs look for 9 karat and 14 karat, the mid generation goes for 18 karat. There is some shift. We are also seeing that 18 karat is going up and taking place of 22 karat. But 22 karat again is the leader in India. It is at

70% - 75% of the sales. So again, bullion and coins are sold at the retail level because some of the customers want to invest in bullion and gold.
So for the temporary base, if they want to buy jewellery after 6 months, they take the bullion and coin and then they give the bullion and coin then replace with the jewellery. So this is the budget wise shifting also going on. So making targets are higher in the lower karat in 9 and 14 and 18, our margins are better. So it's a mix of business we have to do.
We have to plan the strategy as per the gold rates and the market conditions, the customer keeps on introducing new karat, new strategies and all. So again diamond jewellery is picking up because of the gold rates and all the diamond jewellery, we are at 1.5%. So this is the strategy played by the retailers as and when required as per the environment of the market.
Uchit Shah: Just one last question. This is more around the working capital cycle as well. So as I read previous 2 transcripts and con call, I think we're also trying to make sure gold metal loan through which you were able to make lower interest rates from the banks or financial institutions. In this presentation, actually, I don't see any mention of that. So is there any strategic shift we have taken to reduce gold metal loan?
Mangesh Chauhan: So again gold loan, we were using in last quarter and this quarter, we are not using because gold rates are higher in GML because when we earn market rates are below INR3 lakhs to INR4 lakhs of the gold metal loan. If you buy from the bank, we are getting at INR1.62 crore, in the market we are quoting at INR1.59 crores or INR1.58 crores with under costing is going in the market. So we go as per the whatever is PAT accretive. Right now, gold metal loan is very much costlier as per the cost, not, as per the interest rate. So, we are at zero gold metal loan right now. And again, the government strategy is going on for this imports and all. So, we are at zero gold metal loan right now as per the PAT accretive, we will go for that. So again, Siddharth will add something on that.
Siddharth Sipani: Yes. Perfect. Thank you, Mangesh bhai. Actually, we are assessing the gold rates and whichever gold rate is beneficial to us on our overall PAT level, we are going by that option at this point of time, considering the market, the actual prices, the local market is at a cheaper rate versus when we buy from banks.
And that is why as of March end, our GML outstanding is nil, but we have INR170 crores of GML facility sanctioned with us. And as soon as we are having a better pricing for the GML, we will go for the GML borrowings.
Moderator: Our next question is from the line of Chintan Sheth with Girik Capital.
Chintan Sheth: Congrats to the team for walking the talk all through these years. And congrats Akash for the promotion. Sir, couple of questions. If you can provide volume numbers for the year or for the quarter because that was missing in the presentation for stand-alone as well as the subsidiary. And I know you refrain us from asking the volume and

gold price in your guidance which are
provided for FY30, but directionally from the current 1,200 kgs of 14.4 tons of gold processing

capacity we currently have. Where do you see the capacity required to scale up from here on to achieve that level of revenue? And what kind of capital is required to scale that capacity? So that would be the first question and I'll jump back in queue.
Siddharth Sipani: We would like to just inform that in the last Q4, we have done around 650 kgs per month, and that is in line with our guidance that we have provided. However, from a go-forward perspective, we are expecting a growth of 30% to 35% in terms of the top line. And since our major focus is

on the advanced gold model of business, which has increased from 6% in FY24 to around 12%
in FY26, we expect that our capacity utilization will improve going forward. Because of overall
advanced gold volumes also.
Chintan Sheth: Okay. So why I'm asking is because if you see the advanced gold loan, you don't recognize the
entire gold jewellery in your revenue, right? Which is ideas at the work, correct?
So revenue is a little bit of a misnomer number, we should ignore revenue guidance or revenue
numbers per se because if you shift your model from 11.5% to say, 20% or 30% over the next
few years to advanced gold business, then the revenue will definitely will not look like what it
is today. The mix will completely different, right?
But the volume, the underlying volume and the profit capacity is what will matter in the future,
right? So that is the reason why my emphasis is on the volume side of the calculation rather than
the value side of the calculation, it should make sense to you.
Siddharth Sipani: What you are saying is perfect. And in my speech, that is why I explained the entire accounting
policy for the advanced gold business. And the current projection that we are giving for FY30
of INR18,000 crores to INR19,000 crores considers 30% of advanced gold business.
The exit run date for the advanced gold is close to 20% and the overall average is close to 12%.
And we are focusing on overall cash flows. And so the main focus will be on cash flow
generation and also on the growth of 30% to 35% in terms of the absolute sales number.
Mangesh Chauhan: So again I will tell that you've understood the business well and we'll tell that we have guided
30% - 35% of the revenue achievement of the target. And again, the advanced gold will be the
additional to that. So it will not come in the revenue, but it will add on to the profit margin. So
our profit will be improved by the advanced gold. And advanced gold will help us to improve
the volume also. And again, 30% - 35% is the revenue growth we have guided.
Chintan Sheth: Mangesh, not only is the profitability improvement, but it also improves our balance sheet as
well because advanced gold doesn't require us to fund the gold through our balance sheet.
Mangesh Chauhan: Correct. So initially, 3 - 4 major clients are also only there in the advanced gold business. So we
are targeting them from the advanced gold and regular, our major 15 - 25 clients are on the sale
basis. So again, sales revenue also will come and grow by 30% - 35%. This is the additional
business we are gaining and we were at 0% now we are at 12%. So, 100% you told is very better
that our cash flow working cycle will improve and our cash flow will improve by this business.

Chintan Sheth: Correct. And lastly, if I try to understand the gross margin, right? If you do the advanced gold
side, you just book the revenue for the job, which is equivalent to your gross profit, correct?
Mangesh Chauhan: Yes, perfect.
Chintan Sheth: Is there any differential between what is there any differential between in the gross margin
between the gold provided by us versus advanced gold

or it will more broadly be in the same
line? The gross margin, I'm not asking that the mix, that every item or every 18 karat or 22 karat
of smaller karat. Whenever you have a different gross margin for you.
But on a like-to-like basis, is there any differential between 18 karat gold funded by us versus
18 karat gold jewellery which we provide to retailer on an advanced metal basis, both have a
similar gross margin? And if there is any difference then if you can highlight?
Siddharth Sipani: So I will answer you from both from operations and from the finance perspective. From the
operations perspective, what you are saying is right, the gross margin for the advanced gold
business is lower by 70 bps to 125 bps. But also, we do not have to invest our working capital
on it and we save on the interest cost. Hence, overall, if we look at it from a PAT perspective, it
is PAT accretive.
While on the finance side, since the advanced gold business has an infinite ROCE since it does
not need any working capital and plus it is PAT accretive because there is only recognition of
the service income and the value of the gold doesn't get captured. I hope I have answered what
you were trying to ask.
Moderator: Our next question comes from the line of Deep Shah with Equirus Securities.
Deep Shah: Congratulations on good set of numbers. Sir, just 2 - 3 questions from my side. First, if you see
recently, government also put restriction on import of duty-free gold. They have restricted to
100 kgs. And considering that we did set up our Dubai office for duty-free gold, how does it
impact our plans in terms of importing the duty-free gold?
Siddharth Sipani: Okay. So, the first thing is that this duty-free gold, there is no restriction for us, the duty-free
gold restriction is for the advanced authorization license only. At this point of time, we are not
importing any gold under the advanced license thing. So, there is no impact on Sky Gold because
of this recent change in the government policy.
Further, I would like to just add that in terms of the local market, gold availability is not an issue.
And further for exports as well, gold is available at banks as well as the nominated agencies as

well. So, the availability of gold for manufacturing and export or sales is not an issue on ground at this point.

Deep Shah: See, basically, I know that we are currently not importing any sort of duty-free gold, but the purpose of setting up Dubai office was to import the duty-free gold, right? Because ultimately, we were going to export it back. So how does it affect our plan going ahead? I'm not talking, I know that we are not importing it right now.

Siddharth Sipani: So let's understand the background of this policy change. So this policy change has been made so that only the eligible exporters get the required allocation. Previously there were some non-wanted companies also who were getting this advanced license. And secondly, the license is not restricted. One can get up to 100 kg and on fulfillment of 50 kgs of export, one can once again apply for the advanced license and can get the same.

Deep Shah: Sir, second is on the working capital side. We have seen a material improvement in our receivable days. if we see it's still below what it used to be in FY24. So, do we expect our receivable days to go back to FY24 levels around 20 - 22 days or we should stabilize where we are right now?

Mangesh Chauhan: So again advanced gold business is increasing and again, so we are going for the selected business, those who are lesser credits and exports has a lesser credit business. So, 100% in 4 to 6 quarters, we'll be back to that 22 - 23 days and it will take 4 to 6 quarters. 100%, we'll be there because our working cycle is improving in the exports also at the domestic level, we have controlled our efficiency of business and again, the advanced gold busi

ness.

Deep Shah: Okay, great to hear that. Sir, one last thing. Can you just break down how has been the performance in the domestic business and how has been the international performance? If you just can break down that?

Siddharth Sipani: Yes. So out of total revenue or around 12% is for exports and the remaining 88% is for the domestic business.

Moderator: Our next question is from the line of Palash Kawale with Nuvama.

Palash Kawale: Congratulations to the team for a very good set of numbers. Sir, my first question is do you see any pressure on international demand because of all these political issues?

Mangesh Chauhan: So again, internationally, we are at a run rate of 7% - 8% right now. We were at the rate of 11% and Dubai and UAE is going back to normal. It has 50% business has come back to normal. And we are expecting good business considering Malaysia, Singapore also. So, we are expecting in 1 quarter, it will be back to 12%.

Right now, we are 8% and the balance 4% - 5%, we are covering from the Indian markets. And again, the customers like Malabar, Kalyan and Joyalukkas are same at the Dubai and UAE and here also. And they have committed the balance 4% - 5% from here.

So again, we are now first time doing exhibition in London, U.K. new segment. We will be serving that market also from UAE Dubai office. So, I can say the decent 70% business is going at the international level.

Palash Kawale: And sir your inventory days were a little higher. So, any comments on that?

Mangesh Chauhan: So again, Akshaya Tritiya was on 20th April. So, some of the products were ready in the March and then delivery was taken in first week of April because at the March end 4 - 5 days, nobody

wants to build the products and all. So that's why it was piled up and again in April it was delivered.

Palash Kawale: Okay. And sir, last question, any update on land monetization?

Mangesh Chauhan: Yes, we have appointed 2 - 3 agencies also. We are expecting it by August end. I think August or September last, we will encash it. And so we have appointed 2 - 3 agencies for the same purpose also.

Palash Kawale: Okay. And sir, I don't know if I heard you right or not, your exit run rate for advanced gold is 30% you said, right?

Mangesh Chauhan: 20% is the exit run rate.

Moderator: Our next question is from the line of Harsh Shah with Bandhan Asset Management Company.

Harsh Shah: First question basically is on your guidance, basically revenue going 3x in 4 years, right, especially when we are also targeting our triple, I mean current level 50% in FY30. And this means that our volumes actually should grow at a much faster pace, right? I mean 40 - 45% each year. Is that understanding right sir?

Mangesh Chauhan: So again, 100%, we have guided the revenue if you have guided 35% revenue, so 27 - 28% will come from volumes only. And again, the advanced gold business will add up to as you are putting it right the volumes will also increase. But right now, there is a mix of 9 karat, 18 karat, 22 karat and 24 karat, and again advanced gold.
So, because gold rates are now stable and came down also from last 3 - 4 days, it is corrected by 10%. So, this is a very positive signal for India market. And we are getting a report from yesterday only that customers are keen to buy because gold rates have come down. So again, it depends on the gold price, but we are guiding 30% - 35% of revenue in that 27% - 28% automatically gold volumes and additional of advanced gold business.
Harsh Shah: Okay. But it should be ideally high enough, sir, if you see currently basically on 650 kgs monthly revenue, right, we are doing average, let's say, 100 kgs of advanced gold, right, at 20% exit roughly, right?
So and as you said that gold -- advanced gold is actually replaced on the roll on revenue because you only record the value addition, not the entire amount of -- plus

value addition, right? So, if we are guiding for 30% - 35% revenue CAGR, ideally our volume should be much higher because we are targeting even higher share of advanced gold. So, I mean is the understanding right that we are in some way building in 2 tons of gold per month in FY30 roughly?
Siddharth Sipani : So basically, in terms of the revenue for FY27, we are expecting INR8,100 crores. And by 2030, we are expecting a 30% to 35% growth reaching to INR18,000 crores to INR19,000 crores with a guidance of advanced gold model advanced gold business to the extent of 30%.

So, what you are asking is right? So, we are looking at a growth in the volumes as well as growth in the business, but with an eye on the overall cash flow from operations as well. And we want to balance all 3 of them in this new phase of Sky Gold 3.0.
Mangesh Chauhan : So again, adding to that, if gold prices go down, the volumes get accelerated. And if gold prices goes up, the volume gets moderate. So, it's a combination of high price and a low price.
Harsh Shah: Got it. And Mangesh bhai, this guidance of FY30, how much would be the proportion of revenue coming from overseas business?
Sidddharth Sipani: So, at this point of time, the exports is close to 12%. We are expecting that this -- the export should be close to 20% of the overall sales is what we are expecting.
Harsh Shah: Okay. That does not change. That does not change?
Siddharth Sipani: No, no, that does not change. In terms of gold business is, okay. There can be some problems, but that is fine.
Mangesh Chauhan : So, currently we are serving Singapore, Malaysia, and again, right now, we are doing exhibition in London also. So many countries are being served from that office, yes.
Harsh Shah: I was wondering the proportion would go higher than 20%. That is why the question is, right, given the guidance. But okay, thanks for clarifying that.
Siddharth Sipani: At this point of time, we are expecting 20% of export sales as we reach closer to 20% of the export business, we will again relook at this. But I would just like to let you know that export business, we are concentrating more because it has a better ROCE since the overall receivable days for the export business is better versus the local business. And so this overall improves our ROCE and the working capital.
Harsh Shah: Export Business....
Mangesh Chauhan: No, export business is no advanced gold, it is completely on an outright model, which is the traditional model.
Harsh Shah: Okay. Got it. And second question is for Akash. Akash, first of all, congratulations as you move into your new role.
Akash Talesara: Thank you so much.
Harsh Shah: Akash, what would be the 3 key priorities going into FY27 and beyond, Akash?
Akash Talesara: Main priority would be, as Siddharth and Mangesh bhai mentioned that we want to go full-fledgedly in export market. If you see my past experience has always been to exports and like this is one of this territory which we have to explore further. Also, we want to give horizontal and vertical growth to the company, which means we want to improve our diamond business, our lab-grown business, overseas.

So, I personally feel that we still are at the tip of the iceberg. We have a lot of things to capture overseas. So that is our key focus. We have a big area right from U.K. to Malaysia, Singapore.

There are a lot of untapped potential, which we still have to explore.
So, we are now slowly and gradually targeting, creating the product line, ensuring that whatever we have done it in India, which is with our co-creation activity and merchandising with the retailers, ensuring that we can work in sync with them and create better product and better collections so that they are dependent on us similar way, the same module, we'll take it o

verseas
also.
And I'm very happy to share that as Darshan bhai mentioned in his speech also that we have smoothly navigated through the storm, which the entire Middle East crisis of war, but we were able to navigate through it and which gives us a very big confidence that we'll go full-fledged with the export market.
Moderator: Our next question is from the line of Bharat with MC Research.
Bharat: Congratulations for a great set of numbers. So, my first question is what is the gold hedging percentage that is there currently, which we are following. So, you guided to some reduction in the GML. So just wanted to check what is the overall hedging that we do for gold as of now?
Magesh Chauhan: We are hedged approximately 99% or something, 0.5% or 0.75% we cannot control that, but you can say 99%.
Bharat: And so the 99% is hedging. So, I mean how it is hedged because earlier, we used a combination, if I understand correctly, you used to do it via MCX futures or we used to do GML as well.
So, I mean, so what is the proportion of each element now if you can elaborate?
Siddharth Sipani: Right now, we are at zero usage of GML. So, we are hedging in MCX, which is the only one tool to hedge them available in India. So, we use the MCX tool and every sale and purchase is hedged and we have a hedging team and the pricing team and they follow the rules. And so again, MCX is the only tool we have and we hedge that.
Bharat: I just want to check on the capacity thing as well. So basically you said that you will be monetizing the current factory and move to a leased factory. So currently what is the capacity currently that we have and if you move to a leased factory, will you have a bigger size plant or increase the capacity or how would you do it?
Mangesh Chauhan: So again, 1.2-ton capacity we have, we are 650 kg last quarter exit. So, we have a 55% utilization.
Till 2028 March, we don't have any problem of the capacity. And again, we are planning for asset-light model. So, whenever we need, we can go for rental. And again, the land sale we have put, many agencies are coming with the proposal that we will buy the land. And whatever requirement we will build up and give you for the rental, they need whatever the percentage of rental is going in the market.

So many proposals are coming, we are looking into it, how we go for it. We are planning on it if we move total facility to the one facility or we take 1.5 lakh more and again continue with this facility. So as per the requirement, when the times come, we'll do the policies.
But we are looking for the agencies who come to us and buy this land and construct the building on their cost and give us on the rent in the future, we are open to that. So again, it will be needed after 2028 March, so after March. So, there are many options open, many agencies are coming and many independent buildings are also available for rental.
Moderator: Thank you. Ladies and gentlemen, in the interest of time, we will take that as our last question for today. I would now like to hand the conference over to Mr. Mangesh Chahan for closing comments. Over to you, sir.
Mangesh Chauhan: Thank you so much, all of you. And ending this Q&A question, we want to increase our portfolio in domestic and export market also. Again, we will say we are a design-led company, not just a B2B manufacturer. We want to be a globally largest manufacturer.
So again, the team with Akash, Siddharth and again, many more production heads to be announced here and we are planning on that. So second layer of management is building the empire totally. Thank you so much. Thank you, everyone, for joining us today for our continued trust and support. We hope we have been able to address your queries and provide meaningful insight into our performance and future outlook.
On behalf of the management team, Sky Gold management team wou

ld like to express our
sincere appreciation to all our shareholders, customers, banking partners, employees, suppliers and other stakeholders for their continued confidence in the company and for being an integral part of our growth journey. In case you have any query for further details, you may please contact MUFG Intime, our Investor Relations Partner. Thank you so much. Good afternoon.
Siddharth Sipani: Yes. Thank you, everyone, for your time.
Moderator: Thank you. On behalf of Sky Gold & Diamonds Limited, that concludes this conference. Thank

you all for joining us. You may now disconnect your lines.